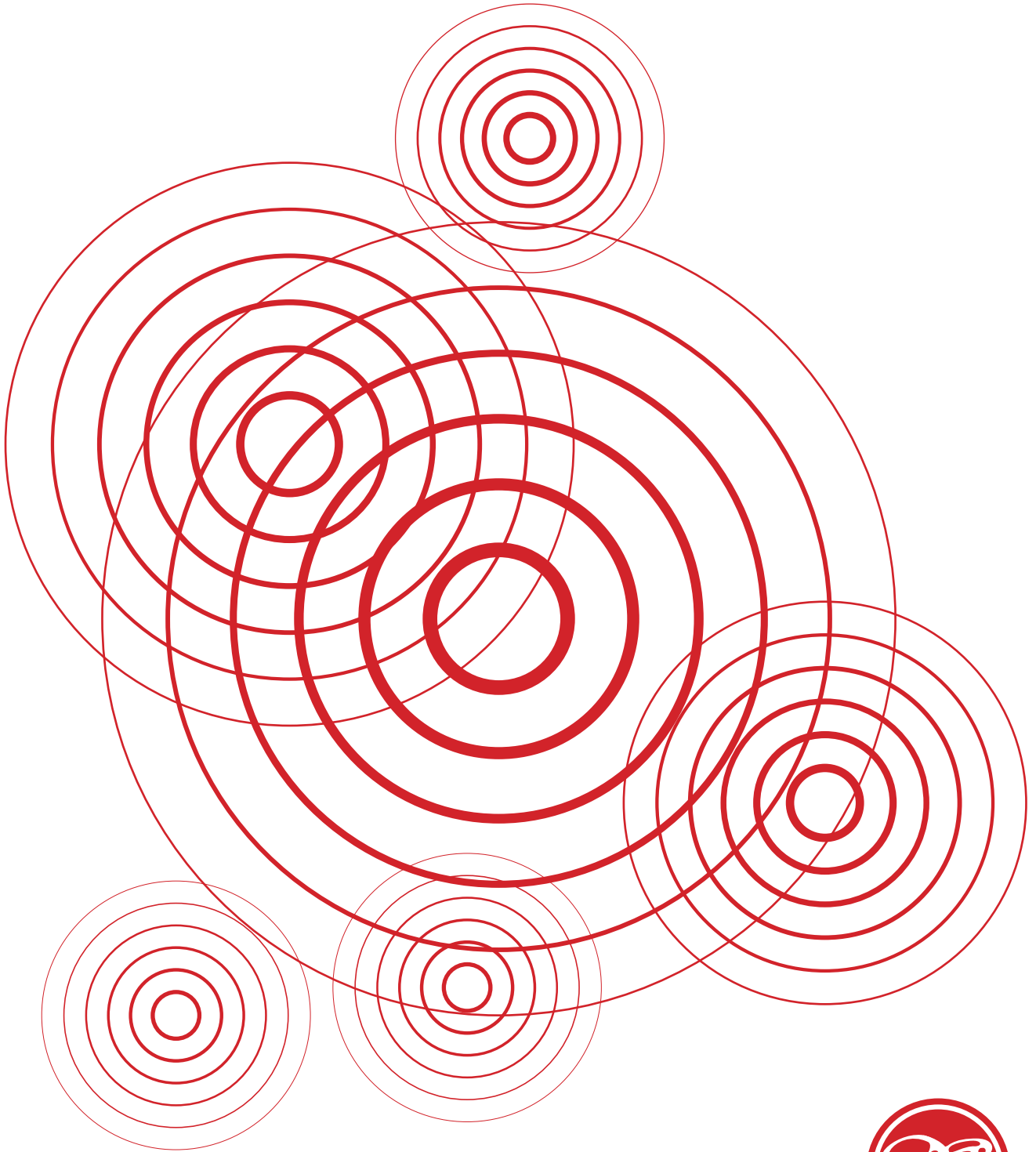


# *Creating capacity. Cultivating opportunity.*

*Annual Report 2024/25*



**C. W. MACKIE PLC**



## *Creating capacity. Cultivating opportunity.*

C.W. Mackie PLC, growth is not accidental, it is designed, enabled, and sustained. This year, we made a deliberate choice: to strengthen from within, to sharpen what we already do well, and to build the capacity that unlocks tomorrow's opportunities. It was a deliberate effort to build internal strength, deepen capabilities, and aspire the organisation to seize the next horizon of growth.

Capacity, in our context, extends beyond infrastructure. It encompasses the knowledge within our people, the trust behind our brands, the reach of our technology, and the discipline of our processes. We have strengthened these foundations with purpose, ensuring that our organisation is agile, future-ready, and aligned with your expectations.

Opportunity is cultivated through foresight, disciplined execution, and the ability to turn disruption into advantage. From digital transformation and people development to operational excellence and sustainability, we invested in what matters most. These are not isolated efforts, but interconnected drivers of long-term value.

We are future-ready, grounded in trust, and ambitious in vision.



**C. W. MACKIE PLC**

# Contents

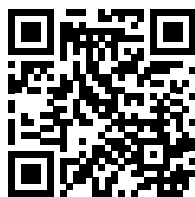
|    |                                           |
|----|-------------------------------------------|
| 4  | Chairman/Chief Executive Officer's review |
| 6  | Group overview                            |
| 8  | Our journey                               |
| 10 | Group structure                           |
| 14 | Highlights of the year                    |
| 16 | Board of Directors                        |
| 19 | Group Management                          |



## 22 Operating context

## 24 Business review

|    |                             |
|----|-----------------------------|
| 26 | FMCG cluster                |
| 38 | Industrial products cluster |
| 46 | Commodity trading cluster   |



Scan to download the  
PDF version of this report

## 52 Management discussion and analysis

|    |                                 |
|----|---------------------------------|
| 54 | Financial Capital               |
| 59 | Intellectual Capital            |
| 62 | Manufactured Capital            |
| 65 | Human Capital                   |
| 70 | Social and Relationship Capital |
| 74 | Natural Capital                 |

## 77 Governance and Risk

|     |                                                                                                       |
|-----|-------------------------------------------------------------------------------------------------------|
| 78  | Annual Report of Board of Directors                                                                   |
| 83  | Chairman/Chief Executive Officer's<br>and Group Chief Financial Officer's<br>Responsibility Statement |
| 84  | Directors' Statement on Internal Controls                                                             |
| 85  | Corporate Governance                                                                                  |
| 91  | Risk Management                                                                                       |
| 95  | Report of the Audit Committee                                                                         |
| 97  | Report of the Related Party<br>Transactions Review Committee                                          |
| 98  | Report of the Remuneration Committee                                                                  |
| 99  | Report of the Nominations<br>and Governance Committee                                                 |
| 101 | Statement of Directors' Responsibility<br>for Financial Reporting                                     |
| 102 | Statement by the Senior Independent Director                                                          |



## 103 Financial Reports

|     |                                                               |
|-----|---------------------------------------------------------------|
| 104 | Independent Auditor's Report                                  |
| 111 | Statement of Profit or Loss and Other<br>Comprehensive Income |
| 112 | Statement of Financial Position                               |
| 114 | Statement of Changes in Equity                                |
| 116 | Statement of Cash Flows                                       |
| 119 | Notes to the Financial Statements                             |

## 187 Supplementary Information

|                                          |                                       |
|------------------------------------------|---------------------------------------|
| 188                                      | Ten-Year Summary                      |
| 190                                      | Consolidated Statement of Value Added |
| 192                                      | Investor Information                  |
| 194                                      | Glossary of Financial Terms           |
| 196                                      | Notice of Meeting                     |
| Enclosed – Form of Proxy                 |                                       |
| Inner Back Cover – Corporate Information |                                       |

# Chairman/Chief Executive Officer's Review

*We grew revenue by a significant 25% the diversification in many sectors was the key to this success. Setting up diversified channels of distribution enabled us to reach more places than others.*

*Dear Shareholders,*

## **The economy**

Following two years of recession the Sri Lanka economy grew by a welcome 5%. It was a revival most looked forward to following the biggest downturn in 75 years after the country regained independence from foreign powers. The significant macro economy indicator was the increasing of poverty levels by reducing the monthly income of a household to Rs. 53,000/-. Business had to revise its mid term plans as consumerism, the preoccupation of society with the buying of goods, dipped a turn as sachets the small sealed bags from the food industry multiplied to sustain consumer interest of the packaging food industry. C. W. Mackie sustained its cash generated from operating activities earning nearly Rs. 200.0 Mn. in cash flows. The diversified nature of the business and its principled approach with a revenue growth of over 25% overcame the vagaries of the economy.

## **Operating plan**

We grew revenue by a significant 25% the diversification in many sectors was the key to this success. Setting up diversified channels of distribution enabled us to reach more places than others. Our FMCG cluster leads the operations with a 10% growth from Rs. 8.9 Bn. with a plethora of market leader brands namely SCAN Jumbo Peanuts, Sunquick fruit squash, and SCAN Bottled Water among them. The plan is to add more market leaders in the years ahead and to multiply the distribution streams to provide more space for their transmission to increase our volumes to untapped sources.

Our only negative was the delay in fully commissioning the caster sugar line and the Cassava packing line. Unexpected delays in the technical lines briefly held back the full fledging of the operations. These two product lines will be commissioned in the 2nd quarter of 2025/26 and be substantially adding to our revenue growth.

The second largest growth was from exports from Rs. 2.6 Bn. to Rs. 4.8 Bn. with DC leading while sugar too grew from Rs. 4.5 Bn. to Rs. 5.7 Bn. The profits from these two categories are poised to grow in the short-term future as they are now ready to move ahead of the curve.

We had a closer look at three of our less profitable factories namely Ceymac, Ceytra and KVC while our investments were channeled towards the star factories for speedy growth and faster returns. We held back the improvements due for the loss making three factories. However, we are glad that after ramping these factories we are gradually seeing a change in future by adding new machinery to improve productivity and now confident of better results for the new year. Manpower structures too have been rationalised for cost efficiency while operators are trained on the run on machinery.

## **World class manufacturing model (WCM)**

To derive maximum value from our base factories is a fundamental objective coupled with Lean initiatives. This year will add another factory from the sugar caster category, another chapter to our powerful manufacturing base. We already have many customers awaiting the completion of this factory as our quality is recognised.

The WCM model is a management philosophy, an operational strategy that steers excellence in manufacturing practices. We focus on eliminating wastage, improving efficiency and fostering a culture of team ship for consistent improvement. It is built on a foundation of pillars and steers the organisation towards manufacturing excellence. In a nutshell the WCM model offer an extensive framework to achieve optimum resource utilisation and enables continuous improvement performance across all aspects of operations, while allowing employees to be a part of ownership of their contribution.

## Chairman/Chief Executive Officer's Review

### Financial results

#### Revenue analysis of Group companies

| For the year ended 31 March           | 2025    | 2024    |
|---------------------------------------|---------|---------|
|                                       | Rs. Mn. | Rs. Mn. |
| C. W. Mackie PLC                      | 22,417  | 17,949  |
| Ceymac Rubber Company Limited         | 1,587   | 1,258   |
| Ceytra (Private) Limited              | 162     | 82      |
| Kelani Valley Canneries Limited (KVC) | 546     | 510     |
| Consolidated eliminations             | (429)   | (411)   |
|                                       | 24,283  | 19,388  |

During the year and following Ceytra (Pvt) Ltd. was modified to accept large export orders for rubber mouldings. Kelani Vally Canneries Limited will be modified to enable auto filling of Sauce and Jams which will improve quality standards and productivity. We expect Ceymac Rubber Company Limited to continue with its established "deemed" exports partners.

#### Performance segment wise

| For the year ended 31 March         | 2025    | 2024    |
|-------------------------------------|---------|---------|
|                                     | Rs. Mn. | Rs. Mn. |
| <b>Divisions</b>                    |         |         |
| Commodity trading                   | 10,463  | 7,075   |
| Rubber based products manufacturing | 1,739   | 1,320   |
| Industrial products trading         | 3,209   | 2,948   |
| FMCG (food and beverage)            | 8,872   | 8,045   |
|                                     | 24,283  | 19,388  |

Exports grew sharply from DC while R & AC continued its consistency with the revival of industrial activity with the recession now behind us. Hempel is the trusted name for coating locally fabricated freighters, yachts and boats and works closely with Colombo Dockyard with an established global brand of trust.

#### Developing the staff and management

Over the last 2 years 2023/24, our entire management teams, the senior and the inter medium tiers of staff were trained on the latest management trends, strategies, and techniques by a

locally reputed consultancy. Staff have not only enhanced their knowledge in business but also their confidence in handling both daily and strategic models of activity. The same group completed a Lean Management Programme which is helping corporate to reduce wastage and improve overall performance by eradicating hidden wastage through continuous monitoring, for a corporate that relies heavily on manufacturing excellence. These programmes greatly enhanced the total value of our team as they move with growing confidence.

#### The three year strategic plan

Along with the annual Budget which is an exercise of a shorter duration, our corporate has developed an excellent three year plan cycle for a mid term strategy. This extends the Budget period beyond the short term to continuity and particularly helps with the planning of new business models and ventures as there is a longer period available for gathering data and information trialing through gestation. We plan to role this exercise by connecting the three year track into each new cycle following:

#### Shareholders and dividends

At the time of writing the C.W. Mackie share has reached a value of Rs. 126.25 climbing steadily in value while keeping with the Company's predictable performance of recent years. The Directors recommend a first and final dividend of Rs. 8/- to the shareholders.

#### Acknowledgements

As I complete my second year as Chairman/CEO I wish to thank my fellow Directors for their advice and support to guide this organisation to greater heights and also the staff for their cooperation at all times.

Most of our plans are fulfilled. Our staff has gained new confidence through training and interaction. We are confident that the new financial year will consolidate on the plans we have made along the way, to further strengthen your Company and pave the way for a successful future for all.

Sincerely,



**Hemaka Amarasuriya**  
Chairman/Chief Executive Officer

4 June 2025

# *Group overview*





## *Expanding capabilities. Enabling growth.*

### ***What Differentiates C. W. Mackie?***

C.W. Mackie PLC is a diversified Group with a proud legacy of trusted brands across food, beverages, personal care, and exports. Our structure is designed to deliver value across consumer segments and global markets, with each business unit playing a strategic role in driving growth.

From household staples to lifestyle focused products, we continue to strengthen our portfolio with a sharp focus on innovation, consumer convenience, and evolving lifestyle needs. Our integrated Group model enables agility, scale, and synergy positioning us to lead in a competitive, fast moving world.

# Our Journey

## Vision

To be recognised as a leading conglomerate in Sri Lanka.

## Mission

To provide market leadership products across all communities in Sri Lanka.

## Integrity

We are committed to our word, in action and in thought.

1900

The business was founded by late Mr. C. W. Mackie, a Scotsman, as Merchants and Commission Agents and carried on under the name of "C. W. Mackie and Company."

1946

A consortium of Ceylonese and Indian Businessmen buy over the shares of the Company and convert it to a Public Company.

1980

Formed Ceymac Rubber Company Limited as a subsidiary.

1922

Incorporated as a private limited Company.

1979

Formed Ceytra (Private) Limited as a subsidiary.

March 2025 ←----- January 2025 ←-----

Acquisition of distribution rights for SKF bearings, the world's leading bearing brand.

The unveiling of the 10th product of the Sunquick brand portfolio which is the lemon concentrate to Sri Lankan market.

## Our Journey

### Corporate Values

#### Innovative

We strive to constantly develop new solutions with the help of modern technology.

#### Sharing and caring

We are eager to help others and are empathetic to their needs.

#### Sustainability

We implement strategies that would be socially responsible towards our community and our environment.

### 2010

Aarhus United A/S (AU), Denmark and Ceylon Trading Company Limited (CTC) divest their entire shareholding of 56.56% of the stated capital and relinquish control of C. W. Mackie PLC Group of Companies.

AU/CTC shares were acquired by Lankem Ceylon PLC and a connected party.

### 2017

Joint venture entered into with Co-Ro A/S, Denmark, the manufacturing and processing activities of the Sunquick range of fruit squash concentrates are carried out by Sunquick Lanka (Private) Limited, in which the Company has an interest of 49%.

Formed Sunquick Lanka Properties (Private) Limited as a subsidiary which owns the land and buildings of the Sunquick Plant in Horana.

### 1994

Shares equivalent to 25% of the total shares, issued to the public. Shares were quoted on the Colombo Stock Exchange.

### 2014

Acquired Kelani Valley Canneries Limited as a subsidiary.

### December 2024

Ceytra (Private) Limited is expanding its product portfolio by developing and exporting rubber tarp straps for packaging applications to the United States market.

### October 2024

We have commenced the sale of environmentally friendly, zero ozone-depletion refrigerant gas under the brand name 'Green Point'

# Awards

## National Chamber of Exporters (NCE) Award – Merit Award 2024

Sunquick Lanka (Private) Limited proudly received the Silver Award in the Large Category Confectionery and Beverage Sector at the NCE Awards.



## 15 Best Workplaces in the Manufacturing and Production Industry Sri Lanka

Sunquick Lanka is honoured to be recognised as one of Sri Lanka's Top 15 Manufacturing and Production Workplaces in Sri Lanka 2025.



## Pinnacle Awards 2024

Best Brand of the year under fruit-based Products for Kelani Vally Canneries Limited at the Pinnacle Awards 2024.



## TAGS Awards 2024

Silver Award at the TAGS Awards 2024 in the trading sector presented by the CA Sri Lanka.



# Group Structure

## Group Structure

### Parent Company



#### C. W. MACKIE PLC

C. W. Mackie PLC serves as the holding Company of a diversified Group with operations spanning manufacturing, imports, exports, and distribution. It plays a strategic role in driving Group wide growth across both domestic and international markets.

**Number of shares issued**  
**35,988,556**

**Stated capital**  
**Rs. 507,047,487**

The Company engages in the export and local sale of thick pale crepe rubber (TPC), ribbed smoked sheet rubber (RSS), desiccated coconut, a variety of other coconut based products, and spices. It also imports and distributes sugar on a wholesale basis, primarily catering to business to business (B2B) customers. Additionally, the Company imports and sells lightweight machinery, welding electrodes and consumables, cutting and grinding wheels, rock drilling tools, and spare parts for earth moving equipment.

C. W. Mackie PLC imports and sells refrigeration and air conditioning equipment along with related components, accessories, insulation materials, copper tubes, refrigerant gases, and pipe support products. It also imports and distributes marine paints and high performance protective coatings. In the FMCG sector, the Company imports, manufactures, and distributes branded products across food and beverage, personal care, and household care categories.

In addition, the Company bottles drinking water and processes jumbo peanuts and snacks under the "SCAN" brand for sale and distribution across the market.

### Subsidiaries

#### Ceymac Rubber Company Limited

| Stated capital | Issued shares | Group interest |
|----------------|---------------|----------------|
| Rs. 36,450,000 | 3,189,375     | 98.72%         |

Ceymac Rubber is engaged in the manufacture, export, and local sale of technically specified rubber (TSR). The Company also produces and exports plantation sole crepe rubber. A portion of its TSR output is supplied to local tyre manufacturers, supporting tyre exports to international markets.



#### Ceytra (Private) Limited

| Stated capital | Issued shares | Group interest |
|----------------|---------------|----------------|
| Rs. 70,000,000 | 7,000,000     | 84.07%         |

Ceytra (Private) Limited specialises in the manufacture and export of moulded rubber products, tarp straps serving a range of international markets with high quality industrial components.



#### Kelani Valley Canneries Limited

| Stated capital | Issued shares | Group interest |
|----------------|---------------|----------------|
| Rs. 65,709,041 | 56,059,104    | 92.87%         |

Kelani Valley Canneries is engaged in the manufacture, sale, and export of a wide range of processed tropical fruits, vegetables, and beverages under the "KVC" brand.

#### Sunquick Lanka Properties (Private) Limited

| Stated capital  | Issued shares | Group interest |
|-----------------|---------------|----------------|
| Rs. 601,960,800 | 6,019,608     | 51%            |

Owens the land and buildings of the Sunquick Plant in Horana.

### Joint Venture



#### Sunquick Lanka (Private) Limited

| Stated capital    | Issued shares | Group interest |
|-------------------|---------------|----------------|
| Rs. 1,228,244,900 | 6,907,107     | 49%            |

Sunquick Lanka (Private) Limited is engaged in bottling the "Sunquick" range of fruit squashes and ready-to-drink (RTD) fruit juices. These products are exported and also distributed locally by the joint venture partner, C. W. Mackie PLC.

## At a Glance

*We are a diversified Sri Lankan business Group with strong category leadership across food, beverage, personal care, household, industrial, and export sectors. Our growth is powered by consumer trusted brands, integrated manufacturing, and a multi channel distribution network across the island.*



### Our people

Employees across operations

**639**

Ongoing upskilling, KPI-based performance management

Peakon employee engagement index: Highest global score in FMCG franchise

### Innovation

New products: Falooda Mix, Ice Coffee Premix, Sun Cola, Cassava Chips

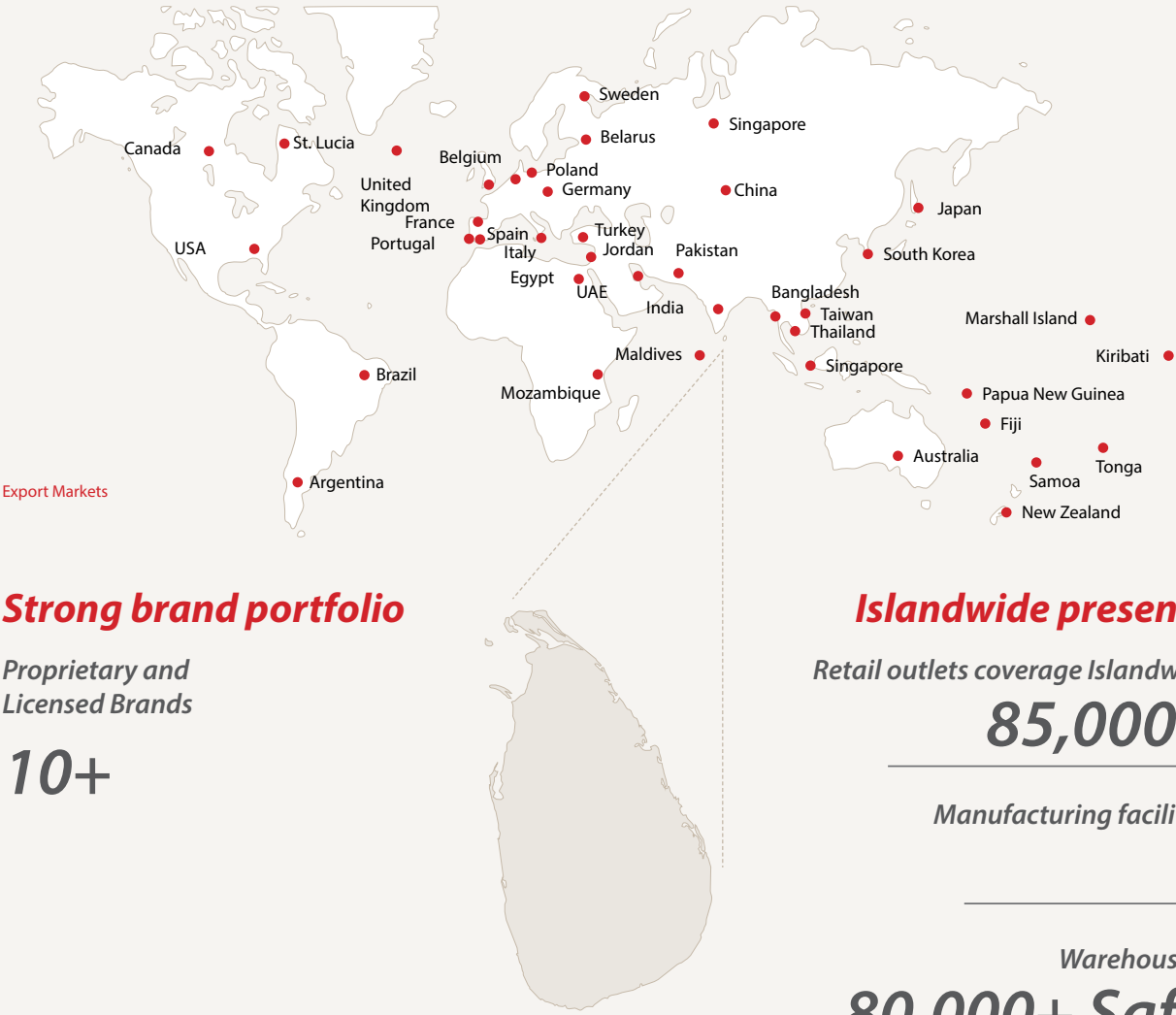
Planned entry into RTD Beverage Category (PET)

Investment in glass bottle line expansion and sparkling water segment

Expanding moulded rubber product portfolio by developing rubber tarp straps for packaging applications

At a Glance

Global exports



Quality, certification and sustainability



6 ISO & SLS Certifications

Refillable bottle & PET recycling programme

WMS to launch in FY 2025 – warehouse automation

6 Fully owned manufacturing plants

# Highlights of the year

| For the year ended 31 March                |                      | 2025       | 2024       | Change % |
|--------------------------------------------|----------------------|------------|------------|----------|
| <b>Operating highlights and ratios</b>     |                      |            |            |          |
| Group revenue                              | Rs. '000             | 24,282,721 | 19,387,992 | 25       |
| Group gross profit                         | Rs. '000             | 3,252,178  | 2,756,091  | 18       |
| Group profit before tax                    | Rs. '000             | 670,432    | 502,165    | 34       |
| Group profit after tax                     | Rs. '000             | 490,313    | 419,037    | 17       |
| Profit attributed to parent company        | Rs. '000             | 497,911    | 416,062    | 20       |
| Group earnings per share                   | Rs.                  | 13.84      | 11.56      | 20       |
| Dividend per share*                        | Rs.                  | 8.00       | 8.00       | –        |
| Interest cover ratio                       | No. of times         | 2.11       | 1.88       | 12       |
| Net return on capital employed             | %                    | 21.20      | 21.41      | -1       |
| Earnings per share                         | Rs.                  | 13.84      | 11.56      | 20       |
| Group foreign exchange earnings            | Rs. '000             | 5,270,112  | 2,757,281  | 91       |
| Contribution to government revenue         | Rs. '000             | 3,806,100  | 2,243,000  | 70       |
| Group value added                          | Rs. '000             | 5,971,900  | 4,261,300  | 40       |
| Value added per employee                   | Rs. '000             | 9,346      | 6,940      | 35       |
| <b>Balance sheet highlights and ratios</b> |                      |            |            |          |
| Total assets                               | Rs. '000             | 12,259,488 | 10,147,131 | 21       |
| Total shareholders' funds                  | Rs. '000             | 4,115,625  | 3,819,613  | 8        |
| Total debt                                 | Rs. '000             | 4,514,308  | 3,406,222  | 33       |
| Current ratio                              | 1:                   | 1.25       | 1.36       | -8       |
| Net assets value per share                 | Rs.                  | 114.36     | 106.13     | 8        |
| Debt/equity                                | %                    | 110        | 89         | 23       |
| Debt/total assets                          | %                    | 37         | 34         | 10       |
| Group capital expenditure                  | Rs. '000             | 291,501    | 91,736     | 218      |
| <b>Market/shareholder information</b>      |                      |            |            |          |
| Market value per share                     |                      |            |            |          |
| – at year end                              | Rs.                  | 108.75     | 95.00      |          |
| – during the year – Highest                | Rs.                  | 118.25     | 116.75     |          |
| – during the year – Lowest                 | Rs.                  | 86.00      | 79.50      |          |
| Dividend payout ratio*                     | %                    | 58         | 69         |          |
| Dividend yield*                            | %                    | 7          | 8          |          |
| Price earnings ratio                       | No. of times         | 7.86       | 8.22       |          |
| <b>General</b>                             |                      |            |            |          |
| Number of employees in Group               |                      | 639        | 614        |          |
| Value in Rs. at official exchange rate     | United States Dollar | 296.50     | 300.25     |          |
|                                            | Pound Sterling       | 383.99     | 379.34     |          |
|                                            | Euro                 | 320.45     | 324.99     |          |

\* Based on the proposed dividend during the year.

## Highlights of the year

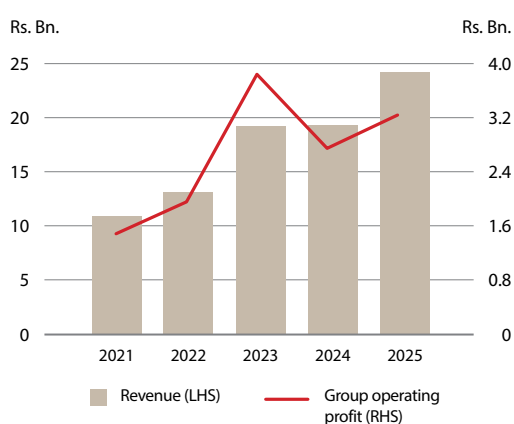
## Group revenue

2025

**Rs. 24,283 Mn.** ⬆

2024 – Rs. 19,388 Mn.

## Group revenue and gross profit



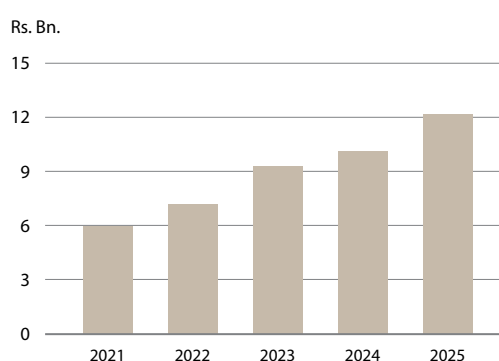
## Total assets

2025

**Rs. 12,259 Mn.** ⬆

2024 – Rs. 10,147 Mn.

## Total assets

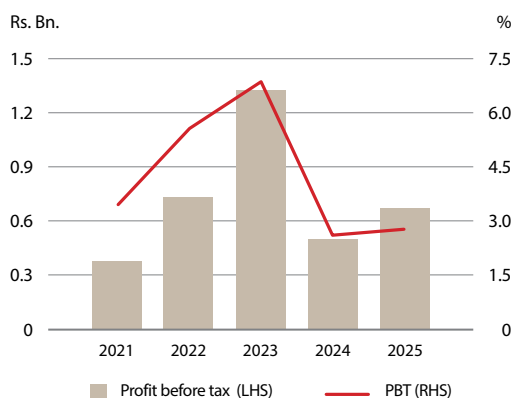


## Profit before tax

**Rs. 670 Mn.** ⬆

2024 – Rs. 502 Mn.

## Profit before tax

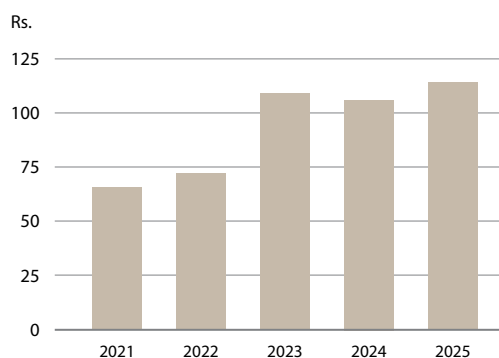


## Net assets per share

**Rs. 114** ⬆

2024 – Rs. 106

## Net assets per share



# Board of Directors

**Mr. Hemaka Amarasuriya**

Chairman/Chief Executive Officer

A Director from 22 February 2011. He brings to C. W. Mackie PLC an impressive range of management, industrial, marketing and business skills from his tenure as Chairman of the industrial and retailing conglomerate Singer Group and he has at varying times served in the Presidential Task Force for Science & Technology & Company Law. He also brings with him substantial experience in international management as a former Senior Vice President of Singer Asia Limited, Retail Holdings Limited, USA and Chairman of the Singer Worldwide Business Council. Founder President of the Chartered Institute of Marketing UK (Sri Lanka Region). His contribution to marketing and retail in Asia was recognised by the Asia Retail Congress with the Retail Leadership Award and by the Chartered Institute of Marketing UK as a visionary Business Leader for his invaluable contribution to the marketing profession.

He has diversified experience in the financial sector as Chairman of National Development Bank PLC and Sri Lanka Insurance Corporation Limited.

An Accountant by profession, he is a former Chairman of the Employer's Federation of Ceylon and of the Industrial Service Committee-Southern Province of the Ministry of Industries.

He was inducted to the Hall of Fame of the Institute of Chartered Accountants in 2011 and was selected CIMA Business Icon for 2013 by the Chartered Institute of Management Accountants.

**Ms. C. R. Ranasinghe**

Company Secretary/Executive Director

A Director from 14 June 2002. Is also the Company Secretary. An Attorney-at-Law by profession. With the Group since October 1999 on retirement as a Partner of Messrs. Julius & Creasy, Attorneys-at-Law & Notaries Public.

**Deshabandu A. M. De S. Jayaratne**

Independent/Non-Executive Director

**(upto 30 December 2024)**

A Director from 23 May 2007. He holds a Degree in Economics from the University of Southampton in England and is a Member of the Institute of Chartered Accountants of England and Wales and The Institute of Chartered Accountants of Sri Lanka. He is a former Chairman of Forbes & Walker Limited, the Ceylon Chamber of Commerce and Colombo Stock Exchange. Also served as Sri Lanka's High Commissioner in Singapore. Currently he serves on the Boards of several public companies.

**Mr. Anushman Rajaratnam**

Non-Executive Director

A Director from 1 April 2010. He was appointed to the Board of Lankem Ceylon PLC in 2005 and served as Managing Director from 2009 until December 2016. Upon appointment as the Group Managing Director of The Colombo Fort Land & Building PLC (CFLB) in January 2017, he relinquished his duties as Managing Director of Lankem Ceylon PLC. He has worked several years overseas for a leading global accountancy firm. He also serves on the Boards of several subsidiaries of the CFLB Group. He holds a Bachelor of Science in Economics from University of Surrey, UK and MBA from Massachusetts Institute of Technology, USA.

**Mr. S. D. R. Arudpragasam**

Non-Executive Director

A Director from 1 April 2010. He has been associated with The Colombo Fort Land & Building PLC (CFLB) Group of Companies since 1982 and is the current Chairman of The Colombo Fort Land & Building PLC (CFLB). He is also the Chairman of Lankem Ceylon PLC and E. B. Creasy & Company PLC in addition to serving on the Boards of other Companies within the CFLB Group.

He is a Fellow of the Chartered Institute of Management Accountants, UK.

**Dr. T. Senthilvel**

Non-Executive Director

A Director from 3 May 2010. He counts over six decades of active engagement in manufacturing, trading, land development, power and energy sectors, industrial turnkey projections, construction and management. He currently serves on the Boards of several public, public listed and private companies.

**Mr. K. T. A. Mangala Perera**

Executive Director

A Director from 2 April 2012. Has over 26 years of cross industry experience at senior levels in marketing and general management, both locally and internationally. He currently functions as Executive Director – Group Chief Operating Officer of C. W. Mackie PLC. Also serves on several Boards as Non-Executive/Independent Director.

His academic and professional qualifications extend across multiple disciplines, comprising a Masters in Financial Economics from the University of Colombo, a BSc (Hons.)

## Board of Directors

Marketing Management (Special) Degree from the University of Sri Jayawardenepura, a Post Graduate Diploma in Business & Financial Management from the Institute of Chartered Accountants of Sri Lanka. He is a visiting lecturer at the Postgraduate Studies in Management at the University of Colombo and University of Kelaniya. As an active marketing professional, he serves on several national level project committees/judging panels.

He is also actively engaged in national level sports administration and served as the President of the Sri Lanka Mercantile Volleyball Federation and played a vital role in promoting national game and beach volleyball in Sri Lanka.



**Mr. Sanjeev Rajaratnam**

Non-Executive Director

**(upto 30 December 2024)**

A Director from 20 April 2021. He serves on the Board of E. B. Creasy & Company PLC as Joint Managing Director. He also serves on the Boards of certain subsidiaries of the E. B. Creasy Group and holds several other Directorships, including The Colombo Fort Land & Building PLC. He holds a Bachelor of Science Degree in Business Administration from Boston College, USA and is a Member of the Institute of Chartered Accountants, Australia.



**Mr. A. Hettiarachchy**

Non-Executive Director

**(upto 30 December 2024)**

A Director from 18 August 2021. A Chartered Engineer, he is a Director of Sri Lanka Institute of Nanotechnology. He functions in the capacity of Deputy Chairman on the Board of Lankem Ceylon PLC and as Chairman on the Boards of Acme Printing & Packaging PLC, Acme Packaging Solutions (Pvt) Limited, ISL Services Limited and Board Member of Central Industries PLC and serves as the Chairman of its Audit Committee. He has served on the Boards of Richard Pieris Finance Limited, Hayleys PLC and functioned as Managing Director on the Boards of Haycarb PLC, Recogen Limited and Puritas Limited. Also served on several other subsidiaries of Haycarb PLC and Hayleys PLC, both in Sri Lanka and overseas. He was also a Board Member of the National Science Foundation (NSF), Coconut Research Institute, Member of the National Nano Committee and a member of several advisory Boards of the NSF. He possesses expertise in the fields of Process Design, Construction and Commissioning; Instrumentation and Control-Design, Installation and Commissioning; Mechanical Engineering, Thermal and Electrical Energy-Generation and Storage and Nano Technology.



**Mr. E. A. A. K. Edirisinghe**

Executive Director

**(upto 31 March 2025)**

A Director from 1 April 2022. He heads C. W. Mackie PLC Group's Export Division. Also a Director of the subsidiary companies, Ceymac Rubber Company Limited and Ceytra (Private) Limited. He joined C. W. Mackie PLC in 1976 as a Management Trainee and over the years held executive and managerial positions in rubber and produce trading. He has over 49 years of work experience in the field of natural rubber trading internationally and in the local market. He was a former Chairman of The Colombo Rubber Traders' Association and the present Secretary/treasurer of The Colombo Rubber Buyers' Association. He holds a Certificate in Business Studies from Central London College, UK and also Diploma in Business Management from National Institute of Business Management, Sri Lanka. He is a Fellow Member of Chartered Management Institute, UK and also Full Member of the Institute of Exports, UK.



**Mr. Chrisantha P. R. Perera**

Independent/Non-Executive Director

**(upto 30 December 2024)**

A Director from 16 November 2022. He serves on the Board of The Colombo Fort Land & Building Company PLC (CFLB) and several subsidiaries of the CFLB Group and also holds directorships in other private and public companies. He retired as Chairman of Forbes & Walker Limited and its subsidiary companies in June 2005 after almost 45 years of service. He is a past Chairman of the Sri Lanka Tea Board, Sri Lanka Insurance Corporation, Public Enterprise Reform Commission (PERC) and Bank of Ceylon. Having held the Office of Chairman of Ceylon Tea Brokers PLC until 1 April 2022, he continues to serve as a Non-Executive Director of the said Company. He has served as a Committee Member of The Ceylon Chamber of Commerce, The Planters' Association of Ceylon and on the Committee of Management of Ceylon Planters' Provident Society. He is also a former member of the Monetary Board of the Central Bank of Sri Lanka.



**Mr. H. Manil A. Jayasinghe**

Independent/Non-Executive Director

A Director from 1 February 2024. He is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka, Fellow Member of the Chartered Institute of Management Accountants (UK), Fellow Member of the Certified Management Accountants of Sri Lanka and a Member of the Chartered Institute of Public Finance & Accountancy.

## Board of Directors

He started his career at the Ernst & Young, gained extensive experience in a range of sectors including manufacturing, retail, hospitality, wholesale business and telecommunication, in his capacity as Partner of Ernst & Young for 30 years; and was the Country Managing Partner of Ernst & Young Sri Lanka & Maldives from 2021-2023, Head of Assurance Practice in Sri Lanka and Profession Practice Director of Sri Lanka, from 2003 – 2023.

His forte in valuation of businesses and development of strategic plans for Financial Institutions made him a key resource in financial services. He also served as Head of the IFRS/SLAS Desk in Sri Lanka.

In his career spanning over 42 years of advisory and industry experience, he served as President and a Council Member of the Institute of Chartered Accountants of Sri Lanka, a Member of the Board of Sri Lanka Accounting & Auditing Standards Monitoring Board, a Council member of CMA Sri Lanka, member of the CIMA Sri Lanka Board, Council Member of the University of Moratuwa, member of the International Accounting Education Board of the IFAC, member of the Audit Advisory Committee of the Central Bank, Advisor to Audit Committees of PLC's and Banks, and Member of the National Chamber of Commerce of Sri Lanka.

Currently he is Chairman of the Statutory Accounting Standards Committee, Member of the Statutory Auditing Standards Committee and serves on many other Committees of the Institute of Chartered Accountants of Sri Lanka. He is also a Member of Financial Reporting Standards Implementation and Interpretation Committee (FRSIICS), Chairman of the Accounting Standards Committee of the South Asian Federation of Accountants (SAFA), a Member of the Audit Committee of SLIM, he has also taken up position as an Independent Director in John Keells Holdings PLC, Lanka IOC PLC, Vallibel One PLC and Royal Ceramics PLC, Governing Board Member of the Central Bank of Sri Lanka also of Diesel & Motor Engineering PLC, Ceylon Hospitals PLC, Lanka Milk Foods (CWE) PLC, Lanka Dairies Ltd, Sahasya Investments Ltd.



**Mr. Indrajit A. Wickramasinghe**

Independent/Non-Executive Director

**(from 30 December 2024)**

A Director from 30 December 2024. He was the former Director/Chief Executive Officer of Union Bank of Colombo PLC for over nine years up to his retirement in August 2024. He counts over 35 years of management experience having worked in both the financial services and FMCG sectors in local and multinational companies. He holds a MBA from the Post Graduate Institute of Management, University of Sri Jayewardenepura and is a

Fellow of the Chartered Institute of Marketing UK. He has been exposed to Executive Education Programmes at the National University of Singapore, The Said Business School of the University of Oxford (UK) and INSEAD (France). He is a member of the Oxford Business Alumni, University of Oxford (UK).

Prior to his appointment as Director/CEO of Union Bank he served as the Chief Operating Officer of NDB Bank where he was responsible for all business areas including Retail Banking, Corporate Banking, SME Banking and Project Finance. Prior to joining the financial services sector, he was with leading multinational company Reckitt & Colman Ceylon Ltd where he held numerous senior management positions.

He has also served on a number of boards as an Executive Director and Non-Executive Director. He was the Chairman of the Financial Ombudsman Sri Lanka (Guarantee) and a Director of the Credit Information Bureau of Sri Lanka.

He currently also serves on the boards of AIA Insurance Lanka Ltd, NDB Securities (Pvt) Ltd, Fintrex Finance Ltd, Three Acre Farms PLC, Ceylon Grain Elevators PLC, The Colombo Fort Land and Building PLC and Overseas Realty Ceylon PLC.



**Mr. Shrihan B. Perera**

Independent/Non-Executive Director

**(from 30 December 2024)**

A Director from 30 December 2024. He holds B.Sc. Mechanical Engineering (Honors) Degree from University of Moratuwa and is also a Fellow Member of the Chartered Institute of Management Accountants/CGMA, UK. He was named CEO of Teejay Group in May 2018. With a decade of experience in the apparel industry, he started his career as a Management trainee at Dankotuwa Porcelain PLC. He has served in Al Mulla Group in Kuwait followed by a 13-year tenure at Unilever, Sri Lanka, before joining Brandix Apparel Solutions as CEO of its Intimate Apparel Division in 2010. He has counted many years of experience as CEO and senior management level in diverse sectors encompassing Apparel, Fast Moving Consumer Goods, Porcelain and Service Industry in the corporate sector.

He serves as an Independent Director of Teejay Lanka PLC and its subsidiaries, Fintrex Finance Limited, The Colombo Fort Land and Building PLC and its subsidiaries including Lankem Ceylon PLC, E. B. Creasy & Company PLC - Leisure, Plantation & Packaging Sector companies.

# Group Management



## **K. K. Lalith P. Yatiwella**

Chief Financial Officer

Lalith joined in 2022 as Chief Financial Officer of C.W. Mackie PLC Group of Companies. He has over 24 years of experience in the field of corporate finance. Has served as Group Finance Director of Singer (Sri Lanka) PLC and an Alternate Director on the Boards of Singer (Sri Lanka) PLC, Singer Finance (Lanka) PLC, Singer Industries (Ceylon) PLC and Regnis (Lanka) PLC and a Director of Singer Digital Media (Private) Limited and Singer Business School (Private) Limited. He holds a B.Sc. (Hons.) Special Degree in Business Administration from the University of Sri Jayawardenepura. He is an Associate Member of the Association of Chartered Certified Accountants, UK (ACCA - UK), an Associate Member of The Institute of Chartered Accountants of Sri Lanka (CA SL), and serves as a Member to the Audit Committee of CA SL. He was recognised as "The Best CFO" by CA SL in year 2023.



## **N. Jerome P. Jayasinghe**

Chief Operating Officer – Internal Trading

(from 1 April 2025)

Jerome joined in 2010 as Assistant General Manager - National Sales of SCAN Products Division and currently overlooks the Internal Trading Sector. With over 32 years of industry experience, he brings a wealth of expertise in brand marketing, sales management and operations both locally and internationally.

As a dedicated sales, marketing and operations professional, Jerome has made notable contributions at the national level by serving on the judging panel of the Sri Lanka Institute of Marketing (SLIM) National Sales Awards (NSA). He holds a Master's Degree in Business Administration (MBA) from the Cardiff Metropolitan University, UK.

In addition to his core responsibilities, he has provided strategic direction across key operational areas and has been actively involved in driving sustainability initiatives within the organisation - promoting environmentally responsible practices and supporting long-term value creation.



## **L. M. Raveendra**

General Manager - Group Treasury

Raveendra joined in 2001 as a Management Trainee and held several executive and managerial positions in the Company. He has over 24 years of experience in the field of audit/finance. He holds a B.Sc. in Human Resource Management (Special Degree) from the University of Sri Jayawardenepura and is a Fellow Member (FCA) of The Institute of Chartered Accountants of

Sri Lanka and an Associate Member of the Institute of Certified Management Accountants of Sri Lanka.

He is also a Director of the subsidiary companies, Ceymac Rubber Company Limited and Ceytra (Private) Limited.



## **N. M. Chaminda Nawaratne**

General Manager – Sugar Division

Chaminda joined in 1996 as a Management Trainee and has held several executive and managerial positions during his tenure of service, presently heading the Sugar Sector. He has over 29 years of experience in the field of exports of commodities and import of sugar for sale locally. He holds a Bachelor's Degree in Science (B.Sc.) from the University of Peradeniya, Diploma in Marketing Management and Diploma in Personal Management from the National Institute of Business Management (NIBM), Sri Lanka.



## **W. Chinthaka K. Indrapala**

General Manager – Hempel Division

Chinthaka joined in 1998 as Technical Sales Executive and currently heads the Hempel Division as General Manager. He has over 26 years of experience in the field of marine paints. He holds a Bachelor's Degree in Science (B.Sc.) in Chemical Engineering from the University of Moratuwa. He also holds qualification of CIP Level-3 certification from The National Association of Corrosion Engineers (NACE), USA.



## **Saketha P. Jayasinghe**

General Manager – Management Information Systems

Saketha joined in 1996 as a Management Trainee and has held executive and managerial positions in the Company. Presently heads the Information Technology Sector. He has over 29 years of experience in the field of information technology. He holds a Bachelor's Degree in Science (B.Sc.) and a Master's Degree in Information Technology from the University of Colombo.



## **Ms. R. Priyadarshani Gunasena**

Company Secretary – Subsidiary Companies

Priyadarshani is also the General Manager-Corporate Affairs of Ceylon Trading Company Limited. An Attorney-at-Law and Notary Public by profession. She joined in 1994 as Legal Intern/Management Trainee and held several executive and managerial positions. She has over 31 years of experience in the fields of legal and company secretarial practices. She holds a Master's Degree in Business Administration (MBA) from the University of Colombo and has completed Parts I and II of The Chartered Institute of Management Accountants, UK.

## Group Management



### Nalin B. Jayasinghe

General Manager – Produce Trading

Nalin joined in 1984 as a Management Trainee and has held several executive and managerial positions in the Company. He has over 41 years of experience in the fields of manufacturing, logistics, import and export trading. He has served two terms as the Chairman of Coconut Products Traders' & Manufacturers' Association, as a Committee Member of the Sri Lanka Shippers' Council, Exporters' Association of Sri Lanka and the Asia Pacific Coconut Community. He holds a Diploma in Marketing Management from the National Institute of Business Management (NIBM), Sri Lanka.



### Ms. Chandima Welengoda

General Manager – Group Finance

Chandima joined in 2012 as the Manager-Financial Reporting and has over 19 years of experience in the field of audit, finance and banking. She holds a B.Sc. Accounting (Special Degree) from the University of Sri Jayawardenepura. She is an Associate Member of the Association of Chartered Certified Accountants, UK (ACCA-UK), a Fellow Member (FCA) of The Institute of Chartered Accountants of Sri Lanka and a finalist of The Chartered Institute of Management Accountants, UK. She has also completed Level I of the Chartered Financial Analyst Institute, USA.

She is also a Director of the subsidiary companies, Ceymac Rubber Company Limited and Ceytra (Private) Limited.



### E. Sugath Edirisinghe

Director/General Manager – Ceymac Rubber Company Limited and Ceytra (Private) Limited

Sugath joined in 1995 as a Management Trainee and has held several executive and managerial positions during his tenure of service. He has over 30 years of experience in the field of finance and rubber manufacturing. He holds a B.Sc. Accounting (Special Degree) from the University of Sri Jayawardenepura and a finalist of The Institute of Chartered Accountants of Sri Lanka.



### D. P. Pubudu K. Weerasekera

General Manager – Industrial Products and Refrigeration and Air-conditioning Divisions

Pubudu joined in 2006 as a Technical Sales Executive and currently heads the Industrial Products and Refrigeration and Air-conditioning Divisions as General Manager. He has over 19 years of experience in the field of refrigeration Industry. He

holds a Master's Degree in Business Management (MBM) from the University of Colombo and a Higher National Diploma in Mechanical Engineering from the Advanced Technological Institute, Sri Lanka. He is a member of International Institute of Ammonia Refrigeration, USA and a Member of the Institute of Refrigeration, UK.



### K. W. D. Duminda Kotalawala

General Manager – Food Service and Personal & Household Care Business – SCAN Products Division

Duminda joined the Company in 2011 as Brand Manager and has over 28 years of experience in the fields of sales & marketing and general management. He holds a Bachelor's Degree in Marketing Management from the University of Sri Jayawardenepura.



### J. M. S. Chandima Samarasinghe

General Manager – Sunquick Lanka (Private) Limited

Chandima joined in 2021 as General Manager of Sunquick Lanka (Private) Limited. He has over 27 years of experience in the food industry in manufacturing, quality, operations and general management, both locally and internationally. He holds a Bachelor's Degree (B.Sc.) in Agriculture specialised in food science and technology from the University of Peradeniya, Master's Degree (M.Sc.) in Food Science and Technology from the Post Graduate Institute of Agriculture of the University of Peradeniya, Master's Degree in Business Administration (MBA) from Asia e University, Malaysia and The Certified Management Accountant (CMA) of the Institute of Certified Management Accountants (ICMA), Australia. He is a visiting lecturer at the Faculty of Technology of the University of Sri Jayawardenepura.



### Nisha W. Karunaratne

Chief Marketing Officer

Nisha joined in 2017 as Assistant General Manager - Marketing of Sunquick operations and has over 23 years of experience in marketing, brand management and communication. He holds a B.Sc. in Marketing Management (Special) from the University of Sri Jayawardenepura and a Master's Degree in Marketing from Cardiff Metropolitan University, UK. He is a Member of the Sri Lanka Institute of Marketing (SLIM). He serves as a member of International Judging Panel at The Dragons of Asia Marketing Communication Awards Program since 2023.

## Group Management

**P. S. Hemantha K. Fernando**

Chief Operating Officer – Exports

Hemantha joined in 2023 as Chief Operating Officer – Exports following his appointment as Consultant – Spice Trading in September 2020. He has over 26 years of experience in the field of international trading. Has served as Export Manager, Head of Operation, Head of International Marketing in leading exports orient companies in Sri Lanka and overseas. He holds an Executive Diploma in Business Administration (EDBA) from the University of Colombo and is reading for a Master's Degree in Business Management (MBA) also from the University of Colombo.

**Geeth P. C. W. Wickramatunge**

Group Head of Human Resources

Geeth joined in 2014 as the Group Human Resources Manager and has over 23 years of experience in the field of human resource management in leading companies engaged in manufacturing, sales and marketing. He holds a Bachelor's Degree (B.Sc.) in Physical Science from the University of Colombo, Master's Degree in Business Administration (MBA) in Human Resource Management from the University of Kelaniya and has participated at a program on MBA Enrichment in Entrepreneurship Development in India. He is an Associate Member of the Chartered Institute of Personal Management, a Certified Human Resource Development Auditor and a Member of Wages Board in Sri Lanka.

**G. M. P. Anura Rajakaruna**

General Manager – Kelani Valley Canneries Limited

Anura joined in 2023 as Factory Manager of Kelani Valley Canneries Limited and has over 28 years of experience in the fields of food industry in manufacturing, quality assurance, food safety system certification, operations and general management. He holds a Bachelor's Degree (B.Sc.) in Agriculture, from the University of Peradeniya, Master's Degree in Business Administration (MBA) from the University of Wayamba, Diploma in Quality Management from Sri Lanka Standards Institution (SLSI) and Diploma in Human Resource Management from National Institute of Labor Studies. He is a Lead Auditor of Food Safety Management Systems Certification (ISO22000/HACCP).

**A. B. Dhanushka L. Arandara**

Group Head of Engineering

**(from 1 September 2024)**

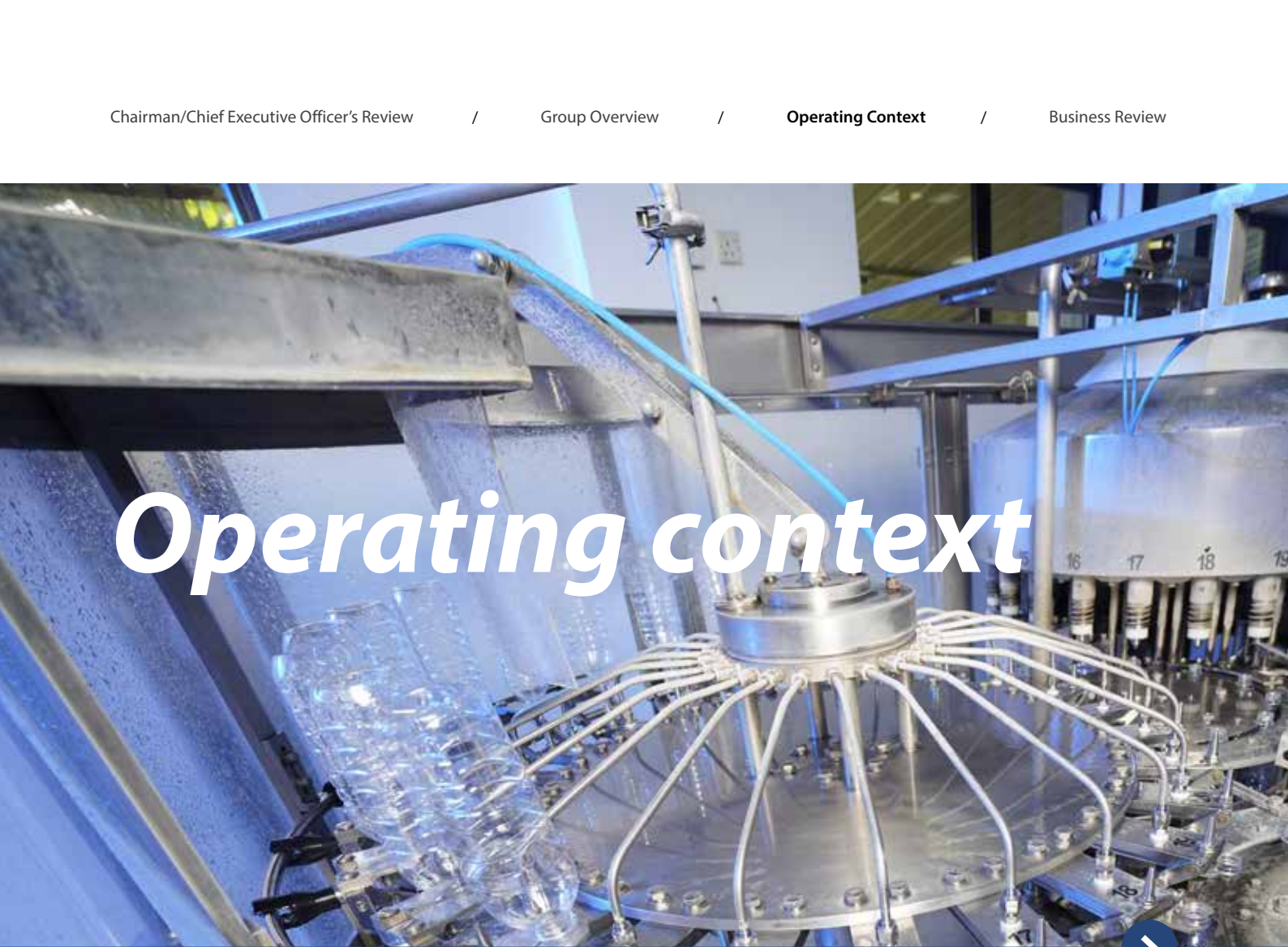
Dhanushka joined in 2024 as Group Head of Engineering. He has over 14 years of experience in the fields of mechanical, manufacturing and automation engineering. He holds a Bachelor's Degree in Engineering (B.Sc. Hons.) in Mechanical Engineering from the University of Moratuwa and a Master's Degree in Business Administration (MBA) in Business Analytics from the Cardiff Metropolitan University, UK. He is an Associate Member of the Institution of Engineers and the Engineering Council, Sri Lanka.

**J. G. N. Kishantha**

General Manager – Ceymac Rubber Company Limited

**(from 1 April 2025)**

Kishantha joined in 1998 as a Management Trainee and has held several executive and managerial positions during his tenure of service. He has over 27 years of experience in the fields of polymer science, rubber technology, innovative operations management and rubber manufacturing. He holds a M.Sc. Degree in Polymer Science and Technology, a B.Sc. (Hons) Degree in Bio Science from the University of Sri Jayawardenepura, a Diploma in Rubber Technology from The Plastics and Rubber Institute of Sri Lanka.



# Operating context



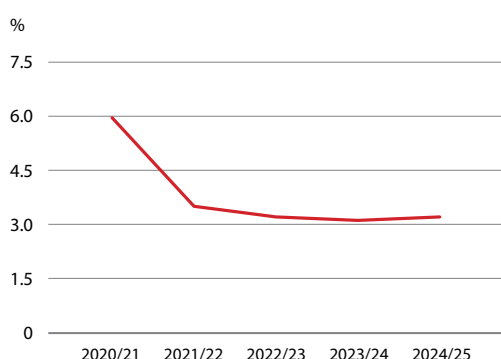
*The financial year 2024/25 unfolded against a backdrop of cautious optimism globally and a measured economic recovery domestically. On the international front, global GDP growth remained moderate at an estimated 3.1%, reflecting a stabilisation phase following pandemic-era volatility, high interest rates, and geopolitical disruptions.*

## Global economy

The global economic landscape in 2024 remained fragile. Developed economies began to see inflation cooling and interest rates plateauing, while emerging markets like India and Southeast Asia showed resilient demand and investment inflows. However, supply chain constraints, energy market volatility, and ongoing geopolitical risks including conflicts in Eastern Europe and the Middle East continued to create pockets of uncertainty.

According to the IMF, global GDP growth is projected to moderate slightly from 3.2% in 2023 to 3.1% in 2024, amidst high borrowing costs and persistent geopolitical tensions. Despite monetary tightening, advanced economies demonstrated relative resilience, supported by strong labour markets and easing inflation. However, growth remained uneven, with developing nations facing headwinds from volatile commodity prices, tighter financing conditions, and sluggish trade expansion.

### Global GDP Growth (2021–2025F)



Global inflation showed signs of easing, averaging 5.9% in 2024, down from 6.8% the previous year, though still above pre-pandemic levels. Key risks include continued fallout from conflicts in Ukraine and the Middle East, disruptions to global shipping via the Red Sea, and rising protectionist sentiment.

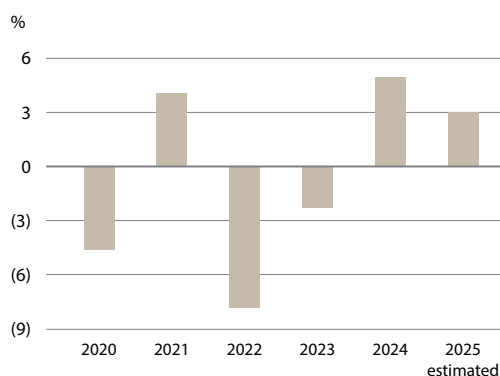
These conditions have affected consumer demand, input costs, and logistics for global businesses, including C.W. Mackie's trading and export operations.

## Sri Lankan economy

In Sri Lanka, the economic environment showed notable improvement after two consecutive years of contraction. Following a -7.8% contraction in 2022 and -2.3% in 2023, the economy returned to positive territory with GDP growth of 5% in 2024 and an estimated GDP growth of 2.7% in 2025. This

recovery was largely supported by macroeconomic stabilisation policies under the IMF Extended Fund Facility (EFF), greater fiscal discipline, easing inflation, and improved investor sentiment. Consumer Price Index (CPI) inflation, which once surged above 70% in 2022, dropped dramatically to under 1% by March 2024. Interest rates were cut by 125 basis points over the year, and the Sri Lankan Rupee appreciated by around 8% against the US Dollar, aided by improved reserves and increased foreign remittances.

### Sri Lanka's Real GDP Growth (2020–2025F)



At the same time, the trade and business environment remained sensitive to shifts in global commodity prices, exchange rate volatility, and local purchasing power. For sectors like FMCG, industrial goods, and export-focused clusters such as rubber, coconut, and spice, the year was characterised by cautious consumer sentiment, recovering tourism, and tentative improvements in external trade. C. W. Mackie, with its diversified business model and integrated supply chain, was well positioned to respond to these shifts through agile cost management, supply base diversification, and digital transformation.

While the local business climate has stabilised, structural challenges such as energy dependency, import restrictions, and tax reforms continued to exert pressure on margins and working capital. Despite these realities, the Company proactively navigated the terrain leveraging its strategic strengths in brand equity, manufacturing resilience, and international trading relationships.

As Sri Lanka continues its journey towards fiscal consolidation and growth under the IMF programme, 2025 is expected to bring further clarity and opportunity. C. W. Mackie's focus on productivity, innovation, and stakeholder engagement positions it to respond effectively to both the challenges and the emerging growth potential in this evolving operating landscape.

# ***Business review***

A photograph of a worker in a blue uniform and hairnet operating a bottling machine. The worker is wearing a blue hairnet and a blue surgical mask. They are standing in front of a large industrial machine, which appears to be a bottling or packaging line. The machine has various components, including pipes, valves, and a conveyor belt. The worker's right arm is extended towards the machine, and they appear to be adjusting or operating a part of it. The background is slightly blurred, showing more of the industrial setting. The overall lighting is bright, and the colors are dominated by the blue of the worker's uniform and the metallic tones of the machine.



# 10%

*YoY revenue growth*

**FMCG cluster** on page 26

The FMCG cluster revenue reached Rs. 8,872 Mn., reflecting strong performance across both Food & Beverage and Personal & Household Care verticals.

# 9%

*YoY revenue growth*

**Industrial products cluster** refer page 38

The Industry Cluster continued to support national infrastructure, industrial, and marine needs leading to a revenue of Rs. 3,209 Mn.

# 45%

*YoY revenue growth*

**Commodity trading cluster** refer page 46

The Commodity Cluster regained momentum amid recovering global demand for Sri Lankan agri-exports such as spices, rubber, and coconut recording a revenue of Rs. 12,201 Mn.

## FMCG cluster



*Our proprietary brands Sunquick, SCAN, Delish, and KVC are complemented by exclusive distribution partnerships with leading global names including Kiwi, Baygon, Mr Muscle, Star, Santoor, Softouch, and Himalaya.*

**15%**

Personal care, and  
household care  
(PC&H)

**FMCG overview****85%**

Food & Beverage  
(F&B)

YoY revenue growth

**10%**

Revenue

**Rs. 8,872 Mn.**

Gross profit

**Rs. 1,688 Mn.**

## FMCG cluster



Our FMCG cluster stands as a key pillar of the Group's growth and resilience in the financial year 2024/25, backed by a well balanced portfolio, trusted consumer brands, and a wide reaching distribution network. Built on decades of trust, we are a reputed name in the fast moving consumer goods sector both in Sri Lanka and overseas. The cluster operates through two strategic verticals – Food & Beverage (F&B) and Personal Care & Household (PC&H) – encompassing the production, importation, and distribution of leading FMCG brands.

With a sharp focus on quality, innovation, and reach, our brands have become household names. What sets us apart is our robust, multi channel distribution network a well aligned system that ensures our products are available across diverse markets, swiftly and efficiently. Through this, we continue to meet the evolving needs of consumers while driving long-term business value.

Segment revenue reached Rs. 8.9 Bn., reflecting a year-on-year growth of 10%, while profit before tax stood at Rs. 266 Mn., supported by volume expansion and operational efficiencies.



## FMCG cluster

**Our trusted brands****Manufacturing and distribution****Revenue****Rs. 2,591 Mn.****YoY growth****16%**

SCAN Jumbo Peanuts continued to dominate Sri Lanka's Jumbo peanut category, maintaining its No. 1 position with an estimated 70% market share. As a proprietary brand under FMCG Cluster, SCAN has become synonymous with quality, freshness, and affordability in the local snacking space. The brand's sustained market leadership reflects years of strategic brand building, consistent product quality, and robust distribution strength.

Manufactured locally at the state-of-the-art snack processing and packing facility in Horana commissioned during the previous financial year the SCAN Jumbo Peanuts line has seen streamlined operations with backward integration capabilities. Raw materials are sourced under stringent quality controls, ensuring that only premium grade peanuts reach the end consumer. The facility's enhanced capacity supports national scale production and contributes to the Group's vision of self-reliant, scalable food manufacturing.

SCAN expanded its value added snack portfolio under the SCAN Snacks umbrella which includes Buddy Peanuts, Mixture Bite, Fried Dhal, and Cassava Chips, each developed to capture evolving consumer preferences in the impulse snacking and convenience foods segments. All products are manufactured at the SCAN facility in

Horana, with a strong emphasis on preserving freshness, taste, and nutritional integrity through carefully curated ingredient sourcing and quality assured processing.

The brand's strong presence across general and modern trade, supported by an agile distribution network, underpinned its volume stability throughout the reporting period. Despite a competitive snacking landscape and fluctuating input prices, SCAN's strategic investment in infrastructure, product innovation, and local sourcing positioned it well for sustained category leadership and continued portfolio growth.



SCAN Bottled Drinking Water continues to be positioned as one of Sri Lanka's most trusted and premium bottled water brands, renowned for its consistent purity, high safety standards, and market reputation. The product is manufactured at C.W. Mackie's purpose-built, state-of-the-art bottling facility located in the Horana an asset that underpins the brand's premium positioning and operational efficiency.

The facility adheres to the most rigorous national and international quality benchmarks. It holds multiple certifications awarded by the Sri Lanka Standards Institution, including:

- **ISO 9001:2015** – Quality Management System
- **ISO 22000:2018** – Food Safety Management System
- **ISO 14001:2015** – Environmental Management System
- **HACCP** – Hazard Analysis and Critical Control Points
- **GMP** – Good Manufacturing Practices
- **SLS 894 – 2003** Product Certification for Bottled Drinking Water

These certifications reflect SCAN's commitment to operational integrity, environmental responsibility, and consumer health.

## FMCG cluster

The bottling plant integrates real-time monitoring systems, strict hygiene protocols, and water treatment technologies that ensure each bottle meets exacting standards. SCAN Water is especially favoured across the hospitality and healthcare sectors, with its premium quality enabling deep penetration into high end hotels, restaurants, and hospitals.

Recognising emerging sustainability trends and growing demand from renowned hotel chains, SCAN has launched a new line of glass bottled drinking water. This initiative not only caters to the hospitality sector's preference for premium, eco conscious packaging but also reinforces the Group's commitment to its long-term ESG objectives.

With demand for safe and sustainable hydration solutions on the rise, SCAN's bottled water line remains resilient, supported by a focused distribution strategy and growing demand in institutional and HORECA segments. The brand also continues to promote sustainable consumption, aligning its production practices with broader ESG objectives outlined in the Group's long-term sustainability roadmap.



KVC remains one of Sri Lanka's most respected and long-standing household brands in the processed food segment. With a rich product heritage, KVC offers a diverse portfolio of tropical fruit and vegetable-based products including jams, sauces, cordials, nectars, fruit juices, pulps, canned fruits and vegetables, chutneys, pickles, pastes, creams, brines, sambols, and treacle.

The brand has earned and maintained consumer trust through a consistent commitment to taste, hygiene, and affordability. KVC's products are popular across households, restaurants, and institutional buyers, reinforcing its reputation as a staple name in tropical processed foods.



Delish, a proprietary brand within the FMCG Cluster of C. W. Mackie PLC, continued to make steady strides in both market penetration and operational performance during the year under review. Known for its high quality bakery and confectionery offerings including jelly crystals, corn flour, gelatine, icing sugar, cocoa powder, and Custard powder Delish maintained strong brand credibility among consumers seeking consistent, affordable, and safe products.

A major highlight is Delish's strategic entry into the modern trade segment. With a growing appetite for affordable indulgences, the brand expanded its shelf presence across key supermarket chains, offering value based SKUs tailored for broader consumer accessibility. This channel expansion contributed to incremental volume growth while reinforcing the brand's relevance in Sri Lanka's fast evolving retail landscape.

Delish's commitment to quality is embedded into every aspect of its operations. Products are manufactured at a purpose built, quality controlled facility in Horana, which strictly follows internationally accepted recipes and food safety protocols. This facility is certified under SLS 885:2022 by the Sri Lanka Standards Institution, a testament to its adherence to stringent national standards in food safety and product integrity.

As part of the Group's wider supply chain and operational strategy, Delish leveraged shared distribution infrastructure and cost control measures to maintain competitiveness. Delish remained resilient driven by trusted quality, operational discipline, and its ability to meet the needs of Sri Lankan households seeking reliable, everyday baking essentials.

## FMCG cluster

**Distribution  
Revenue****Rs. 6,281 Mn.****YoY growth****8.5%**

Sunquick, a Danish origin multinational brand, has become a household name in Sri Lanka for over a decade, renowned for its high quality fruit squashes and cordials. Manufactured and distributed by C. W. Mackie PLC, Sunquick continues to hold a dominant leadership position in the local market, commanding over 70% market share in the squash and cordial category.

Sunquick's strength lies in its consistent product quality, trusted brand reputation, and extensive island-wide distribution network, which collectively ensure its sustained leadership and consumer loyalty.

Further expanding its footprint in the beverage segment, Sunquick BiBi a ready to drink (RTD) tetra pack range has quickly emerged as the market leader in the fruit-based RTD category. Available in four popular flavours, BiBi caters to the growing demand for convenient, hygienic, and flavourful on-the-go beverages, especially among school children and busy consumers.

With strong brand equity and a proven go to market capability, Sunquick remains a cornerstone brand within C. W. Mackie's FMCG portfolio.



Santoor is a trusted Indian personal care brand renowned for its sandalwood and almond based bar soaps and sandalwood and lotus hand wash liquids. Formulated with natural ingredients and Ayurvedic heritage, Santoor products are celebrated for promoting soft, glowing skin while delivering a refreshing bathing experience.

C.W. Mackie PLC serves as the exclusive distributor for Santoor in Sri Lanka, ensuring islandwide availability through its established FMCG distribution network. The product range is sourced from Wipro Consumer Care Lanka (Pvt) Limited, which represents Wipro Consumer Care Limited, India.

With increasing demand for nature inspired and effective skincare, Santoor continues to strengthen its presence in the Sri Lankan personal care market.

## FMCG cluster



Himalaya is a globally respected wellness brand offering a wide portfolio of herbal personal care products. The range includes face washes, facial scrubs, face packs, masks, deep cleansers, moisturising creams, hair oils, eye creams, and lip balms each formulated with natural ingredients and backed by extensive dermatological research.

C. W. Mackie PLC serves as the exclusive distributor in Sri Lanka for Himalaya products, manufactured and supplied by the Himalaya Drug Company Pte Limited.

Catering to the rising consumer demand for safe, effective, and herbal beauty solutions, Himalaya continues to enhance the Group's personal care vertical with its trusted formulations and strong brand equity across skincare and wellness categories.



"Kotagala Kahata" stands among Sri Lanka's leading tea brands, offering an authentic Ceylon tea experience known for its distinctive flavour, rich colour, and captivating aroma. Since its launch in 2012, the brand has steadily grown into a household favourite, building a strong national presence and earning the trust of loyal consumers across the country.

The brand continues to uphold the heritage of pure Ceylon tea, sourcing quality leaf and maintaining strict standards in blending and packing. Kotagala Kahata's BOPF range is a notable extension that caters to discerning consumers who prefer a more refined and full bodied cup.

During the year under review, Kotagala Kahata continued to consolidate its presence in general and modern trade segments, supported by targeted availability, consistent quality, and value pricing. The brand's appeal lies in its authentic local positioning, offering a dependable brew that reflects Sri Lankan tea drinking traditions.

## FMCG cluster



KIWI is the world's leading shoe care brand, commanding over 50% market share across more than 180 countries. Owned by S. C. Johnson & Son, Inc., a globally renowned American multinational known for high quality household and consumer chemical products, KIWI is synonymous with durability, shine, and global trust.

C. W. Mackie PLC serves as the exclusive distributor for the KIWI range in Sri Lanka, having established a dedicated Personal & Household Care (P&HC) business vertical in 2019. This strategic move was driven by rising local demand for international grade shoe and surface care solutions, coupled with limited local manufacturing capacity in the category.

Through this partnership with S. C. Johnson, C. W. Mackie PLC has strengthened its portfolio with a globally recognised brand while also positioning itself to meet growing domestic demand in both general and modern trade channels. KIWI's product range, including polishes, sprays, and protectors, continues to enjoy widespread market presence across the country.



Star, owned by International Flavours and Fragrances Inc. (IFF), USA a global leader in sensory experiences and ingredient innovation has been a staple in Sri Lanka's beverage and dairy sectors for over two decades.

C. W. Mackie PLC has proudly served as the exclusive local distributor for Star for the past 26 years, supplying a reliable portfolio of six food grade essences and four colour variants widely used in both savoury and sweet applications.

Star's popularity stems from its consistent quality, food safety standards, and compatibility with diverse recipes, making it the preferred choice for local manufacturers and small scale producers across the country.

As Sri Lanka's processed food and beverage market continues to evolve, Star's long-standing market presence and brand equity supported by C. W. Mackie's extensive distribution network position it for continued relevance and growth in industrial, commercial, and artisanal food segments.

## FMCG cluster



Softouch is a premium fabric conditioner brand known for its ability to soften clothes, reduce wrinkles, and leave garments with a lasting, pleasant fragrance. The product is designed to protect fabric fibres while enhancing overall wash quality.

C.W. Mackie PLC is the exclusive local distributor of Softouch in Sri Lanka, under a strategic partnership with Wipro Consumer Care Lanka (Pvt) Limited, representing Wipro Consumer Care Limited, India.

Softouch's entry into the Sri Lankan market complements C. W. Mackie's growing personal care portfolio, offering consumers a high quality, value driven solution in daily laundry care.



Baygon is a globally recognised household pesticide brand, widely used for effective extermination and control of mosquitoes, cockroaches, bedbugs, and other common pests. Manufactured and owned by S. C. Johnson & Son, Inc., USA, Baygon is known for its fast action, long lasting protection, and safety when used as directed.

The Baygon aerosol product line is distributed nationwide, catering to a broad consumer base that values reliable, easy to use pest control solutions. With growing demand in both urban and rural sectors, Baygon continues to hold a firm market position as a preferred brand for household pest management.



Mr Muscle, a globally recognised brand under S.C. Johnson & Son Inc., USA, is a leading range of hard surface cleaners and degreasers designed for multisurface use, including kitchens, bathrooms, floors, and glass.

C.W. Mackie PLC serves as the authorised distributor for the Mr Muscle range in Sri Lanka, ensuring islandwide availability of these high performance cleaning solutions trusted by households and commercial establishments alike.

Known for their effective grease-cutting and disinfecting properties, Mr Muscle products align with growing domestic demand for convenient, ready to use cleaning agents that uphold international hygiene standards.

With the increasing focus on cleanliness and sanitation, especially in the post pandemic era, Mr Muscle continues to play a critical role in supporting healthier living environments across the country.

## FMCG cluster

**Driving performance**

With a diversified portfolio of brands and a strong islandwide distribution network, the division successfully caters to everyday consumer needs across food, beverages, personal care, and home care. Flagship brands including Sunquick, KVC, SCAN, Delish, and Kotagala Kahata continued to show resilience amid inflationary pressures. Sunquick retained its position as the market leader in the squash segment, delivering consistent volumes and margins. SCAN and KVC maintained strong traction in their respective categories contributing significantly to the top line. Meanwhile, Kotagala Kahata and Delish added to the incremental volume growth.



*Unveiling of the 10th product of the Sunquick brand portfolio to Sri Lankan market which is the lemon concentrate*

Global personal care and household brands such as Himalaya, Santoor, Soft Touch, Mr Muscle, Baygon, and Kiwi added scale and diversity to the portfolio. These brands recorded steady market share across modern and general trade channels, reinforcing the Group's presence in the personal and home care segments.

Among the beverage portfolio, Sunquick remains the category leader in the squash segment. Its strong brand pull, consistent product quality, and deep rooted consumer trust have helped it maintain dominance despite rising competition. Similarly, KVC and SCAN have performed consistently in their respective categories. KVC sauces and canned products continue to benefit from

established market penetration, while SCAN maintains a strong position through volume growth and supply chain efficiency. The Delish also expanded with new flavour innovations, catering to evolving consumer tastes. In the tea segment, Kotagala Kahata underwent a brand refresh to align better with modern branding trends and attract younger demographics.

**Distribution expansion**

One of the most significant strategic advancements this year has been the expansion of the Group's route-to-market capabilities. To better align with varying consumer demand and outlet visitation cycles, the FMCG team has introduced a second distribution channel dedicated to food and beverage products. This initiative stems from an ongoing route optimisation project designed to ensure more frequent visits to high-demand outlets. For example, high-turnover products like Sunquick often face stockouts when shops are visited only once every two or three weeks. Through the second distribution channel, the Company is now able to cater to such demand more reliably. The new distribution line allows for segmented routing based on product velocity and geography and is already showing improvements in availability and stock coverage.

**Pipeline development**

The FMCG cluster is actively investing in product innovation to stay relevant in a competitive market and cater to shifting consumer preferences. Among the most exciting pipeline developments is the planned launch of a cola beverage under the internationally recognised Sunquick brand. Sun Cola is positioned to offer the familiar taste of cola with a unique twist. This innovation aims to fill a whitespace in the market and create a new consumption occasion for cola lovers seeking a milder, everyday beverage.

Alongside, the Delish line is also being diversified with new flavour options to cater to regional palates and seasonality, thereby deepening brand relevance in everyday consumption.

**Infrastructure modernisation**

C. W. Mackie PLC has invested significantly in modernising its FMCG warehousing and logistics infrastructure. A major highlight this year has been the expansion of its warehousing footprint. The Company now operates a total of 80,000 square feet of warehousing space, divided across three dedicated units within the same premises. Each warehouse is customised for specific product categories: one for Food and Beverage, one for Personal Care, and another for Industrial Products. This category based segregation enhances operational efficiency, product traceability, and compliance management.



## FMCG cluster

In addition to physical expansion, the Warehouse Management System (WMS) will be introduced this year. The system will automate picking processes, improve inventory visibility, and reduce turnaround times. This digital transformation in supply chain management is expected to play a critical role in supporting the growing volume and complexity of the FMCG portfolio.

### Quality assurance

Manufacturing excellence and product integrity form the foundation of the FMCG cluster's growth strategy at C.W. Mackie PLC. The Group's key manufacturing assets including the SCAN, Delish, and KVC facilities are purpose built and strategically located in the Horana and Hanwell areas, providing scalable, state of the art production infrastructure.



*Ensuring excellence, our team conducts rigorous quality testing to uphold the highest standards across every stage of production.*

All facilities adhere to strict manufacturing protocols in line with international and national benchmarks, including Good Manufacturing Practices (GMP), Hazard Analysis and Critical Control Points (HACCP), and ISO certifications covering food safety, quality, and environmental management. These standards ensure consistency, traceability, and hygiene throughout the production process.

The Delish Manufacturing and Processing Facility, which has gained rapid market share in the RTS segment, is certified under ISO 22000:2018, ISO 9001:2015, and also maintains full GMP and HACCP compliance. Its product certifications include SLS 885:2022 for jelly crystals.

The SCAN Snack Manufacturing Facility, known for its flagship Jumbo Peanuts and newly launched Cassava Chips, holds ISO 22000:2018, ISO 9001:2015, and is certified for both GMP and HACCP.

In addition to food safety and quality, environmental sustainability is deeply embedded across manufacturing operations. The PET bottle recycling programme launched in collaboration with partner recyclers, converting post consumer plastic waste into yarn for local and international markets. To reduce single use plastics, the Group has also expanded its refillable glass bottle initiative, which has been well received in the HORECA (Hotel, Restaurant and Cafeteria) sector particularly in eco sensitive tourism regions.

Furthermore, the Group is implementing energy efficient practices, waste minimisation, and resource conservation across its production footprint. These initiatives are aligned with the Group's ESG roadmap and readiness for mandatory sustainability reporting from 2026 onward.

### Outlook

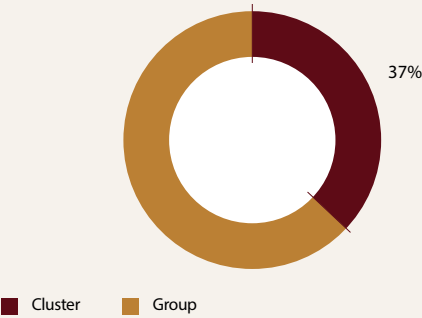
The FMCG division operates under a rolling three year strategic plan, which helps maintain focus on long-term objectives while adapting to market dynamics. One year of this cycle has been successfully completed, and planning is underway for the next two years. The strategy is built on key pillars including product innovation, channel expansion, supply chain digitisation, and brand strengthening. These focus areas are backed by cross functional collaboration and agile execution, enabling the division to respond quickly to consumer trends and operational challenges.

With expanding infrastructure, a sharper go to market model, and a consumer centric innovation pipeline, the FMCG cluster is well positioned to deliver long term value to the Group and its stakeholders.

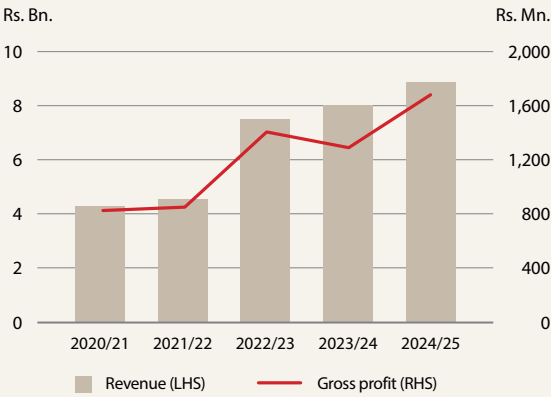
FMCG cluster

FMCG cluster performance summary

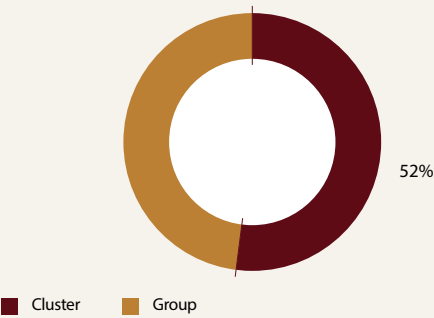
Revenue 2024/25



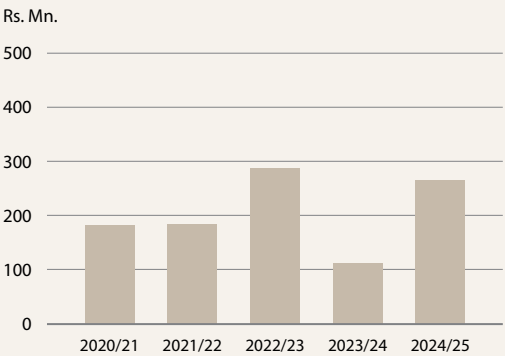
Revenue and gross profit



Gross profit 2024/25



Profit before tax



## Industrial products cluster



*The Industrial Products Cluster provides integrated solutions in R&AC, gases, copper, and machinery, supporting marine, construction, manufacturing, and cold chain sector*

**32%**

Hempel Paints

**23%**Lightweight Machinery  
and Welding Electrodes

### Industrial Products Cluster Overview

**45%**Refrigeration and  
Air Conditioning

YoY revenue growth

**9%**

Revenue

**Rs. 3,210 Mn.**

Gross profit

**Rs. 1,017 Mn.**

## Industrial products cluster

### **Market leadership**

During the year under review, the Industrial Cluster of C. W. Mackie PLC made significant strides in expanding its strategic presence across key verticals. A major milestone was the acquisition of distribution rights for SKF bearings, the world's leading bearing brand. This achievement, secured after two years of strategic engagement, marks a transformative development within the Group's industrial products portfolio. SKF bearings are critical components across diverse sectors from industrial machinery and manufacturing to domestic appliances making this partnership a high potential value addition to the Group's long term growth plans.

In parallel, the Refrigeration and Air Conditioning (R&AC) segment strengthened its leadership position with the continued rollout of Green Point branded natural refrigerants.

This initiative aligns with Sri Lanka's commitment to the global phasedown of hydrofluorocarbons (HFCs) by 2030 under international climate accords. Despite cost related barriers and market resistance to change, the Group took a pioneering role by introducing eco-compliant refrigerants, addressing both regulatory and environmental imperatives.

These forward looking efforts not only reaffirm C.W. Mackie's readiness to lead in sustainable innovation but also establish a competitive edge in environmentally sensitive sectors. As the industry adapts to stricter environmental standards, the Group is well positioned to shape and support this transition through early adoption and advocacy of green technologies.



## Industrial products cluster

**Segment performance****Refrigeration & Air Conditioning (R&AC)****Industrial Refrigeration and Air Conditioning (R&AC) – FY2024/25 performance****Demand drivers**

The R&AC division maintained its leadership in the refrigerants market, notably through its preoperatory refrigeration brand Green Point. During FY 2024/25 the segment saw surging demand from multiple end markets. Sri Lanka's fisheries urgently needed better cold chain facilities; similarly, agriculture linked cold storage for fruits, dairy and meat saw expansion as more farms and processing units came online. Modern retail refrigeration for supermarkets and mini markets also grew rapidly to handle more perishable goods. Industrial complexes and private estates likewise upgraded their cooling infrastructure, seeking turnkey chillers and copper tube condensing units. In sum, temperature controlled projects from blast freezers at fishing harbours to refrigerated cabinets in supermarkets drove the division's growth.

**Product and technological innovation**

To meet these market needs, the Company broadened its product range. The segment introduced natural (carbon-free) refrigerants into its offerings laying the groundwork for a full transition to low GWP gases. In parallel, the division expanded complementary hardware lines: it strengthened its copper tubing and fittings business and added insulation and hardware components, effectively making C. W. Mackie PLC a "one stop shop" for industrial cooling installations. New product categories such as IoT-enabled chiller controls and preventive maintenance services were piloted, reflecting a shift toward smarter, connected cooling solutions.

**Sustainability and regulatory alignment**

C. W. Mackie PLC proactively aligned its R&AC strategy with global and national sustainability goals. Sri Lanka ratified the Kigali Amendment in 2018 and has set a 2030 deadline to phase out high GWP HFCs. In response, the Company accelerated its transition to quota compliant refrigerants (e.g. approved HFO blends and natural alternatives) and ensured its supply chain met the new licensing regimes. The division's training programs emphasised environmentally sustainable practices, and its future roadmap pledges to adopt only eco-conscious products and implement full IoT-based monitoring for efficiency. These steps reinforce C. W. Mackie's positioning as a market leader in sustainable cooling. It is essentially shifting its entire portfolio toward "green" refrigerants and digital controls, in line with the Company's public commitment to energy efficient HVAC solutions.

**Financial performance and indicators**

Financially, the R&AC segment contributed to a robust overall result. In FY 2024/25 the division grew its revenue by 63% year-on-year. Profitability also improved by 25%. The R&AC division's contribution was notable given tight market conditions. Overall, FY 2024/25 is shaping up as a record year for the segment, building on the prior year's gains.

**Challenges and customer response**

The shift to eco-friendly refrigerants has not been without challenges. New low GWP refrigerants and systems carry a premium cost and some customers are cautious about higher prices. In practice, buyers have been balancing regulatory compliance with budget constraints. While many industrial clients recognise the long term efficiency gains of natural refrigerants, initial pricing hurdles have slowed adoption. Despite these headwinds, customer feedback has remained positive on the overall value of sustainable solutions, helping the division retain its market share even as refrigerant costs rise.

## Industrial products cluster



### **Hempel paints**

The Hempel marine paints division sustained strong growth in FY 2024/25. These gains were driven by higher volumes and improved pricing on major marine and infrastructure projects.

### **Key projects highlights**

In FY 2024/25 the Hempel business completed numerous high profile coating projects. It supplied Hempel anti corrosive systems for both new build and refit programs at Colombo Dockyard and other yards. Notably, Hempel finishes were used on the Misje class Norwegian freighters built in Sri Lanka, underscoring international confidence in the quality. The division provides surface preparation and coating services for many dry-docked vessels in Colombo, including bulk carriers and naval ships. We also began supplying all marine grade

coatings for the new Adani West Container Terminal (CWIT) project in Colombo. Together, these projects illustrate our role as the preferred supplier of high performance paints for large ship and port infrastructure jobs.

- Dry-docking/New-builds at Colombo Dockyard: Hempel antifoulings, primers and finish coats applied on multiple vessels.
- Adani West Container Terminal (CWIT): Commenced full marine coating supply contract in mid 2024.
- Infrastructure and marine structures: Supplied protective systems for port cranes, fenders and steel bridges in major projects.

## Industrial products cluster

### Strategic partnerships

C. W. Mackie PLC's partnerships are key to future growth. The collaboration with Adani Ports (Colombo West International Terminal) secures recurring coating work at Sri Lanka's newest automated container facility. We are also working closely with contractors on the Port City Elevated Highway, positioning Hempel paints as the solution for protective and anticorrosive coatings there. These strategic alliances along with long standing relationships in shipbuilding and power generation ensure sustained demand for our products.

### Product expansion

FY 2024/25 we expanded our high performance coatings range to meet evolving market needs. In the protective segment, we added specialty epoxy and polysiloxane systems for power plants, bridges and offshore structures. For the container segment, Hempel now supplies roughly 70% of the paint demand in Sri Lanka's container yards, thanks to durable primers and topcoats designed for intermodal service. Our portfolio also includes low VOC and waterborne variants, aligning with strict environmental specs. Overall, we continue to leverage Hempel's R&D pipeline partnering on new formulations developed globally to stay ahead in marine, protective and container coatings.

### Technical capacity and expertise

The division's technical team continues to strengthen its credentials. We have NACE certified experts on staff to ensure the proper specification and application of complex coating systems. This expertise allows us to provide turnkey project support from surface prep through final inspection and reinforces trust with shipyards and EPC firms. Ongoing training and knowledge sharing programs ensure our staff remain at the cutting edge of coating technology.

### Exports and international activities

Although the majority of sales are domestic, a significant portion qualifies as deemed exports. Coatings applied to local built vessels and containers help these commodities travel globally. We also leverage the C.W. Mackie PLC network to explore regional markets; technical backup and product supply channels are being put in place for possible exports of select coatings to nearby countries. Export revenues from Hempel paints are currently modest, but form a strategic area for growth.

### Market position

Hempel is firmly the market leader in Sri Lanka's marine and infrastructure coatings sector. In container coatings alone we hold 70% share. Hempel is the first choice for discerning shipowners and engineers. In key segments from offshore platforms to high speed ferries Hempel's reputation for durability and technical support has translated into consistent market share gains over competitors.

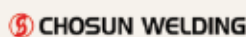
### Sustainability and compliance

Environmental stewardship is integral to our operations. The Hempel division achieved zero waste of imported paint in 2024 by optimising inventory and recycling excess. All products comply with local and international environmental regulations. Hempel's global "Futureproof" strategy drives our R&D toward greener formulations (waterborne, low emission coatings). For instance, the fuel saving Hempaguard X7 not only cuts emissions but also helps customers meet IMO decarbonisation targets. We continue to audit processes (storage, handling and waste disposal) to minimise our carbon footprint and ensure regulatory compliance at all project sites.

### Future outlook

Looking ahead, the Hempel paints business is poised for continued growth. We expect Sri Lanka's shipbuilding and infrastructure sectors to recover strongly, driven by government projects and private investment. The division will introduce more of Hempel's cutting edge coatings locally and seek new market segments (e.g. renewable energy and infrastructure). Our strategic plan includes expanding technical services, exploring adjacent markets in the region, and aligning with C. W. Mackie PLC's sustainability goals. By leveraging advanced R&D and our partnerships, we aim to increase turnover and profitability in line with the Group's long term vision.

## Industrial products cluster



### **The Lightweight Machinery and Welding Electrodes (LM & WE)**

The industrial products segment saw a major strategic expansion with the introduction of SKF bearings. This is expected to unlock access to a Rs. 18 Bn. domestic market potential. Other industrial segments, including copper and industrial refrigeration components, continued to perform well. The aerofoam insulation line and fibreglass materials used in shipbuilding and industrial construction also delivered significant growth.

The welding segment focused on segment specific product differentiation, introducing five welding rod categories tailored to sugar mills, cement plants, and maintenance applications. The machinery segment faced slower growth due to a subdued

construction industry but remained profitable. A standout innovation was the launch of a non explosive chemical expansion agent used for rock demolition, offering a safer alternative to traditional blasting.

### **Overcoming challenges**

Key challenges included restricted national quotas on HFC refrigerants, impacting availability and prices. The Group responded by accelerating the transition to natural refrigerants and lobbying for updated national quota allocations. Other challenges included fluctuating construction sector demand, which constrained growth in lightweight machinery. However, strategic focus on high value product innovation ensured profitability across all verticals.

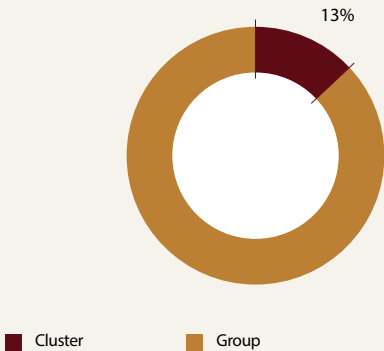
## Industrial products cluster

### Future outlook

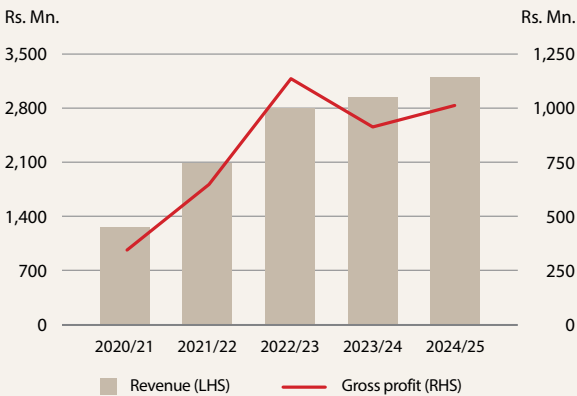
Looking ahead, the cluster aims to expand its reach into stainless steel and steel segments, beginning with seamless pipe solutions. The introduction of new SKF product lines, advanced Hempel coating technologies, and specialised welding solutions will support deeper penetration into marine, industrial, and infrastructure projects. C. W. Mackie PLC remains committed to leveraging its technical leadership, brand partnerships, and sustainability driven innovations to scale the Industry Cluster into a regional industrial solutions provider over the medium term.

### Industrial Products Cluster performance summary

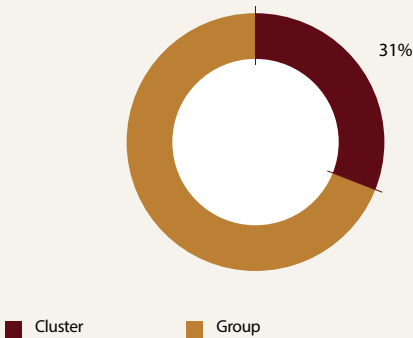
#### Revenue 2024/25



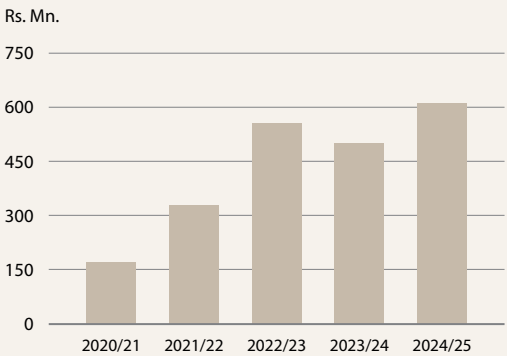
#### Revenue and gross profit



#### Gross profit 2024/25



#### Profit before tax



## Commodity trading cluster



*Commodity Trading Cluster exports rubber, spices, and coconut, rubber based manufactured products leveraging decades of agri-export experience and strong local sourcing networks in Sri Lanka.*

### Commodity Trading Cluster Overview



**46%**

Sugar trading



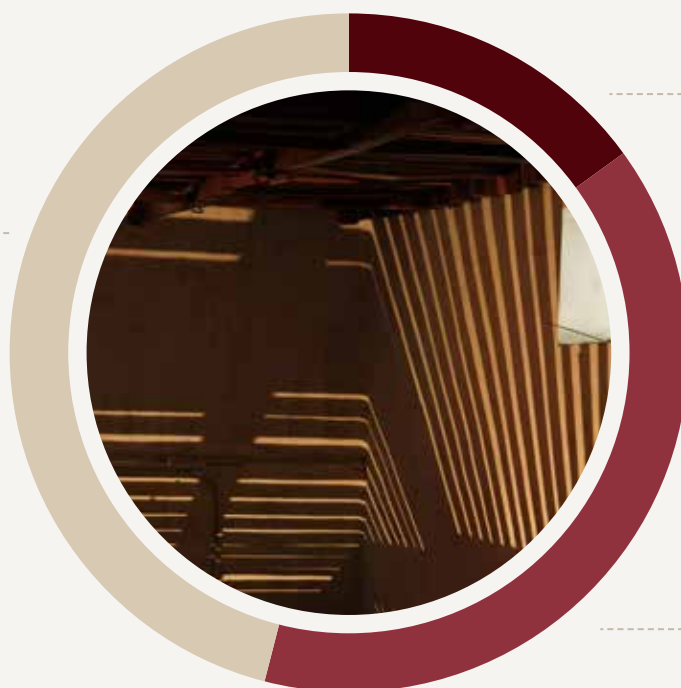
**15%**

Rubber – based  
product manufacturing



**39%**

Export trading



YoY revenue growth

**45%**

Revenue

**Rs. 12,201 Mn.**

Gross profit

**Rs. 547 Mn.**

## Commodity trading cluster

The Commodity Trading Cluster rebounded strongly in FY 2024/25 after very subdued margins in the prior year. Export turnover nearly doubled, reflecting improved global demand for Sri Lankan agricultural commodities. However, macroeconomic headwinds persisted. Sri Lanka's rupee strengthened by over 7% in 2024, eroding export profitability. At the same time, ocean freight rates spiked amid Red Sea disruptions, raising logistics costs for shippers. Despite these challenges, the cluster remained pivotal to C. W. Mackie PLC's business leveraging its heritage in agri-based exports (natural rubber, spices, coconut) to capture trade opportunities.

The cluster's performance also reflects broader trends. As global commodity prices began moderating in late 2024 and Sri Lanka's economy stabilised, the Company pushed hard on cost control and new market development. By year end the cluster accounted for roughly one sixth of Group revenue, underscoring its role as a core export engine within C. W. Mackie PLC's diversified portfolio.

### Segmental performance

#### Desiccated Coconut (DC)

The DC business saw substantial volume growth in FY 2024/25, aided by the appointment of a dedicated procurement consultant and an expanded base of buyers. The Company introduced coconut oil cake as a by-product sale to the Indian market, enhancing value recovery. Our aggressive marketing and improved operations lifted our share of Sri Lankan DC exports from roughly 4% to about 10%. This coincided with a strong global coconut market. Shifting procurement to direct relationships with millers also helped increase margins on coconut based exports.

#### Natural rubber

The rubber trading division delivered a steady performance despite weather related headwinds. Monsoon rains in Sri Lanka and the wider region dampened tapping yields and disrupted logistics. This trend mirrors broader conditions; for instance, heavy rains in Indonesia and Thailand during late 2024 made harvesting difficult. To offset lower local auction availability, C. W. Mackie PLC has intensified off-auction sourcing

by securing supplies directly from certified plantations. As a result, our rubber export volumes remained largely stable, with firm international rubber prices sustaining revenue. The combination of direct sourcing and close buyer engagement helped contain the impact of supply shortfalls on our rubber business.

#### Spices and seeds

The spices segment experienced strong growth, driven by higher shipments of black pepper and Ceylon cinnamon. Improved crop yields and supply-chain measures boosted pepper volumes, while Sri Lanka's position as the world's leading exporter of true cinnamon was leveraged to expand cinnamon exports at higher price levels. Robust global spice prices helped drive top line growth. However, heavy rains during the monsoon season introduced quality challenges. Stringent quality controls were reinforced to address these climatic risks, noting that weather driven variability is a known threat to spice quality.

#### Sugar trading

The sugar trading division operated in a volatile global market shaped by export restrictions and shifting supply patterns. India's temporary halt on sugar exports historically Sri Lanka's largest supplier created a significant supply vacuum, prompting us to diversify sourcing to countries such as Brazil, Thailand, and the UAE. While this ensured continuity of supply, the higher procurement costs and forex volatility impacted our cost base. With the easing of India's export ban in January 2025, Sri Lanka received a substantial share around 41% of India's outbound sugar volumes by March, helping stabilise the market.

Although the easing of restrictions brought price relief, a large portion of stock had been procured at elevated prices. As local prices adjusted downward, we made a conscious decision to clear legacy inventory to maintain healthy stock rotation and client confidence. While this impacted short-term profitability, it preserved long-term market presence and trust.

#### Rubber based products manufacturing

The Group engages in the manufacturing, sale, and export of technically specified rubber (TSR), sole crepe, and moulded rubber products through its manufacturing subsidiaries;

- Ceymac Rubber Company Limited
- Ceytra (Private) Limited

## Commodity trading cluster

Ceytra specialises in the production of value added synthetic and natural moulded rubber components for the export market, catering to a diverse range of industries including agriculture, automotive, and shipping. For the domestic market, Ceytra also manufactures custom specified rubber carpets and mats. Ceymac, on the other hand, focuses on the manufacture of TSR, plantation sole crepe, and specialty rubber products, serving local industries such as tyre manufacturing, pharmaceuticals, automotive, adhesives, footwear, mining, and woodworking.

During the review period, both companies recorded negative bottom line performances, primarily driven by reduced order volumes from key customers in the United States, Japan, and Europe. The situation was further compounded by a significant increase in production costs, particularly due to the continuous rise in prices of essential raw materials, chemicals, and rubber. These cost pressures diminished the global competitiveness of the Group's rubber based products, resulting in the loss of several longstanding export orders. Additionally, adverse foreign exchange fluctuations against the Sri Lankan Rupee (LKR) further impacted the net realisable value of turnover over recent months, posing further challenges to overall profitability.

### Market expansion

During the year, the Commodity Cluster successfully entered new geographic markets, including Australia and Poland. Additionally, it introduced cinnamon leaf exports to Pakistan albeit at a lower value tier as a test expansion. These developments signify growing diversification in both product and market portfolios.

The Cluster also made its debut at the Gulf Food Exhibition in Dubai, one of the largest trade fairs globally. The event generated more than 120 new leads, with conversions already completed an unusually fast turnaround in export cycles.

A notable milestone was the expansion of our caster sugar manufacturing capabilities. The upgraded facility will serve high end industrial applications, including pharmaceuticals and food processing. This move will mark our entry into the value-added sugar space, where customisation and certified quality standards such as GMO-free certifications differentiate us from generic traders. On-demand granulated sugar continues to be available for retail and institutional clients.

Ceytra is actively exploring export markets for moulded rubber products, including the manufacture and export of rubber tarp straps for packaging applications to Canada, the United States, and Europe. As part of this initiative, the Company expanded its moulded rubber product portfolio this year by developing and exporting rubber tarp straps for the U.S. market.

### Challenges

Several external challenges dampened profitability during the year. The appreciation of the Sri Lankan rupee eroded export revenues with the rupee 8% stronger in FY 2024/25, forex translation losses offset a portion of our value growth. Climatic volatility again affected operations: excessive moisture during harvest led to mould and discoloration in some spice batches, necessitating rework and claims. Most significantly, freight and logistics costs spiked globally. Container spot rates surged in 2024. These higher freight rates, combined with longer transit times, squeezed gross margins across the cluster. We responded with tight cost controls and hedged where possible, but the confluence of currency and freight headwinds constrained net profit growth.

### Supply chain reforms

For DC exports, the Company transitioned to a direct miller procurement model, purchasing only from mills registered under the Coconut Development Authority. This approach not only enhanced traceability and quality assurance but also ensured compliance with regulatory standards. By reducing our dependence on third party brokers and intermediaries who previously accounted for nearly 90% of our supply we gained better control over product specifications, packaging timelines, and export readiness. While direct procurement currently makes up a modest share of total DC volume, The Company aims to gradually increase this ratio in line with its long term procurement strategy.

An off-auction sourcing was initiated for the rubber products in response to the dwindling volumes and volatility at the traditional rubber auction platform. Auction supplies increasingly fell short of our volume requirements, risking order fulfilment and disrupting customer commitments. Our move to secure rubber directly from certified plantations and millers outside the auction framework helped ensure supply consistency, price stability, and improved material quality. The shift also enabled tighter negotiation of delivery terms and allowed us to adapt more quickly to fluctuating international demand.

This year, in sugar trading, we enhanced our procurement strategy to reduce dependence on a single origin and mitigate future supply disruptions. Our diversified supplier network is now better equipped to manage volume fluctuations and delivery timelines. We also introduced improvements in inventory management practices, enabling smarter purchasing cycles and tighter stock control. These adjustments have strengthened our responsiveness and supply reliability.

## Commodity trading cluster

### Digital strategy

Recognising the thin margins and volatility inherent to global commodity trading, C. W. Mackie PLC is laying the groundwork for a technology driven procurement intelligence platform as part of its long term digital strategy for the Commodity Cluster.

This initiative will leverage real-time data, AI forecasting tools, and digital dashboards to monitor and predict variables such as crop cycles, global price movements, freight trends, and seasonal demand shifts. The objective is to equip our trading teams with better foresight and decision making tools, enabling proactive purchasing, smarter inventory planning, and improved price locking strategies.

Integrating satellite weather feeds and crop yield projections will help anticipate fluctuations in spice and rubber harvests, while predictive analytics will offer early warnings on price volatility and currency exposure. With historical data from over a decade of commodity operations, the system will eventually be trained to generate sourcing alerts, trigger hedging opportunities, and recommend supplier switches all of which will reduce procurement risk and enhance responsiveness.

In a sector where timing and pricing are critical, our digital procurement roadmap is expected to become a cornerstone of long term profitability and market competitiveness.

### Outlook

Looking ahead, the Commodity Trading Cluster will prioritise bottom line improvement through sharper cost control, risk mitigation, and operational efficiency. We plan to strengthen our forex hedging mechanisms to manage rupee volatility and negotiate more favourable freight contracts to cushion against rising logistics costs. Procurement efficiency, supplier diversification, and vertical integration will play key roles in driving cost reductions and securing more stable supply chains.

In response to ongoing volatility in the global sugar market driven by climate uncertainty, regulatory shifts, and evolving consumption patterns we see opportunities to expand our industrial client base and grow value added product lines such as caster sugar and organic spice blends. Additionally, digital integration across procurement, forecasting, and performance tracking will enhance responsiveness and data driven decision making.

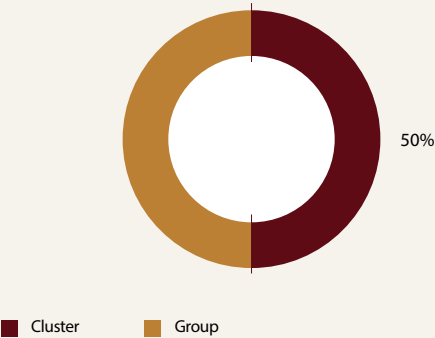
The implementation of lean management and productivity enhancement techniques, such as minimising raw material wastage, reducing machine downtime, and improving labor efficiency through the sharing of technical know how is expected to contribute to improved gross margins and overall performance. Continued investment in research and development will further support the enhancement of manufacturing processes and the performance of rubber based products.

With a continued focus on quality management and customer satisfaction, our strategic initiatives are designed to reinforce cluster resilience, unlock higher margins, and position C. W. Mackie PLC for sustainable growth in FY 2025/26 and beyond.

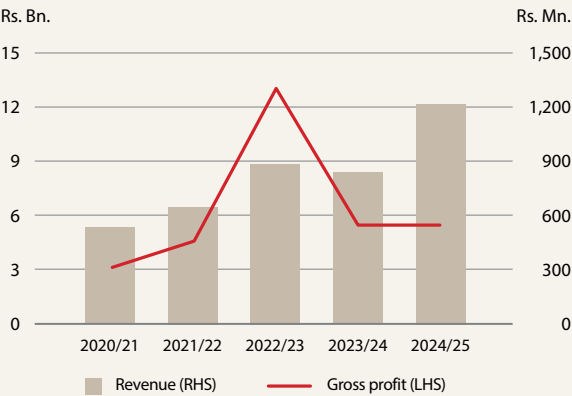
Commodity trading cluster

Commodity Trading Cluster Performance Summary

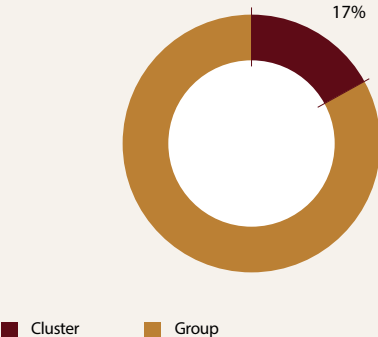
Revenue 2024/25



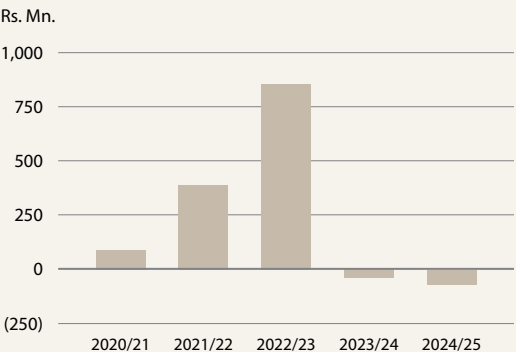
Revenue and gross profit



Gross profit 2024/25



Profit before tax



# *Management discussion and analysis*





# Financial Capital

## Basis of preparation

The Financial Statements presented herein represent Consolidated Financial Statements of C. W. Mackie PLC for the year ended 31 March 2025. The consolidated statements include the Company, C. W. Mackie PLC along with its subsidiaries, Ceymac Rubber Company Limited, Kelani Valley Canneries Limited, Ceytra (Private) Limited, Sunquick Lanka Properties (Private) Limited and joint venture Company Sunquick Lanka (Private) Limited.

## Overview

The Group's performance in FY 2024/25 should be set out in the context of the operating landscape that prevailed during the year. Overall macroeconomic KPI has improved compared to FY 2023/24 but still passing a resilient economy journey. A positive improvement was reported in GDP growth, decreasing interest rates and inflation and stabilising exchange rate. However, relatively high price levels and low consumer disposal income led to slow growth in FMCG market and consumer sentiments. The construction and industry cluster where Group is represented had mixed sentiments and relatively lower growth in construction segments. Global economic recession, Russia-Ukraine war, Israel – Palestine conflict had impact on global trade and declining volume and market share of some foreign markets where Group is directly or indirectly present.

As a result of diversification of business and own manufacturing capabilities, Group had mixed impact on macro-economic variables. The Group consolidated internal capabilities and maximised external business opportunities which resulted in sustained healthy top line growth and reported 25% revenue growth. Main challenge was to sustained gross profit margin due to price pressure, appreciating exchange rate in case of exports and managing overhead cost.

## Revenue

Consolidated revenue increased by 25% to Rs. 24.3 Bn. during the year, while at the Company level, revenue increased by 24% to Rs. 22.4 Bn. The Group consolidated internal capabilities to drive top line and grab market opportunities. Revenue from commodity trading increased over the previous year by 48% mainly due to the expansion of export business and volume growth. Our own manufacturing capabilities, gaining customer confidence, new product development and new

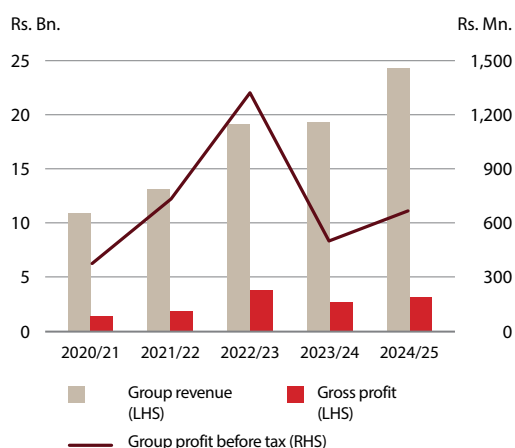
market resulted in an increase in rubber based products by 31%. Revenue gain was reported in some product categories in FMCG cluster and Industrial Products cluster reported revenue increase over previous year by 10% and 9% respectively.

## Gross profit

In absolute terms gross profit increased over the previous year by Rs. 496 Mn., recording 18% increase due to revenue growth.

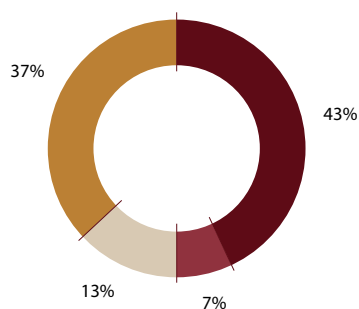
Given the market's lackluster conditions was a true test of managing sales volume vs gross profit margin of the operations. Inflationary pressure and LKR depreciation in recent years led to price increases in FMCG and Industrial Products Cluster and it was not fully settled down in the market. Some price reductions were required to dispose of selective inventories in industrial product cluster and sugar due to global price reduction and LKR appreciation led to reduced new importation cost. In case of Export market, LKR appreciation adversely impacts gross profit margin. Overall, sales increase in commodity cluster from 36% to 43% led to gross profit margin decline since commodity trading is traditionally a low margin high volume business. As a result of these facts, Group's gross profit margin declined from 14.2% to 13.4% during FY 2024/25.

## Group revenue, gross profit and profit before tax

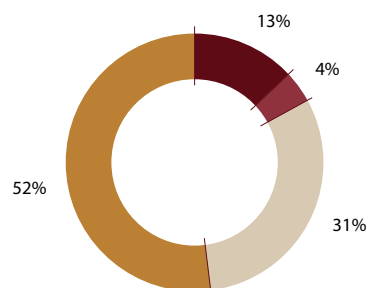


## Financial Capital

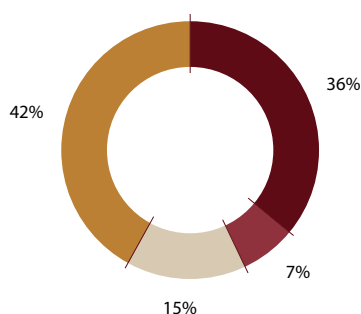
**Segmental revenue 2024/25**



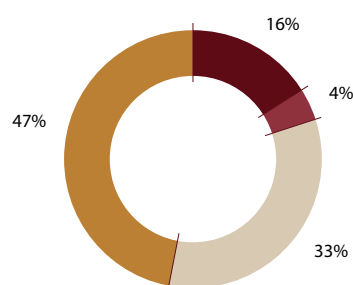
**Segmental gross profit 2024/25**



**Segmental revenue 2023/24**



**Segmental gross profit 2023/24**



■ Commodity trading
 ■ Rubber based product manufacturing
 ■ Industrial products
 ■ FMCG

### Distribution and administration expenses

Managing distribution and administration cost is challenging task mainly increasing overhead based result of price level increases in recent years. This is further accelerated, result of expansion of business to next level of operation on improving infrastructure like improving IT, logistics, investment in fixed assets and investment in human capital. Investing for future potential has never been sacrificed for the betterment of short term gain. Due to personal income tax changes, it was challenging to retain experience and talented human capital and Group was compelled to do upward adjustments in line with market based compensation package to secure talented human capital.

Despite those facts, the Group successfully managed to keep the overall expenses percentage at 10% in line with the previous year. Distribution expenses as a percentage of revenue were 5.1% vs 4.8%, increased to Rs. 1,257 Mn. from Rs. 936 Mn., mainly due to sales growth over the previous year, aggressive ATL & BTL promotions, which were required to build market momentum, expansion of the distribution network and some upward adjustment made to retain experienced sales force. Overall distribution cost increased kept below the revenue growth percentage as basic KPI.

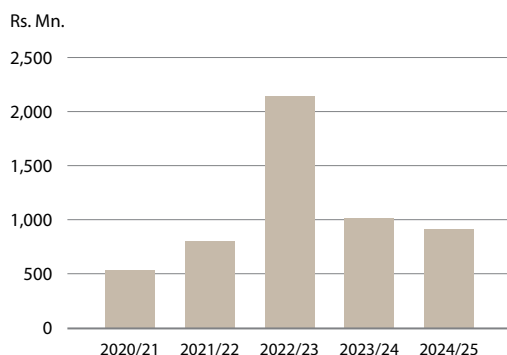
## Financial Capital

Administration expenses as a percentage of revenue were 4.8% vs 5.1% in the previous year and administration costs increased over the previous year by 17%. Some additional cost drivers due to business expansion, onetime costs and for impairment of slow moving Inventories and subsidiary investments and improving some system and IT implementation mainly impacted to cost increases. Management ensures that expenses are scrutinised before the spending and effective management of expenses is the basic KPI of all departments and divisions.

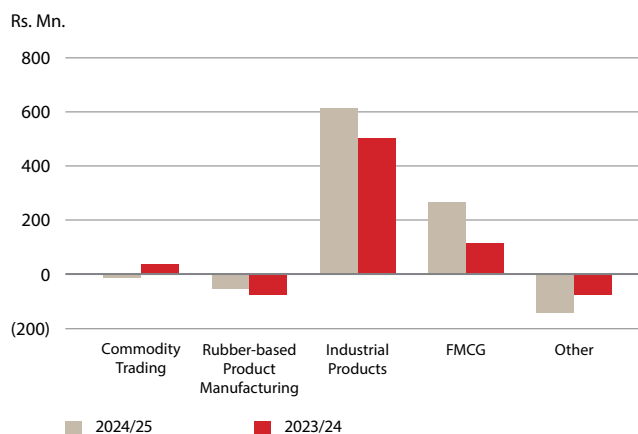
### Result from operating activities

During the period under review, the results from operating activities for the Group and Company were Rs. 923 Mn. and Rs. 837 Mn., respectively. Operating profit decreased over the previous year due to lower other income, mainly non recognising of rent income disclosed under Note 12.7, and some one time cost and increase in impairment costs for slow moving inventories where the Group is following aggressive impairment policies.

### Group EBIT



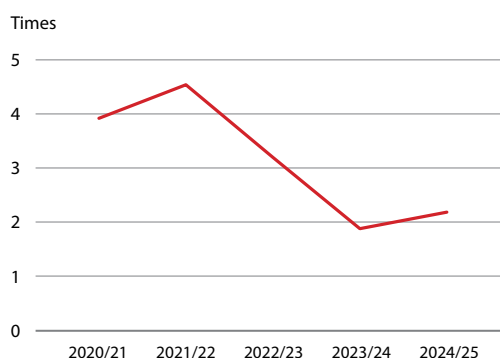
### Segmental contribution to profit before tax



### Net finance cost

During the period under review, Group net finance costs on loans and borrowings plus gain or loss on foreign exchange decreased to Rs. 422 Mn. from Rs. 522 Mn., because of market interest rates decline.

### Interest cover ratio



## Financial Capital

### Share of joint venture's profit

This relates to the Group joint venture Company Sunquick Lanka (Private) limited. During the year under review the Group share of profit from joint venture Company Sunquick Lanka (Private) Limited was Rs. 169 Mn. vs Rs. 1 Mn. in FY 2023/24. The Company has 49% interest in Sunquick Lanka (Private) Limited, and a joint venture formed for the purpose of manufacturing, processing and marketing Co-Ro A/S, Denmark products in the form of concentrate and ready to drink (RTD) products marketed under "Sunquick" brand.

### Pre and post tax profit

During the year, pre-tax profit increased to Rs. 670 Mn., from Rs. 502 Mn. by 33% mainly due to absolute gross margin increase, finance cost reduction and increasing in joint venture profit. Income tax expenses after netting off deferred tax reversal for the period under review was Rs. 180 Mn. vs Rs. 83 Mn. in FY 2023/24. Effective from 1 November 2022, the Company and subsidiaries are liable for income tax at the rate of 30% on taxable profits in accordance with the provisions of Inland Revenue Act No. 24 of 2017.

During the year, the Group reported profit after tax (PAT) of Rs. 490 Mn. vs Rs. 419 Mn. in FY 2023/24 an increase of 17%.

During the year, the Company reported pre-tax profit of Rs. 661 Mn. vs Rs. 581 Mn. in FY 2023/24 increase of 14% and Company reported profit after tax (PAT) of Rs. 488 Mn. vs Rs. 501 Mn. in FY 2023/24. Post-tax profit has decreased mainly due to lower other income and increase in effective tax rate.

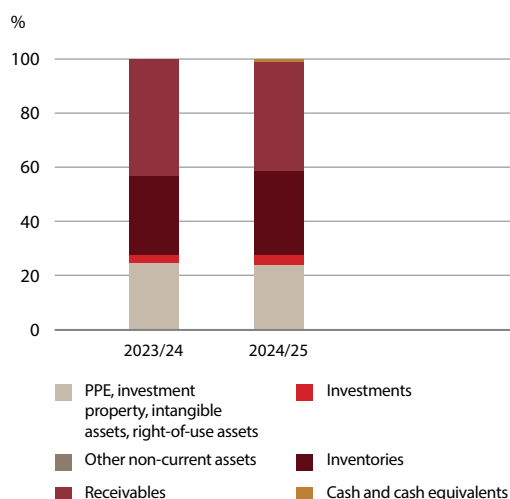
### Financial position

The Group total assets increased to Rs. 12.3 Bn. an increased by Rs. 2.1 Bn. against 31 March 2024 as a result of increasing current assets by Rs. 1.5 Bn. due to increase of inventory and trade and other receivables compared to 31 March 2024. The asset composition is skewed towards current assets, which comprised 72% of total assets as of end of March 2025.

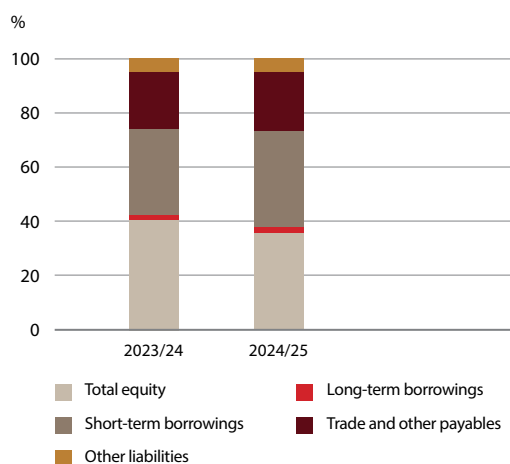
The Group's total liabilities consisted of 8% long-term liabilities and 92% current liabilities. Current liabilities increased from Rs. 5.4 Bn. to Rs. 7.1 Bn. due to growth in Trade and Other Payables and Interest bearing short-term borrowings.

The Group's funding position remained relatively healthy, with 36% of total assets funded by equity. The Group's total equity increased by 6.8% to Rs. 4.5 Bn., primarily due to the current year profit and revaluation gain.

### Composition of assets



### Composition of liabilities

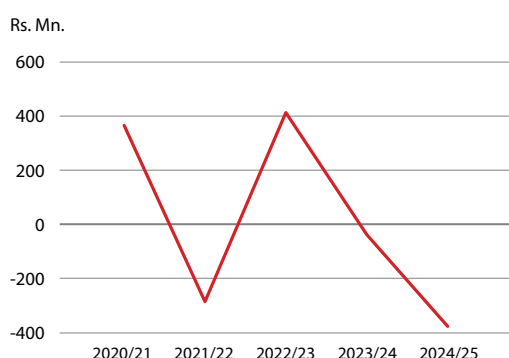


## Financial Capital

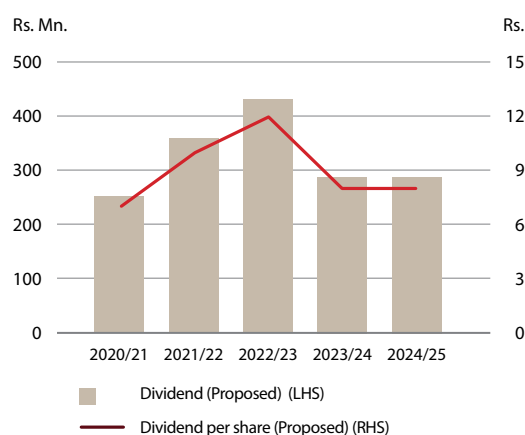
### Cash flow

During the year, the Group's sustained its liquidity position. Operating profit before working capital changes was Rs 1.2 Bn. and Net cash outflow from operating activities was Rs. 377 Mn. Negative net cash flow was reported due to an increase in working capital. Net cash flow used in investing activities was Rs. 288 Mn., mainly on purchase of property plant and equipment. Net cash flows from financing activities were Rs. 638 Mn. Company declared and paid Rs. 288 Mn. of dividend to shareholders during the financial year 2024/25.

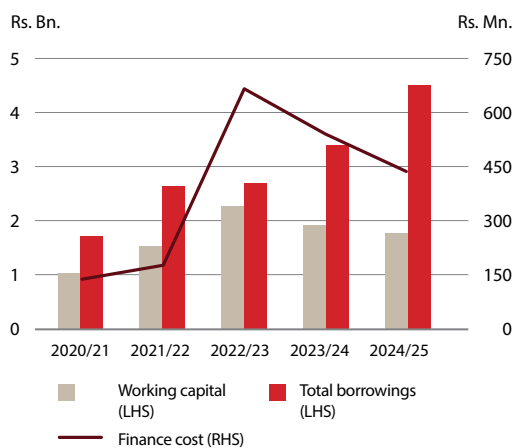
#### Net operating cash flows



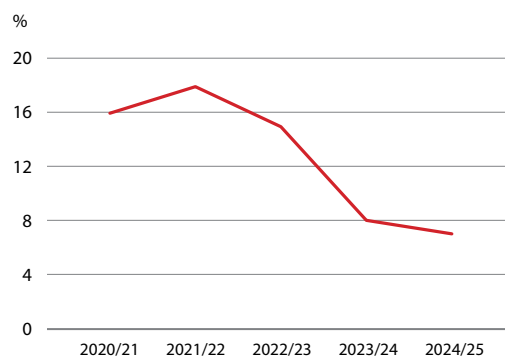
#### Proposed dividend and dividend per share



#### Working capital, borrowings and finance cost



#### Dividend yield



# Intellectual Capital

*Our intellectual capital is shaped by a collaborative culture that encourages innovation and continuous improvement. It is this dynamic blend of people, systems, and knowledge that positions us to navigate change, deliver stakeholder value and sustain our competitive edge.*

At C.W. Mackie PLC, intellectual capital is central to our ability to innovate, grow, and sustain long term value. It encompasses our brand equity, accumulated expertise, digital infrastructure, ethical business practices, and the knowledge systems that empower us to remain competitive across diverse industries.

With over a century of trading and manufacturing experience, our capabilities span international trade compliance, logistics, financial acumen, product knowledge, risk management, and quality assurance. These are continuously strengthened through employee training, cross functional collaboration, and the integration of emerging technologies.

## People

Our people are at the heart of our intellectual capital driving innovation, operational excellence, and customer centricity across the Group. In FY 2024/25, we deepened our investment in nurturing a strong, forward thinking corporate culture as a strategic enabler of organisational growth. These efforts are fundamental to unlocking the full potential of our human capital and sustaining the long-term competitiveness of C. W. Mackie PLC.

This year, we focused on cultivating a workplace environment rooted in collaboration, innovation, ethical conduct, and customer commitment. Our culture enhancement initiatives were structured around four core pillars:



These elements are carefully embedded across all levels of the Group from the Boardroom to the operational staff reinforcing behavioural standards and collective accountability.

Our experienced and knowledgeable workforce across FMCG, logistics, and trading sectors possess a wide array of skills, technical expertise, and deep contextual understanding, particularly within our manufacturing and trading operations. The Board of Directors brings valuable domain specific experience aligned to the Group's diverse business interests, while our broader workforce combines long standing institutional knowledge with fresh perspectives from new talent.

By fostering an inclusive and innovation driven culture, we not only enhance employee engagement but also elevate our ability to generate long term, sustainable value socially, environmentally, and economically. Our corporate culture is not only a reflection of who we are today but a key enabler of where we aim to be tomorrow.

## Brand equity

C. W. Mackie PLC's enduring brand equity is a cornerstone of our intellectual capital and a driver of sustained business success. With a legacy that spans over a century, we are recognised as a trusted partner across import, export, manufacturing, and distribution sectors in Sri Lanka. Our strong brand presence has been built on a foundation of ethical conduct, transparent business practices, and a commitment to quality and sustainability.

## Intellectual Capital

Our proprietary brands Hempel, SCAN, SCAN Jumbo Peanuts, KVC, and Kotagala Kahata hold strong market positions and enjoy high consumer loyalty. These brands are synonymous with reliability and consistency, enabling us to expand product lines, capture new customer segments, and drive top line growth. This trust, established over generations, is a competitive advantage that supports market expansion both locally and internationally.

To safeguard and grow our brand reputation, we adhere to stringent quality controls and comply with both local and global standards, including ISO certifications, GMP, HACCP and SLS. We also place emphasis on cross cultural competence and stakeholder engagement, reinforcing our image as a dependable trading partner for renowned international brands.

### Trading partners

|                                                                                     |                                                                                                                                                                                                                                                                                        |
|-------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|   | <b>GMP</b> – Good Manufacturing Practices, a system for ensuring that products are consistently produced and controlled according to quality standards.                                                                                                                                |
|  | <b>ISO 9001: 2015</b> – Quality Management Systems certification, a system to demonstrate the ability to consistently provide products and services that meet customer and regulatory requirements.                                                                                    |
|  | <b>ISO 14001: 2015</b> – Environmental Management Systems certification, a system to identify and manage its environmental responsibilities in a systematic manner that contributes to the environmental pillar of sustainability.                                                     |
|  | <b>ISO 22000: 2018</b> – Food Safety Management Systems Certification, a system that maps out how an organisation can demonstrate its ability to control safety hazards to ensure that food manufactured is safe.                                                                      |
|  | <b>SLS</b> – “Product quality standards certification as per the specifications of Sri Lanka Standards Institution.                                                                                                                                                                    |
|  | <b>HACCP</b> – Hazard Analysis Critical Control Point, a systematic preventive approach to food safety from biological, chemical and physical hazards in production processes that can cause finished products to be unsafe and design measures to reduce these risks to a safe level. |

|                                                                                    |                                                                                                                                                  |
|------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|
|  | Organic EU–Organic certificate for EU countries.                                                                                                 |
|   | Organic USDA-NOP–is the National Organic Program by the Federal Regulatory Framework in the United States of America for governing organic food. |
|   | JAS–Japanese Agricultural Organic Standard, a regulatory framework in Japan governing organic food.                                              |
|  | CDA–Coconut Development Authority certified as an exporter of coconut-based products.                                                            |

### Memberships

|                                                                                      |                                                                                            |
|--------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|
|   | The Ceylon Chamber of Commerce and a number of its international councils and associations |
|   | National Chamber of Commerce of Sri Lanka                                                  |
|  | The Employers' Federation of Ceylon                                                        |
|   | The Colombo Rubber Traders' Association                                                    |
|   | The Plastics and Rubber Institute of Sri Lanka                                             |
|   | The Institute of Chartered Accountants of Sri Lanka                                        |

## Intellectual Capital



We continue to embrace digital transformation across our operations, with real time inventory systems, route optimisation, and automated dashboards. Looking ahead, we are investing in AI enabled procurement intelligence platforms to better predict commodity trends and manage volatility.

### **Operational excellence**

At C. W. Mackie PLC, technology, systems, and processes form a vital part of our intellectual capital driving innovation, enhancing operational efficiency, and equipping us to remain agile in a rapidly evolving business environment. Our continued investment in digital transformation and enterprise-wide systems has helped streamline operations, elevate productivity, and improve data driven decision making across all divisions.

During the year under review, the Group accelerated its digital initiatives with key upgrades across core platforms. Following the successful integration of a modern Human Resource Information System (HRIS), We have implemented the SAP Enterprise Resource Planning (ERP) system across the Group and ensure its timely upgrades in alignment with evolving operational requirements. This system brought end-to-end automation, improved integration, and real-time intelligence, significantly enhancing functional responsiveness and resource allocation.

Additionally, our cloud-based Sales Force Automation (SFA) system enabled smarter route planning, increased field visibility, and optimised distribution logistics, particularly within SCAN's extensive island-wide network. These digital solutions have not only delivered measurable operational gains but have also enriched our internal data ecosystem, which continues to be leveraged for strategic insights and forecasting.

The Group plans to implement the Warehouse Management System (WMS) within the year, aimed at automating picking operations, enhancing inventory visibility, and reducing turnaround times. This strategic digital transformation in supply chain management is expected to be pivotal in managing the increasing volume and complexity of the FMCG portfolio.

Looking ahead, we remain committed to upgrading our systems and expanding the digital backbone of the Group to ensure business continuity, resilience, and sustainable growth. These advancements represent both a performance enabler and a key pillar of our long-term competitiveness.

# Manufactured Capital

*We continued to make substantial investments during the year under review to upgrade our facilities and modernise key production lines. This included new machinery, efficiency-enhancing systems, and environmentally compliant processes that align with both our sustainability priorities and growth objectives.*

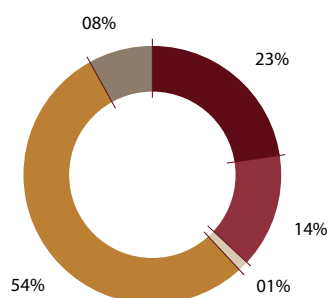
At C. W. Mackie PLC, our manufactured capital forms the operational backbone of the Group's value creation strategy. It encompasses the physical infrastructure, technology, and equipment across our diverse manufacturing, processing, and distribution operations. These assets enable us to deliver consistent product quality, expand market presence, drive innovation, and maintain long-term competitiveness. Our portfolio of tangible capital includes buildings, manufacturing plants, specialised machinery, testing facilities, storage and logistics infrastructure, as well as integrated IT and automation systems.

In 2024/25, C. W. Mackie PLC reinforced its commitment to operational excellence by continuing to invest in modern, energy-efficient manufacturing infrastructure across all key business verticals. Our seven strategically located facilities are equipped with advanced machinery, sustainable production technologies, and certified quality and environmental management systems. These enhancements not only support increased production capacity and quality assurance but also reflect our long-term vision for cost efficiency, responsible resource use, and market competitiveness. Together, these assets form the foundation of our manufactured capital and drive our ability to deliver consistent value to customers and stakeholders.

| Manufacturing facility                                      | Nature of production                                      | Key assets                                                                                                                                                         | Sustainability initiatives                                                                                                                                             |
|-------------------------------------------------------------|-----------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>SCAN Water Bottling Plant</b>                            | Bottling of drinking water                                | Rinser, Filler, Capper Monoblocks (500ml to 19L)                                                                                                                   | ISO 14001:2015 Certified, EPL renewed annually, Shared wastewater treatment with Sunquick Lanka, Effluent-minimising technology, Real-time route mapping for logistics |
| <b>Delish Manufacturing &amp; Processing Plant</b>          | Manufacturing of baking ingredients                       | Ribbon Mixer, Multihead Weigher, Vibratory Feeder, Bucket Elevator, Band Sealers, Multi-capacity weighing scales                                                   | Wastewater treatment under construction, Certified waste disposal practices                                                                                            |
| <b>SCAN Jumbo Peanut &amp; Snack Manufacturing Facility</b> | Processing and packaging of peanuts and snacks            | Peanut Shellers, De-stoners, Blanchers, Aspirators, Sizing Shakers                                                                                                 | Ultra-modern, energy-efficient setup – Licensed recycling for polythene waste – Wastewater treatment facility in progress                                              |
| <b>Ceymac Rubber Company Limited</b>                        | Manufacturing of TSR & sole crepe rubber                  | Hammer mill, Hydraulic press, Rubber breaker, Slab cutter, Odour scrubber system, Fire hood boiler                                                                 | Fish pond discharge monitoring, Firewood gasifier for energy, Sealed chemical storage and solid waste recycling                                                        |
| <b>Sunquick Lanka (Private) Limited</b>                     | Processing of fruits, vegetables and beverages            | Manual filling machines, six-head automatic capping machine, Tetra pack TBA 19 filling machine                                                                     | Pollution mitigation systems, Organic waste converted to compost, Glass & polythene recycling, Greywater reused in orchards, EPL compliant                             |
| <b>Ceytra (Private) Limited</b>                             | Moulded rubber products manufacturing                     | Kneader machines, Heated moulds                                                                                                                                    | Strict chemical storage protocols, Certified waste disposal, EPL renewed annually                                                                                      |
| <b>Kelani Valley Canneries Limited</b>                      | Manufacturing of processed tropical fruits and vegetables | Diesel boiler, Passion Cutter, Steriliser machine, 3* 250L Jacketed Jam pans, Semi automated filling line, Automatic labelling machine, Cold room storage facility | Waste water treatment facility, EPL, SLS and quality related safety certifications.                                                                                    |

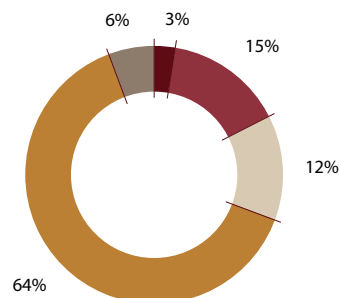
## Manufactured Capital

*Segmental capital expenditure 2024/25*



■ Commodity trading
 ■ Rubber-based product manufacturing
 ■ Industrial products
 ■ FMCG
 ■ Other

*Segmental capital expenditure 2023/24*



To ensure continuous performance, we employ a specialised technical team responsible for predictive maintenance, performance monitoring, and periodic upgrades of all manufacturing systems. This proactive approach minimises downtime, enhances longevity of machinery, and supports risk mitigation efforts. Maintenance activities are aligned with international best practices and compliance requirements.

### WCM Model

In 2024/25, the Group continued to integrate sustainability into core operations by embedding structured frameworks that support long-term value creation. Building on the six-fold sustainable model introduced last year, this year marked the full scale implementation of the **World Class Manufacturing (WCM)** model across all seven manufacturing plants. This strategic initiative strengthens our commitment to operational sustainability by aligning resource efficiency, people development, and process innovation under a unified framework.

The WCM model is more than an operational upgrade, it is a transformative management philosophy focused on achieving excellence in manufacturing through a system of interconnected pillars. These pillars include Safety and Sustainability, Cost Deployment, Focused Improvement, and Autonomous Maintenance, among others. Each pillar drives a specific aspect of manufacturing performance, helping teams identify inefficiencies, reduce waste, and embed continuous improvement into daily operations.

- **Safety and sustainability**  
 Creating a safer, eco-conscious workplace
- **Cost deployment**  
 Targeting hidden costs for better resource use
- **Focused improvement**  
 Solving root causes through structured problem-solving
- **People and performance**  
 Building empowered, accountable teams
- **Professional maintenance**  
 Ensuring uptime with proactive asset care
- **Autonomous maintenance**  
 Operator-led equipment ownership
- **Built-in quality**  
 Preventing defects before they occur
- **NPD and early management**  
 Designing efficiency into new processes
- **Inventory and working capital**  
 Controlling stocks to unlock cashflow
- **Industry 4.0 integration**  
 Enabling data-driven decision-making

## Manufactured Capital

One of the model's most critical contributions has been in aligning operational performance with environmental responsibility. Through structured tools and daily management routines, the WCM approach ensures that energy, materials, and water are utilised more effectively, directly reducing the environmental footprint of our production cycles. Waste reduction targets are now clearly defined within plant operations, and visual performance tracking promotes real-time accountability.

In parallel, our adoption of Industry 4.0 infrastructure has complemented the WCM rollout, enabling smarter decision making through data integration and cross-functional transparency. Real-time monitoring and IT/OT alignment support faster response to variances, improving quality and reducing downtime. These digital capabilities have laid a foundation for further sustainability initiatives by enabling predictive maintenance, optimised inventory control, and energy-efficient workflows.

### *Future outlook*

Our focus going forward is to deepen the transformation of our manufacturing capabilities by building on the momentum created through the World Class Manufacturing (WCM) model. This approach has already laid the foundation for leaner, safer, and more efficient operations. In the coming year, we aim to scale its application across functions and train more cross-functional teams to embed its principles into daily routines.

Strategically, we are aligning our manufacturing footprint with long-term sustainability goals. Plans are underway to adopt smart automation technologies, pursue green building certifications, and invest in energy-efficient machinery. These upgrades are not only expected to improve productivity but also lower our environmental footprint, helping us meet emerging regulatory and stakeholder expectations.

As market dynamics evolve, our manufacturing base will continue to serve as a source of operational resilience and strategic value creation driving performance today while preparing us for the demands of tomorrow.

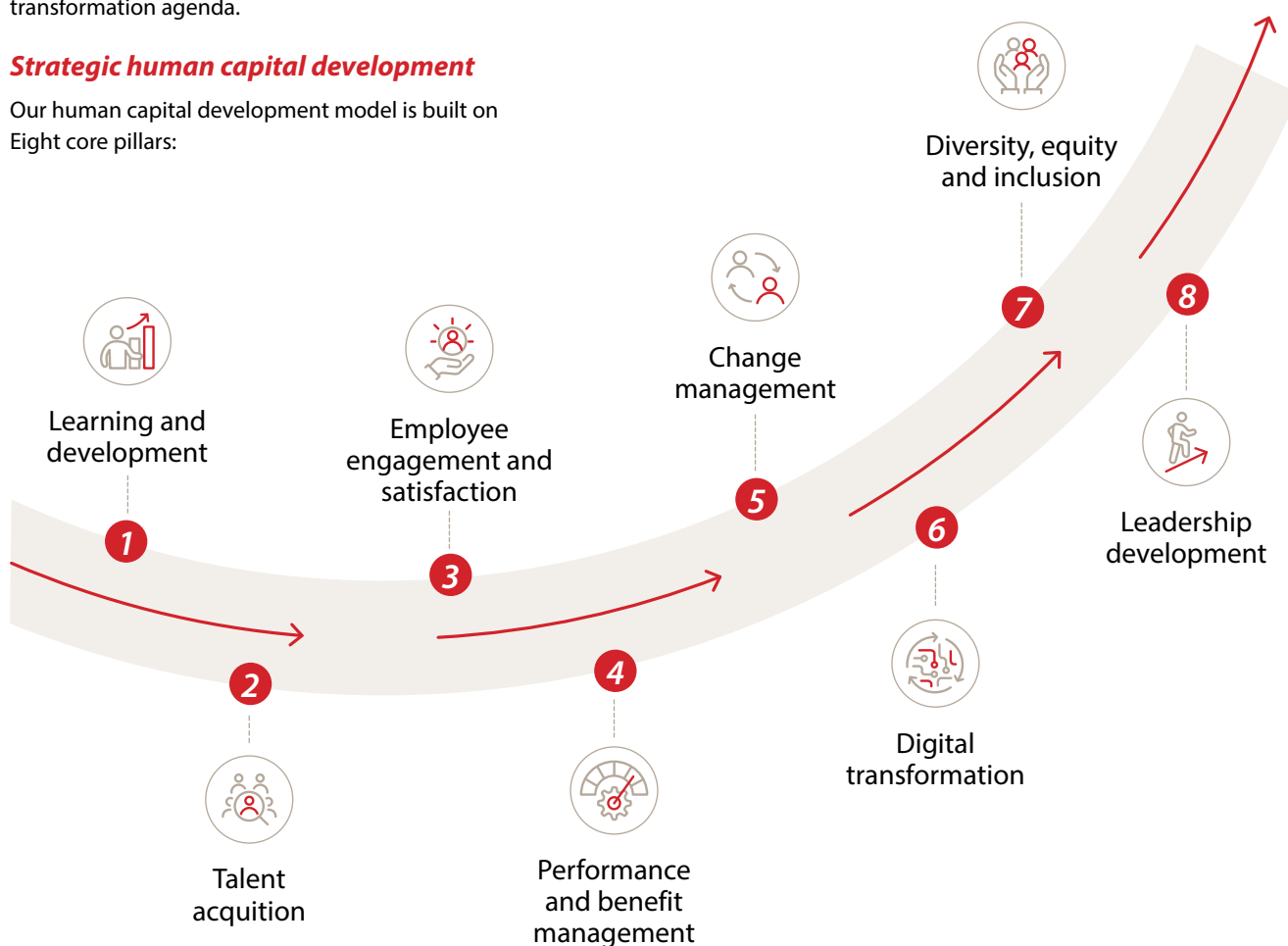
# Human Capital

*Human capital remains central to organisational performance an active force behind growth, agility, and continuity. The workforce strategy was shaped around evolving business needs, emphasising capability building, operational efficiency, and transparent systems. The approach focused on enabling people, fostering accountability, and strengthening adaptability across all functions.*

At C. W. Mackie PLC, our people are at the heart of our performance and progress. Human capital forms the engine of our strategic ambitions driving innovation, productivity, and sustainable value across the Group. The financial year 2024/25 focused on a holistic revamp of our human capital strategy to empower employees, elevate capabilities, and align the workforce with our evolving operational and digital transformation agenda.

## Strategic human capital development

Our human capital development model is built on Eight core pillars:



## Human Capital

### Strategic pillars of human capital development

- **Talent acquisition:** Hiring new talents with the skills and experience needed to drive growth in each SBU's.
- **Learning and development:** Implementing continuous learning and development programmes to match the skills needed for the growth of the SBU.
- **Performance and benefit management:** Recognising the efforts of individuals in terms of the contribution to the strategies of each SBU's and rewarding them accordingly.
- **Employee engagement and satisfaction:** Create a work environment that promotes collaboration and employee wellbeing.
- **Digital transformation:** Improving the use of HR technologies to streamline and efficiency of operations of each SBU's.
- **Change management:** Developing the attitudes of employees for openness to change and development of SBU's.
- **Leadership development:** Identifying and developing the potential leaders within the SBU's to ensure strong and continuous leaders within the Company.
- **Diversity, equity and inclusion:** Identifying and developing the potential leaders within the respective SBU's to ensure a strong leadership within the Company.

These were supported by targeted actions in strategic workforce planning, succession planning, leadership development, and employee experience. Key KPIs tracked during the year included zero labour disputes, successful succession planning, and zero surcharge penalties a strong indication of compliance and workforce alignment.



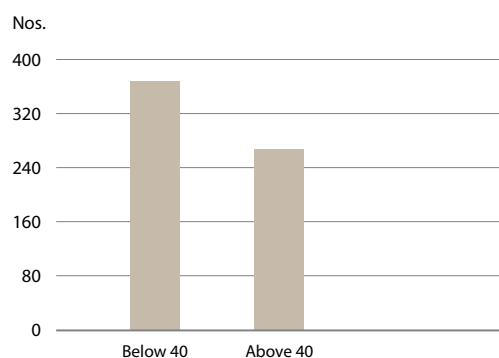
2nd Batch of leaders participating in PLDP programme

To enhance productivity and engagement across the Group, we implemented a comprehensive people development framework. This included the continued rollout of the People Leaders Development Programme (PLDP) for senior staff and managers, alongside the World Class Manufacturing (WCM) programme across all seven manufacturing plants. These initiatives emphasised leadership, value creation, and lean manufacturing best practices raising employee competencies across functional and operational levels.

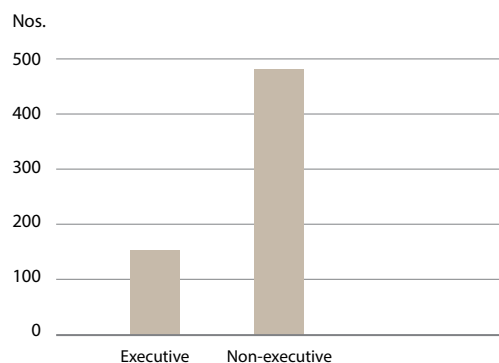
### Workforce profile

We are an equal opportunity employer committed to inclusive hiring and non-discrimination based on gender, religion, ethnicity, or orientation. Our talent base continues to grow steadily, with 639 employees at the end of FY 2024/25 an increase from 614 in the previous year. We are proud that nearly 50% of our employees have served with us for over five years, reflecting a strong culture of retention and institutional loyalty.

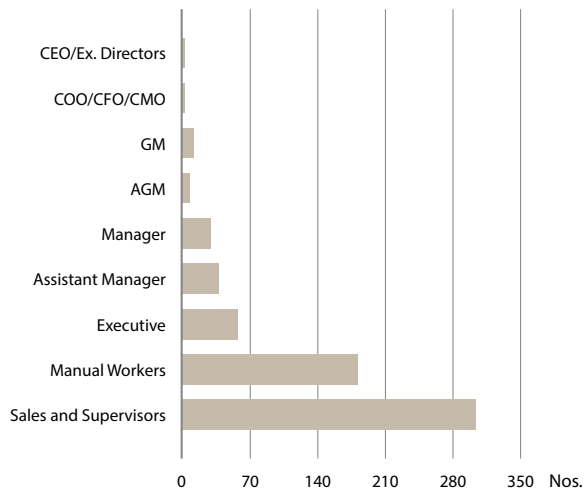
#### Employee composition – According to age



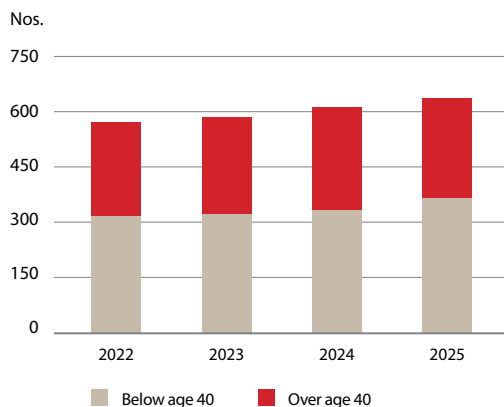
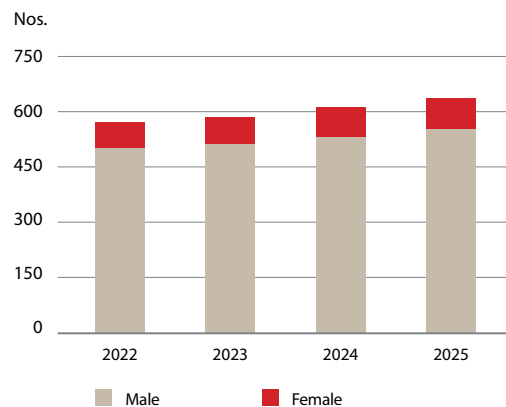
#### Employee composition – According to grade



## Human Capital

**Employee composition – According to designation****Training and development**

In FY 2024/25, we conducted a total of 6,042 training hours for 189 employees across various development areas. Our flagship programmes PLDP and WCM were complemented by custom training sessions requested by department heads, enhancing both technical and leadership skills. Key WCM pillar training included 5S, Safety, and Autonomous Maintenance.

**Employee composition trend – According to age****Employee composition trend – According to gender**

20 leaders participated in WCM programme and successfully completed the course

## Human Capital

### **Performance management and recognition**

We expanded our Performance Management System (PMS) and digitised internal processes like sales expense reimbursements to streamline efficiency. Our performance reviews resulted in two salary adjustment cycles during the year. Additionally, we enhanced our rewards structure with bonuses, travel allowances, and leave-related payouts. We recognised 25 employee promotions and honoured a 25-year service award recipient.

### **Digital integration**

Significant strides were made in digitising HR operations. An online HRIS platform was fully rolled out, facilitating payroll, leave, and basic personnel data management. A performance management module was also implemented, streamlining evaluations for executives and clerical staff. Automation further improved processes such as attendance tracking and sales expense reimbursements, enhancing transparency and speed. Looking ahead, fully decentralised attendance and a new PMS module are planned for launch in FY 2025/26.

### **Challenges and mitigation strategies**

During the year, the HR division encountered a range of challenges, particularly in talent acquisition and retention. Competitive job markets and increased overseas migration made it difficult to attract suitable candidates for field sales roles. In response, stay interviews and career development plans were introduced, along with enhanced incentive and benefits schemes to improve retention, especially in operationally critical roles.

A limited leadership pipeline and skill gaps in key areas also emerged as a concern. This was addressed by implementing a structured succession planning framework, complemented by upskilling and leadership development programmes aimed at preparing internal talent for future roles. These efforts helped maintain continuity and build long-term workforce capacity.

Employee engagement was another focus area, as the organisation lacked clear visibility into employee sentiment. To counter this, team building activities and flexible work practices were introduced to promote well-being and improve morale. Inconsistent performance management processes were also identified. Manager training on feedback delivery and the streamlining of appraisal systems helped drive greater consistency and accountability.

Together, these mitigation strategies supported a more agile and people-responsive HR function, helping the organisation retain talent, improve capability, and adapt to changing workforce dynamics.

### **Employee engagement and wellbeing**

Beyond professional development, we actively foster a people-centric workplace culture by organising meaningful employee engagement activities throughout the year. These initiatives promote camaraderie, morale, and emotional well-being while reinforcing a sense of belonging within the C. W. Mackie family. During the year under review, we celebrated Vesak Dansal, an event that encouraged unity and compassion, bringing together staff across departments for a shared cause. We also marked International Women's Day with island-wide recognition events that honoured the contributions of our female employees and promoted gender inclusivity.

To encourage work-life balance and team spirit, the Group's Sports Club organised the annual Company Trip, which provided employees with the opportunity to unwind, connect informally, and rejuvenate. Participation in Mercantile-level football tournaments further reflected our commitment to physical wellness and healthy competition, with enthusiastic involvement from multiple business units. For the first time in the history our football team was able to become champions of both league and knockout football tournaments organised by the Mercantile Football Association. Also, two of our players were able to become the best player and the best goalkeeper of the tournament as well. Another key highlight was the presentation of the 25-Year Long-Service Award, a tribute to the enduring dedication and loyalty of our long-serving team members. These activities reflect our belief that an engaged workforce is essential to long-term organisational success and cultural resilience.

These capacity-building efforts strengthened employee performance, enabled succession planning, and supported our transformation efforts across manufacturing, operations, and leadership functions.



*CWM Football team won both the league and knockout tournaments organised by Mercantile Football Association.*

## Human Capital

### Policy revisions

A key focus during the year was ensuring that the Group's human capital governance framework remained responsive to evolving regulatory, ethical, and operational priorities. Several critical HR policies were reviewed and updated to reflect the latest standards and best practices in labour relations and workplace ethics. These included the Health & Safety Policy, Child Labour Policy, Forced & Compulsory Labour Policy, Non-Discrimination Policy, and the Freedom of Association & Collective Bargaining Policy. The revisions were guided by a commitment to fostering a safe, fair, and inclusive work environment, and were communicated to employees through updated documentation and orientation sessions.

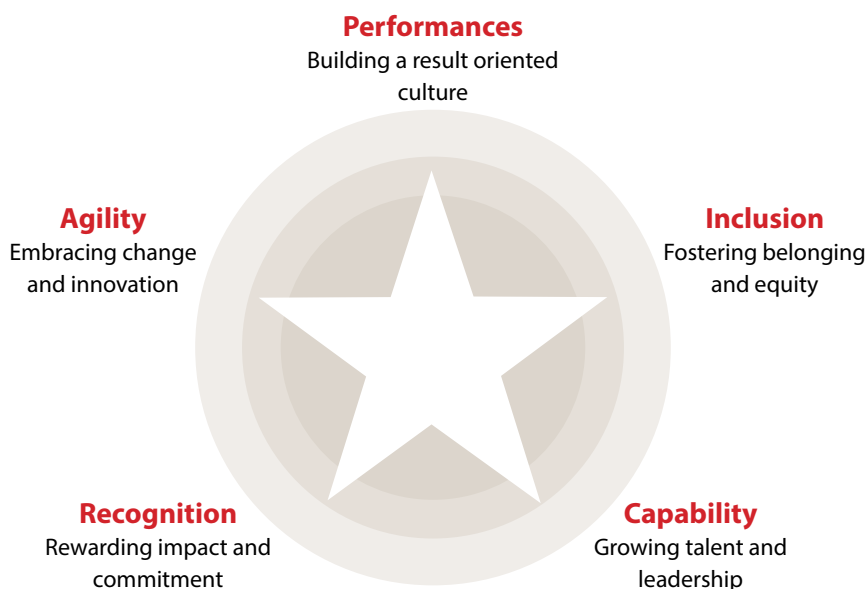
In parallel, the digitalisation of HR operations advanced meaningfully during the year. A dedicated online platform was launched to support core HR functions, including the automation of processes such as employee records management, expense reimbursements, and performance tracking. These changes have led to noticeable gains in process efficiency, data transparency, and internal service delivery. The transition to a fully automated Performance Management System (PMS) also progressed as planned, with the updated module now integrated into the HRIS platform. Looking ahead, further decentralisation is anticipated through the upcoming launch of a digital attendance module, which will streamline time tracking across the Group.

### Future outlook

In the year ahead, the human capital strategy will deepen its focus on expanding leadership capacity across the organisation. Structured development pathways, enhanced succession planning, and an active management trainee pipeline will ensure that internal talent is ready to step into key roles as the business evolves. This is essential to strengthening organisational resilience and aligning people capabilities with future operational demands.

Recognising the growing need for individualised career journeys, the focus will also include shaping employee experiences that reflect personal aspirations, role diversity, and development needs. This includes the introduction of more dynamic learning models, performance linked growth opportunities, and targeted recognition systems.

HR division will contribute to enhance the excellence of the company through focus key aspects of performance, agility, recognition, capability and inclusion.



# Social and Relationship Capital

*We view community engagement as a practical extension of how we do business and is built on long standing relationships and shared responsibility. These relationships are not peripheral to our operations; they are part of how we sustain supply chains, build trust, and contribute to progress beyond commercial outcomes.*

In 2024/25, our efforts focused on areas where we could make measurable contributions: education for farming families, rural healthcare, environmental responsibility, and community partnerships. Each project was shaped by clear needs on the ground and driven by our teams who work closely with the communities we support. This approach helps us address real issues with consistency and purpose without overpromising, but with a commitment to follow through.

## Key CSR Initiatives in 2024/25

### SCAN – Daru Diriya Community Development Project



SCAN Daru Diriya continued to strengthen the connection between C. W. Mackie PLC and the agricultural communities that form the backbone of our peanut supply chain. This year, the initiative reached 100 children from 75 farming families in Rideemaliyadda, Mahiyanganaya, many of whom are directly involved in peanut cultivation for our flagship brand, SCAN Jumbo Peanuts. Delivered in partnership with the Sri Lanka Mahaweli Authority, the programme provided children with essential school supplies to support their education and long-term development.

The impact extended further with a second outreach initiative in Ethiliwewa, Wellawaya. Here too, our focus remained clear: to invest in the educational future of the children of peanut farmers, whose work directly supports our operations. These initiatives are more than acts of goodwill they are investments in the human capital of our supply network. By enabling access to quality education, we aim to foster greater economic resilience and upward mobility within these rural communities.

### Haritha Piyaman – Sunquick Lanka's recycling and reforestation drive



In October 2024, Sunquick Lanka launched its inaugural sustainability project under the title Haritha Piyaman a combined plastic recycling and reforestation drive carried out in collaboration with environmental partner Eco Spindlers. The programme began at Sri Medhankara Maha Vidyalaya in Horana, where over 400 kg of plastic waste was collected through an intensive school-wide campaign. This hands-on initiative demonstrated the power of grassroots environmental action, engaging both students and faculty in practical waste management practices.

To complement the recycling effort, 50 fruit trees were planted on the school premises, symbolising a commitment not only to cleaner surroundings but also to long-term ecological balance. The active participation of Sunquick Lanka's leadership including the Managing Director, General Manager, department heads, and interns underscored the organisation's collective endorsement of sustainability. Encouraged by the response,

## Social and Relationship Capital

plans are underway to replicate the model in more schools and communities across the island, with the aim of embedding circular waste practices and environmental stewardship at a young age.

### Stakeholder value

We focus on building meaningful, long-term partnerships with our stakeholders grounded in trust, transparency, and shared value. During the year, we maintained active dialogue, addressed concerns, and integrated stakeholder feedback into our strategy, enabling us to stay resilient and responsive amidst evolving challenges.

| Stakeholder Group                                                                                                                                                                                                                                                                                                                                                   | Stakeholder expectations and concerns                                                                                                                                                                                                                                                                                                                                     | Channels of communication                                                                                                                                                                                                                                                                                                                                                            | Measures taken by the Company                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Shareholders and Lenders</b><br>Shareholders and lenders play a critical role in the governance, financing, and strategic direction of C. W. Mackie PLC. As primary investors, their confidence and support are vital for sustained growth. We ensure consistent engagement and full transparency in our communications to foster trust and long-term alignment. | <ul style="list-style-type: none"> <li>• Return on investment and dividends</li> <li>• Sustainable business growth and financial stability</li> <li>• Transparent disclosures and access to relevant information</li> <li>• Strong governance and ethical conduct</li> <li>• Strategic clarity and business continuity</li> <li>• Quantifiable long-term goals</li> </ul> | <ul style="list-style-type: none"> <li>• Annual General Meetings (AGMs)</li> <li>• Extraordinary General Meetings (EGMs)</li> <li>• Annual and Sustainability Reports</li> <li>• Interim financial statements published via the CSE</li> <li>• Company website</li> <li>• Press releases and media updates</li> <li>• Access through Company Secretary for clarifications</li> </ul> | <ul style="list-style-type: none"> <li>• Defined and communicated clear strategic goals</li> <li>• Timely and transparent disclosure of performance</li> <li>• Ethical, responsible, and compliant business practices</li> <li>• Open access to governance processes and policies</li> <li>• Regular updates on financial and operational progress</li> <li>• Communication of risks, reforms, and opportunities</li> <li>• Maintenance of long-term credibility through stability and strong reporting</li> </ul> |
| <b>Employees</b><br>Our employees are the driving force behind our operations. We invest in their development, well-being, and engagement to ensure high performance and retention across all levels.                                                                                                                                                               | <ul style="list-style-type: none"> <li>• Safe and empowering work environment</li> <li>• Career development and training</li> <li>• Fair pay, benefits, and incentives</li> <li>• Equal opportunity and non-discrimination</li> <li>• Active participation and two-way communication</li> <li>• Recognition and performance-based rewards</li> </ul>                      | <ul style="list-style-type: none"> <li>• Departmental meetings and team briefings</li> <li>• Employee interviews and surveys</li> <li>• Performance appraisals</li> <li>• Continuous dialogue with trade unions</li> <li>• Whistleblower mechanism</li> <li>• HR policy updates and workshops</li> </ul>                                                                             | <ul style="list-style-type: none"> <li>• Competency mapping and career progression planning</li> <li>• Skills development through training programmes (PLDP, WCM)</li> <li>• Succession planning and promotions</li> <li>• Competitive compensation and periodic salary revisions</li> <li>• Health, safety, and welfare programmes</li> <li>• Regular employee engagement events and cultural initiatives</li> </ul>                                                                                              |

## Social and Relationship Capital

| Stakeholder Group                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Stakeholder expectations and concerns                                                                                                                                                                                                                                                                                                                                                                   | Channels of communication                                                                                                                                                                                                                                                                                                                                                                                                      | Measures taken by the Company                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Customers – Local and Overseas</b></p> <p>Our customers form the core of our value creation process. Their ongoing loyalty fuels our business growth and enables us to continually improve products, services, and operations. We are deeply committed to meeting their diverse expectations through ethical practices, consistent quality, innovation, and transparent communication. With customer feedback guiding key business strategies from product development to marketing we ensure alignment with evolving needs across multiple demographics and geographies. Their loyalty is recognised and rewarded through value-added promotions and service excellence.</p> | <ul style="list-style-type: none"> <li>• Reliable and continuous product availability</li> <li>• Product safety, quality, and regulatory compliance</li> <li>• Fair pricing and favourable terms</li> <li>• Ethical sourcing and transparency</li> <li>• Service responsiveness and clear communication</li> <li>• Product innovation and upgrades</li> <li>• Market position and reputation</li> </ul> | <ul style="list-style-type: none"> <li>• One-on-one customer meetings</li> <li>• Email and phone correspondence</li> <li>• Company website and digital platforms</li> <li>• Dealer and distributor conventions</li> <li>• Technical support and field visits</li> <li>• Management visits and media communications</li> <li>• Customer satisfaction surveys</li> <li>• Press release and other media communications</li> </ul> | <ul style="list-style-type: none"> <li>• Regular product quality audits and regulatory compliance</li> <li>• Proactive client engagement and support</li> <li>• Launch of new products based on market insights</li> <li>• Participation in customer-centric expos and trade shows</li> <li>• Certification of ethical production and sustainable sourcing</li> <li>• Prompt response mechanisms for service queries and complaints</li> <li>• Clear communication on supply continuity and pricing dynamics</li> </ul> |

## Social and Relationship Capital

| Stakeholder Group                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Stakeholder expectations and concerns                                                                                                                                                                                                                                                                                                                                                       | Channels of communication                                                                                                                                                                                                                                                                                                                | Measures taken by the Company                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Government Authorities and Regulators</b><br>Our engagement with government bodies and regulators is rooted in compliance, transparency, and responsible business conduct. We proactively maintain open channels of communication to share updates on product, process, and operational changes. This ensures adherence to evolving laws and regulations governing the manufacturing, trading, and export sectors. Our ongoing compliance efforts reflect a broader commitment to national priorities, sustainability goals, and ethical business practices. | <ul style="list-style-type: none"> <li>• Full compliance with statutory and regulatory requirements</li> <li>• Timely submission of reports, statements, and returns</li> <li>• Alignment with national sustainability measures</li> <li>• Effective tax and duty compliance</li> <li>• Risk and crisis management readiness</li> <li>• Transparency in operations and reporting</li> </ul> | <ul style="list-style-type: none"> <li>• Regular meetings and official correspondence</li> <li>• Participation in policy forums and industry consultations</li> <li>• Communication via formal documentation and periodic returns</li> <li>• Media engagement for public disclosures</li> </ul>                                          | <ul style="list-style-type: none"> <li>• Periodic internal and external audits</li> <li>• Certification for compliance with relevant guidelines</li> <li>• Proactive participation in national environmental and industry initiatives</li> <li>• Delivery agreements and maintenance schedules aligned with public standards</li> <li>• Active involvement in policy discussions and reforms</li> <li>• Reporting on sustainability progress and impact metrics</li> </ul> |
| <b>Suppliers – Overseas and Local</b><br>Our supplier network plays a vital role in sustaining the quality and efficiency of our operations. We have built a robust procurement framework that adheres to international standards and prioritises transparency, ethical sourcing, and long-term partnership building. Our sourcing partners are selected based on their ability to meet defined quality, compliance, and sustainability criteria.                                                                                                               | <ul style="list-style-type: none"> <li>• Predictability and long-term partnership potential</li> <li>• Timely and fair payment cycles</li> <li>• Clear scope of procurement needs</li> <li>• Certification and compliance with ethical codes</li> <li>• Transparency and integrity</li> <li>• Flexibility and speed in delivery</li> </ul>                                                  | <ul style="list-style-type: none"> <li>• Regular supplier meetings and factory/site visits</li> <li>• Negotiation and planning dialogues</li> <li>• Daily operations and procurement documentation</li> <li>• Inclusion in corporate events</li> <li>• Requests for Proposals and quotations</li> <li>• Annual report updates</li> </ul> | <ul style="list-style-type: none"> <li>• Onboarding of suppliers with strong compliance and quality credentials</li> <li>• Transparent procurement policies aligned to industry best practices</li> <li>• On-time payments and long-term contracting</li> <li>• Encouragement of third-party certifications</li> <li>• Implementation of supplier performance tracking mechanisms</li> </ul>                                                                               |
| <b>Communities</b><br>We view the communities in which we operate not just as beneficiaries but as vital contributors to our long-term sustainability. Through continuous engagement, we identify and respond to the social, economic, and environmental needs of these communities. Our projects aim to improve livelihoods, expand access to essential services, and build resilience, especially in rural and underserved regions.                                                                                                                           | <ul style="list-style-type: none"> <li>• Socioeconomic development</li> <li>• Employment generation</li> <li>• Educational and healthcare access</li> <li>• Philanthropic partnerships</li> <li>• Support during economic hardship</li> <li>• Environmental impact management</li> </ul>                                                                                                    | <ul style="list-style-type: none"> <li>• Community leader consultations</li> <li>• Local engagement via project teams and site visits</li> <li>• Collaboration with schools, hospitals, and public institutions</li> <li>• Policy dialogues at local government level</li> </ul>                                                         | <ul style="list-style-type: none"> <li>• Flagship CSR programmes like SCAN <i>Daru Diriya</i> and <i>Haritha Piyaman</i></li> <li>• Infrastructure and healthcare investments (e.g., hospital renovations)</li> <li>• Educational material donations and rural outreach</li> <li>• Tree planting and recycling drives</li> <li>• Employment and vocational training opportunities in rural areas</li> </ul>                                                                |

# Natural Capital

C.W. Mackie PLC takes a structured and measurable approach to managing environmental impact. In FY 2024/25, our focus remained on efficient resource use, reducing operational waste, and improving environmental standards across our manufacturing network. These efforts align with broader business goals such as operational efficiency, regulatory compliance, and cost control.

## Resource efficiency and process improvements

This year, we advanced our use of the World Class Manufacturing (WCM) model to streamline material use, reduce waste, and lower utility consumption at our facilities. Our investment in more efficient equipment and sourcing strategies also supported better control of input costs and reduced dependency on non-renewable resources. Previous initiatives, such as the use of refillable glass bottles to replace plastic, continued to be scaled where applicable.

## Environmental controls in manufacturing

Our manufacturing operations are structured to meet established environmental standards. This includes maintaining valid Environmental Protection Licenses (EPLs) and ISO 14001:2015 Environmental Management Systems certifications at relevant facilities. We have continued to make gradual upgrades in energy-efficient systems, and implemented equipment that supports cleaner production processes, including water recycling, odor control, and energy recovery where possible.

## Waste handling and recycling

Waste generated during production is monitored and managed through defined procedures. We work with certified recycling partners to remove plastic, glass, and other recyclable materials from our sites. Organic waste from food processing is repurposed as compost through arrangements with plantations. In the rubber segment, chemical waste is handled using controlled storage and disposal protocols. Ongoing reviews aim to expand the use of recycled and renewable materials, and to reduce reliance on single-use packaging across the product portfolio.

## Waste and environmental management

| Manufacturing Facility                       | Nature of Production                                       | Environmental and Waste Management Initiatives                                                                                                                                                                                                                                                                      |
|----------------------------------------------|------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. SCAN Water Bottling Plant                 | Bottling of drinking water                                 | <ul style="list-style-type: none"> <li>– ISO 14001:2015 EMS certified (SLSI) EPL renewed annually (CEA)</li> <li>– Continuous improvements in resource optimisation</li> <li>– Polythene waste responsibly recycled via licensed partners</li> </ul>                                                                |
| 2. Delish Manufacturing and Processing Plant | Production of baking ingredients                           | <ul style="list-style-type: none"> <li>– Polythene waste removed through certified recyclers</li> </ul>                                                                                                                                                                                                             |
| 3. SCAN Jumbo Peanut and Snack Facility      | Processing and packaging of SCAN Jumbo Peanuts and Snacks  | <ul style="list-style-type: none"> <li>– Polythene waste recycled via licensed entities</li> </ul>                                                                                                                                                                                                                  |
| 4. Ceymac Rubber Company Limited             | Manufacturing of rubber products                           | <ul style="list-style-type: none"> <li>– EPL renewed annually (CEA)</li> <li>– Chemical waste responsibly disposed with certified handlers</li> <li>– Regular recycling of solid waste</li> <li>– Scrubber system installed for odour control</li> <li>– Secured chemical storage with restricted access</li> </ul> |
| 5. Sunquick Lanka (Private) Limited          | Bottling of fruit squashes and ready-to-drink (RTD) juices | <ul style="list-style-type: none"> <li>– ISO 14001:2015 EMS certified (SLSI)</li> <li>– EPL renewed annually (CEA)</li> <li>– Solid, glass, and polythene waste removed by licensed recyclers</li> </ul>                                                                                                            |
| 6. Ceytra (Private) Limited                  | Manufacturing of rubber products                           | <ul style="list-style-type: none"> <li>– EPL renewed annually (CEA)</li> <li>– Responsible chemical waste disposal</li> <li>– Secured warehouses for hazardous materials</li> </ul>                                                                                                                                 |
| 7. Kelani Valley Canneries Limited (KVC)     | Processing of fruits, vegetables, and beverages            | <ul style="list-style-type: none"> <li>– EPL renewed annually (CEA)</li> <li>– Pollution mitigation technologies in place</li> <li>– Organic waste reused as compost on plantations</li> <li>– Glass and polythene recycled via third-party providers</li> </ul>                                                    |

## Natural Capital

### Wastewater management

| Manufacturing facility                       | Nature of production                            | Wastewater management initiatives                                                                                                                                                                                                                                                                                                                                                            |
|----------------------------------------------|-------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. SCAN Water Bottling Plant                 | Bottling of drinking water                      | <ul style="list-style-type: none"> <li>– ISO 14001:2015 EMS certified (SLSI)</li> <li>– Water sourced from on-site tube wells with statutory perimeter compliance</li> <li>– Shares Sunquick Lanka's wastewater treatment plant</li> <li>– Effluent-minimising technologies in place for re-use and recovery</li> <li>– 10%–15% of treated filler water reused for bottle rinsing</li> </ul> |
| 2. Delish Manufacturing and Processing Plant | Baking ingredient manufacturing                 | <ul style="list-style-type: none"> <li>– Wastewater collected and sent for treatment through certified third parties</li> <li>– Wastewater treatment plant under construction</li> </ul>                                                                                                                                                                                                     |
| 3. SCAN Jumbo Peanut and Snack Facility      | Processing and packaging of peanuts and snacks  | <ul style="list-style-type: none"> <li>– Outsourced wastewater recycling</li> <li>– New treatment facility under development</li> </ul>                                                                                                                                                                                                                                                      |
| 4. Ceymac Rubber Company Limited             | Rubber product manufacturing                    | <ul style="list-style-type: none"> <li>– EPL renewed annually (CEA)</li> <li>– Well-maintained treatment plant</li> <li>– Treated water discharged into on-site fish pond for quality monitoring</li> </ul>                                                                                                                                                                                  |
| 5. Sunquick Lanka (Private) Limited          | Bottling of fruit squashes and RTD juices       | <ul style="list-style-type: none"> <li>– ISO 14001:2015 EMS certified (SLSI)</li> <li>– EPL renewed annually (CEA)</li> <li>– Comprehensive wastewater treatment system in place</li> </ul>                                                                                                                                                                                                  |
| 6. Kelani Valley Canneries Limited (KVC)     | Processing of fruits, vegetables, and beverages | <ul style="list-style-type: none"> <li>– EPL renewed annually (CEA) Water sourced from on-site tube wells</li> <li>– Treated greywater used for irrigation of fruit orchards</li> </ul>                                                                                                                                                                                                      |

### Energy and emission management

| Manufacturing facility                       | Nature of production                            | Energy and emissions management initiatives                                                                                                          |
|----------------------------------------------|-------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. SCAN Water Bottling Plant                 | Bottling of drinking water                      | <ul style="list-style-type: none"> <li>– ISO 14001:2015 EMS certified (SLSI)</li> <li>– EPL renewed annually (CEA)</li> </ul>                        |
| 2. Delish Manufacturing and Processing Plant | Manufacturing of baking ingredients             | <ul style="list-style-type: none"> <li>– Fully automated, energy-efficient machinery - Infrastructure designed to reduce emissions</li> </ul>        |
| 3. SCAN Jumbo Peanut and Snack Facility      | Processing and packaging of snacks              | <ul style="list-style-type: none"> <li>– Commissioned in 2021 with ultra-modern, low-emission machinery - Smart energy management enabled</li> </ul> |
| 4. Ceymac Rubber Company Limited             | Rubber product manufacturing                    | <ul style="list-style-type: none"> <li>– EPL renewed annually (CEA) - Diesel replaced with firewood for gasification</li> </ul>                      |
| 5. Sunquick Lanka (Private) Limited          | Bottling of squashes and RTD juices             | <ul style="list-style-type: none"> <li>– ISO 14001:2015 EMS certified (SLSI) - EPL renewed annually (CEA)</li> </ul>                                 |
| 6. Kelani Valley Canneries Limited (KVC)     | Processing of fruits, vegetables, and beverages | <ul style="list-style-type: none"> <li>– Mixed energy model: National grid electricity and furnace oil</li> </ul>                                    |

## Natural Capital

### **Future outlook**

In the year ahead, C.W. Mackie PLC will continue to advance its environmental priorities with greater focus and accountability. As climate related risks and regulatory expectations evolve, we are committed to enhancing our operational sustainability through measurable and technology-driven initiatives.

Key focus areas will include expanding wastewater treatment infrastructure, adopting advanced water recycling systems, and improving energy efficiency across our manufacturing sites. We also plan to increase the share of renewable energy and reduce dependency on fossil fuels by exploring cleaner alternatives across production and logistics.

To support these efforts, we will strengthen our partnerships with environmentally responsible suppliers, enhance emissions tracking systems, and scale up recycling and waste management practices. Training and awareness programmes will be rolled out across all facilities to ensure broad based engagement.

By implementing targeted environmental strategies, we aim to reduce our ecological impact, comply with emerging regulations, and contribute to a more resilient and resource efficient business model.



# Governance and Risk



# Annual Report of Board of Directors

For the financial year ended 31 March 2025

The Board of Directors has pleasure in presenting their Annual Report on the affairs of the Company together with the audited Financial Statements for the financial year ended 31 March 2025 and the auditor's report on the Consolidated Financial Statements.

## Principal activities

The principal activities of the Company and each of its subsidiary companies are described on page 11.

Other than those disclosed in the preceding paragraph, there were no significant changes in the nature of principal activities of the Company and its subsidiaries during the year under review.

## Review of operations

A detailed review of business operations by the Chairman/Chief Executive Officer is given on pages 4 and 5.

## Way forward

The Management has identified key potential areas to be focused on in line with the existing business clusters and new category extensions, new products development initiatives which will bring additional revenue to the Group and its bottom line. The export strategy is streamlined and volume driven with competitive and sustainable margins to drive the business in long run. With National economy stabilising with a current positive GDP of 5% sectional growth will be forthcoming to drive different operating SBU's positively within the Group. Some of the identified sectors are FMCG, Industrial Refrigeration, Bearings and Jackseals, Rubber Products Manufacturing etc.

Further information on the outlook for the future of the Group is provided in the Chairman/Chief Executive Officer's Review and the business overview of this Annual Report.

## Going concern

The Directors are satisfied that the Company has adequate resources to continue its operations in the foreseeable future. Accordingly, the Financial Statements are prepared based on the "going concern" concept.

## Shares

### Stated capital

The stated capital of the Company is Rs.507,046,487 as at 31 March 2025 represented by 35,988,556 ordinary shares.

The entire issued stated capital of the Company consisting of 35,988,556 ordinary shares is listed on the trading floor of the Colombo Stock Exchange and are traded on the *Diri Savi* Board of the Colombo Stock Exchange.

The float adjusted market capitalisation of the Company as at 31 March 2025 is Rs. 611,328,603/63.

The float adjusted market capitalisation of the Company falls under Option 2 of Rule 7.13.1.(i)(b) of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said Option.

### Issue of shares

The Company did not make any share issues during the year under review.

### Share information

Details of share-related information including distribution schedule of number of holders of shares in the Company are given on pages 192 and 193 and information relating to earnings, dividends and net assets per share is given in the Financial highlights on page 14.

The twenty largest shareholders of the Company and details of public holding as at 31 March 2025 are indicated on page 193.

## Finance

### Accounting policies

The Company prepared its Financial Statements according to Sri Lanka Accounting Standards (SLFRS/LKAS). All relevant applicable Standards have been followed in presenting the Financial Statements for the year ended 31 March 2025. The significant accounting policies adopted in the preparation of the Financial Statements are given in Note 3.

## Annual Report of Board of Directors

### Financial results

Group summarised results for the financial year under review are shown in the analysis below:

| Year ended 31 March                          | 2025       | 2024       |
|----------------------------------------------|------------|------------|
|                                              | Rs. 000's  | Rs. 000's  |
| Revenue                                      | 24,282,721 | 19,387,992 |
| <b>Results from operating activities</b>     | 923,601    | 1,023,185  |
| Net financing income/(costs)                 | (421,998)  | (522,022)  |
| <b>Share of joint venture's profit</b>       | 168,829    | 1,002      |
| Profit before taxation                       | 670,432    | 502,165    |
| <b>Income tax expense</b>                    | (180,119)  | (83,128)   |
| Profit for the year                          | 490,313    | 419,037    |
| <b>Non-controlling interests</b>             | (7,598)    | 2,975      |
| <b>Profit attributable to equity holders</b> | 497,911    | 416,062    |

The Financial Statements of the Company and Group are set out on pages 111 to 186 of the Annual Report.

### Dividend

The Directors have authorised the distribution of a first and final dividend of Rs. 8/- per share for the financial year ended 31 March 2025 for approval by the Shareholders at the Annual General Meeting.

As required by Section 56(2) of the Companies Act No.7 of 2007 (the Act) the Directors have confirmed that the Company satisfies the solvency test in terms of Section 57 of the Act and have obtained a certificate from the Auditors.

### Reserves

Group's total reserves as at 31 March 2025 amounted to Rs. 3,608.6 Mn. (2024 – Rs. 3,312.6 Mn.). The movement of the reserves is given on page 154 under Statement of Changes in Equity and in the Notes 21 and 22 to the Financial Statements.

### Group revenue

Group revenue was Rs. 24,282.7 Mn. during the year under review (2024 – Rs.19,388.0 Mn.).

### Donations

The Directors have approved and made donations of Rs. 1,145,000/- (2024 – Rs. 1,965,500/-) to charities during the year under review.

### Taxation

The Company has adopted the accounting policy of making provision for deferred taxation. The Company's liability to income tax has been determined according to the provisions of Inland Revenue Act No. 24 of 2017 and subsequent amendments thereto. Details are given in Note 9 to the Financial Statements.

### Capital expenditure

Group's capital expenditure on fixed assets and investments other than investments in subsidiaries during the year under review was Rs. 291.5 Mn. (2024 – Rs. 91.7 Mn.).

### Borrowings

Group total borrowing was Rs. 4,514.3 Mn. as at 31 March 2025 (2024 – Rs. 3,406.2 Mn.).

### Events after the reporting date

Subsequent to the reporting date, no circumstances have arisen which would require adjustment to or disclosure in the Financial Statements, other than those disclosed in Note 33.

### Board of Directors

The present Directors of the Company are given on pages 16 and 17.

Each Non-Executive Director has submitted a signed and dated declaration of his independence/non-independence against the specified criteria as per the Listing Rules of the Colombo Stock Exchange for the year under review.

## Annual Report of Board of Directors

All Directors have declared and confirmed that they have continuously satisfied the Fit and Proper Assessment Criteria during the financial year as at date of such confirmation.

During the year under review, Deshabandu A. M. de S. Jayaratne, Mr. Chrisantha P. R. Perera (both upto 30 December 2024), Mr. H. Manil A. Jayasinghe and Mr. Indrajit A. Wickramasinghe, Mr. Shrihan B. Perera (both from 30 December 2024) served as Independent/Non-Executive Directors on the Board of the Company.

Deshabandu A. M. de S. Jayaratne is a Director of the ultimate parent company, The Colombo Fort Land and Building PLC (CFLB) and on the Boards of some of its subsidiaries. He was appointed to the Board of the Company on 23 May 2007 and completed over eighteen (18) years of continuous service in his capacity as Independent/Non-Executive Director. However, the Board of the Company having taken into consideration all other circumstances listed in the Rules of the Colombo Stock Exchange pertaining to the criteria for defining independence is of the unanimous opinion that Deshabandu A. M. de S. Jayaratne is nevertheless independent upto his resignation on 30 December 2024.

Mr. Chrisantha P. R. Perera (Independent/Non-Executive Director) is also a Director of the ultimate parent company, The Colombo Fort Land and Building PLC and serve on the Boards of several subsidiaries of the CFLB Group. The Board of the Company having taken into consideration all other circumstances listed in the Rules of the Colombo Stock Exchange pertaining to the criteria for defining independence is of the unanimous opinion that Mr. Chrisantha P. R. Perera is nevertheless independent upto his resignation on 30 December 2024.

Mr. Sanjeev Rajaratnam and Mr. A. Hettiarachchy resigned from the Board with effect from 30 December 2024. Mr. E. A. A. K. Edirisinghe resigned from the Board with effect from 31 March 2025.

The Board wish to place on record their deep appreciation of the valuable contribution of Deshabandu A. M. de S. Jayaratne, Mr. Chrisantha P. R. Perera, Mr. Sanjeev Rajaratnam, Mr. A. Hettiarachchy and Mr. E. A. A. K. Edirisinghe during their tenure.

Mr. Anushman Rajaratnam retires by rotation in terms of Article 89 of the Articles of Association and being eligible, offers himself for re-election with the unanimous support of the Board of Directors.

Mr. Indrajit A. Wickramasinghe and Mr. Shrihan B. Perera retire in terms of Article 95 of the Articles of Association and being eligible, offer themselves for re-election with the unanimous support of the Board of Directors.

As Mr. Hemaka Amarasuriya, Dr. T. Senthilvel and Mr. S. D. R. Arudpragasam are over the age of 70 years as at the date of the Annual General Meeting, their appointment as Directors of the Company require the approval of a resolution of the Company in general meeting. Notices dated 15 May 2025 have been received by the Company from shareholders in regard to the resolutions for the approval of their appointment under and in terms of Section 211 of the Companies Act No. 7 of 2007 and this is referred to in the Agenda of the Notice convening the Annual General Meeting on page 196. The appointment of Mr. Hemaka Amarasuriya, Dr. T. Senthilvel and Mr. S. D. R. Arudpragasam has the unanimous support of the Board of Directors.

### **Disclosure of Directors' interests**

The Company maintains an Interest Register as required by the Companies Act No. 7 of 2007 (Act).

The Directors of the Company have made the general disclosures provided for in Sections 192, 197 and 200 of the Act. Note 32 to the Financial Statements dealing with related party disclosures include details of their interests in transactions.

None of the Directors of the Company had, directly or indirectly, during the financial year under review any material beneficial interest in any contract to which the Company or any of its subsidiaries was a party or which is or was significant in relation to the Company's business, other than those disclosed in Note 32 to the Financial Statements and declared at meetings of the Directors.

Details of the remuneration and other benefits received by the Directors are set out in Note 32.2 to the Financial Statements.

## Annual Report of Board of Directors

The shareholdings of the Directors at the beginning and at the end of the financial year were as follows:

|                                                       | Shareholding<br>as at<br>31 March 2025 | Shareholding<br>as at<br>1 April 2024 |
|-------------------------------------------------------|----------------------------------------|---------------------------------------|
| Hemaka Amarasuriya<br>(Chairman/CEO)                  | 500                                    | 500                                   |
| Ms. C. R. Ranasinghe                                  | 100                                    | 100                                   |
| A. M. de S. Jayaratne<br>(upto 30 December 2024)      | Nil                                    | Nil                                   |
| Anushman Rajaratnam                                   | Nil                                    | Nil                                   |
| S. D. R. Arudpragasam                                 | Nil                                    | Nil                                   |
| Dr. T. Senthilverl                                    | Nil                                    | 1,812,840                             |
| K. T. A. Mangala Perera                               | Nil                                    | Nil                                   |
| Sanjeev Rajaratnam<br>(upto 30 December 2024)         | Nil                                    | Nil                                   |
| A. Hettiarachchy<br>(upto 30 December 2024)           | Nil                                    | Nil                                   |
| E. A. A. K. Edirisinghe<br>(upto 31 March 2025)       | 1,000                                  | Nil                                   |
| Chrisantha P. R. Perera<br>(upto 30 December 2024)    | Nil                                    | Nil                                   |
| H. Manil A. Jayasinghe                                | Nil                                    | Nil                                   |
| Indrajit A. Wickramasinghe<br>(from 30 December 2024) | Nil                                    | N/A                                   |
| Shrihan B. Perera<br>(from 30 December 2024)          | Nil                                    | N/A                                   |

### Directors' responsibility for financial reporting

The Directors responsibility for financial reporting is given on page 101.

### Statutory payments

The Directors confirm that, to the best of their knowledge, all taxes and duties payable by the Company and all contributions, levies and taxes payable on behalf of and in respect of the employees and all other known statutory dues as at the reporting date have been paid and/or provided.

### Corporate governance

The Directors are committed to maintain the highest standards of corporate governance. The main corporate governance practices of the Company are set out on pages 85 to 90.

### Property, plant and equipment

Details of property, plant and equipment, additions made during the year and depreciation thereof for the year under review are shown in Note 12 to the Financial Statements on pages 139 and 140.

### Market value of properties

Freehold lands of the Group, which are carried at cost, were re-valued by a professionally qualified independent valuer as at 31 March 2025, the Directors are of the opinion that the carrying values of the freehold lands are not in excess of the current market values of such properties.

### Environmental protection

The Directors to the best of their knowledge and belief are satisfied that the Company has not engaged in any activities which have caused adverse effects on the environment and it has complied with the relevant environmental regulations.

### Risk management

The Directors of the Company have reviewed the risk management structure of the Company and confirm that there are no material risk factors foreseeable. The Report on the Risk Management is given on pages 91 to 94.

### Ratios and market price information

Details of ratios and relevant market price information are disclosed under Financial Highlights on page 14.

### Audit committee

The composition of the Audit Committee and their Report is given on page 95 and 96.

### Related party transactions review committee

The Related Party Transactions of the Company during the financial year have been reviewed by the Related Party Transactions Review Committee of the Company and are in compliance with Rule 9.14 of the Listing Rules of the Colombo Stock Exchange.

## Annual Report of Board of Directors

There were no Non-Recurrent Related Party Transactions where the aggregate value exceeds 10% of the equity or 5% of the total assets, whichever is lower. Recurrent Related Party Transactions, where the aggregate value exceeds 10% of the gross revenue/income is as per Note 32.1.3 to the audited Financial Statements for the year ended 31 March 2025.

The composition of the Related Party Transactions Review Committee and their Report is given on page 97.

### **Remuneration committee**

The composition of the Remuneration Committee and their Report is given on page 99.

### **Nominations and governance committee**

The composition of the Nominations and Governance Committee and their Report is given on page 85.

### **Auditors**

The Auditor's Report on the Financial Statements for the year under review is given on pages 104 to 110.

The Financial Statements of the Company for the financial year under review have been audited by KPMG, Chartered Accountants, the retiring Auditors, who being eligible, offer themselves for re-appointment. A resolution to re-appoint them as Auditors and authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting.

The Audit fees for the year amounted to Rs. 4.8 Mn. (2024 – Rs. 4.3 Mn.) for the Company and Rs. 7.5 Mn. (2024 – Rs. 6.8 Mn.) for the Group, respectively and additionally for non-audit related work Rs. 0.4 Mn. (2024 – Rs. 1 Mn.) for the Company and Rs. 0.4 Mn. (2024 – Rs. 1 Mn.) for the Group, respectively.

As far as the Directors are aware, the Auditors do not have any relationship (other than that of an Auditor) with the Company or any of its subsidiaries. The Auditors also do not have any interests in the Company or any of its subsidiary companies.

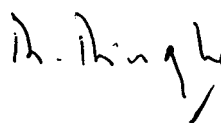
By Order of the Board



**Hemaka Amarasuriya**  
Chairman/Chief Executive Officer



**K. T. A. Mangala Perera**  
Executive Director – Group Chief Operating Officer



**Ms. C. R. Ranasinghe**  
Executive Director/Company Secretary

4 June 2025

# Chairman/Chief Executive Officer's and Group Chief Financial Officer's Responsibility Statement

The Financial Statements of C. W. Mackie PLC and the consolidated financial statements of C. W. Mackie PLC Group as at 31 March 2025 are prepared and presented, *inter alia*, in compliance with the requirements of the following:

- Sri Lanka Accounting Standards of CA Sri Lanka;
- Companies Act No. 7 of 2007;
- Sri Lanka Accounting and Auditing Standards Act No.15 of 1995;
- Listing Rules of the Colombo Stock Exchange; and
- Code of Best Practice on Corporate Governance 2023 of The Institute of Chartered Accountants Sri Lanka

It is confirmed that the significant accounting policies used in the preparation of the Financial Statements are appropriate and consistently applied, as described in the Notes to the Financial Statements. The significant accounting policies and estimates that involved a high degree of judgment and complexity were discussed with the Audit Committee and External Auditors.

Proper and sufficient care have been taken in installing systems of internal control and accounting records to safeguard assets and to prevent and detect frauds as well as other irregularities. These have been reviewed, evaluated and updated on an ongoing basis. Reasonable assurances that the established policies and procedures of the Company have been consistently followed were provided by periodic audits conducted by Group internal auditors. There are nevertheless inherent limitations that should be recognised in weighing the assurances provided by any system of internal controls and accounting.

The Audit Committee of the Company meets periodically with the internal auditors and the independent auditors to review the effectiveness of the audits and to discuss auditing, internal control and financial reporting issues. The independent auditors and the internal auditors' have full and free access to the Audit Committee to discuss any matter of substance.

The Financial Statements were audited by independent external auditors, Messrs. KPMG, Chartered Accountants. Their report is given on pages 104 to 110 of the Annual Report.

The Audit Committee approves the audit and non-audit services provided by the external auditors, in order to ensure that the provision of such services do not impair their independence.

It is confirmed that:

- the Company and its subsidiaries have complied with all applicable laws, regulations and prudential requirements; and
- there are no material non-compliances



**Hemaka Amarasuriya**  
Chairman/Chief Executive Officer



**K. K. Lalith P. Yatiwella**  
Group Chief Financial Officer

4 June 2025

# Directors' Statement on Internal Controls

As per the Code of Best Practice on Corporate Governance 2023 issued by The Institute of Chartered Accountants Sri Lanka the following statement fulfils the requirement to publish Directors' Statement on internal control.

The Board of Directors of C. W. Mackie PLC is responsible for maintaining a sound system of internal controls to safeguard shareholders' investments and the Company's assets. The Board has established an ongoing process for identifying, evaluating and managing the significant risks faced by the Company and Group. This process includes enhancing the system of internal controls as and when there are changes to business environment or regulatory guidelines. The process is regularly reviewed by the Board.

The Board is of the view that the system of internal controls in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and the preparation of financial statements for external purposes and is in accordance with relevant accounting principles and regulatory requirements.

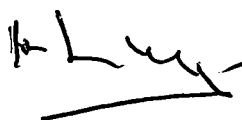
In order to obtain reasonable assurance that proper systems of internal controls are in place the following has been implemented:

- Instituted various committees to assist the Board in ensuring the effectiveness of Company's operations and the operations are in accordance with the corporate strategies and annual budget.
- Group Management and Internal Audit to review and report on the internal control environment in the Company and Group. Audits are carried out on all subsidiaries in accordance with the annual audit plan approved by the Audit Committee. Findings/key observations are submitted to the Audit Committee for their review at their periodic meetings.
- Audit Committee reviews identified internal control issues by management and evaluates the adequacy and effectiveness of the risk management and internal control systems. They also review the internal audit functions with particular emphasis on the scope of audits and quality of internal audits. The minutes of the Audit Committee meetings are tabled at the Board Meetings of C. W. Mackie PLC.

- Adoption of new Sri Lanka Accounting Standards comprising LKAS and SLFRS, processes that are required to comply with new requirements of recognition, measurement, presentation and disclosures were introduced and implemented.
- Comments made by External Auditors in connection with the internal control system during the financial year 2023/24 were taken into consideration and appropriate steps have been taken to incorporate them where appropriate.

The Board having implemented the above is mindful that such systems are designed to manage rather than eliminate the risk of failure to achieve business objective and can only provide reasonable and not absolute assurance against material misstatements of loss.

The Board of Directors confirm that the financial reporting system of C. W. Mackie PLC has been designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes has been done in accordance with the Sri Lanka Accounting Standards, requirements of the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange.



**Hemaka Amarasuriya**  
Chairman/Chief Executive Officer



**K. T. A. Mangala Perera**  
Executive Director-Group Chief Operating Officer  
4 June 2025

# Corporate Governance

The Directors are committed to maintain the highest standards of corporate governance practiced in the interest of stakeholders (notwithstanding that during the year under review the principal shareholders and connected parties held 84.38% of the issued stated capital of the Company) having regard to the requirements of the Companies Act No. 7 of 2007, Securities and Exchange Commission of Sri Lanka and Colombo Stock Exchange and to this end, *inter alia*, have established internal control systems, including a comprehensive risk identification, measurement and mitigation process which is in place designed to carry on the business of the Company in an orderly manner, to safeguard its assets and secure as far as possible the accuracy and reliability of the records and protect the rights and interests of shareholders and accountable to them for the overall management of the Company. The corporate governance of the Company is reflected in its strong belief in protecting and enhancing stakeholder value in a sustainable manner, supported by a sound system of policies and practices. Prudent internal controls ensure professionalism, integrity and commitment of the Board of Directors, Management and employees.

Steps are being taken to ensure timely compliance with the recent revised Listing Rules on Corporate Governance of the Colombo Stock Exchange (CSE Listing Rules).

## **The Board of Directors**

### **The Board, Composition and Meetings**

The Board of Directors of the Company is responsible for the governance practices adopted in all the companies within the Group. The Board comprises the Chairman/Chief Executive Officer, two Executive Directors and six other Directors (Non-Executive and Independent/Non- Executive).

The Directors have a wide range of expertise as well as significant experience and knowledge in the areas of management, commercial, financial, legal, marketing and engineering enabling them to discharge their governance duties in an efficient and effective manner. The present Directors and their profiles are given on pages 16 and 18 of the Annual Report.

The Directors and Chairman/Chief Executive Officer fully satisfy the Fit and Proper Assessment Criteria (in terms of honesty, integrity and reputation; competence & capability and financial soundness) as per the CSE Listing Rules. All have declared and confirmed that they have continuously satisfied the Fit and Proper Assessment Criteria during the financial year and as at date of such confirmation.

Each Non-Executive Director has submitted a declaration of independence/non-independence for the year. The Board makes a determination annually as to the independence/non-independence of each Non-Executive Director.

During the year under review, the Board met on five (5) occasions. Participation by all/majority of Directors are ensured at these meetings.

In order to apprise the members of the Board of the activities carried out by the Group companies, board papers are submitted in advance with all relevant management information, including Group performance, new investments, capital projects and other issues which require specific attention and approval of the Board. A Statement of Financial/ Statutory Compliance is submitted by all the key management personnel on a quarterly basis to the Audit Committee for review and thereafter to the Board.

### **Chairman/Chief Executive Officer's Role**

The Chairman, who is also the Chief Executive Officer (CEO), facilitates the effective discharge of functions of the Board and ensures that the business affairs are directed as per the set strategies, goals and objectives of the Group while maintaining interests of the Group's various stakeholders and promoting high standards of governance. The Chairman/CEO is assisted by the members of the Board and the Group Management Committee in discharging these functions.

Strict adherence to maintaining checks and balances and internal controls as hitherto has enabled to effectively carry on the work of the Executive Management and achieve even better results and take the Company and the Group to a higher level in the corporate establishment in the future.

The appointment of Chairman/CEO is with the unanimous approval of the principal shareholder. The Board of the Company having due regard to his integrity and wealth of experience and expertise in many/diverse spheres is of the firm view that in this dual role and at its helm adds considerable value to the Company and the Group. He fully meets with the fit and proper assessment criteria as per the CSE Listing Rules.

In the background of the dual role as Chairman and CEO, the Board of has appointed an Independent Non-Executive Director, as 'Senior Independent Director' in compliance with new CSE Listing Rule 9.6.3.

## Corporate Governance

### **Financial and business acumen**

The Board comprises professionals and high calibre business leaders who possess the required knowledge and experience to offer the Board the necessary guidance on matters relating to finance and business activities.

### **Supply of information**

The Company has set up procedures to receive timely information, including a clear agenda in advance of the meetings. Minutes of all the meetings are properly recorded and circulated among all Directors.

#### **• Company Secretary**

The role of the Company Secretary is performed by an Attorney-at-Law and a qualified professional registered with the Registrar of Companies of Sri Lanka. She ensures compliance with the Companies Act No. 7 of 2007, the Colombo Stock Exchange Listing Rules and the Code of Best Practice on Corporate Governance 2023. Her responsibilities include convening and documenting Board and committee meetings, maintaining statutory records, facilitating communication with shareholders, and advising the Board on regulatory and governance matters. In addition, she oversees the Annual General Meeting process and functions as the key liaison between the Board, management, shareholders, and regulatory bodies upholding high standards of transparency, governance, and corporate integrity.

#### **• Group Management Committee**

The Group Management Committee (GMC) of the Company serves as the executive leadership body tasked with implementing Board directives and overseeing the Company's day-to-day operations. Chaired by the Chairman/CEO, the GMC comprises Executive Directors, along with heads of subsidiaries and key functional leaders including Group Chief Financial Officer. The Committee regularly to review financial and operational performance, assess market conditions, evaluate strategic initiatives, and respond to emerging business challenges. The GMC plays a critical role in aligning executive management decisions with the Company's corporate strategy, while ensuring effective cross-functional collaboration across the Group's diversified business portfolio.

### **Ethics and Culture**

The Company upholds a strong culture of ethics, integrity, and professionalism across all levels of the organisation. The Board leads by example in promoting ethical conduct, transparency, and accountability, supported by established policies and internal controls that reinforce responsible business practices.

All Directors and employees are expected to adhere to the Company's ethical standards and act in the best interests of stakeholders at all times.

### **ESG integration**

The Company recognises the importance of Environmental, Social, and Governance (ESG) considerations in building a sustainable and resilient future. While formal ESG targets are currently under review, the Company has taken proactive steps to align its operations with responsible environmental practices, social responsibility, and strong governance principles. Efforts are ongoing to integrate ESG priorities into key business decisions and long-term strategic planning. SLFRS S1 and SLFRS S2 are required to be disclosed in the annual financial statements effective from 1 January 2026. The Company is committed to compliance with these standards from the commencement of the next financial year.

### **Risk management**

A structured risk management process is in place enabling the timely identification, evaluation, and mitigation of material risks that may impact business continuity, compliance, or strategic performance. The Audit Committee oversees the adequacy and effectiveness of internal controls and ensuring risk responses are regularly reviewed to safeguard operational resilience.

### **Governance/Policies**

In line with CSE Listing Rule 9.2.1, the Company has adopted governance-related policies, including, *inter alia*, those relating to Anti-Bribery and Corruption, Related Party Transactions, Whistleblowing, Environmental, Social and Governance Sustainability and Control and Management of Company Assets and Shareholder Investments. These policies reflect the Company's proactive approach to good governance and regulatory compliance.

### **Stakeholder Relationships**

The Company is committed to maintaining transparent and constructive relationships with all stakeholders, including shareholders, employees, regulators, customers, and the community. Engagement is conducted through formal communication channels such as the Annual Report, General Meetings, CSE disclosures and periodic stakeholder dialogues. The Board recognises that effective stakeholder engagement is essential for sustainable value creation and strategic alignment.

## Corporate Governance

### Remuneration review

The Remuneration Committee, comprising a majority of Independent/Non-Executive Directors, ensures that remuneration practices are fair and aligned with the Company's strategic objectives. Executive remuneration is reviewed annually, with attention to market competitiveness, individual performance, and overall Company results. Directors' fees are disclosed in the financial statements in accordance with regulatory requirements.

### Appointments to the Board

The Board, as a whole, decides on the appointments of Directors in accordance with the Articles of Association of the Company, recommendations of the Nomination and Governance Committee and in compliance with rules on governance. The details of new appointments to the Board (and any other changes) are made available to shareholders by way of prompt announcements to the Colombo Stock Exchange.

### Re-election of Directors

In terms of the Articles of Association of the Company, a Director appointed to the Board holds office until the next Annual General Meeting and seeks re-election by the shareholders at that meeting. The Articles require one Director in office (excluding the Chief Executive Officer) to retire at each Annual General Meeting. The Director to retire is a Director who has been longest in office since his last election. A retiring Director is eligible for re-election at the Annual General Meeting by the shareholders.

Re-appointment of Directors over the prescribed age is effected as per the requirements of the Companies Act No.7 of 2007.

### Procedures for Directors to obtain independent professional advice

The Board seeks professional advice as and when and where necessary from independent external professionals.

### Disclosure of Directors Remuneration

Aggregate remuneration paid to Directors is disclosed in Note 32.2 to the Financial Statements on page 174.

### Board subcommittees

The Board Sub-Committees have been set up with specific responsibilities to assist the Board in discharging its duties. The composition and scope of these Sub-Committees are given below:

| Name                                                 | Composition                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Scope                                                                                                                                                                                                                                                                          |
|------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Audit Committee<br>(The Report is given on page 95.) | <p>Consists of the three (3) Independent/ Non-Executive Directors and a Non-Executive Director. The Committee is chaired by an Independent/Non-Executive Director. The Company Secretary functions as Secretary to the Audit Committee.</p> <p>Vide Rule 9.13.3 of the Listing Rules of the Colombo Stock Exchange, the Committee shall comprise a minimum of three directors, out of which a minimum of two or majority of the members, whichever higher, shall be independent directors.</p> <p>Chairman of the Committee shall be an independent director appointed by the Board and a member of a recognised professional accounting body.</p> | Empowered, inter alia, to review the adequacy and effectiveness of the internal control and risk management systems of the Group and its compliance with financial reporting requirements including Sri Lanka Accounting Standards (SLAS/LKAS) and other related requirements. |

## Corporate Governance

| Name                                                                                         | Composition                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Scope                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>Related Party Transactions Review Committee</p> <p>(The Report is given on page 97)</p>   | <p>Consists of the three (3) Independent/Non-Executive Directors and two (2) Executive Directors. The Committee is chaired by an Independent/Non-Executive Director. The Company Secretary functions as Secretary to the Related Party Transactions Review Committee.</p> <p>Vide Rule 9.14.2 of the Listing Rules of the Colombo Stock Exchange, the Committee shall comprise of a minimum of three Directors, out of which two members shall be independent directors and may include Executive Directors.</p> <p>Chairman of the Committee shall be an Independent Director.</p> | <p>Ensure, <i>inter alia</i>, that every Related Party Transaction is conducted in a manner that will protect the Company from conflict of interest which may arise between the Company and its Related Parties and provide independent review and oversight of all proposed Related Party Transactions under Section 9 of the Listing Rules of the Colombo Stock Exchange (CSE Listing Rules), other than those exempt, as may be defined from time to time under the CSE Listing Rules.</p> |
| <p>Remuneration Committee</p> <p>(The Report is given on page 98)</p>                        | <p>Consists of the three (3) Independent/Non-Executive Directors and a Non-Executive Director. One Independent/Non-Executive Director functions as the Chairman of the Committee. The Company Secretary functions as Secretary to the Remuneration Committee.</p> <p>Vide Rule 9.12.6 of the Listing Rules of the Colombo Stock Exchange, the Committee shall comprise a minimum of three Directors, out of which a minimum of two members shall be Independent Directors.</p> <p>Chairman of the Committee shall be an Independent Director appointed by the Board.</p>            | <p>Provide recommendations to the Board of the remuneration levels of Executive Director/s, Group Management/Senior Executives based on a structured methodology in evaluating their performance annually.</p>                                                                                                                                                                                                                                                                                |
| <p>Nominations and Governance Committee</p> <p>(The Report is given on pages 99 and 100)</p> | <p>Consists of the three (3) Independent/Non-Executive Directors and a Non-Executive Director. The Committee is chaired by an Independent/Non-Executive Director. The Company Secretary functions as Secretary to the Nomination and Governance Committee.</p> <p>Vide Rule 9.11.4 of the Listing Rules of the Colombo Stock Exchange, the Committee shall comprise a minimum of three Directors, out of which a minimum of two members shall be Independent Directors.</p> <p>Chairman of the Committee shall be an independent/Non-Executive Director appointed by the Board.</p> | <p>Provide, <i>inter alia</i>, advice and recommendations on the appointment and the re-appointment of members to the Board of Directors and key management personnel of the Company, ensure that the Board has a diverse appropriate balance of skills and experience and consider the succession plan for the Chief Executive Officer and other Key Management Personnel.</p>                                                                                                               |

## Corporate Governance

**Meetings and Attendance**

Attendance at Board Meetings and Board Subcommittee Meetings during the year under review are given below:

| Name                                | Directorship                                                      | Attendance     |                 |                        |                                             |                                      |
|-------------------------------------|-------------------------------------------------------------------|----------------|-----------------|------------------------|---------------------------------------------|--------------------------------------|
|                                     |                                                                   | Board Meetings | Audit Committee | Remuneration Committee | Related Party Transactions Review Committee | Nominations and Governance Committee |
| Mr. Hemaka Amarasuriya              | Chairman/CEO                                                      | 5/5            | 5/5             | 2/2                    | 4/4                                         | 4/4                                  |
| Ms. C. R. Ranasinghe                | Executive Director/<br>Company Secretary                          | 5/5            | –               | –                      | –                                           | –                                    |
| Deshabandu<br>A. M. de S. Jayaratne | Independent/<br>Non-Executive Director<br>(upto 30 December 2024) | 2/5            | 2/5*            | –                      | 1/4                                         | 2/4*                                 |
| Mr. S. D. R. Arudpragasam           | Non-Executive Director                                            | 5/5            | –               | 2/2                    | –                                           | 4/4                                  |
| Mr. Anushman Rajaratnam             | Non-Executive Director                                            | 5/5            | 3/5             | –                      | –                                           | –                                    |
| Dr. T. Senthilverl                  | Non-Executive Director                                            | 5/5            | –               | –                      | –                                           | –                                    |
| Mr. K. T. A.<br>Mangala Perera      | Executive Director                                                | 5/5            | –               | –                      | 4/4                                         | –                                    |
| Mr. Sanjeev Rajaratnam              | Non-Executive Director<br>(upto 30 December 2024)                 | 2/5            | –               | –                      | –                                           | –                                    |
| Mr. A. Hettiarachchy                | Non-Executive Director<br>(upto 30 December 2024)                 | 3/5            | –               | –                      | –                                           | –                                    |
| Mr. E. A. A. K. Edirisinghe         | Executive Director<br>(upto 31 March 2025)                        | 5/5            | –               | –                      | –                                           | –                                    |
| Mr. Chrisantha P. R. Perera         | Independent/<br>Non-Executive Director<br>(upto 30 December 2024) | 3/5            | 3/5             | –                      | 3/4*                                        | 2/4                                  |
| Mr. H. Manil A. Jayasinghe          | Independent/<br>Non-Executive Director                            | 4/5            | 5/5*            | 2/2*                   | 4/4*                                        | 4/4*                                 |
| Mr. Indrajit<br>A. Wickramasinghe   | Independent/<br>Non-Executive Director<br>(from 30 December 2024) | 2/5            | 2/5             | 2/2                    | 1/4                                         | 2/4                                  |
| Mr. Shrihan B. Perera               | Independent/<br>Non-Executive Director<br>(from 30 December 2024) | 2/5            | 2/5             | 2/2                    | 1/4                                         | 2/4                                  |

\*Chairman of the Committee

## Corporate Governance

### **Relationship with shareholders**

The Company has opened up several channels to ensure sound communication with the shareholders. The Chairman/CEO, the Executive Directors and the Company Secretary are available to shareholders in respect of matters relating to them.

### **Annual General Meeting**

The Company regards the Annual General Meeting as an opportunity towards constructively enhancing relationship with the shareholders and to this end the following procedures are followed:

- Notice of the Annual General Meeting and related documents are sent to shareholders along with the Annual Report within the specified period.
- Summary of procedures governing voting at the Annual General Meeting are clearly communicated.
- All the Directors are available to answer queries.
- The Chairman/CEO ensures that the relevant Senior Managers, External Auditors and Legal Advisors are available at the Annual General Meeting to answer specific queries.
- Separate resolutions are proposed for each item.
- Proxy votes are counted.

### **Release of information to the public and Colombo Stock Exchange**

The Board of Directors, in conjunction with the Audit Committee, is responsible in ensuring the accuracy and timeliness of published information and in presenting an accurate and balanced assessment of results in the quarterly and annual Financial Statements.

All other material and price sensitive information about the Company, as and when necessary, is promptly communicated to the Colombo Stock Exchange and such information is also simultaneously released to the shareholders, stakeholders and employees.

### **Accountability and audit**

#### **Financial reporting**

The Company and its Board of Directors consider timely publication of its annual and quarterly Financial Statements as a high priority. These publications include all material financial and non-financial information, in order to facilitate the requirements of existing and potential shareholders. Financial Statements have been prepared based on the Sri Lanka Accounting Standards (SLFRS/LKAS).

After adequate assessment of the Company's financial position and resources, the Directors are of the opinion that the Company is capable of operating in the foreseeable future. In view of this, the 'going concern' principle has been adopted in the preparation of the Financial Statements. The Auditors' Report on the Financial Statements for the year under review is given on pages 104 to 110.

#### **Internal controls**

The Board of Directors takes overall responsibility for the Company's internal control system. A separate section for audit and compliance has been established within the Corporate Finance Division to review the effectiveness of the Company's internal controls in order to ensure reasonable assurance that assets are safeguarded and all transactions are properly authorised and recorded.

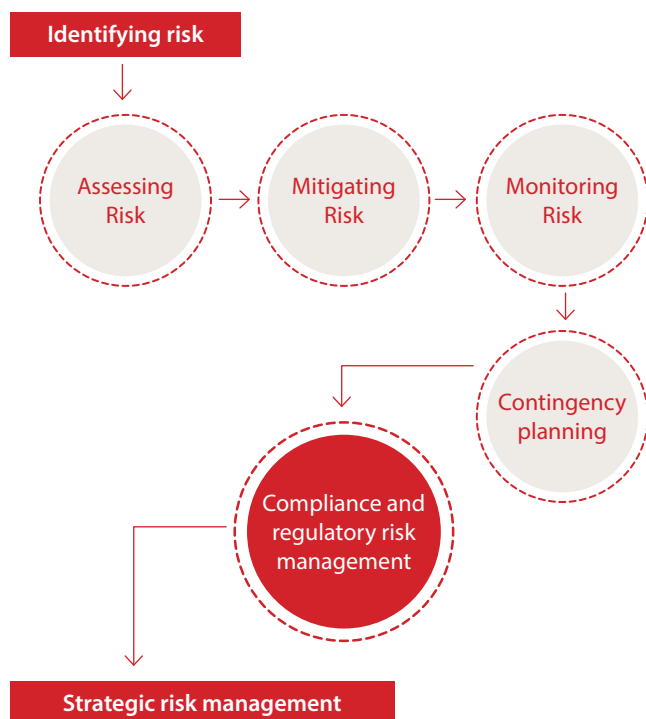
The Board of Directors has ensured that the financial reporting system has been designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Financial Statements for external purposes which have been carried out in accordance with Sri Lanka accounting standards and regulatory requirements. A Statement on Directors' Responsibility for Financial Reporting is given on page 101, Statement on Internal Controls is given on page 84 and Chairman/Chief Executive Officer's and Group Chief Financial Officer's Responsibility Statement is given on page 83.

### **Annual Report of the Board of Directors**

The Annual Report of the Board of Directors on the Affairs of the Company for the year under review is given on pages 78 to 82 of this Annual Report.

# Risk Management

At C. W. Mackie PLC, risk management is integral to our governance framework, strategic planning, and operational execution. In the face of dynamic economic, geopolitical, environmental, and technological landscapes, our commitment to proactive and structured risk management continues to be a cornerstone of sustainable value creation and resilience. During the financial year 2024/25, we further enhanced our risk management infrastructure to respond more effectively to emerging threats and opportunities. Our risk management framework is aligned with the principles of Enterprise Risk Management (ERM), ensuring that risks are identified, assessed, monitored, and mitigated across all levels of the organisation from strategic and operational to financial and compliance domains.



## Stewardship of risk management

The Board of Directors holds ultimate accountability for the Group's risk management framework, including the establishment and endorsement of risk management policies, frameworks, and risk appetite. The Board provides strategic oversight to ensure that risks are effectively aligned with the Group's objectives and that risk mitigation strategies are robust and effective.

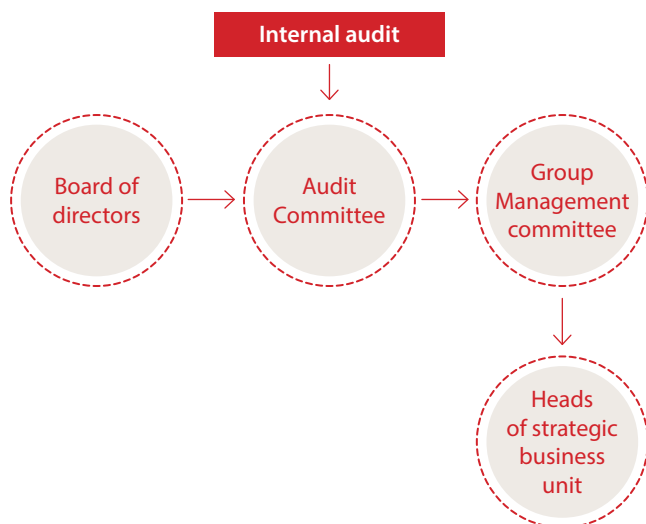
The Audit Committee supports the Board by critically evaluating risk management processes, challenging risk assessments, and reviewing controls presented by management. This assists the Board in fulfilling its oversight responsibilities related to risk management.

Serving as the third line of defence, the Internal Audit function operates independently to provide assurance on the effectiveness of risk management, internal controls, and governance processes. Internal Audit conducts audits and reviews to verify the efficacy of risk mitigation activities and ensures that risks are appropriately managed. It regularly reports to the Audit Committee and senior management, highlighting any control weaknesses or gaps and providing recommendations for improvement. Additionally, Internal Audit monitors and follows up on corrective actions to ensure timely resolution of identified risk-related issues.

The Group Management Committee is responsible for the day-to-day management and operationalisation of the risk management framework. It makes operational decisions regarding risk mitigation and escalates issues beyond its delegated authority.

The Heads of Departments (HODs) serve as the first line of defence, charged with identifying, assessing, managing, and mitigating risks within their respective areas. They foster a risk-aware culture within their teams, ensuring that all employees understand their individual responsibilities in risk management.

## Risk Management



### Risk focus

Our approach remains collaborative and adaptive, integrating insights from internal stakeholders, external advisors, and market intelligence to ensure our risk responses are timely and effective.

This year, our focus extended to strengthening our response to climate-related risks, cybersecurity threats, supply chain vulnerabilities, and macroeconomic pressures, while also capitalising on technological advancements and market diversification. Through these efforts, we aim to safeguard shareholder value, protect our corporate reputation, and reinforce long-term sustainability.

The table below presents a breakdown of our key risk categories, their potential impacts, and corresponding mitigation strategies:

| Risk                                                                                                                                                                                                                       | Potential Impact                                                                                                                                                                                                                            | Mitigation strategy                                                                                                                                                                                                                                                                      |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>(1) Country's foreign currency liquidity</b><br>Severe shortage in Sri Lanka's foreign currency reserves tempted continuous depreciation of the rupee, difficulties in opening letters of credit to facilitate imports. | <ul style="list-style-type: none"> <li>• high import cost of materials</li> <li>• Increase freight rates</li> <li>• Incapable to meet customer demand on time</li> <li>• Possible stock out situation</li> </ul>                            | <ul style="list-style-type: none"> <li>• Local source of some materials</li> <li>• Increase export market share</li> <li>• Use export funds for imports</li> <li>• Extended buffer stock requirement</li> </ul>                                                                          |
| <b>Risk rating</b><br>2024/25      2023/24<br>Low      Moderate                                                                                                                                                            |                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                          |
| <b>(2) Inflationary pressures</b><br>Global recession, disruption in supply chains, the country's weakened macroeconomic factors and sharp devaluation of LKR leads to inflationary situation in the country               | <ul style="list-style-type: none"> <li>• businesses exerting pressure on costs and margins</li> <li>• wage pressure</li> <li>• adverse impact on disposal income and consumer sentiments directly impacted to demand of products</li> </ul> | <ul style="list-style-type: none"> <li>• Ensures that inflation is inbuilt into the pricing strategies sectors.</li> <li>• Process re-engineering to address cost savings</li> <li>• Promotions and discounts</li> </ul>                                                                 |
| <b>Risk rating</b><br>2024/25      2023/24<br>Low      Moderate                                                                                                                                                            |                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                          |
| <b>(3) Supply chain disruptions</b><br>Global supply chain disrupted due to Israel & Palestine war, Russia Ukraine war and Red Sea conflict                                                                                | <ul style="list-style-type: none"> <li>• Increase freight rates</li> <li>• Volume decreased</li> <li>• Margin decreased</li> <li>• Increase in working capital cycle</li> <li>• Delay in shipping Lines</li> </ul>                          | <ul style="list-style-type: none"> <li>• New export market opportunities</li> <li>• Negotiate with customers to share the cost</li> <li>• Early reservation at shipping lines</li> <li>• Price negotiation</li> <li>• Looking for different suppliers from war free countries</li> </ul> |
| <b>Risk rating</b><br>2024/25      2023/24<br>High      High                                                                                                                                                               |                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                          |

## Risk Management

| Risk                                                                                                                                                                                                     | Potential Impact                                                                                                                                                                                                              | Mitigation strategy                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>(4) Credit risk</b><br>Continues financial and economic crises in the country have deteriorated the customer's liquidity and creditworthiness                                                         | <ul style="list-style-type: none"> <li>• Increase in impairment provisions</li> <li>• Debtor write-offs</li> <li>• Increase in Cost of Collection</li> <li>• Decrease in sales volumes</li> </ul>                             | <ul style="list-style-type: none"> <li>• Tightened credit management policies</li> <li>• Automated system to analyse customer payment patterns and behavior</li> <li>• Maintain a sustainable relationship with customers</li> <li>• Continuous evaluation of creditworthiness of customers</li> </ul>                                                                                                                                                                           |
| Risk rating<br>2024/25                      2023/24<br>Moderate                      Moderate                                                                                                            |                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>(5) Interest rate risk</b><br>With a constrict monetary policy, interest rate fluctuation                                                                                                             | <ul style="list-style-type: none"> <li>• Increase in net finance cost</li> <li>• Increase in cost of working capital</li> </ul>                                                                                               | <ul style="list-style-type: none"> <li>• Continues negotiations with lending institutes for lower rates and extended facilities</li> <li>• Implementing cost-cutting measures to improve</li> <li>• working capital efficiency</li> <li>• Ensuring that long and short-term funding are negotiated and sourced at low-interest rates</li> </ul>                                                                                                                                  |
| Risk rating<br>2024/25                      2023/24<br>Low                      Moderate                                                                                                                 |                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>(6) Human resource risk</b><br>Due to the country's adverse tax systems and economic unrest, significant number of professionals and skilled employees are migrating or taking up overseas employment | <ul style="list-style-type: none"> <li>• Retaining skilled and experienced staff is an encounter</li> </ul>                                                                                                                   | <ul style="list-style-type: none"> <li>• More investment on training and leadership development</li> <li>• Offer more benefits, perks and salary increases on an annual basis to ensure that employees are both recognised and satisfied</li> </ul>                                                                                                                                                                                                                              |
| Risk rating<br>2024/25                      2023/24<br>Low                      High                                                                                                                     |                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>(7) IT Systems and cyber security risk</b><br>Most Group functions are IT system driven and backed by internet driven services. With fast-moving technology, the risk of cyber security is very high  | <ul style="list-style-type: none"> <li>• System malfunctions may affect business continuity</li> <li>• Financial loss arising from cyberattacks and vulnerabilities</li> <li>• Potential loss of confidential data</li> </ul> | <ul style="list-style-type: none"> <li>• Security operations, application installation and configuration are centrally controlled</li> <li>• Conducting vulnerability risk assessment</li> <li>• Staff awareness and programs are conducted on information security and on handling of sensitive information</li> <li>• Investments in advanced technology on cybersecurity software and infrastructure</li> <li>• In the process of developing cyber security policy</li> </ul> |
| Risk rating<br>2024/25                      2023/24<br>High                      High                                                                                                                    |                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>(8) Competition</b><br>Every day, every minute the corporate world is changing. Any time a competitor can emerge as a substitute or a complement                                                      | <ul style="list-style-type: none"> <li>• The competitive risk may refrain the Group from achieving its target margins and market share</li> </ul>                                                                             | <ul style="list-style-type: none"> <li>• Continued efforts to develop new/untouched markets and market segments</li> <li>• Focus on further diversification both horizontal and vertical</li> <li>• Continuing competitor analysis</li> </ul>                                                                                                                                                                                                                                    |
| Risk rating<br>2024/25                      2023/24<br>Moderate                      Moderate                                                                                                            |                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |

## Risk Management

| Risk                                                                                                                                                                                                                                                                 | Potential Impact                                                                                                                                                                                         | Mitigation strategy                                                                                                                                                                                                                                                                                |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>(9) Fire Risk</b><br>Unexpected fire will be a significant risk factor for all warehouses and burn disruption                                                                                                                                                     | <ul style="list-style-type: none"> <li>• Destroying inventories</li> <li>• Burn disruption</li> <li>• Employees get frustrated</li> </ul>                                                                | <ul style="list-style-type: none"> <li>• regular monitor on fire extinguish and safety equipment</li> <li>• awareness and training on preventing fire</li> <li>• Insurance cover for warehouses and inventory</li> <li>• Conduct regular fire drill programs in the warehouses</li> </ul>          |
| Risk rating                                                                                                                                                                                                                                                          |                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                    |
| 2024/25                                                                                                                                                                                                                                                              | 2023/24                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                    |
| High                                                                                                                                                                                                                                                                 | High                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                    |
| <b>(10) Brand reputation risk</b><br>Impairment of Brand reputation due to failure of product quality                                                                                                                                                                | <ul style="list-style-type: none"> <li>• Decrease in Sales Volume</li> <li>• Litigation action against the company by the Consumer Affairs Authority</li> <li>• Imposed penalty</li> </ul>               | <ul style="list-style-type: none"> <li>• Conducting continuous quality control process by the quality Department</li> <li>• Conducting awareness and training program among dealers and sales representatives about the products features</li> <li>• Fast action on consumer complaints</li> </ul> |
| Risk rating                                                                                                                                                                                                                                                          |                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                    |
| 2024/25                                                                                                                                                                                                                                                              | 2023/24                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                    |
| Low                                                                                                                                                                                                                                                                  | Low                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                    |
| <b>(11) Risk of undisclosed liability</b><br>Risk of uncovering other obligations after sales                                                                                                                                                                        | <ul style="list-style-type: none"> <li>• It may have an impact on financial stability</li> <li>• Lead to unexpected cost and lawsuits etc</li> </ul>                                                     | <ul style="list-style-type: none"> <li>• Disclosed all products liability to the customer</li> <li>• Ensure product pricing complies with laws and regulations</li> </ul>                                                                                                                          |
| Risk rating                                                                                                                                                                                                                                                          |                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                    |
| 2024/25                                                                                                                                                                                                                                                              | 2023/24                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                    |
| Low                                                                                                                                                                                                                                                                  | Low                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                    |
| <b>(12) Legal and Compliance risk</b><br>This refers to the potential harm or loss on Company faces due to failing to adhere to laws and regulations, industry standard. Such as financial reporting, environmental health and safety and government regulations etc | <ul style="list-style-type: none"> <li>• Company losing license to operate which may affect business continuity</li> <li>• Imposed an additional penalty which affects the company reputation</li> </ul> | <ul style="list-style-type: none"> <li>• The Company regularly reviews its adherence to all necessary regulations</li> </ul>                                                                                                                                                                       |
| Risk rating                                                                                                                                                                                                                                                          |                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                    |
| 2024/25                                                                                                                                                                                                                                                              | 2023/24                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                    |
| Low                                                                                                                                                                                                                                                                  | Low                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                    |

# Report of the Audit Committee

The Audit Committee of the Board of Directors of C. W. Mackie PLC consists of the three (3) Independent/Non-Executive Directors, viz. Mr. H. Manil A. Jayasinghe (Chairman of the Committee from 30 December 2024) Mr. Indrajit A. Wickramasinghe (from 30 December 2024), Mr. Shrihan B. Perera (from 30 December 2024) and Non-Executive Director, Mr. Anushman Rajaratnam. Independent/Non-Executive Directors Deshabandu A. M. de S. Jayaratne (Chairman of the Committee), Mr. Chrisantha P. R. Perera ceased to be members of the Committee as from 30 December 2024. The wide range of financial knowledge, professional skills and business acumen of the Committee enable their functions to be carried out efficiently and effectively. Mr. Hemaka Amarasuriya (Chairman/ Chief Executive Officer of the Company) and Chief Financial Officer (CFO) are participants by invitation. The External Auditors, KPMG, Chartered Accountants, attend meetings on invitation. Other officials of the Company and the Internal Auditor, a leading professional firm of Chartered Accountants to which the internal audit function has been outsourced, attend meetings on a need basis. The Company Secretary functions as Secretary to the Audit Committee.

During the financial year ended 31 March 2025 the Audit Committee had five (5) meetings. The minutes of the Audit Committee meetings are circulated to the full Board of the Company.

## Role of the Committee

Written Terms of Reference compliant with the recent revisions to the Listing Rules on Corporate Governance of the Colombo Stock Exchange approved by the Board of Directors deal clearly with the authority and functions of the Audit Committee. It is, *inter alia*, empowered to review the adequacy and effectiveness of the internal control and risk management systems of the Group and its compliance with legal and regulatory requirements; the adequacy and performance of the Internal Audit function and the External Auditors qualifications, performance and independence.

The Company has in place as per CSE requirements a Policy on Board Committees, including the Audit Committee.

## Financial reporting

The Audit Committee, *inter alia*, reviewed and discussed the quarterly and annual financial statements of the Group with the Management, particularly with reference to compliance with statutory and other requirements of Sri Lanka Accounting Standards, Companies Act No.7 of 2007 and applicable Listing Rules of the Colombo Stock Exchange and recommended to the Board they approve the same prior to their release to the Colombo Stock Exchange and Shareholders.

## Internal audit, risks and control

In view of the fact that the Company has adopted a risk-based approach, the effectiveness of the internal control procedures in place to identify and manage all significant risks are being reviewed by the Audit Committee and in the process of developing a framework to assess and measure all risks. The Audit Committee seeks and obtains the required assurances from the Group Management Committee and the Internal Auditors on the remedial action in respect of the identified risks in order to maintain the effectiveness of internal control procedures in place.

Accordingly, the Audit Committee is satisfied that organisational controls and the Risk Management Framework being developed will provide a reasonable assurance as to the reliability of the Company's financial reporting, safeguarding of its assets and compliance with statutory requirements, as well as compliance with the Listing Rules of the Colombo Stock Exchange.

The adequacy of the internal audit plans and scope for the Group was reviewed and evaluated by the Committee. Reports issued by the Internal Auditors on the operations of the Company and its subsidiaries were reviewed and discussed with the Management.

## Report of the Audit Committee

### External Audit

The Audit Committee has discussed with the External Auditors the scope and conduct of the annual audit.

Before the conclusion of the audit, the Committee met with the External Auditors to discuss all audit issues and to agree on their treatment.

The Audit Committee has reviewed the Management Letter issued by the External Auditors and is satisfied as to the follow up action as necessary in respect thereof by the Management.

Having reviewed the performance of the External Auditors, the Audit Committee has no reason to doubt their effectiveness and independence. A confirmation has been received from the External Auditors as to their compliance with the 'independence' guidance as given in the Code of Professional Conduct and Ethics by the Institute of Chartered Accountants of Sri Lanka.

The Committee has noted that KPMG have been served as External Auditors to the Group to date and the current audit partner from April 2024.

The Audit Committee is satisfied of their objectivity and independence in the non-audit services provided. As far as the Committee is aware External Auditors have no relationship and/or interest in or with the Group other than that of an auditor.

The Audit Committee after evaluating the effectiveness of the independent performance of the External Auditors, has recommended to the Board of Directors that KPMG, Chartered Accountants, be re-appointed Auditors for the financial year ending 31 March 2026 at a remuneration to be determined by the Board, subject to the approval of the Shareholders at the Annual General Meeting.

### General

The Committee obtained assurance's from the CEO and CFO of the Company's operations and finance including the adequacy of provisions made for possible liabilities and reviewed reports by Group Companies certifying compliance therewith with statutory requirements as relevant. Regular updates from CFO and Legal/Corporate Affairs are also obtained on compliance matters.

Upholding ethical values of members of staff is emphasised and documented in the Policy on Internal Code of Business Conduct and Ethics, as also Policy on Whistleblowing and policy on Anti-Bribery and Corruption thereby educating and encouraging staff. Procedures as appropriate are in place to conduct independent investigations into incidents reported through whistleblowing or identified through other means with guarantee of strict confidentiality of the whistleblower's identity.

The revised policy decisions relating to adoption of new and revised Sri Lanka Accounting Standards (SLFRS/LKAS) applicable to Group companies were reviewed by the Committee and recommendations where required made to the Board of Directors.

The Committee continues to monitor the progress of the implementation of SLFRS as per the requirements of Sri Lanka Accounting Standards and compliance with relevant accounting standards and keep the Board of Directors informed as necessary.

During the year, an independent evaluation of the effectiveness of the Committee was carried out by the other members of the Board of Directors and the overall conduct of the Committee and contribution on overall performance of the Group has been rated as highly effective.

### Appreciation

The Committee wish to place on record their deep appreciation of the valuable contribution of Deshabandu A. M. de S. Jayaratne (since 2007) who also served as Chairman of the Committee and Mr. Chisantha P. R. Perera during their tenure as Members.



**H. Manil A. Jayasinghe**

Chairman

Board of Directors Audit Committee

4 June 2025

# Report of the Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board of Directors of C. W. Mackie PLC consists of the three (3) Independent/Non-Executive Directors, viz. Mr. H. Manil A. Jayasinghe (Chairman of the Committee from 30 December 2024), Mr. Indrajit A. Wickramasinghe (from 30 December 2024), Mr. Shrihan B. Perera (from 30 December 2024) and Mr. Hemaka Amarasuriya (Chairman/Chief Executive Officer of the Company) and Mr. K. T. A. Mangala Perera, Executive Director. Independent/Non-Executive Directors Mr. Chrisantha P. R. Perera (Chairman of the Committee) and Deshabandu A. M. de S. Jayaratne, ceased to be members of the Committee as from 30 December 2024.

Written Terms of Reference compliant with the recent revisions to the Listing Rules on Corporate Governance of the Colombo Stock Exchange approved by the Board of Directors deal clearly with the authority and duties of the Related Party Transactions Review Committee. The purpose of the Committee is to provide independent review and oversight of all proposed Related Party Transactions, other than those exempt, as may be defined from time to time under the Listing Rules of the Colombo Stock Exchange (CSE Listing Rules).

The Committee has adopted the Related Party Transactions policy set out in the terms of reference, prepared in accordance with the rules pertaining to Related Party Transactions set out in Section 9 of the CSE Listing Rules, which is the Company's policy governing the review, approval and oversight of Related Party Transactions with the intention of providing guidance and direction on Related Party Transactions.

Policy objectives are:

- (i) To ensure that every Related Party Transaction is conducted in a manner that will protect the Company from conflict of interest which may arise between the Company and its Related Parties;  
and
- (ii) To ensure proper review, approval and disclosure of transactions between the Company and any Related Party in compliance with legal and regulatory requirements.

The Company has in place as per CSE requirements a Policy on Board Committees, including the Related Party Transactions Review Committee.

The Committee was set up as per the directive of the Securities and Exchange Commission of Sri Lanka of 12 December 2013 and is constituted as required by the CSE Listing Rules on Related Party Transactions. The Committee, upon becoming mandatory with effect from 1 January 2016, has met quarterly and discussed, *inter alia*, the nature of the transactions that should be approved by the Committee as stipulated by the CSE Listing Rules.

The Committee has reviewed Related Party Transactions during the financial year and communicated its observations/comments to the Board of Directors.

The Committee also has taken steps to review and strengthen the existing process of identifying related parties, capturing Related Party Transactions and reporting on such transactions as required by the CSE Listing Rules and obtain appropriate professional and expert advice in the discharge of its functions.

During the financial year ended 31 March 2025, the Related Party Transactions Review Committee had four (4) meetings and Related Party Transactions for each quarter duly reviewed. Proceedings of the Related Party Transactions Review Committee Meetings are circulated to the full Board of the Company. The Company Secretary functions as Secretary to the Related Party Transactions Review Committee.

There were no Non-Recurrent Related Party Transactions where the aggregate value exceeds 10% of the equity or 5% of the total assets, whichever is lower. Recurrent Related Party Transactions, where the aggregate value exceeds 10% of the gross revenue/income is as per Note 32.1.3 to the audited financial statements for the year ended 31 March 2025.

## Appreciation

The Committee wish to place on record their deep appreciation of the valuable contribution of Mr. Chrisantha P. R. Perera, who also served as Chairman of the Committee and Deshabandu A. M. de S. Jayaratne during their tenure as Members.



**H. Manil A. Jayasinghe**

Chairman

Board of Directors Related Party  
Transactions Review Committee

4 June 2025

# Report of the Remuneration Committee

The Remuneration Committee of the Board of Directors of C. W. Mackie PLC consists of the three (3) Independent/ Non-Executive Directors, viz. Mr. H. Manil A. Jayasinghe (Chairman of the Committee from 30 December 2024), Mr. Indrajit A. Wickramasinghe (from 30 December 2024), Mr. Shrihan B. Perera (from 30 December 2024) and Non-Executive Director, Mr. S. D. R. Arudpragasam. Mr. Hemaka Amarasuriya (Chairman/Chief Executive Officer of the Company) also participates by invitation and assists by providing relevant information during deliberations of the Committee. The Company Secretary functions as Secretary to the Remuneration Committee.

Independent/Non-Executive Directors Deshabandu A. M. de S. Jayaratne (Chairman of the Committee), Mr. Chrisantha P. R. Perera, ceased to be members of the Committee as from 30 December 2024. The Committee wish to place on record their deep appreciation of the valuable contribution of Deshabandu A. M. de S. Jayaratne and Mr. Chrisantha P. R. Perera during their tenure as Members.

Written Terms of Reference approved by the Board of Directors deal clearly with the authority and duties of the Remuneration Committee compliant with the Listing Rules on Corporate Governance of the Colombo Stock Exchange (CSE).

The Company has in place as per CSE requirements a Policy on Board Committees, including the Remuneration Committee.

The Remuneration Committee determines and recommends to the Board the remuneration levels of Executive Director/s, Group Management/Senior Executives based on a structured methodology in evaluating their performance annually. It is ensured that the remuneration at each level of management is competitive and based on performance, they are rewarded in a fair manner.

The remuneration policy of the Company is to attract, motivate and retain high quality executive talent by reference to corporate goals and objectives resolved by the Board from time to time.

The aggregate remuneration of the Executive and Non-Executive Directors is as per Note 32.2 to the audited financial statements for the year ended March 2025.

Proceedings of the Remuneration Committee Meetings are circulated to the full Board of the Company.



**H. Manil A. Jayasinghe**

Chairman

Board of Directors Remuneration Committee

4 June 2025

# Report of the Nominations and Governance Committee

The Nominations and Governance Committee of the Board of Directors of C. W. Mackie PLC consists of the three (3) Independent/Non-Executive Directors, viz. Mr. H. Manil A. Jayasinghe (member from 29 January 2024 and Chairman of the Committee from 30 December 2024) Mr. Indrajit A. Wickramasinghe (from 30 December 2024), Mr. Shrihan B. Perera (from 30 December 2024) and Non-Executive Director, Mr. S. D. R. Arudpragasam (from 23 August 2018). Mr. Hemaka Amarasuriya (Chairman/Chief Executive Officer of the Company) also participates by invitation and assists by providing relevant information during deliberations of the Committee. The Company Secretary functions as Secretary to the Nominations and Governance Committee.

Independent/Non-Executive Directors Deshabandu A. M. de S. Jayaratne (Chairman of the Committee), Mr. Chrisantha P. R. Perera, ceased to be members of the Committee as from 30 December 2024. The Committee wish to place on record their deep appreciation of the valuable contribution of Deshabandu A. M. de S. Jayaratne, and Mr. Chrisantha P. R. Perera during their tenure as Members.

In terms of the Corporate Governance Rules of the Colombo Stock Exchange the Nominations Committee of the Company was re-named as the 'Nominations and Governance Committee'. Written Terms of Reference approved by the Board of Directors deal clearly with the authority and duties of the Nominations and Governance Committee compliant with the Listing Rules on Corporate Governance of the Colombo Stock Exchange.

The Committee assists the Board in selecting, evaluating and nominating Board members considering diversity in representation, collective capabilities and skill requirements.

The scope of the Committee, *inter alia*, include the following:

To :

- evaluate and recommend the appointment of Directors to the Board and Committees considering the required skills, experience and qualifications necessary.
- consider and recommend/not recommend, the re-election of current Directors considering the Board composition against pre-defined criteria on combined knowledge, experience, performance and contribution made by the Director to meet the strategic demands of the Company and the discharge of the Board's overall responsibilities and the number of directorships held by the Director in other listed and unlisted companies and other principal commitments.

- establish and maintain a formal and transparent procedure to evaluate, select and appoint/re-appoint Directors of the Company.
- establish and maintain a set of criteria for selection of Directors such as academic/professional qualifications, skills, experience, gender and key attributes required for eligibility taking into consideration the nature of the business of the Company and industry specific requirements.
- establish and maintain a suitable process for the periodic evaluation of the performance of Chairman/Chief Executive Officer and Board of Directors of the Company to ensure their responsibilities are satisfactorily discharged.
- develop succession plans for Chairman/CEO, Board of Directors and Key Management Personnel of the Company.
- review and recommend the overall corporate governance framework of the Company considering the Listing Rules of Colombo Stock Exchange and other applicable regulatory requirements and industry best practices.
- periodically review and update the corporate governance policies/framework in line with regulatory and legal developments relating to same.
- receive reports from the Management on compliance of the corporate governance framework of the Company, including the Company's compliance with provisions of the Securities and Exchange Commission of Sri Lanka Act, Listing Rules of the Colombo Stock Exchange and other applicable laws and reasons/rationale for any deviations or non-compliances.

Board performance evaluation has been carried out and discussed at Board meetings. Any major issues relating to the Company are updated to the Independent Directors by the Chairman/CEO. Special Board Meetings are called if the need arises to discuss an important or critical matter with the Board.

Newly appointed Directors are given an induction to the Company including an overview of the different Sectors of the Group and the work carried out in the subsidiary companies. Requirements as per the Colombo Stock Exchange Listing Rules and applicable rules and regulations are informed to the new Directors. Existing Directors are regularly updated with corporate governance requirements, Colombo Stock Exchange Listing Rules and other applicable laws.

## Report of the Remuneration Committee

Non-Executive Directors have submitted declarations regarding their independence/non-independence. The Board has determined that Deshabandu A. M. de S. Jayaratne, Non-Executive Director who served on the Board for over 9 years upto date of resignation on 30 December 2024 is nevertheless independent, after taking into consideration the fact that he did not exert any control over the day-to-day activities of the Company and capable of acting in an impartial and independent manner on matters deliberated by the Board.

Each Director provided a signed declaration on his/her fitness and propriety based on the assessment criteria stipulated in the Colombo Stock Exchange Listing Rules. The fitness and propriety of the Directors were examined by the Committee.

One Director, except the Chairman/Chief Executive Officer, retires by rotation in terms of the Articles of Association and being eligible to submit for re-election at the Annual General Meeting.

Accordingly, the Committee has recommended to re-elect Mr. Anushman Rajaratnam to the Board at the Annual General Meeting to be held on 27 June 2025, based on his performance and the contribution made to achieve the objectives of the Board.

Mr. Rajaratnam was appointed to the Board on 1 April 2010 and last re-elected as a Director in 2015. His directorships and other principal commitments are given in the profile on page 17. Mr. Indrajit A. Wickramasinghe and Mr. Shrihan B. Perera, who were appointed to the Board on 30 December 2024, will also in terms of the Articles of Association come up for re-election by the shareholders at the Annual General Meeting. The profiles of Directors on page 18 set out their other principal commitments and directorships.

Due to their extensive experience, deep insights and domain knowledge evidenced through their contribution to the deliberations of the Board and operations of the Group, the Committee has recommended to the shareholders to re-appoint Mr. Hemaka Amarasuriya (Chairman/CEO), Mr. S. D. R. Arudpragasam and Dr. T. Senthilvel (Non-Executive Directors) who are over seventy years and who retires in terms of Section 210 of the Companies Act No. 7 of 2007.

Other than Mr. Anushman Rajaratnam and Mr. S. D. R. Arudpragasam, who represent the principal shareholder – Lankem Ceylon PLC and Dr. T. Senthilvel, major minority shareholder, none of the Directors who are being proposed for re-election or their family members, have any relationship with the Directors of the Company or shareholders having more than 10% of the shares of the Company.

The Corporate Governance requirements stipulated under the Listing Rules of the Colombo Stock Exchange are met by the Company as per details given on pages 85 to 90.

The Nominations and Governance Committee meets as and when there is a necessity. During the financial year under review, the Committee met on four (4) occasions.

Proceedings of the Nominations and Governance Committee Meetings are circulated to the full Board of the Company.



**H. Manil A. Jayasinghe**

Chairman

Board of Directors' Nominations and Governance Committee

4 June 2025

# Statement of Directors' Responsibility for Financial Reporting

The Directors are responsible for the Company's overall internal control systems. The Directors confirm that the existing internal controls introduced by them, which consists of internal audit, internal checks and other controls, are designed to give a reasonable assurance that all assets are safeguarded and the transactions are properly authorised and recorded either to prevent or detect material misstatements and irregularities within a reasonable time period.

The Board has established various committees, such as the Audit Committee, Remuneration Committee, Related Party Transactions Review Committee and Nominations and Governance Committee to strengthen the process of identifying and reviewing the adequacy and integrity of the system of internal controls and risk management.

The Directors are of the view that the Company and its subsidiaries have adequate resources to continue operations in the foreseeable future and have continued to use the 'going concern' basis in the preparation of the Financial Statements.

The Directors have provided the Auditors, KPMG, Chartered Accountants, with every opportunity to carry out reviews, tests and inspections that they consider appropriate and necessary to give their audit opinion. The opinion expressed by the Auditors appear on pages 104 to 110 of this Annual Report.

The Directors are responsible:

- for the preparation of the Annual Report of the Company and its subsidiaries Financial Statements in accordance with applicable laws and regulations;
- for the preparation of the Financial Statements of the Company and its subsidiaries to reflect a true and fair view of the state of affairs of the Company as at the reporting date in accordance with SLFRSs and LKASs;
- to comply and provide the information required by the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange;
- to ensure that the Company maintains sufficient accounting records to disclose, with reasonable accuracy, the financial position of the Company and of its subsidiaries;
- to select suitable accounting policies which are applied in a consistent manner disclosing and explaining material departures therefrom, if any.

The Directors are of the view that they have discharged their responsibilities to the extent required as set out in this Statement during the year under review.

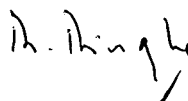
By Order of the Board



**Hemaka Amarasuriya**  
Chairman/Chief Executive Officer



**K. T. A. Mangala Perera**  
Executive Director - Group Chief Operating Officer



**Ms. C. R. Ranasinghe**  
Executive Director/Company Secretary

4 June 2025

# Statement by the Senior Independent Director

The Listing Rules of the Colombo Stock Exchange in terms of Rule 9.6.3 requires the appointment of a Senior Independent Director (SID) in the instances where the position of Chairman and Chief Executive Officer are held by the same individual and where the Chairman is an Executive Director.

Accordingly, the Board of Directors had appointed Mr. A. M. de S. Jayaratne, as the Senior Independent Director of the Company. Mr. Jayaratne having resigned from the Board of Directors of the Company with effect from 30 December 2024 ceased to function in such capacity with effect from the said date and the undersigned was appointed Senior Independent Director by the Board of C. W. Mackie PLC also with effect from 30 December 2024.

## **Rationale for appointment of SID**

In view of the strategic direction of the C. W. Mackie PLC Group of companies and the pivotal role played by the Chairman/Chief Executive Officer in terms of cultivating and developing external partnerships, maintaining trust and confidence with business partners and key principals and ensuring the retention of prestigious agencies for the sustenance and growth of the Company and the Group's business as a whole, as well as his Executive Management skills, integrity, expertise, wealth of experience and business acumen, the Board has decided that the Chairman/Chief Executive Officer should continue to function in the said capacity.

## **Role of the SID**

The role of the SID calls for providing guidance to the Chairman on matters of governance of the Company, review of the effectiveness of the Chairman and the Board, the Company and its operations and being available to any Director to have any confidential discussion on the affairs of the Company, should the need arise.

## **The terms of reference and powers of the SID**

As set out in the Company policy, the SID of the Company shall effectively discharge the following duties:

1. To meet with the Directors (without the Chairman present) on such occasions as deemed appropriate.
2. The Independent Directors to meet at least once a year or as often as deemed necessary at a meeting chaired by the SID without the presence of the other Directors to discuss matters and concerns relating to the Company and the operation of the Board. The SID to provide feedback and recommendations from such meetings to the Chairman and the other Board Members.
3. To chair a meeting of the Non-Executive Directors without the presence of the Chairman at least annually, to appraise the Chairman's performance and on such other occasions as are deemed appropriate.
4. To be entitled to a casting vote at the meetings specified in Rules 9.6.3. (b) and (c).
5. To act as a sounding board for the Chairman, providing him with ongoing counsel across the range of relevant Company issues.
6. To serve as an intermediary between the Chairman and the views of the other Directors and key stakeholders when necessary.
7. To meet with the Directors at least annually, without the Chairman present, to evaluate the Chairman's performance, taking into account the views of key stakeholders of the Company.
8. To provide the Chairman with candid feedback as a result of the annual evaluation and in doing so, identifying any areas which need attention.
9. To make a signed explanatory disclosure in the Annual Report demonstrating the effectiveness of duties of the SID.

## **Meetings**

In compliance with the regulations, I have presided over a meeting with the Non-Executive Directors and the Independent Directors of the Company, without the presence of the Executive Directors and the performance of the Chairman was appraised. Matters relating to the Company and the operation of the Board were also discussed and the outcome together with recommendations were duly informed to the Chairman and the Board.

I believe that I have effectively discharged the duties entrusted to the SID in accordance with the applicable Colombo Stock Exchange Listing Rules on Corporate Governance.



**H. Manil A. Jayasinghe**  
Senior Independent Director  
4 June 2025

# ***Financial reports***

|     |                                                            |
|-----|------------------------------------------------------------|
| 104 | Independent Auditor's Report                               |
| 111 | Statement of Profit or Loss and Other Comprehensive Income |
| 112 | Statement of Financial Position                            |
| 114 | Statement of Changes in Equity                             |
| 116 | Statement of Cash Flows                                    |
| 119 | Notes to the Financial Statements                          |

# Independent Auditor's Report



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## **To the Shareholders of C.W. Mackie PLC** **Report on the Audit of the Financial Statements**

### **Opinion**

We have audited the financial statements of C.W.Mackie PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at March 31, 2025, and statement of profit and loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policies and other explanatory information set out on pages from 119 to 186.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as of March 31, 2025, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

### **Basis for Opinion**

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics for professional Accountants issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

### **Key Audit Matters**

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company financial statements and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the Company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

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C.P. Jayatilake FCA  
Ms. S. Joseph FCA  
R.M.D.B. Rajapakse FCA  
M.N.M. Shameel FCA  
Ms. P.M.K. Sumanasekara FCA

T.J.S. Rajakarier FCA  
W.K.D.C. Abeyrathne FCA  
Ms. B.K.D.T.N. Rodrigo FCA  
Ms. C.T.K.N. Perera ACA  
R.W.M.O.W.D.B. Rathnadiwakara FCA

W.W.J.C. Perera FCA  
G.A.U. Karunaratne FCA  
R.H. Rajan FCA  
A.M.R.P. Alahakoon ACA

Principals: S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, Ms. F.R. Ziyad FCMA (UK), FCIT, K. Somasundaram ACMA(UK), R. G. H. Raddella ACA, Ms. D. Corea Dharmaratne

## Independent Auditor's Report

**Revenue Recognition**

Refer to the accounting policies in "Note 3.14 to the Financial Statements: Revenue", "Note 05 to the Financial Statements: Revenue"

**Risk Description****Our responses**

The Group and the Company have recognised revenue from the sale of goods amounting to Rs. 24,282,721,000/- and Rs. 22,416,878,000/- respectively. Revenue is recognised when control has been transferred to the buyer; and is measured net of trade discounts and volume rebates (trade spend) for which judgement is required by management to estimate accruals.

In addition, the Group and the Company considers revenue as an important element in measuring, management performance and how management are incentivised. These factors could create an incentive for revenue to be recognised prior to control being transferred.

We identified the recognition of revenue as a key audit matter because revenue is a significant audit risk and one of the key performance indicators of the Group and the Company and therefore there is an inherent risk of manipulation of the timing of revenue recognition by management to meet specific targets or expectations.

Our audit procedures included;

- Obtaining an understanding of the design, implementation and operating effectiveness of management's key internal controls in relation to recognition of revenue such as matching a sample of sales invoices recognised to sales orders and dispatch notes.
- Testing the operating effectiveness of key IT application controls over revenue, in addition to evaluating the integrity of the general IT control environment.
- Testing, on a sample basis, whether specific revenue transactions around the year end had been recognised in the appropriate period on the basis of the terms of sale within the associated contracts, such as whether shipping terms had been met, goods received notes completed and, or, customer acceptance of the product received.
- Assessing whether there was any evidence of management bias by forming an expectation of the current year revenue profile, with reference to historical trends, and comparing to actual.
- Testing a sample of credit notes issued after the year end and challenged those that were not recorded by obtaining evidence and rationale for significant reversals.
- Assessing the quantification of adjustments arising from management's revenue recognition assessment for compliance with SLFRS 15 during the year and disclosures for the same.

## Independent Auditor's Report



### Valuation of the Freehold Land (Property, Plant and Equipment)

Refer to the accounting policies in "Note 3.4 to the Financial Statements: Property, plant and equipment"; "Note 12 to the Financial Statements: Property, plant and equipment"

| Risk Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Our responses                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>As at 31st March 2025, the Group's and the Company's Freehold Land, measured at fair value and classified under Property, Plant and Equipment, amounted to Rs. 1,417,229,000/- and Rs. 412,429,000/- respectively.</p> <p>The Group and the Company have engaged an independent professional valuer with appropriate expertise to determine the fair value of these properties in accordance with recognised industry standards.</p> <p>Estimating the fair value is a complex process which involves a significant degree of judgment and estimates in respect of price per perch of the land, capitalisation rates, and diversity of locations and nature of the land.</p> <p>We identified this as a key audit matter because of the significance of the value of these properties to the Financial Statements and significant judgement/estimation involves in the valuation.</p> | <p>Our audit procedures included;</p> <ul style="list-style-type: none"> <li>• Discussions with management and the external valuer and comparison of the key assumptions used against externally published market comparable or industry data where available and challenging the reasonableness of key assumptions based on our knowledge of the industry.</li> <li>• Discussions with management and the external valuer in relation to the possible impact on the key assumptions and the resulting valuation due to current uncertain economic conditions.</li> <li>• Assessing the key inputs used in the valuation by the independent external valuer against our expectations based on our experience, externally published market comparable and our knowledge of property market, consultation with internal valuation specialist.</li> <li>• Assessing the objectivity, independence, competence and qualifications of the external valuer.</li> <li>• Assessing the adequacy of the disclosures in the financial statements, including the description and appropriateness of the inherent degree of subjectivity and key assumptions in the estimates.</li> </ul> |

## Independent Auditor's Report

**Carrying Value of Inventories**

Refer to the accounting policies in "Note 3.8 to the Financial Statements: Inventories", "Note 15 to the Financial Statements: Inventories"

**Risk Description**

As at the reporting date, the Group and the Company hold inventory of Rs. 3,776,440,000/- and Rs.3,439,396,000/-, respectively. The management judgment is applied to the cost of inventories in order to accurately reflect the manufacturing costs incurred in bringing them to their current condition and physical location. This primarily relates to the assessment of direct labour costs incurred, manufacturing overheads to be absorbed and other relevant production costs.

A risk surrounding the carrying value of inventory when compared to the net realisable value as a result of inadequate provisioning has also been identified. Establishing a provision for slow-moving, obsolete and damaged inventory involves estimates and judgments, taking into account forecast sales and historical usage information. Further, the prevailing uncertain and volatile macro-economic environment resulted in interruption in business activities and resulted in loss of income for some of the individuals/ industries which would adversely affect the ability to sell its inventories with a reasonable margin which would have a potential impact on the net realisable value adjustments.

We identified assessing the carrying value of inventories as a key audit matter because of the inherent risk that the Group's and the Company's inventories may become obsolete or may be sold at prices below their carrying values and because the judgment exercised by management in determining the appropriate provision for inventories involves management's bias.

**Our responses**

Our audit procedures included;

- Attending stock counts as at the year-end. In addition, assessing the effectiveness of the physical count controls in operation at count location to identify damaged stocks, and expired stocks that are written off in a timely manner and evaluating the results of the other counts performed by the management throughout the period to assess the existence of inventory.
- Obtaining an understanding and assessing the design, implementation and operating effectiveness of the Group's key internal controls relating to the assessment of inventory valuation and inventory provisioning.

On a sample basis, we have performed the following:

- Agreeing the cost of raw materials to third party supplier invoices;
- For work in progress and finished goods, we obtained the bill of material and tested the underlying costs within each stock item. We challenged the key assumptions concerning overhead absorption by assessing the appropriateness of costs included in the calculation;
- Evaluating the parameters and system accuracy of weighted average cost (WAC) calculated with the assistance of IT audit specialist.
- Assessing the net realisable value (NRV) on a sample basis of stock items by agreeing their subsequent sales price to customer invoices to ensure that the items were being held at the lower of cost and NRV;
- Obtaining an understanding of the movements in the inventory for the year and assess the scale of the provision for non-moving and slow moving inventory.
- Where manual adjustments have been made to the provision, we have understood these by obtaining supporting documentation.
- Assessing whether the group's policies had been consistently applied and the adequacy of the Group's disclosures in respect of the judgment and estimation made in respect of inventory provisioning.

## Independent Auditor's Report



### Allowance for Impairment losses of Trade Receivables

Refer to the accounting policies in "Note 3.9 to the Financial Statements: Impairment", "Note 16.1 to the Financial Statements: Trade receivables from related parties" and "Note 16.2 to the Financial statement: Trade receivables"

| Risk description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Our responses                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>As at 31 March 2025, the Group has recognised trade receivables from related parties and other trade receivables amounting to Rs. 39,472,000/- and Rs. 4,208,369,000/- respectively, net of impairment provisions of Rs. 81,812,000/- and Rs. 112,832,000/-.</p> <p>The Company has recognised trade receivables from related parties and other trade receivables of Rs. 322,587,000/- and Rs. 3,886,832,000/- respectively, after impairment provisions of Rs. 81,812,000/- and Rs. 107,388,000/-.</p> <p>The Group's and the Company's customers operate in a number of sectors, having different credit profiles. SLFRS 9 – "Financial Instruments" ECL Model takes into account judgment in setting the assumptions such as forward-looking probability of default (PD), loss given default (LGD), macroeconomic scenarios including their weighting and judgments over the use of data inputs required.</p> <p>Allowance for impairment losses of trade receivables remains one of the most significant judgments made by the management particularly in light of the prevailing uncertain macro-economic outlook in Sri Lanka as at the reporting date.</p> <p>We identified Allowance for impairment losses of trade receivables as a key audit matter for our audit, as it requires management to exercise subjective judgment in making assumptions and estimates for the assessment of Allowance for impairment losses of trade receivables.</p> | <p>Our audit procedures included;</p> <ul style="list-style-type: none"> <li>• Evaluating the appropriateness of the impairment methodology used by the Group in accordance with SLFRS 9 and challenging the key assumptions and evaluating the reasonableness of the key judgments and methodology used by the management.</li> <li>• Evaluating the completeness, accuracy and relevance of data used in preparation of the impairment provision.</li> <li>• We have involved our FRM specialist to assess the reasonability of the adjustments made by the Group to the forward looking macro-economic factors and assumptions used in the ECL model.</li> <li>• Challenging how management had assessed the impact of the prevailing uncertain macro-economic outlook within the ECL model to assess whether that it was appropriately considered in the measurement of ECLs at year end.</li> <li>• Evaluating the adequacy of the Group's disclosures regarding the degree of judgments and estimation involved in arriving at the allowance for impairment losses of trade receivables.</li> </ul> |

## Independent Auditor's Report



### **Other Information**

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

### **Responsibilities of Management and Those Charged with Governance for the Financial Statements**

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

### **Auditor's Responsibilities for the Audit of the Financial Statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

## Independent Auditor's Report



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

### **Report on Other Legal and Regulatory Requirements**

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2599.

A handwritten signature in black ink, appearing to read 'K. M. M.', written over a horizontal line.

**Chartered Accountants**

Colombo, Sri Lanka

05 June 2025

# Statement of Profit or Loss and Other Comprehensive Income

| For the year ended 31 March                                          | Note      | Group            |                  | Company          |                  |
|----------------------------------------------------------------------|-----------|------------------|------------------|------------------|------------------|
|                                                                      |           | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Revenue                                                              | 5         | 24,282,721       | 19,387,992       | 22,416,878       | 17,949,504       |
| Cost of sales                                                        |           | (21,030,543)     | (16,631,901)     | (19,362,428)     | (15,369,841)     |
| <b>Gross profit</b>                                                  |           | <b>3,252,178</b> | <b>2,756,091</b> | <b>3,054,450</b> | <b>2,579,663</b> |
| Other operating income                                               | 6         | 101,658          | 207,049          | 88,308           | 255,540          |
| Distribution expenses                                                |           | (1,256,993)      | (935,830)        | (1,188,520)      | (894,619)        |
| Administrative expenses                                              |           | (1,173,242)      | (1,004,125)      | (1,116,884)      | (893,405)        |
| <b>Results from operating activities</b>                             | <b>7</b>  | <b>923,601</b>   | <b>1,023,185</b> | <b>837,354</b>   | <b>1,047,179</b> |
| Finance income                                                       |           | 16,133           | 21,363           | 32,145           | 15,047           |
| Finance costs                                                        |           | (438,131)        | (543,385)        | (377,820)        | (482,555)        |
| <b>Net financing income/(costs)</b>                                  | <b>8</b>  | <b>(421,998)</b> | <b>(522,022)</b> | <b>(345,675)</b> | <b>(467,508)</b> |
| Share of joint venture's profit                                      | 14.2.1    | 168,829          | 1,002            | 168,829          | 1,002            |
| <b>Profit before taxation</b>                                        |           | <b>670,432</b>   | <b>502,165</b>   | <b>660,508</b>   | <b>580,673</b>   |
| Income tax expense                                                   | 9         | (180,119)        | (83,128)         | (172,521)        | (80,001)         |
| <b>Profit for the year</b>                                           |           | <b>490,313</b>   | <b>419,037</b>   | <b>487,987</b>   | <b>500,672</b>   |
| <b>Other comprehensive income/(expense) net of income tax</b>        |           |                  |                  |                  |                  |
| <b>Items that will not be reclassified to profit or loss</b>         |           |                  |                  |                  |                  |
| Revaluation of land                                                  | 12        | 138,461          | –                | 48,521           | –                |
| Actuarial loss on defined benefit plans                              | 26.4      | (13,948)         | (74,658)         | (10,305)         | (58,138)         |
| Share of other comprehensive expense of equity accounted investee    | 14.2.2    | (1,518)          | (1,839)          | (1,518)          | (1,839)          |
| Related taxes on other comprehensive income                          | 28        | (37,912)         | (16,999)         | (11,465)         | (17,441)         |
| <b>Other comprehensive income/(expense) for the year, net of tax</b> |           | <b>85,083</b>    | <b>(93,496)</b>  | <b>25,233</b>    | <b>(77,418)</b>  |
| <b>Total comprehensive income for the year</b>                       |           | <b>575,396</b>   | <b>325,541</b>   | <b>513,220</b>   | <b>423,254</b>   |
| <b>Profit/(loss) attributable to:</b>                                |           |                  |                  |                  |                  |
| Equity holders of the parent                                         |           | 497,911          | 416,062          | 487,987          | 500,672          |
| Non-controlling interests                                            |           | (7,598)          | 2,975            | –                | –                |
| <b>Profit for the year</b>                                           |           | <b>490,313</b>   | <b>419,037</b>   | <b>487,987</b>   | <b>500,672</b>   |
| <b>Total comprehensive income/(expense) attributable to:</b>         |           |                  |                  |                  |                  |
| Equity holders of the parent                                         |           | 580,668          | 327,443          | 513,220          | 423,254          |
| Non-controlling interests                                            |           | (5,272)          | (1,902)          | –                | –                |
| <b>Total comprehensive income for the year</b>                       |           | <b>575,396</b>   | <b>325,541</b>   | <b>513,220</b>   | <b>423,254</b>   |
| <b>Basic earnings per share (Rs.)</b>                                | <b>10</b> | <b>13.84</b>     | <b>11.56</b>     | <b>13.56</b>     | <b>13.91</b>     |
| <b>Dividend per share (Rs.)</b>                                      | <b>11</b> | <b>8.00</b>      | <b>12.00</b>     | <b>8.00</b>      | <b>12.00</b>     |

Figures in brackets indicate deductions.

The Financial Statements are to be read in conjunction with the related notes, which form an integral part of the Financial Statements set out on pages 119 to 186.

# Statement of Financial Position

| As at 31 March                                                     | Note      | Group             |                   | Company           |                  |
|--------------------------------------------------------------------|-----------|-------------------|-------------------|-------------------|------------------|
|                                                                    |           | 2025<br>Rs. '000  | 2024<br>Rs. '000  | 2025<br>Rs. '000  | 2024<br>Rs. '000 |
| <b>Assets</b>                                                      |           |                   |                   |                   |                  |
| <b>Non-current assets</b>                                          |           |                   |                   |                   |                  |
| Property, plant and equipment                                      | 12.1/12.2 | 2,109,674         | 1,800,326         | 855,650           | 658,923          |
| Investment property                                                | 12.4      | 637,737           | 637,612           | –                 | –                |
| Intangible assets                                                  | 12.5      | 6,282             | 9,477             | 6,261             | 9,432            |
| Right-of-use asset                                                 | 12.6      | 153,413           | 101,478           | 153,413           | 101,478          |
| Investments in subsidiaries                                        | 13        | –                 | –                 | 905,778           | 921,518          |
| Investment in joint venture                                        | 14        | 460,474           | 293,163           | 460,474           | 293,163          |
| Deferred tax assets                                                | 28.1      | 9,395             | 11,265            | –                 | 1,870            |
| <b>Total non-current assets</b>                                    |           | <b>3,376,975</b>  | <b>2,853,321</b>  | <b>2,381,576</b>  | <b>1,986,384</b> |
| <b>Current assets</b>                                              |           |                   |                   |                   |                  |
| Inventories                                                        | 15        | 3,776,440         | 2,909,913         | 3,439,396         | 2,663,003        |
| Trade and other receivables                                        | 16        | 4,894,425         | 4,345,078         | 4,604,682         | 4,099,391        |
| Interest bearing short-term loans to related parties               | 17        | 120,000           | –                 | 136,600           | –                |
| Other investments                                                  | 18        | –                 | –                 | –                 | –                |
| Cash and cash equivalents                                          | 19        | 91,648            | 38,819            | 74,395            | 8,881            |
| <b>Total current assets</b>                                        |           | <b>8,882,513</b>  | <b>7,293,810</b>  | <b>8,255,073</b>  | <b>6,771,275</b> |
| <b>Total assets</b>                                                |           | <b>12,259,488</b> | <b>10,147,131</b> | <b>10,636,649</b> | <b>8,757,659</b> |
| <b>Equity and liabilities</b>                                      |           |                   |                   |                   |                  |
| <b>Equity</b>                                                      |           |                   |                   |                   |                  |
| Stated capital                                                     | 20        | 507,047           | 507,047           | 507,047           | 507,047          |
| Capital reserves                                                   | 21        | 769,806           | 672,883           | 243,876           | 206,820          |
| Revenue reserves                                                   | 22        | 2,838,772         | 2,639,683         | 3,096,061         | 2,907,805        |
| <b>Equity attributable to equity holders of the Parent Company</b> |           | <b>4,115,625</b>  | <b>3,819,613</b>  | <b>3,846,984</b>  | <b>3,621,672</b> |
| Non-controlling interests                                          | 23        | 340,339           | 348,863           | –                 | –                |
| <b>Total equity</b>                                                |           | <b>4,455,964</b>  | <b>4,168,476</b>  | <b>3,846,984</b>  | <b>3,621,672</b> |
| <b>Liabilities</b>                                                 |           |                   |                   |                   |                  |
| <b>Non-current liabilities</b>                                     |           |                   |                   |                   |                  |
| Long term borrowings                                               | 24.2      | 71,430            | 122,610           | –                 | 22,408           |
| Lease payable after one year                                       | 25.1      | 129,871           | 70,805            | 129,871           | 70,805           |
| Retirement benefit obligation                                      | 26        | 155,178           | 124,188           | 97,870            | 75,334           |
| Deferred income/revenue                                            | 27.1      | 14,863            | 18,551            | 14,853            | 18,398           |
| Deferred tax liability                                             | 28.1      | 325,289           | 278,292           | 12,952            | –                |
| <b>Total non-current liabilities</b>                               |           | <b>696,631</b>    | <b>614,446</b>    | <b>255,546</b>    | <b>186,945</b>   |

## Statement of Financial Position

| As at 31 March                          | Note | Group             |                   | Company           |                  |
|-----------------------------------------|------|-------------------|-------------------|-------------------|------------------|
|                                         |      | 2025<br>Rs. '000  | 2024<br>Rs. '000  | 2025<br>Rs. '000  | 2024<br>Rs. '000 |
| <b>Current liabilities</b>              |      |                   |                   |                   |                  |
| Deferred income/revenue                 | 27.2 | 7,814             | 7,934             | 7,670             | 7,670            |
| Current portion of long term borrowings | 24.2 | 51,148            | 57,660            | 22,408            | 28,752           |
| Lease payable within one year           | 25.2 | 35,320            | 31,941            | 35,320            | 31,941           |
| Interest bearing short-term borrowings  | 29   | 3,911,823         | 2,888,673         | 3,708,823         | 2,648,673        |
| Income tax payable                      | 30   | 64,122            | 47,664            | 70,777            | 54,254           |
| Trade and other payables                | 31   | 2,721,950         | 2,095,804         | 2,443,292         | 2,000,138        |
| Bank overdrafts                         | 19   | 314,716           | 234,533           | 245,829           | 177,614          |
| <b>Total current liabilities</b>        |      | <b>7,106,893</b>  | <b>5,364,209</b>  | <b>6,534,119</b>  | <b>4,949,042</b> |
| <b>Total Liabilities</b>                |      | <b>7,803,524</b>  | <b>5,978,655</b>  | <b>6,789,665</b>  | <b>5,135,987</b> |
| <b>Total equity and liabilities</b>     |      | <b>12,259,488</b> | <b>10,147,131</b> | <b>10,636,649</b> | <b>8,757,659</b> |
| Net assets value per share (Rs.)        |      | 114.36            | 106.13            | 106.89            | 100.63           |

The Financial Statements are to be read in conjunction with the related notes, which form an integral part of the Financial Statements set out on pages 119 to 186.

I certify that the Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.



**K. K. Lalith P. Yatiwella**  
Chief Financial Officer

The Board of Directors are responsible for preparation and presentation of these Financial Statements.

The Financial Statements on pages 111 to 186 were approved by the Board of Directors and were signed in Colombo on 4 June 2025 on its behalf by :



**H. D. S. Amarasuriya**  
Chairman/CEO



**K. T. A. Mangala Perera**  
Executive Director

# Statement of Changes in Equity

| Group                                                       | Note | Attributable to equity holders of the Parent Company |                             |                                 |                             |                               |                   | Non-controlling interests | Total equity |
|-------------------------------------------------------------|------|------------------------------------------------------|-----------------------------|---------------------------------|-----------------------------|-------------------------------|-------------------|---------------------------|--------------|
|                                                             |      | Stated capital<br>Rs. '000                           | Capital reserve<br>Rs. '000 | Revaluation reserve<br>Rs. '000 | General reserve<br>Rs. '000 | Retained earnings<br>Rs. '000 | Total<br>Rs. '000 |                           |              |
| <b>Restated balance as at 1 April 2023</b>                  |      | 507,047                                              | 8,734                       | 664,149                         | 7,000                       | 2,737,103                     | 3,924,033         | 351,742                   | 4,275,775    |
| <b>Total comprehensive income/ (expense) for the year</b>   |      |                                                      |                             |                                 |                             |                               |                   |                           |              |
| Profit for the year                                         |      | –                                                    | –                           | –                               | –                           | 416,062                       | 416,062           | 2,975                     | 419,037      |
| Other comprehensive expense, net of tax                     |      | –                                                    | –                           | –                               | –                           | (88,619)                      | (88,619)          | (4,877)                   | (93,496)     |
| <b>Total comprehensive income/ (expense) for the year</b>   |      | –                                                    | –                           | –                               | –                           | 327,443                       | 327,443           | (1,902)                   | 325,541      |
| <b>Contributions by and distributions to equity holders</b> |      |                                                      |                             |                                 |                             |                               |                   |                           |              |
| Dividends                                                   | 11   | –                                                    | –                           | –                               | –                           | (431,863)                     | (431,863)         | (977)                     | (432,840)    |
| Total distributions to equity holders                       |      | –                                                    | –                           | –                               | –                           | (431,863)                     | (431,863)         | (977)                     | (432,840)    |
| <b>Balance as at 31 March 2024</b>                          |      | 507,047                                              | 8,734                       | 664,149                         | 7,000                       | 2,632,683                     | 3,819,613         | 348,863                   | 4,168,476    |
| Balance as at 1 April 2024                                  |      | 507,047                                              | 8,734                       | 664,149                         | 7,000                       | 2,632,683                     | 3,819,613         | 348,863                   | 4,168,476    |
| <b>Total comprehensive income/ (expense) for the year</b>   |      |                                                      |                             |                                 |                             |                               |                   |                           |              |
| Profit for the year                                         |      | –                                                    | –                           | –                               | –                           | 497,911                       | 497,911           | (7,598)                   | 490,313      |
| Other comprehensive income/(expense), net of tax            |      | –                                                    | –                           | 96,923                          | –                           | (14,166)                      | 82,757            | 2,326                     | 85,083       |
| <b>Total comprehensive income/ (expense) for the year</b>   |      | –                                                    | –                           | 96,923                          | –                           | 483,745                       | 580,668           | (5,272)                   | 575,396      |
| <b>Contributions by and distributions to equity holders</b> |      |                                                      |                             |                                 |                             |                               |                   |                           |              |
| Change in holding percentage due to share issue             | 13.2 | –                                                    | –                           | –                               | –                           | 3,252                         | 3,252             | (3,252)                   | –            |
| Dividends                                                   | 11   | –                                                    | –                           | –                               | –                           | (287,908)                     | (287,908)         | –                         | (287,908)    |
| Total distributions to equity holders                       |      | –                                                    | –                           | –                               | –                           | (284,656)                     | (284,656)         | (3,252)                   | (287,908)    |
| <b>Balance as at 31 March 2025</b>                          |      | 507,047                                              | 8,734                       | 761,072                         | 7,000                       | 2,831,772                     | 4,115,625         | 340,339                   | 4,455,964    |

Figures in brackets indicate deductions.

The Financial Statements are to be read in conjunction with the related notes, which form an integral part of the Financial Statements set out on pages 119 to 186.

## Statement of Changes in Equity

| Company                                                     | Note | Stated capital<br>Rs. '000 | Capital reserve<br>Rs. '000 | Revaluation reserve<br>Rs. '000 | General reserve<br>Rs. '000 | Retained earnings<br>Rs. '000 | Total equity<br>Rs. '000 |
|-------------------------------------------------------------|------|----------------------------|-----------------------------|---------------------------------|-----------------------------|-------------------------------|--------------------------|
| <b>Restated balance as at 1 April 2023</b>                  | 39   | 507,047                    | 14,909                      | 191,911                         | 7,000                       | 2,909,414                     | 3,630,281                |
| <b>Total comprehensive income/ (expense) for the year</b>   |      |                            |                             |                                 |                             |                               |                          |
| Profit for the year                                         |      | –                          | –                           | –                               | –                           | 500,672                       | 500,672                  |
| Other comprehensive expense, net of tax                     |      | –                          | –                           | –                               | –                           | (77,418)                      | (77,418)                 |
| <b>Total comprehensive income for the year</b>              |      | –                          | –                           | –                               | –                           | 423,254                       | 423,254                  |
| <b>Contributions by and distributions to equity holders</b> |      |                            |                             |                                 |                             |                               |                          |
| Dividends                                                   | 11   | –                          | –                           | –                               | –                           | (431,863)                     | (431,863)                |
| <b>Total distributions to equity holders</b>                |      | –                          | –                           | –                               | –                           | (431,863)                     | (431,863)                |
| <b>Balance as at 31 March 2024</b>                          |      | 507,047                    | 14,909                      | 191,911                         | 7,000                       | 2,900,805                     | 3,621,672                |
| Balance as at 1 April 2024                                  |      | 507,047                    | 14,909                      | 191,911                         | 7,000                       | 2,900,805                     | 3,621,672                |
| <b>Total comprehensive income/ (expense) for the year</b>   |      |                            |                             |                                 |                             |                               |                          |
| Profit for the year                                         |      | –                          | –                           | –                               | –                           | 487,987                       | 487,987                  |
| Other comprehensive income/ (expense), net of tax           |      | –                          | –                           | 37,056                          | –                           | (11,823)                      | 25,233                   |
| <b>Total comprehensive income for the year</b>              |      | –                          | –                           | 37,056                          | –                           | 476,164                       | 513,220                  |
| <b>Contributions by and distributions to equity holders</b> |      |                            |                             |                                 |                             |                               |                          |
| Dividends                                                   | 11   | –                          | –                           | –                               | –                           | (287,908)                     | (287,908)                |
| <b>Total distributions to equity holders</b>                |      | –                          | –                           | –                               | –                           | (287,908)                     | (287,908)                |
| <b>Balance as at 31 March 2025</b>                          |      | 507,047                    | 14,909                      | 228,967                         | 7,000                       | 3,089,061                     | 3,846,984                |

Figures in brackets indicate deductions.

The Financial Statements are to be read in conjunction with the related notes, which form an integral part of the Financial Statements set out on pages 119 to 186.

# Statement of Cash Flows

| For the year ended 31 March                                                                                                    | Note          | Group            |                  | Company          |                  |
|--------------------------------------------------------------------------------------------------------------------------------|---------------|------------------|------------------|------------------|------------------|
|                                                                                                                                |               | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Cash flows from operating activities</b>                                                                                    |               |                  |                  |                  |                  |
| Profit before taxation                                                                                                         |               | 670,432          | 502,165          | 660,508          | 580,673          |
| <b>Adjustments for:</b>                                                                                                        |               |                  |                  |                  |                  |
| Depreciation and amortisation of investment property, intangible assets, property, plant and equipment and right-of-use assets |               | 168,372          | 168,218          | 124,582          | 127,019          |
| Profit on disposal of property, plant and equipment                                                                            | 6             | (3,561)          | (3,016)          | (3,561)          | (2,973)          |
| Write-off of property, plant and equipments                                                                                    | 12.1          | 135              | –                | 135              | –                |
| Share of joint venture's profit                                                                                                | 14.2.1        | (168,829)        | (1,002)          | (168,829)        | (1,002)          |
| Deferred income/revenue on government grant                                                                                    | 27            | (8,375)          | (15,327)         | (8,112)          | (15,039)         |
| Provision for retirement benefit obligation                                                                                    | 26.6          | 32,329           | 23,205           | 22,976           | 15,695           |
| Finance income                                                                                                                 | 8.2           | (16,133)         | (21,363)         | (32,145)         | (15,047)         |
| Finance costs                                                                                                                  | 8.2           | 429,786          | 507,848          | 370,567          | 450,035          |
| Dividend received                                                                                                              |               | –                | –                | –                | (64,232)         |
| Unrealised loss on inventory                                                                                                   |               | 8,018            | 1,587            | –                | –                |
| Provision for slow moving inventories                                                                                          | 15.1          | 67,748           | 58,518           | 67,011           | 54,045           |
| Reversal of provision for market returns                                                                                       |               | –                | (2,365)          | –                | (2,365)          |
| Provision for/(reversal of) impairment of trade receivables                                                                    | 16.2.1        | 20,206           | (22,373)         | 18,206           | (18,768)         |
| Provision for impairment of other receivables                                                                                  | 16.4.1        | 555              | –                | –                | –                |
| Revesal of provision for impairment of investment in subsidiary                                                                | 13.1          | –                | –                | –                | (18,514)         |
| Provision for impairment of investment in subsidiary                                                                           | 13.1          | –                | –                | 55,740           | 18,514           |
| Provision for/(reversal of) impairment of receivables from related parties                                                     |               | –                | (30,896)         | –                | (30,896)         |
| <b>Operating profit before working capital changes</b>                                                                         |               | <b>1,200,683</b> | <b>1,165,199</b> | <b>1,107,078</b> | <b>1,077,145</b> |
| <b>Changes in working capital</b>                                                                                              |               |                  |                  |                  |                  |
| Change in inventories                                                                                                          |               | (942,293)        | (95,828)         | (843,404)        | (101,348)        |
| Change in trade and other receivables                                                                                          |               | (564,912)        | (618,918)        | (548,301)        | (631,752)        |
| Change in interest bearing short-term loans to related parties                                                                 |               | (120,000)        | –                | (136,600)        | –                |
| Change in trade and other payables                                                                                             |               | 626,146          | 287,345          | 443,154          | 279,602          |
| <b>Cash generated from operating activities</b>                                                                                |               | <b>199,624</b>   | <b>737,798</b>   | <b>21,927</b>    | <b>623,647</b>   |
| Interest paid                                                                                                                  |               | (429,786)        | (507,848)        | (370,567)        | (450,035)        |
| Payments to gratuity fund                                                                                                      | 26.5          | (14,729)         | (23,152)         | (10,745)         | (19,800)         |
| Gratuity paid                                                                                                                  | 26.2/<br>26.3 | (558)            | (858)            | –                | –                |
| Income tax paid                                                                                                                |               | (152,706)        | (269,668)        | (152,641)        | (221,779)        |
| <b>Net cash flows used in operating activities</b>                                                                             |               | <b>(398,155)</b> | <b>(63,728)</b>  | <b>(512,026)</b> | <b>(67,967)</b>  |

## Statement of Cash Flows

| For the year ended 31 March                             | Note | Group            |                  | Company          |                  |
|---------------------------------------------------------|------|------------------|------------------|------------------|------------------|
|                                                         |      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Cash flows from investing activities</b>             |      |                  |                  |                  |                  |
| Purchase of property, plant and equipment               |      | (291,501)        | (91,736)         | (224,929)        | (62,991)         |
| Proceeds from disposal of property, plant and equipment |      | 3,573            | 6,195            | 3,573            | 5,664            |
| Investment in joint venture                             |      | –                | (294,000)        | –                | (294,000)        |
| Investment in subsidiary                                |      | –                | –                | (10,000)         | –                |
| Dividend received                                       |      | –                | –                | –                | 64,232           |
| <b>Net cash flows used in investing activities</b>      |      | <b>(287,928)</b> | <b>(379,541)</b> | <b>(231,356)</b> | <b>(287,095)</b> |
| <b>Cash flows from financing activities</b>             |      |                  |                  |                  |                  |
| Repayments of long term borrowings                      | 24   | (57,692)         | (61,183)         | (28,752)         | (28,752)         |
| Short-term borrowings obtained                          |      | 1,023,150        | 736,533          | 1,060,150        | 626,533          |
| Lease rental paid                                       | 25.4 | (39,521)         | (37,472)         | (39,521)         | (37,472)         |
| Government grant received                               | 27   | 4,567            | 41,107           | 4,567            | 41,107           |
| Interest received                                       | 8.2  | 16,133           | 21,363           | 32,145           | 15,047           |
| Dividend paid                                           | 11   | (287,908)        | (432,840)        | (287,908)        | (431,863)        |
| <b>Net cash flows from financing activities</b>         |      | <b>658,729</b>   | <b>267,508</b>   | <b>740,681</b>   | <b>184,600</b>   |
| Net changes in cash and cash equivalents                |      | (27,354)         | (175,761)        | (2,701)          | (170,462)        |
| Cash and cash equivalents at beginning of the year      |      | (195,714)        | (19,953)         | (168,733)        | 1,729            |
| <b>Cash and cash equivalents at the end of the year</b> | 19   | <b>(223,068)</b> | <b>(195,714)</b> | <b>(171,434)</b> | <b>(168,733)</b> |

Figures in brackets indicate deductions.

The Financial Statements are to be read in conjunction with the related notes, which form a part of the Financial Statements set out on pages 119 to 186.

# Notes to the Financial Statements

|         |                                                                          |     |
|---------|--------------------------------------------------------------------------|-----|
| Note 1  | Reporting entity                                                         | 119 |
| Note 2  | Basis of preparation                                                     | 119 |
| Note 3  | Material accounting policies                                             | 120 |
| Note 4  | Accounting Standards issued but not yet effective as at 31 march 2025    | 130 |
| Note 5  | Revenue                                                                  | 131 |
| Note 6  | Other operating income                                                   | 133 |
| Note 7  | Results from operating activities                                        | 134 |
| Note 8  | Net financing costs                                                      | 135 |
| Note 9  | Income tax expense                                                       | 135 |
| Note 10 | Basic earnings per share                                                 | 138 |
| Note 11 | Dividend per share                                                       | 138 |
| Note 12 | Property, plant and equipment, investment property and intangible assets | 139 |
| Note 13 | Investments in subsidiaries                                              | 146 |
| Note 14 | Investments in joint venture                                             | 147 |
| Note 15 | Inventories                                                              | 149 |
| Note 16 | Trade, related party and other receivables                               | 150 |
| Note 17 | Interest bearing short-term loan to related parties                      | 152 |
| Note 18 | Other investments                                                        | 153 |
| Note 19 | Cash and cash equivalents                                                | 153 |
| Note 20 | Stated capital                                                           | 154 |
| Note 21 | Capital reserves                                                         | 154 |
| Note 22 | Revenue reserves                                                         | 154 |
| Note 23 | Non-controlling interests                                                | 155 |
| Note 24 | Loans and borrowings                                                     | 155 |
| Note 25 | Finance lease liability                                                  | 157 |
| Note 26 | Retirement benefit obligation                                            | 158 |
| Note 27 | Deferred income/revenue                                                  | 162 |
| Note 28 | Deferred taxation                                                        | 163 |
| Note 29 | Interest bearing short-term borrowings                                   | 165 |
| Note 30 | Income tax payable                                                       | 167 |
| Note 31 | Trade and other payables                                                 | 167 |
| Note 32 | Related party disclosures                                                | 168 |
| Note 33 | Events after the reporting date                                          | 174 |
| Note 34 | Contingent liabilities                                                   | 174 |
| Note 35 | Capital commitments                                                      | 175 |
| Note 36 | Comparative figures                                                      | 175 |
| Note 37 | Financial risk management                                                | 175 |

## Notes to the Financial Statements

### Note 1

#### Reporting entity

##### 1.1 Domicile and legal form

C. W. Mackie PLC is a Group incorporated and domiciled in Sri Lanka. The registered office of the Group and principal place of business is located at No. 36, D. R. Wijewardena Mawatha, Colombo 10.

The C. W. Mackie PLC Group presently consists of C. W. Mackie PLC and four subsidiary companies namely, Ceymac Rubber Company Limited, Ceytra (Private) Limited, Kelani Valley Canneries Limited and Sunquick Lanka Properties (Private) Limited.

##### 1.2 Principal activities and nature of operations

The C. W. Mackie PLC Group is engaged in a diversity of activities such as export of natural rubber and desiccated coconut; rubber-based products for export and sale locally; import, manufacture, distribution and export of branded consumer products including processed tropical fruits; import and distribution of sugar; import and resale of branded marine paints and protective coatings, welding equipment and consumables, refrigeration and air-conditioning components and light engineering products. The number of persons employed by the Group as at 31 March 2025 was 639 (2024 – 614) excluding industrial trainees and casual staffs.

##### 1.3 Ultimate parent enterprise

The Company is a subsidiary of Lankem Ceylon PLC, whilst its ultimate holding company is The Colombo Fort Land & Building Company PLC.

##### 1.4 Approval of Financial Statements

The financial statements for the year ended 31 March 2025 were authorised for issue by the Board of Directors on 4 June 2025.

##### 1.5 Responsibility for Financial Statements

The responsibility of the Board of Directors in relation to the financial statements is set out in the Statement of Directors' Responsibility report in the Annual report.

### Note 2

#### Basis of preparation

##### 2.1 Statement of compliance

The Financial Statements of the Company and the Group, which comprise the Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and Statement of Cashflows together with the accounting policies and notes have been prepared in accordance with the Sri Lanka Accounting standards issued by the Institute of Chartered Accountants of Sri Lanka.

##### 2.2 Statement of presentation

The Financial Statements have been presented in compliance with the requirement of the Companies Act No. 7 of 2007 and provide appropriate disclosure as requested by the listing rules of Colombo Stock Exchange (CSE).

##### 2.3 Basis of measurement

The Financial Statements have been prepared on historical cost basis except where appropriate disclosures are made with regard to fair value under relevant Notes. Assets and liabilities are grouped by nature and in an order that reflect their relative liquidity. The Financial Statements have been prepared on the assumption that the Group will continue as a going concern for the foreseeable future.

##### 2.4 Functional and presentation currency

The Financial Statements of the Group are presented in Sri Lankan Rupees, which is the Group's functional currency. All values presented in the Financial Statements are in Sri Lanka Rupees unless otherwise indicated.

##### 2.5 Rounding

The amounts in the Financial Statements have been rounded-off to the nearest rupees thousands, except where otherwise indicated as permitted by the Sri Lanka Accounting Standard – LKAS 1 on "Presentation of Financial Statements" (LKAS 1).

##### 2.6 Use of estimates and judgements

The preparation of the Financial Statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognised in the Financial Statements is included in the following notes:

- Note 3.4 – Property, plant and equipment
- Note 3.6 – Intangible assets
- Note 3.7 – Right of use assets
- Note 3.9 – Impairment
- Note 3.11.2 – Defined benefit plan
- Note 3.10 – Provisions
- Note 3.12 – Commitment and contingencies
- Note 3.16.2 – Income tax

## Notes to the Financial Statements

### 2.7 Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 March 2025 is included in the following notes:

- Measurement of defined benefit obligations: Key actuarial assumptions;
- Recognition and measurement of provisions and contingencies: key assumptions about the likelihood and magnitude of an outflow of resources;
- Provision for expected credit losses of trade receivables and contract assets
- Valuation of freehold land

The preparation of these Financial Statements requires the use of management judgement, estimates and assumptions that affect reported amounts and the application of accounting policies. Such estimates and judgements are reviewed on an ongoing basis.

A brief explanation of the key estimates, assumptions and judgements that have changed during year ended 31 March 2025 are as follows;

The Group has developed various accounting estimates in these Financial Statements based on forecasts of economic conditions which reflect expectations and assumptions as at 31 March 2025 about future events that the Directors believe are reasonable in the circumstances. There is a considerable degree of judgement involved in preparing forecasts. The underlying assumptions are also subject to uncertainties which are often outside the control of the Group. Accordingly, actual economic conditions are likely to be different from those forecast since anticipated events frequently do not occur as expected, and the effect of those differences may significantly impact accounting estimates included in these financial statements.

The significant accounting estimates impacted by these forecasts and associated uncertainties are predominantly related to expected credit losses, fair value measurement, and recoverable amount assessments of non-financial assets.

### 2.8 Going concern

The Directors have made an assessment of the Group's ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future.

In determining the basis of preparing the Financial Statements for the year ended 31 March 2025, based on available information, the management has assessed the prevailing uncertain and volatile macro-economic environment, its impact on the Group companies and the appropriateness of the use of the going concern basis.

The management has formed judgment that the Group has adequate resources to continue in operational existence for the foreseeable future driven by the continuous operationalisation of risk mitigation initiatives and monitoring of business continuity and response plans at the Company level along with the financial strength of the Group. Therefore, the Financial Statements continue to be prepared on the going concern basis.

### Note 3

### Material accounting policies

The Group has consistently applied the following significant accounting policies to all periods presented in the Financial Statements by the Group, except as mentioned otherwise.

#### 3.1 Basis of consolidation

The consolidated Financial Statements encompass the Company and its subsidiaries (together referred to as the "Group"). Subsidiaries are disclosed in Note 13 to the Financial Statements.

##### 3.1.1 Subsidiaries

Subsidiaries are entities controlled by the Company. The Financial Statements of subsidiaries are included in the consolidated Financial Statements from the date that control commences until the date that control ceases. The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

##### 3.1.2 Non-controlling interest

The total profits and losses of the subsidiary companies are included in the Consolidated Statement of Comprehensive Income and the proportion of the profit or loss after taxation applicable to outside shareholders of the Group have been shown as non-controlling interest.

All assets and liabilities of the Company and its subsidiaries are included in the Group Statement of Financial Position. The interest of outside shareholders in the net assets employed, represented by the paid up value of shareholders and the respective reserves and retained profits, is stated separately in the Consolidated Statement of Financial Position under "Non-controlling interests".

##### 3.1.3 Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the Consolidated Financial Statements.

## Notes to the Financial Statements

### 3.1.4 Consolidation of entities with different accounting periods

The Financial Statements of all entities in the Group other than Sunquick Lanka Property (Private) Limited are prepared for a common financial year, which ends on 31 March. Sunquick Lanka Property (Private) Limited with a 31 December financial year end prepares additional financial information as of the same date as the financial statements of the parent for consolidation purpose.

### 3.1.5 Business combinations

The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group in determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce inputs.

The Group has an option to apply a “concentration test” that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

- The Group measures goodwill at the acquisition date as:
- The fair value of the consideration transferred; plus
- The recognised amount of any non-controlling interests in the acquiree; plus
- If the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree; less
- The net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed.

When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss. Transactions costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

### 3.1.6 Investments in equity accounted investees

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The group has Joint Control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

Joint ventures are treated as equity accounted investees and are accounted for using the equity method.

Under the equity method Investments in equity accounted investees are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is adjusted at each reporting date to recognise changes in the Group's share of net assets of the equity accounted investees arising since the acquisition date. Goodwill relating to the equity-accounted investees is included in the carrying amount of the investment. Dividends declared by the equity accounted investees are recognised against the equity value of the Group's investment.

The Income Statement reflects the Group's share of the results of operations of the equity accounted investees. When there is a change recognised directly in the equity of the entity, the Group recognises its share of any changes, when applicable, in the Statement of Changes in Equity.

Unrealised gains and losses resulting from transactions between the Group and the equity-accounted investees are eliminated to the extent of the interest in the equity-accounted investees. The Group's share of profit or loss of equity accounted investees is shown on the face of the Income Statement and represents profits or loss after tax of the entity and the non-controlling interests in the subsidiaries of the equity-accounted investees.

Adjustments are made if necessary, to the Financial Statements of the equity accounted investees to bring the accounting policies in line with those of the Group. After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its equity accounted investee. The Group determines at each reporting date whether there is any objective evidence that the investment in the equity accounted investee is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the equity accounted investees and its carrying value and recognises the amount in “share of losses of an equity accounted investee” in the Income Statement.

Upon loss of significant influence over the associate or the joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the equity accounted investee disposed and the fair value of the retaining investment and the proceeds from disposal is recognised in the income statement.

Summarised financial Information in respect of subsidiaries that have non-controlling interests that are material to the reporting entity (i.e., the Group) is disclosed separately when applicable.

## Notes to the Financial Statements

### 3.1.7 Current versus non-current classification

The Group presents assets and liabilities in Statement of Financial Position based on current/non-current classification. An asset as current when it is:

- Expected to be realised or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current assets.

A Liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

### 3.2 Foreign currency translations

Transactions in foreign currencies are translated to Sri Lanka Rupees at the foreign exchange rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated to Sri Lanka Rupees at the foreign exchange rate ruling as at the reporting date.

Non-monetary assets and liabilities which are stated at historical cost denominated in foreign currencies are translated to Sri Lanka Rupees at the exchange rate ruling at the dates of the transactions. Non-monetary assets and liabilities that are stated at fair value, denominated in foreign currencies are translated to Sri Lanka Rupees at the exchange rate ruling at the dates that the fair value were determined. Foreign exchange differences arising on translation are recognised in the Statement of Comprehensive Income.

### 3.3 Financial Instruments

#### 3.3.1 Recognition and initial measurement

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a part to the contractual provisions of the investment.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not an FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

#### 3.3.2 Classification and subsequent measurement

##### 3.3.2.1 Financial assets

On initial recognition, a financial asset is classified as measured at; amortised cost; FVOCI – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequently to their recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL;

- It is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- Its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL;
- It is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- Its contractual terms give rise on specified dates to cash flows that are solely payment of principal and interest on the principal amount outstanding.

## Notes to the Financial Statements

On the initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets.

On initial recognition, the Group may irrevocably designate a financial assets that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

### **(a) Business model assessment**

The Group makes an assessment of the objectives of the business model in which a financial asset is held as a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes;

- The stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- How the performance of the portfolio is evaluated and reported to the Group's management.
- The risks that affect the performance of the business model (and the financial assets held within the business model) and how those risks are managed;
- The frequency, volume and timing of sales of financial assets in prior periods, the reason for such sale and expectation about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

### **(b) Subsequent measurement and gains and losses**

#### ***Financial assets at amortised cost***

These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

#### **3.3.2.2 Financial liabilities**

##### ***3.3.2.2.1 Classification, subsequent measurement and gains and losses***

Financial liabilities are classified as measured at amortised cost of FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

#### **3.3.3 Derecognition**

##### ***3.3.3.1 Financial assets***

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

## Notes to the Financial Statements

### 3.3.3.2 Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

### 3.3.4 Stated capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

## 3.4 Property, plant and equipment

### 3.4.1 Recognition and measurement

Items of property, plant and equipment are measured at cost or revalued amount less accumulated depreciation and accumulated impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets include the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which is to carry on the business or to increase the earning capacity of its business has been treated as capital expenditure.

From 31 March 2022, the Group applies the revaluation model for the entire class of freehold land for measurement after initial recognition. The Group policy is to revalue all freehold land by an independent professional valuer every three year or when there is a substantial difference between the fair value and the carrying amount.

The Group has carried the latest revaluation of free hold lands as at 31 March 2025 and land value is based on the market prices of each land respectively. Valuer has used range of prices for respective lands based on their recently transacted cost. Aside from this note, additional fair value related disclosures, including the valuation methods, significant estimates and assumptions are also provided in Note 12.3 to the Financial Statements.

Any increase in carrying amount is recognised in other comprehensive income and accumulated in equity under the heading of revaluation reserve unless it reverses a previous revaluation decrease relating to the same asset, which was previously recognised as an expense. In these circumstances the increase is recognised as income to the extent of the previous write down. When an asset's carrying amount is decreased as a result of revaluation, the decrease is recognised as an expense unless it reverses a previous surplus relating to that asset. In such case it is charged against any related revaluation surplus, to the extent that the decrease does not exceed the amount held in the revaluation surplus in respect of that same asset. Any balance remaining in the revaluation surplus in respect of an asset, is transferred directly to retained earnings on retirement or disposal of the asset.

The carrying values of property, plant and equipment are reviewed for impairment when there are indications of impairments that the carrying value of the assets may not be recoverable.

### 3.4.2 Subsequent costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group, and its cost can be measured reliably. The carrying amount of the replaced part is derecognised. The cost of the day-to-day servicing of property, plant and equipment are recognised in the Statement of Comprehensive Income as an expense as incurred.

### 3.4.3 Derecognition

Items of property, plant and equipment are derecognised upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the income statement in the year the asset is derecognised.

### 3.4.4 Depreciation

Depreciation is calculated over the depreciable amount, which is the cost of an asset, or other amount substituted for cost, less its residual value.

Depreciation is recognised in profit or loss on a straight line basis over the estimated useful lives of each part of an item of property, plant and equipment, since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

## Notes to the Financial Statements

The estimated useful lives for the current and comparative periods are as follows:

|                                   |                                                    |
|-----------------------------------|----------------------------------------------------|
| Buildings on freehold land        | 40 years                                           |
| Buildings on leasehold land       | 40 years or period of the lease, whichever is less |
| Plant, machinery and tools        | 6 2/3 years                                        |
| Motor vehicles                    | 5 years                                            |
| Furniture and fittings            | 6 2/3 years                                        |
| Factory, office and lab equipment | 2-5 years                                          |
| Computer and other installations  | 3-5 years                                          |

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by the Management. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale and the date that the asset is derecognised.

### 3.4.5 Capital work-in-progress

Capital expenses incurred during the period which are not completed as at the reporting date are shown as capital work-in-progress, whilst the capital assets which have been completed during the period and put to use have been transferred to property, plant and equipment if any.

### 3.5 Investment property

#### 3.5.1 Recognition

The land and buildings held to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes.

#### 3.5.2 Measurement

Investment properties are initially measured at its cost and transaction costs shall be included in the initial measurement. Subsequent to the initial recognition the investment properties are stated at cost model which in accordance with LKAS 16 – “Property, Plant Equipment”.

Depreciation is provided on a straight line basis over the estimated life of class of asset from the date of purchase up to the date of disposal.

The estimated useful lives for the current and comparative periods are as follows:

|           |                                                    |
|-----------|----------------------------------------------------|
| Buildings | 40 years or period of the lease, whichever is less |
|-----------|----------------------------------------------------|

### 3.5.3 De-recognition

An investment property shall be de-recognised on disposal or when the investment property is permanently withdrawn from use and no future economic benefits are expected from its disposal.

### 3.6 Intangible assets

Software acquired by the Group is stated at cost less accumulated amortisation and accumulated impairment losses.

#### 3.6.1 Subsequent expenditure

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

#### 3.6.2 Amortisation

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available-for-use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life of software is as follows:

|                                |           |
|--------------------------------|-----------|
| Computer software and licenses | 4-5 years |
|--------------------------------|-----------|

Amortisation shall cease at the earlier of the date that the asset is classified as held for sale or the date that asset is de-recognised.

#### 3.6.3 Derecognition

An intangible asset shall be derecognised on disposal; or when no future economic benefits are expected from its use or disposal. The gain or loss arising from the derecognition of an intangible asset shall be determined as the difference between the net disposal proceeds, if any, and the carrying amount of the asset. It shall be recognised in profit or loss when the asset is derecognised.

## Notes to the Financial Statements

### 3.7 Leased assets

#### (i) As a lessee

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability comprise the following:

- Fixed payments, including in-substance fixed payments;
- Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- Amounts expected to be payable under a residual value guarantee; and
- The exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is re-measured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

### 3.8 Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on the weighted average principle, and includes expenditure incurred in acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition. In the case of manufactured inventories and work in progress, cost includes an appropriate share of production overheads based on normal operating capacity. Goods in transit are determined based on actual cost.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

### 3.9 Impairment

#### 3.9.1 Financial assets

##### 3.9.1.1 Non-derivative financial assets

##### Financial instruments

The Group recognises loss allowances for ECLs (Expected Credit Loss) on:

- Financial assets measured at amortised cost.

The Group measures loss allowances at an amount equal to lifetime ECLs, except for the Bank balances for which credit risk has not increased significantly since initial recognition which are measured at 12 month ECLs.

Loss allowance for trade receivables are always measured at an amount equal to life-time ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group considers a financial asset to be in default when:

- The debtor is unlikely to pay its credit obligation to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- The financial asset is more than 360 days past due.

The Group considers a debt security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of "investment grade".

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

## Notes to the Financial Statements

### Measurement of ECLs

ECLs are a probability weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e, the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

### Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost are credit impaired. A financial asset is "credit impaired" when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset occurred.

Evidence that a financial asset is credit impaired includes the following observable data;

- Significant financial difficulty of the borrower;
- A breach of contract;
- It is probable that the borrower will enter bankruptcy or other financial re-organisation; or
- The disappearance of an active market for a security because of financial difficulties.

### Presentation of allowance for ECL in the Statement of Financial Position

Loss allowance for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

At each reporting date, the Group reviews the carrying amounts of its non-financial assets (other than inventories and deferred tax assets) to determine whether there is any indication of impairment. If any such exists, then the assets recoverable amount is estimated.

The recoverable amount of an asset is the greater of its value in use and its fair value less cost to sell. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is recognised if the carrying amount of an asset exceeds its recoverable amount.

Impairment losses are recognised in profit or loss. An impairment loss in respect for assets is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

### Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery.

#### Financial assets measured at amortised cost

The Group considered evidence of impairment for these assets at and individual asset level. All assets were individually assessed for impairment. An impairment loss was calculated as the difference between an as-set's carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. Losses were recognised in profit or loss and reflected in an allowance account. When the Group considered that there were no realistic prospects of recovery of the asset, the relevant amount was written off. If the amount of impairment loss subsequently de-recognised and the decrease was related objectively to an event occurring after the impairment was recognised, then the previously recognised impairment loss was reversed through profit or loss.

### 3.9.2 Non-financial assets

At each reporting date, the Group reviews the carrying amounts of its non-financial assets (other than inventories and deferred tax assets) to determine whether there is any indication of impairment. If any such exists, then the assets recoverable amount is estimated.

The recoverable amount of an asset is the greater of its value in use and its fair value less cost to sell. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is recognised if the carrying amount of an asset exceeds its recoverable amount.

### 3.10 Provisions

A provision is recognised in the Statement of Financial Position when the Group has a legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation.

## Notes to the Financial Statements

### 3.11 Employee benefits

#### 3.11.1 Defined contribution plans

A defined contribution plan is a post-employment plan under which an entity pays fixed contribution into a separate entity and will have no legal or constructive obligation to pay a further amount. Obligations for contributions to defined contribution plans are recognised as expense in profit or loss in the period during which services are rendered by employees.

##### *Mercantile Service Provident Society Fund*

The Group and executive staff contribute 15% and 10% respectively and the Group and clerical staff (other than Scan Division of C. W. Mackie PLC) contribute 12% and 8% respectively on the gross salary of each employee to the approved Provident Fund.

##### *Employees' Provident Fund*

The Group and employees contribute 12% and 8% respectively on the gross salary of each employee to the approved Provident Fund.

##### *Employees' Trust Fund*

The Group contributes 3% of the gross salary of each employee to the Employees' Trust Fund.

#### 3.11.2 Defined benefit plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The defined benefit plan expense is recognised immediately in profit or loss and the Group recognises all actuarial gains and losses arising from defined benefit plans in Other Comprehensive Income.

The Group, other than Kelani Valley Canneries Limited, operates a defined benefit gratuity plan for its employees. The liability is recognised in accordance with the Payment of Gratuity Act No. 12 of 1983 and is measured using the Projected Unit Credit (PUC) method in accordance with LKAS 19 – Employee Benefits.

The Group's gratuity obligations are partially funded through a separately administered trust fund, the C. W. Mackie Group Staff Non-Contributory Gratuity Fund. Contributions to the fund are made in accordance with the provisions of an indenture at regular intervals to ensure that sufficient assets are maintained to meet future benefit obligations.

##### *Retiring gratuity*

The retirement benefit plan adopted is as required under the Payment of Gratuity Act No. 12 of 1983. This item is grouped under 'retirement benefit obligation' in the Statement of Financial Position.

Provision for retirement benefit obligation on the employees of the Group is on an actuarial basis using the Projected Unit Credit Method (PUC Method) as recommended by LKAS 19 – "Employee

Benefits". The Group continues to use actuarial method under Sri Lanka Accounting Standard 19 – "Employee Benefits".

When the benefits of the plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service or gain or loss on curtailment is recognised immediately in profit or loss. The Group recognises gain and losses on the settlement of the defined benefit plan when the settlement occurs.

However, under the Payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of 5 years of continued service.

The assumptions based on which the results of actuarial revaluation was determined are included in Note 26 to the Financial Statements.

### 3.12 Commitments and contingencies

Contingencies are possible assets or obligations that arise from past events and whose existence will be confirmed only by occurrence or non-occurrence of uncertain future events not wholly within the control of the Group.

Corporate guarantees have been provided for Hatton National Bank PLC and Commercial Bank of Ceylon PLC on behalf of the subsidiary companies Ceymac Rubber Company Limited, Ceytra (Private) Limited and Kelani Valley Canneries Limited for short-term loan facilities, where repayment terms are less than 12 months.

Contingencies and capital commitments of the Group are disclosed in Note 34 and 35 respectively to the Financial Statements.

### 3.13 Events after the reporting period

The materiality of the events after the reporting period has been considered and appropriate adjustments and provisions have been made in the Financial Statements wherever necessary.

### 3.14 Revenue

#### 3.14.1 Revenue recognition

##### *Revenue from contracts with customers*

SLFRS 15 – "Revenue from Contracts with Customers" outlines a single comprehensive model of accounting for revenue arising from contracts with customers and supersedes current revenue recognition guidance found across several Standards and Interpretations within SLFRS. It establishes a new five-step model that will apply to revenue arising from contracts with customers.

**Step 1** Identify the contract(s) with a customer: A contract is defined as an agreement between two or more parties that create enforceable rights and obligations and sets out the criteria for each of those rights and obligations.

**Step 2** Identify the performance obligations in the contract: A performance obligation in a contract is a promise to transfer a good or service to the customer that is distinct.

## Notes to the Financial Statements

**Step 3** Determine the transaction price: Transaction price is the amount of consideration to which the entity expects to be entitled to in exchange for transferring the promised goods and services to a customer, excluding amounts collected from third parties.

**Step 4** Allocate the transaction price to the performance obligations in the contract: For a contract that has more than one performance obligation, the entity will allocate the transaction price to each performance obligation in an amount that depicts the consideration to which the entity expects to be entitled in exchange for satisfying each performance obligation.

**Step 5** Recognise revenue when (or as) the entity satisfies a performance obligation.

### 3.14.2 Assets and liabilities arising from rights of return

#### Right of return assets

A right-of-return asset is recognised for the right to recover the goods expected to be returned by customers. The asset is measured at the former carrying amount of the inventory, less any expected costs to recover the goods and any potential decreases in value. The Group updates the measurement of the asset for any revisions to the expected level of returns and any additional decreases in the value of the returned products.

#### Refund liabilities

A refund liability is recognised for the obligation to refund some or all of the consideration received (or receivable) from a customer. The Group's refund liabilities arise from customers' right of return. The liability is measured at the amount the Group ultimately expects it will have to return to the customer. The Group updates its estimates of refund liabilities (and the corresponding change in the transaction price) at the end of each reporting period.

### 3.14.3 Rendering of services

Revenue from rendering of services is recognised in the accounting period in which the services are rendered or performed.

### 3.14.4 Other income

#### Lease rental income

Rental income from investment property is recognised in profit or loss on a straight line basis over the term of the agreement. Rental income is recognised as other income.

### 3.15 Government grants

Government grants are initially recognised as deferred income at fair value if there is reasonable assurance that they will be received and the Group will comply with the conditions associated with the grant; they are then recognised in profit or loss as other income on a systematic basis over the useful life of the asset. Grants that compensate the Group for expenses incurred are recognised in

profit or loss on a systematic basis in the periods in which the expenses are recognised.

### 3.16 Other expenditure

All expenditure incurred in running of the business and in maintaining the capital assets in a state of efficiency has been charged to the profit or loss for the year.

Expenditure incurred for the purpose of acquiring, expanding or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

Repairs and renewals are charged to revenue in the year in which the expenditure is incurred.

#### 3.16.1 Finance income and finance costs

Finance income comprises interest income on funds invested (including available-for-sale financial assets) and dividend income. Interest income is recognised as it accrues in profit or loss, using the effective interest method. Dividend income is recognised in profit or loss on the date that the Group's right to receive payment is established, which in the case of quoted securities is the ex-dividend date.

Finance Costs comprise interest expense on borrowings and lease liability recognised in profit or loss using the effective interest method.

Foreign currency gains and losses are reported on a net basis.

#### 3.16.2 Income tax

Income tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in Equity or in Other Comprehensive Income.

#### Current tax

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

#### Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit nor loss to the extent that it is probable that they will not reverse in the foreseeable future.

## Notes to the Financial Statements

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

A deferred tax asset is recognised for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

### 3.17 Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components, of which the operating results are reviewed regularly by the Group Management Committee to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

### 3.18 Basic earnings per share

The Group presents basic earnings per share (EPS) data for its Ordinary Shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the period.

### 3.19 Statement of Cash Flows

The Statement of Cash Flows has been prepared using the "indirect method".

Interest paid is classified as operating cash flows, interest received is classified as financing cash flows for the purpose of presenting the Statement of Cash Flows.

### 3.20 Related party transactions

Disclosure has been made in respect of the transactions in which one party has the ability to control or exercise significant influence over the financial and operating policies/decisions of the other, irrespective of whether a price is charged.

#### Note 4

### Accounting Standards issued but not yet effective as at 31 march 2025

The Institute of Chartered Accountants of Sri Lanka has issued a number of new amendments to Sri Lanka Accounting Standards (SLFRSs/ LKASs) that are effective for annual periods beginning after the current financial year. Accordingly, the Group has not early adopted them in preparing these Financial Statements.

The following amended standards are not expected to have a significant impact on the Group's and Company's Financial Statements.

- SLFRS S1 General requirements for disclosure of sustainability related financial information and SLFRS S2 Climate-related disclosures
- SLFRS S1 General Requirements for Disclosure of Sustainability related Financial Information requires an entity to disclose information about its sustainability-related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity.
- SLFRS S2 Climate-related Disclosures is to requires an entity to disclose information about its climate-related risks and opportunities that is useful to primary users of general-purpose financial reports in making decisions relating to providing resources to the entity.
- These standards will become effective for the Group and the Company from 1 April 2025. No financial impact is expected on the Group and the Company except for additional disclosures.

## Notes to the Financial Statements

**Note 5****Revenue**

| For the year ended 31 March | Group             |                   | Company           |                   |
|-----------------------------|-------------------|-------------------|-------------------|-------------------|
|                             | 2025<br>Rs. '000  | 2024<br>Rs. '000  | 2025<br>Rs. '000  | 2024<br>Rs. '000  |
| Gross revenue               | 26,748,003        | 21,267,755        | 24,744,419        | 19,728,751        |
| <b>Less:</b>                |                   |                   |                   |                   |
| Trade and free issues       | (257,023)         | (197,906)         | (229,362)         | (189,365)         |
| Turnover related taxes      | (2,208,259)       | (1,681,857)       | (2,098,179)       | (1,589,882)       |
| <b>Net revenue</b>          | <b>24,282,721</b> | <b>19,387,992</b> | <b>22,416,878</b> | <b>17,949,504</b> |

Turnover related taxes includes Value Added Tax (VAT) and Social Security Contribution Levy (SSCL).

**5.1 Operating segments**

Segment information is presented in respect of the Group's business segments. Business segments are based on the Group's management and internal reporting structure.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The Group comprises the following main business segments:

**Commodity trading**

Export and local sale of all grades of natural rubber, thick pale crepe rubber (TPC), ribbed smoked sheet rubber (RSS), desiccated coconut, non-traditional spices and sugar trading.

**Rubber-based products manufacturing**

Manufacture of technically specified rubber (TSR), plantation sole crepe rubber, specialised industrial sole crepe rubber and moulded rubber products.

**Industrial products**

Import and sale of welding equipment and consumables and light engineering products, refrigeration and air-conditioning components and marine paints and protective coatings.

**Fast Moving Consumer Goods (FMCG)**

Manufacture and trading of consumer goods.

**Other**

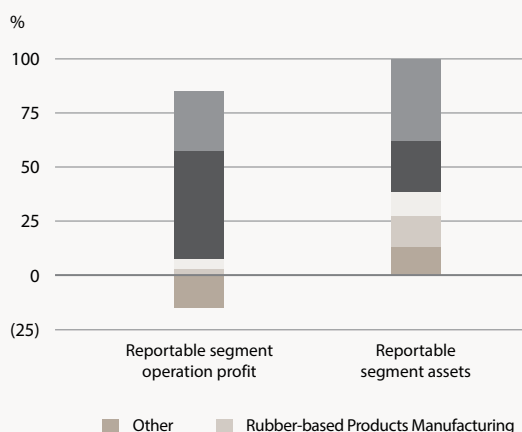
Other Group results mainly comprise with rent income from investment properties.

## Notes to the Financial Statements

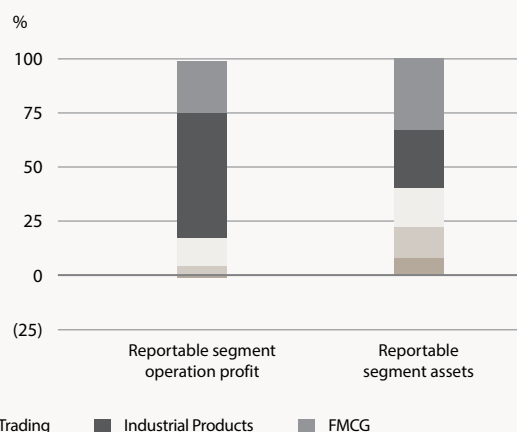
### 5.1.1 Business segments

| For the year ended 31 March 2025                            | Commodity trading<br>Rs. '000 | Rubber-based products manufacturing<br>Rs. '000 | Industrial products<br>Rs. '000 | FMCG<br>Rs. '000 | Other<br>Rs. '000 | Consolidated<br>Rs. '000 |
|-------------------------------------------------------------|-------------------------------|-------------------------------------------------|---------------------------------|------------------|-------------------|--------------------------|
| <b>Group</b>                                                |                               |                                                 |                                 |                  |                   |                          |
| Total revenue                                               | 10,542,698                    | 1,749,799                                       | 3,209,665                       | 9,257,532        | –                 | 24,759,694               |
| Inter-segment revenue                                       | (80,133)                      | (11,170)                                        | (337)                           | (385,333)        | –                 | (476,973)                |
| <b>Revenue from external customers</b>                      | 10,462,565                    | 1,738,629                                       | 3,209,328                       | 8,872,199        | –                 | 24,282,721               |
| <b>Segment gross profit</b>                                 | 428,462                       | 118,878                                         | 1,016,845                       | 1,687,993        | –                 | 3,252,178                |
| Operating overheads                                         | (347,009)                     | (58,661)                                        | (344,546)                       | (1,236,566)      | (227,608)         | (2,214,390)              |
| Depreciation and amortisation                               | (19,129)                      | (21,406)                                        | (19,903)                        | (86,490)         | (21,444)          | (168,372)                |
| Contribution to defined benefit plan for gratuity           | (4,593)                       | (7,612)                                         | (4,596)                         | (8,634)          | (6,894)           | (32,329)                 |
| Provision for/(reversal of) impairment of trade receivables | (1,739)                       | (2,000)                                         | 1,739                           | (13,144)         | –                 | (15,144)                 |
| Other operating income                                      | 3,772                         | 15,756                                          | 2,921                           | 16,047           | 63,162            | 101,658                  |
| <b>Results from operating activities</b>                    | 59,764                        | 44,955                                          | 652,460                         | 359,206          | (192,784)         | 923,601                  |
| Finance income                                              | 329                           | 133                                             | –                               | 5,907            | 9,764             | 16,133                   |
| Finance costs                                               | (73,108)                      | (100,438)                                       | (39,698)                        | (98,364)         | (126,523)         | (438,131)                |
| Share of joint venture's profit                             | –                             | –                                               | –                               | –                | 168,829           | 168,829                  |
| <b>Profit/(loss) before taxation</b>                        | (13,015)                      | (55,350)                                        | 612,762                         | 266,749          | (140,714)         | 670,432                  |
| Income tax expense                                          | 5,140                         | (1,162)                                         | (195,481)                       | (75,674)         | 87,058            | (180,119)                |
| <b>Profit/(loss) for the year</b>                           | (7,875)                       | (56,512)                                        | 417,281                         | 191,075          | (53,656)          | 490,313                  |
| Total assets                                                | 1,379,008                     | 1,780,398                                       | 2,881,737                       | 4,598,185        | 1,620,160         | 12,259,488               |
| Total liabilities                                           | 1,296,404                     | 953,861                                         | 785,522                         | 2,867,803        | 1,899,934         | 7,803,524                |
| Capital expenditure                                         | 65,834                        | 41,663                                          | 3,841                           | 156,660          | 23,503            | 291,501                  |
| Total depreciation and amortisation                         | 19,129                        | 21,406                                          | 19,903                          | 86,490           | 21,444            | 168,372                  |

#### Business Segments 2024/25



#### Business Segments 2023/24



## Notes to the Financial Statements

## 5.1.2 Business segments

| For the year ended 31 March 2024                            | Commodity trading<br>Rs. '000 | Rubber-based products<br>manufacturing<br>Rs. '000 | Industrial products<br>Rs. '000 | FMCG<br>Rs. '000 | Other<br>Rs. '000 | Consolidated<br>Rs. '000 |
|-------------------------------------------------------------|-------------------------------|----------------------------------------------------|---------------------------------|------------------|-------------------|--------------------------|
| <b>Group</b>                                                |                               |                                                    |                                 |                  |                   |                          |
| Total revenue                                               | 7,140,150                     | 1,339,673                                          | 2,948,248                       | 8,402,724        | –                 | 19,830,795               |
| Inter-segment revenue                                       | (65,436)                      | (19,420)                                           | (691)                           | (357,256)        | –                 | (442,803)                |
| <b>Revenue from external customers</b>                      | <b>7,074,714</b>              | <b>1,320,253</b>                                   | <b>2,947,557</b>                | <b>8,045,468</b> | <b>–</b>          | <b>19,387,992</b>        |
| <b>Segment gross profit</b>                                 | <b>442,018</b>                | <b>105,157</b>                                     | <b>916,181</b>                  | <b>1,292,735</b> | <b>–</b>          | <b>2,756,091</b>         |
| Operating overheads                                         | (285,974)                     | (45,488)                                           | (307,332)                       | (985,643)        | (146,468)         | (1,770,905)              |
| Depreciation and amortisation                               | (16,085)                      | (20,438)                                           | (21,855)                        | (81,661)         | (28,179)          | (168,218)                |
| Contribution to defined benefit plan for gratuity           | (3,137)                       | (6,245)                                            | (3,140)                         | (5,974)          | (4,709)           | (23,205)                 |
| Provision for/(reversal of) impairment of trade receivables | (1,200)                       | –                                                  | 15,732                          | 3,605            | 4,236             | 22,373                   |
| Other operating income                                      | 3,078                         | 12,860                                             | 6,268                           | 23,404           | 161,439           | 207,049                  |
| <b>Results from operating activities</b>                    | <b>138,700</b>                | <b>45,846</b>                                      | <b>605,854</b>                  | <b>246,466</b>   | <b>(13,681)</b>   | <b>1,023,185</b>         |
| Finance income                                              | 670                           | 63                                                 | –                               | 8,089            | 12,541            | 21,363                   |
| Finance costs                                               | (101,899)                     | (120,642)                                          | (103,123)                       | (140,314)        | (77,407)          | (543,385)                |
| Share of joint venture's profit                             | –                             | –                                                  | –                               | –                | 1,002             | 1,002                    |
| <b>Profit/(loss) before taxation</b>                        | <b>37,471</b>                 | <b>(74,733)</b>                                    | <b>502,731</b>                  | <b>114,241</b>   | <b>(77,545)</b>   | <b>502,165</b>           |
| Income tax expense                                          | (15,674)                      | 10,717                                             | (132,096)                       | (28,523)         | 82,448            | (83,128)                 |
| <b>Profit/(loss) for the year</b>                           | <b>21,797</b>                 | <b>(64,016)</b>                                    | <b>370,635</b>                  | <b>85,718</b>    | <b>4,903</b>      | <b>419,037</b>           |
| Total assets                                                | 1,803,880                     | 1,484,763                                          | 2,721,964                       | 3,338,454        | 798,070           | 10,147,131               |
| Total liabilities                                           | 928,381                       | 674,765                                            | 723,749                         | 2,505,748        | 1,146,012         | 5,978,655                |
| Capital expenditure                                         | 2,444                         | 13,596                                             | 12,086                          | 58,355           | 5,255             | 91,736                   |
| Total depreciation and amortisation                         | 16,085                        | 20,438                                             | 21,855                          | 81,661           | 28,179            | 168,218                  |

## Note 6

## Other operating income

| For the year ended 31 March                         | Group            |                  | Company          |                  |
|-----------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                     | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Sundry income                                       | 8,755            | 9,392            | 8,034            | 8,213            |
| Commission income                                   | 2,176            | 5,564            | 2,176            | 5,564            |
| Profit on disposal of property, plant and equipment | 3,561            | 3,016            | 3,561            | 2,973            |
| Government grants                                   | 8,375            | 15,327           | 8,112            | 15,039           |
| Service fee                                         | 600              | 600              | 41,376           | 37,202           |
| Rent income                                         | 78,191           | 173,150          | 25,049           | 122,317          |
| Dividend income                                     | –                | –                | –                | 64,232           |
|                                                     | 101,658          | 207,049          | 88,308           | 255,540          |

## Notes to the Financial Statements

### Note 7

#### Results from operating activities

| For the year ended 31 March                                      | Note          | Group            |                  | Company          |                  |
|------------------------------------------------------------------|---------------|------------------|------------------|------------------|------------------|
|                                                                  |               | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>7.1 Results from operations is stated after charging</b>      |               |                  |                  |                  |                  |
| Depreciation/amortisation on                                     |               |                  |                  |                  |                  |
| – Property, plant and equipment                                  |               | 102,701          | 101,345          | 76,496           | 77,072           |
| – Investment property                                            |               | 17,561           | 21,681           | –                | 4,783            |
| – Intangible assets                                              |               | 3,275            | 2,811            | 3,251            | 2,783            |
| – Right-of-use asset                                             |               | 44,835           | 42,381           | 44,835           | 42,381           |
| Directors’ emoluments                                            | 32.2          | 164,679          | 160,173          | 159,038          | 154,115          |
| Personnel expenses                                               | 7.3           | 715,058          | 604,270          | 558,846          | 473,144          |
| Auditors’ remuneration – Audit fees                              |               | 7,500            | 6,808            | 4,850            | 4,329            |
| – Non-audit services                                             |               | 391              | 965              | 391              | 965              |
| – Audit-related fees and expenses                                |               | 1,022            | –                | 662              | –                |
| Other auditors’ remuneration – Internal audit fees               |               | 2,508            | 2,352            | 1,641            | 1,712            |
| Reversal of market returns                                       |               | –                | (2,365)          | –                | (2,365)          |
| Provision for obsolete inventories                               | 15.1          | 67,748           | 58,518           | 67,011           | 54,045           |
| Provision for/(reversal of) impairment of trade receivables      | 16.3          | 20,206           | (22,373)         | 18,206           | (18,768)         |
| Revelsal of provision for impairment of investment in subsidiary | 13.1          | –                | –                | –                | (18,514)         |
| Provision for impairment of investment in subsidiary             | 13.1          | –                | –                | 55,740           | 18,514           |
| Write-off of property, plant and equipment                       | 12.1,<br>12.2 | 135              | –                | 135              | –                |
| <b>7.2 Results from operations comprise those of the</b>         |               |                  |                  |                  |                  |
| Company                                                          |               | 893,094          | 1,047,179        | 837,354          | 1,047,179        |
| Subsidiary companies                                             |               | 30,507           | (23,994)         | –                | –                |
|                                                                  |               | 923,601          | 1,023,185        | 837,354          | 1,047,179        |
| <b>7.3 Personnel expenses</b>                                    |               |                  |                  |                  |                  |
| Salaries and wages                                               |               | 580,707          | 494,434          | 453,753          | 387,466          |
| Contribution to defined contribution plans (EPF/MSPS/ETF)        |               | 102,022          | 86,631           | 82,117           | 69,983           |
| Contribution to defined benefit plan for gratuity                | 26.6          | 32,329           | 23,205           | 22,976           | 15,695           |
|                                                                  |               | 715,058          | 604,270          | 558,846          | 473,144          |

## Notes to the Financial Statements

**Note 8****Net financing costs**

| For the year ended 31 March                 | Note | Group            |                  | Company          |                  |
|---------------------------------------------|------|------------------|------------------|------------------|------------------|
|                                             |      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>8.1 Interest cost</b>                    |      |                  |                  |                  |                  |
| Interest on other borrowings                |      | 408,862          | 480,407          | 349,643          | 418,697          |
| Lease interest                              | 25   | 20,924           | 27,441           | 20,924           | 27,441           |
| Interest on inter company balances          |      | –                | –                | –                | 3,897            |
| Net foreign exchange loss                   |      | 8,345            | 35,537           | 7,253            | 32,520           |
|                                             |      | 438,131          | 543,385          | 377,820          | 482,555          |
| <b>8.2 Interest income</b>                  |      |                  |                  |                  |                  |
| Interest on fixed deposits/savings accounts |      | (16,133)         | (21,363)         | (6,371)          | (9,293)          |
| Interest from inter company balances        |      | –                | –                | (25,774)         | (5,754)          |
|                                             |      | (16,133)         | (21,363)         | (32,145)         | (15,047)         |
|                                             |      | 421,998          | 522,022          | 345,675          | 467,508          |

**Note 9****Income tax expense**

| For the year ended 31 March              | Note | Group            |                  | Company          |                  |
|------------------------------------------|------|------------------|------------------|------------------|------------------|
|                                          |      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>9.1 Current tax expense</b>           |      |                  |                  |                  |                  |
| Income tax on current year's profit      | 9.3  | 166,704          | 129,880          | 166,704          | 129,880          |
| Under/(over) provision for previous year |      | 2,460            | (18,542)         | 2,460            | (18,542)         |
| Taxes on dividend received               |      | –                | 11,335           | –                | –                |
|                                          |      | 169,164          | 122,673          | 169,164          | 111,338          |
| <b>Deferred tax expense</b>              |      |                  |                  |                  |                  |
| Deferred taxation                        | 28   | 10,955           | (39,545)         | 3,357            | (31,337)         |
|                                          |      | 10,955           | (39,545)         | 3,357            | (31,337)         |
|                                          |      | 180,119          | 83,128           | 172,521          | 80,001           |

**9.2** The Company and subsidiaries are liable for income tax at the rate of 30% (2024 – 30%) on taxable profits in accordance with the provisions of Inland Revenue (Amended) Act No. 45 of 2022.

## Notes to the Financial Statements

| For the year ended 31 March                                  | Group            |                  | Company          |                  |
|--------------------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                              | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>9.3 Reconciliation of accounting profit to income tax</b> |                  |                  |                  |                  |
| Profit before income tax                                     | 670,432          | 502,165          | 660,508          | 580,673          |
| Other sources of income                                      | (35,952)         | (21,054)         | (32,268)         | (16,049)         |
| Aggregate disallowable expenses                              | 646,867          | 524,347          | 593,721          | 362,662          |
| Aggregate allowable expenses                                 | (692,137)        | (498,050)        | (698,550)        | (498,060)        |
| Other sources of income                                      | 35,803           | 8,642            | 32,268           | 3,707            |
| Tax loss for the year                                        | (64,288)         | (58,847)         | –                | –                |
| <b>Assessable income</b>                                     | <b>560,725</b>   | <b>457,203</b>   | <b>555,679</b>   | <b>432,933</b>   |
| Assessable income set-off against tax losses                 | (5,046)          | (24,270)         | –                | –                |
| <b>Taxable income</b>                                        | <b>555,679</b>   | <b>432,933</b>   | <b>555,679</b>   | <b>432,933</b>   |
| Applicable tax rates:                                        |                  |                  |                  |                  |
| Income tax @ 30%                                             | 166,704          | 129,880          | 166,704          | 129,880          |
| <b>Total income tax on taxable profit</b>                    | <b>166,704</b>   | <b>129,880</b>   | <b>166,704</b>   | <b>129,880</b>   |

### 9.4 Reconciliation of effective tax rate

| For the year ended 31 March                         | Group     |                |           |               | Company   |                |           |               |
|-----------------------------------------------------|-----------|----------------|-----------|---------------|-----------|----------------|-----------|---------------|
|                                                     | 2025      |                | 2024      |               | 2025      |                | 2024      |               |
|                                                     | %         | Rs. '000       | %         | Rs. '000      | %         | Rs. '000       | %         | Rs. '000      |
| Profit before income tax                            |           | 670,432        |           | 502,165       |           | 660,508        |           | 580,673       |
| Taxable income                                      | 30        | 201,130        | 30        | 150,650       | 30        | 198,152        | 30        | 174,202       |
| Non-deductible expenses                             | 29        | 194,060        | 31        | 157,304       | 27        | 178,116        | 19        | 108,799       |
| Tax deductible expenses                             | (31)      | (207,641)      | (30)      | (149,415)     | (32)      | (209,565)      | (26)      | (149,418)     |
| Other sources of income                             | 0         | (45)           | (1)       | (3,724)       | –         | –              | (1)       | (3,703)       |
| Effects on tax loss                                 | (3)       | (20,800)       | (5)       | (24,935)      | –         | –              | –         | –             |
| Effects on dividend received                        | –         | –              | 2         | 11,335        | –         | –              | –         | –             |
| Effects on deferred taxation                        | 2         | 10,955         | (8)       | (39,545)      | 1         | 3,357          | (5)       | (31,337)      |
| Effects on under/(over) provision for previous year | 0         | 2,460          | (4)       | (18,542)      | 0         | 2,460          | (3)       | (18,542)      |
| <b>Total income tax expense</b>                     | <b>27</b> | <b>180,119</b> | <b>17</b> | <b>83,128</b> | <b>26</b> | <b>172,520</b> | <b>14</b> | <b>80,001</b> |

## Notes to the Financial Statements

**9.5 Accumulated tax losses**

| For the year ended 31 March                | Group            |                  | Company          |                  |
|--------------------------------------------|------------------|------------------|------------------|------------------|
|                                            | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Tax losses at the beginning of the year    | 138,678          | 420,595          | –                | –                |
| Adjustment to the tax loss brought forward | 4                | 368              | –                | –                |
| Loss for the year                          | 64,288           | 58,847           | –                | –                |
| Disallowed tax loss due to expiration      | (29,822)         | (316,862)        | –                | –                |
| Tax loss set off during the year           | (5,046)          | (24,270)         | –                | –                |
| <b>Tax losses at the end of the year</b>   | <b>168,102</b>   | <b>138,678</b>   | <b>–</b>         | <b>–</b>         |

**9.6 Expiration of tax losses**

|                                        | Group          |                |                |                |
|----------------------------------------|----------------|----------------|----------------|----------------|
|                                        | 2025           |                | 2024           |                |
|                                        | Rs. '000       | Year of expiry | Rs. '000       | Year of expiry |
| <b>Year of origination of tax loss</b> |                |                |                |                |
| Tax loss incurred in 2024/25           | 64,288         | 2030/31        | 58,849         | 2029/30        |
| Tax loss incurred in 2023/24           | 53,807         | 2029/30        | 41,264         | 2028/29        |
| Tax loss incurred in 2022/23           | 41,264         | 2028/29        | 5,681          | 2027/28        |
| Tax loss incurred in 2021/22           | 5,681          | 2027/28        | 3,062          | 2026/27        |
| Tax loss incurred in 2020/21           | 3,062          | 2026/27        | –              | 2025/26        |
| Tax loss incurred in 2019/20           | –              | 2025/26        | 29,822         | 2024/25        |
|                                        | <b>168,102</b> |                | <b>138,678</b> |                |

**9.7 Withholding tax**

| For the year ended 31 March           | Group            |                  | Company          |                  |
|---------------------------------------|------------------|------------------|------------------|------------------|
|                                       | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Balance at the beginning of the year  | 22,916           | 3,238            | 15,719           | 1,870            |
| Payments made during the year         | 11,901           | 22,916           | 105              | 15,719           |
| Set off against income tax            | (21,368)         | (3,238)          | (15,719)         | (1,870)          |
| <b>Balance at the end of the year</b> | <b>13,449</b>    | <b>22,916</b>    | <b>105</b>       | <b>15,719</b>    |

## Notes to the Financial Statements

### Note 10

#### Basic earnings per share

The calculation of the earnings per share is based on the profit for the year attributable to ordinary shareholders divided by weighted average number of ordinary shares outstanding during the year as given below, as per the requirements of the Sri Lanka Accounting Standard (LKAS 33) – “Earnings per Share”.

The calculation of diluted earnings per share is based on dividing the profit attributable to ordinary equity holders of the parent by the weighted average number of ordinary shares outstanding after adjustment for the effect of all dilutive potential ordinary shares.

There were no potentially dilutive ordinary shares outstanding at any time during the year. Therefore, diluted earnings per share is same as basic earnings per share.

| For the year ended 31 March                                  | Group        |              | Company      |              |
|--------------------------------------------------------------|--------------|--------------|--------------|--------------|
|                                                              | 2025         | 2024         | 2025         | 2024         |
| Net profit attributable to ordinary shareholders (Rs. 000's) | 497,911      | 416,062      | 487,987      | 500,672      |
| Weighted average number of ordinary shares                   | 35,988,556   | 35,988,556   | 35,988,556   | 35,988,556   |
| <b>Earnings per share (Rs.)</b>                              | <b>13.84</b> | <b>11.56</b> | <b>13.56</b> | <b>13.91</b> |

### Note 11

#### Dividend per share

| For the year ended 31 March                | Group       |              | Company     |              |
|--------------------------------------------|-------------|--------------|-------------|--------------|
|                                            | 2025        | 2024         | 2025        | 2024         |
| Gross dividend paid during the year (Rs.)  | 287,908,448 | 431,862,672  | 287,908,448 | 431,862,672  |
| Weighted average number of ordinary shares | 35,988,556  | 35,988,556   | 35,988,556  | 35,988,556   |
| <b>Dividend per share (Rs.)</b>            | <b>8.00</b> | <b>12.00</b> | <b>8.00</b> | <b>12.00</b> |

## Notes to the Financial Statements

**Note 12****Property, plant and equipment****12.1 Property, plant and equipment – Group**

| As at 31 March                        | Buildings<br>on leasehold<br>land | Freehold<br>land | Freehold<br>buildings | Plant,<br>machinery<br>and tools | Computer<br>and other<br>installations | Office,<br>factory<br>and lab<br>equipment | Freehold<br>motor<br>vehicles | Furniture<br>and<br>fittings | Capital<br>work-in-<br>progress | Total<br>2025    | Total<br>2024    |
|---------------------------------------|-----------------------------------|------------------|-----------------------|----------------------------------|----------------------------------------|--------------------------------------------|-------------------------------|------------------------------|---------------------------------|------------------|------------------|
|                                       | Rs. '000                          | Rs. '000         | Rs. '000              | Rs. '000                         | Rs. '000                               | Rs. '000                                   | Rs. '000                      | Rs. '000                     | Rs. '000                        | Rs. '000         | Rs. '000         |
| <b>Cost</b>                           |                                   |                  |                       |                                  |                                        |                                            |                               |                              |                                 |                  |                  |
| Balance at the beginning of the year  | 45,110                            | 1,278,768        | 292,827               | 490,295                          | 89,085                                 | 153,894                                    | 311,798                       | 125,403                      | –                               | 2,787,180        | 2,712,945        |
| Adjustment for write off              | –                                 | –                | –                     | –                                | –                                      | –                                          | –                             | (1,002)                      | –                               | (1,002)          | –                |
| Additions during the year             | 12,476                            | –                | 2,471                 | 101,361                          | 14,897                                 | 33,025                                     | –                             | 7,223                        | 102,282                         | 273,735          | 87,929           |
| Disposals during the year             | –                                 | –                | –                     | –                                | (57)                                   | (226)                                      | (2,430)                       | –                            | –                               | (2,713)          | (13,694)         |
| Revaluation during the year           | –                                 | 138,461          | –                     | –                                | –                                      | –                                          | –                             | –                            | –                               | 138,461          | –                |
| <b>Balance at the end of the year</b> | <b>57,586</b>                     | <b>1,417,229</b> | <b>295,298</b>        | <b>591,656</b>                   | <b>103,925</b>                         | <b>186,693</b>                             | <b>309,368</b>                | <b>131,624</b>               | <b>102,282</b>                  | <b>3,195,661</b> | <b>2,787,180</b> |
| <b>Accumulated depreciation</b>       |                                   |                  |                       |                                  |                                        |                                            |                               |                              |                                 |                  |                  |
| Balance at the beginning of the year  | 39,039                            | –                | 95,345                | 334,378                          | 72,550                                 | 92,623                                     | 280,622                       | 72,297                       | –                               | 986,854          | 896,024          |
| Adjustment for write off              | –                                 | –                | –                     | –                                | –                                      | –                                          | –                             | (867)                        | –                               | (867)            | –                |
| Depreciation charge for the year      | 955                               | –                | 9,870                 | 38,613                           | 5,845                                  | 19,014                                     | 15,060                        | 13,344                       | –                               | 102,701          | 101,345          |
| Disposals during the year             | –                                 | –                | –                     | –                                | (57)                                   | (214)                                      | (2,430)                       | –                            | –                               | (2,701)          | (10,515)         |
| <b>Balance at the end of the year</b> | <b>39,994</b>                     | <b>–</b>         | <b>105,215</b>        | <b>372,991</b>                   | <b>78,338</b>                          | <b>111,423</b>                             | <b>293,252</b>                | <b>84,774</b>                | <b>–</b>                        | <b>1,085,987</b> | <b>986,854</b>   |
| <b>Written down value:</b>            |                                   |                  |                       |                                  |                                        |                                            |                               |                              |                                 |                  |                  |
| <b>As at 31 March 2025</b>            | <b>17,592</b>                     | <b>1,417,229</b> | <b>190,083</b>        | <b>218,665</b>                   | <b>25,587</b>                          | <b>75,270</b>                              | <b>16,116</b>                 | <b>46,850</b>                | <b>102,282</b>                  | <b>2,109,674</b> | <b>–</b>         |
| <b>As at 31 March 2024</b>            | <b>6,071</b>                      | <b>1,278,768</b> | <b>197,482</b>        | <b>155,917</b>                   | <b>16,535</b>                          | <b>61,271</b>                              | <b>31,176</b>                 | <b>53,106</b>                | <b>–</b>                        | <b>–</b>         | <b>1,800,326</b> |

## Notes to the Financial Statements

### 12.2 Property, plant and equipment – Company

| As at 31 March                        | Buildings<br>on leasehold<br>land | Freehold<br>land | Freehold<br>buildings | Plant,<br>machinery<br>and tools | Computer<br>and other<br>installations | Office,<br>factory<br>and lab<br>equipment | Freehold<br>motor<br>vehicles | Furniture<br>and<br>fittings | Capital<br>work-in-<br>progress | Total<br>2025    | Total<br>2024    |
|---------------------------------------|-----------------------------------|------------------|-----------------------|----------------------------------|----------------------------------------|--------------------------------------------|-------------------------------|------------------------------|---------------------------------|------------------|------------------|
|                                       | Rs. '000                          | Rs. '000         | Rs. '000              | Rs. '000                         | Rs. '000                               | Rs. '000                                   | Rs. '000                      | Rs. '000                     | Rs. '000                        | Rs. '000         | Rs. '000         |
| <b>Cost</b>                           |                                   |                  |                       |                                  |                                        |                                            |                               |                              |                                 |                  |                  |
| Balance at the beginning of the year  | 45,110                            | 363,908          | 65,725                | 249,293                          | 82,244                                 | 115,011                                    | 287,346                       | 113,798                      | –                               | 1,322,435        | 1,275,379        |
| Adjustment for write off              | –                                 | –                | –                     | –                                | –                                      | –                                          | –                             | (1,002)                      | –                               | (1,002)          | –                |
| Additions during the year             | 12,476                            | –                | 548                   | 57,724                           | 13,659                                 | 31,636                                     | –                             | 6,524                        | 102,282                         | 224,849          | 59,184           |
| Disposals during the year             | –                                 | –                | –                     | –                                | (57)                                   | (125)                                      | (2,430)                       | –                            | –                               | (2,612)          | (12,128)         |
| Revaluation during the year           | –                                 | 48,521           | –                     | –                                | –                                      | –                                          | –                             | –                            | –                               | 48,521           | –                |
| <b>Balance at the end of the year</b> | <b>57,586</b>                     | <b>412,429</b>   | <b>66,273</b>         | <b>307,017</b>                   | <b>95,846</b>                          | <b>146,522</b>                             | <b>284,916</b>                | <b>119,320</b>               | <b>102,282</b>                  | <b>1,592,191</b> | <b>1,322,435</b> |
| <b>Accumulated depreciation</b>       |                                   |                  |                       |                                  |                                        |                                            |                               |                              |                                 |                  |                  |
| Balance at the beginning of the year  | 39,039                            | –                | 14,976                | 158,458                          | 67,188                                 | 62,375                                     | 256,384                       | 65,092                       | –                               | 663,512          | 595,877          |
| Adjustment for write off              | –                                 | –                | –                     | –                                | –                                      | –                                          | –                             | (867)                        | –                               | (867)            | –                |
| Depreciation charge for the year      | 955                               | –                | 1,672                 | 24,018                           | 5,302                                  | 17,348                                     | 14,950                        | 12,251                       | –                               | 76,496           | 77,072           |
| Disposals during the year             | –                                 | –                | –                     | –                                | (57)                                   | (113)                                      | (2,430)                       | –                            | –                               | (2,600)          | (9,437)          |
| <b>Balance at the end of the year</b> | <b>39,994</b>                     | <b>–</b>         | <b>16,648</b>         | <b>182,476</b>                   | <b>72,433</b>                          | <b>79,610</b>                              | <b>268,904</b>                | <b>76,476</b>                | <b>–</b>                        | <b>736,541</b>   | <b>663,512</b>   |
| <b>Written down value:</b>            |                                   |                  |                       |                                  |                                        |                                            |                               |                              |                                 |                  |                  |
| <b>As at 31 March 2025</b>            | <b>17,592</b>                     | <b>412,429</b>   | <b>49,625</b>         | <b>124,541</b>                   | <b>23,413</b>                          | <b>66,912</b>                              | <b>16,012</b>                 | <b>42,844</b>                | <b>102,282</b>                  | <b>855,650</b>   | <b>–</b>         |
| <b>As at 31 March 2024</b>            | <b>6,071</b>                      | <b>363,908</b>   | <b>50,749</b>         | <b>90,835</b>                    | <b>15,056</b>                          | <b>52,636</b>                              | <b>30,962</b>                 | <b>48,706</b>                | <b>–</b>                        | <b>–</b>         | <b>658,923</b>   |

## Notes to the Financial Statements

**12.3 Land carried at revalued amount**

| Company/location                                                 | Name of the professional valuer                                    | Last revaluation date | Extent        | Estimated price per perch | Cost of acquisition | Revaluation surplus | Carrying amount as at     |                           |
|------------------------------------------------------------------|--------------------------------------------------------------------|-----------------------|---------------|---------------------------|---------------------|---------------------|---------------------------|---------------------------|
|                                                                  |                                                                    |                       |               | Rs.                       | Rs. '000            | Rs. '000            | 31 March 2025<br>Rs. '000 | 31 March 2024<br>Rs. '000 |
| Freehold land                                                    |                                                                    |                       |               |                           |                     |                     |                           |                           |
| C. W. Mackie PLC<br>Scan Water Bottling Plant – Munagama, Horana | Ms. W. S. Wickramanayake – FRICS<br>(Chartered Valuation Surveyor) | 31.03.2025            | 3A, 0R, 5.21P | 850,000                   | 74,000              | 338,429             | 412,429                   | 363,908                   |
| Ceymac Rubber Company Limited                                    |                                                                    |                       |               |                           |                     |                     |                           |                           |
| Aramangolla, Horana,<br>Thebuwana, Narthupana                    | Ms. W. S. Wickramanayake – FRICS<br>(Chartered Valuation Surveyor) | 31.03.2025            | 5A, 0R, 0.45P | 850,000                   | 3,350               | 677,050             | 680,400                   | 640,360                   |
|                                                                  |                                                                    | 31.03.2025            | 5A,0R,0P      | 175,000                   | 469                 | 143,281             | 143,750                   | 137,250                   |
|                                                                  |                                                                    |                       | 1A,1R,0P      | 10,000                    |                     |                     |                           |                           |
| Kelani Valley Canneries Limited<br>Kaluaggala, Hanwellla         | Ms. W. S. Wickramanayake – FRICS<br>(Chartered Valuation Surveyor) | 31.03.2025            | 2A, 0R, 8.0P  | 500,000                   | 39,000              | 141,650             | 180,650                   | 137,250                   |
|                                                                  |                                                                    |                       | 0A, 0R, 22.2P | 750,000                   |                     |                     |                           |                           |
| Total                                                            |                                                                    |                       |               |                           | 116,819             | 1,300,410           | 1,417,229                 | 1,278,768                 |

**12.3.1 Fair value hierarchy**

The fair value of property was determined by external independent property valuer having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued.

The fair value measurement for all of properties has been categorised as level 03 fair value based on the input to the valuation technique used.

**12.3.2 Valuation technique and significant unobservable inputs**

| Valuation technique                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Significant unobservable inputs | Estimates for unobservable inputs                     | Inter - relationship between significant unobservable inputs and fair value measurement    |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------|-------------------------------------------------------|--------------------------------------------------------------------------------------------|
| <b>Market comparable method:</b><br>This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of the property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for differences in size, nature, location, condition of specific property in this process outlier transactions, indicative of particularly motivated buyers or sellers are too compensated for, since the price may not reflect the fair market value. | Estimated price per Perch       | Price per perch for land is disclosed under Note 12.3 | Estimated fair value would increase/ (decrease) if, Price per perch increases/ (decreases) |

## Notes to the Financial Statements

### 12.4 Investment property

| As at 31 March                                   | Group            |                  | Company          |                  |
|--------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                  | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Cost</b>                                      |                  |                  |                  |                  |
| Balance at the beginning of the year             | 763,860          | 763,860          | 62,346           | 62,346           |
| Additions during the year                        | 17,686           | –                | –                | –                |
| <b>Balance at the end of the year</b>            | <b>781,546</b>   | <b>763,860</b>   | <b>62,346</b>    | <b>62,346</b>    |
| <b>Accumulated depreciation</b>                  |                  |                  |                  |                  |
| Balance at the beginning of the year             | 126,248          | 104,567          | 62,346           | 57,563           |
| Depreciation charge for the year                 | 17,561           | 21,681           | –                | 4,783            |
| <b>Balance at the end of the year</b>            | <b>143,809</b>   | <b>126,248</b>   | <b>62,346</b>    | <b>62,346</b>    |
| <b>Written down value at the end of the year</b> | <b>637,737</b>   | <b>637,612</b>   | <b>–</b>         | <b>–</b>         |

Sunquick Lanka Properties (Private) Limited has rented out a part of its building complex and value of land and buildings of that portion has been classified as “investment property” and accounted on “cost model” as permitted by LKAS 40 – Investment Property.

As per the valuation carried out on 31 March 2024, by an independent professional Valuer Mr. K.T.D. Tissera, J.P.U.M., Diploma in Valuation (Sri Lanka), F. R. I. C. S. (Eng.), F. I. V. (Sri Lanka), Chartered Valuation Surveyor. These properties were valued on an open market value for existing use basis.

Fair value of the investment property as at 31 March 2024 is as follows:

| Company/location                                   | Fair value<br>Rs. Mn. |
|----------------------------------------------------|-----------------------|
| <b>Sunquick Lanka Properties (Private) Limited</b> | 700.0                 |
| Munagama, Horana                                   |                       |
| <b>Total</b>                                       | <b>700.0</b>          |

Rent income and expenses included in the Statement of Profit or Loss and Other Comprehensive Income as follows:

| For the year ended 31 March                                                                             | Group            |                  | Company          |                  |
|---------------------------------------------------------------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                                                                         | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Rent income                                                                                             | 78,191           | 173,150          | 25,049           | 122,317          |
| Direct operating expenses arising from investment property that generated rental income during the year | 30,425           | 42,624           | 10,744           | 23,086           |

## Notes to the Financial Statements

### 12.4.2 Fair value hierarchy

The fair value of property was determined by external independent property valuer having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued.

The fair value measurement for all of properties has been categorised as level 03 fair value based on the input to the valuation technique used.

### 12.4.3 Valuation technique and significant unobservable inputs

| Valuation technique                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Significant unobservable inputs              | Estimates for unobservable inputs | Inter - relationship between significant unobservable inputs and fair value measurement        |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|-----------------------------------|------------------------------------------------------------------------------------------------|
| <b>Contractors principle method:</b><br>This is a property housing a factory manufacturing a food product located in purpose built structures. It is not possible to estimate a rent that this property could fetch in its existing use and is not the type of property that is let on rent unless on very extreme conditions, hence, the valuation of this property is prepared on the Contractors principle where in the value of the land is estimated in its present state and the value of the buildings worked out on its existing use. | Building:<br>Estimated price per square feet | Rs.6,330/- per square feet        | Estimated fair value would increase/(decrease) if, Price per square foot increases/(decreases) |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Land:<br>Estimated price per perch           | Rs.1,000,000/- per perch          | Price per perch increases/(decreases)                                                          |

### 12.5 Intangible assets

| As at 31 March                                   | Group            |                  | Company          |                  |
|--------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                  | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Software purchased</b>                        |                  |                  |                  |                  |
| <b>Cost</b>                                      |                  |                  |                  |                  |
| Balance at the beginning of the year             | 84,109           | 80,302           | 83,969           | 80,162           |
| Additions                                        | 80               | 3,807            | 80               | 3,807            |
| <b>Balance at the end of the year</b>            | <b>84,189</b>    | <b>84,109</b>    | <b>84,049</b>    | <b>83,969</b>    |
| <b>Accumulated depreciation</b>                  |                  |                  |                  |                  |
| Balance at the beginning of the year             | 74,632           | 71,821           | 74,537           | 71,754           |
| Amortisation for the year                        | 3,275            | 2,811            | 3,251            | 2,783            |
| <b>Balance at the end of the year</b>            | <b>77,907</b>    | <b>74,632</b>    | <b>77,788</b>    | <b>74,537</b>    |
| <b>Written down value at the end of the year</b> | <b>6,282</b>     | <b>9,477</b>     | <b>6,261</b>     | <b>9,432</b>     |

## Notes to the Financial Statements

### 12.5.1 Intangible assets are included in the Statement of Financial Position as follows:

|                                           | Useful life | Amortisation method | Type     | Impairment testing                                                                                           |
|-------------------------------------------|-------------|---------------------|----------|--------------------------------------------------------------------------------------------------------------|
| <b>Intangible asset</b>                   |             |                     |          |                                                                                                              |
| License                                   | 5 Years     | Straight-line       | Acquired | When the indicators of the impairment exist. The amortisation method is reviewed at each financial year end. |
| Sales Force Automation System             | 5 Years     | Straight-line       | Acquired |                                                                                                              |
| Human Resources Information Systems       | 5 Years     | Straight-line       | Acquired |                                                                                                              |
| E Mail Solution                           | 5 Years     | Straight-line       | Acquired |                                                                                                              |
| Enterprise Resource Planning System (ERP) | 5 Years     | Straight-line       | Acquired |                                                                                                              |

### 12.6 Right-of-use asset

| For the year ended 31 March                                 | Group            |                  | Company          |                  |
|-------------------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                             | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Cost</b>                                                 |                  |                  |                  |                  |
| Balance at the beginning of the year                        | 260,952          | 214,949          | 258,807          | 212,804          |
| Additions during the year                                   | 96,770           | 46,003           | 96,770           | 46,003           |
| <b>Balance at the end of the year</b>                       | <b>357,722</b>   | <b>260,952</b>   | <b>355,577</b>   | <b>258,807</b>   |
| <b>Accumulated depreciation</b>                             |                  |                  |                  |                  |
| Balance at the beginning of the year                        | 159,474          | 117,093          | 157,329          | 114,948          |
| Depreciation charge of the right-of-use assets for the year | 44,835           | 42,381           | 44,835           | 42,381           |
| <b>Balance at the end of the year</b>                       | <b>204,309</b>   | <b>159,474</b>   | <b>202,164</b>   | <b>157,329</b>   |
| <b>Written down value as at 31 March</b>                    | <b>153,413</b>   | <b>101,478</b>   | <b>153,413</b>   | <b>101,478</b>   |

### 12.7 (i) Fully depreciated property, plant and equipment still in use

#### Group

The gross carrying amount of fully depreciated property, plant and equipment still in use as at 31 March 2025 is Rs. 851.4 Mn. (2024 – Rs. 788 Mn.).

#### Company

The gross carrying amount of fully depreciated property, plant and equipment still in use as at 31 March 2025 is Rs. 636.6 Mn. (2024 – Rs. 574 Mn.).

### (ii) Leasehold land and buildings

The Group has taken certain land and buildings on lease. In terms of the grant to the Company dated 22 September 1964 under the Crown Lands Ordinance, premises No. 34 and 36, D R Wijewardena Mawatha, Colombo 10 has been leased for a period of 60 years, 8 months and 10 days (being the residue of the unexpired term under Indenture of Lease by the Crown dated 10 June 1925 granting the Company a 99-year lease of the premises from the said date). At the time of handing over the possession of the premises, the Company is not entitled to any compensation in respect of the land, buildings or improvements thereon.

The Crown Lease Agreement in respect of the Company's Head Office premises at Nos. 34 and 36, D R Wijewardena Mawatha, Colombo 10 lapsed on 10 June 2024 and the Company is in the process of pursuing a renewal of the lease with the relevant authorities.

## Notes to the Financial Statements

### (iii) Assets pledged as securities against bank borrowings

Details of assets pledged are disclosed in Note 24.3 and 29.2.

### 12.8 Property, plant and equipment extent

| Company/location                                                        | Extent         | Number of buildings |
|-------------------------------------------------------------------------|----------------|---------------------|
| <b>Leasehold land and buildings</b>                                     |                |                     |
| <b>C. W. Mackie PLC</b><br>No. 36, D R Wijewardena Mawatha, Colombo 10  | 1A, 2R, 13.86P | 4                   |
| <b>Investment property</b>                                              |                |                     |
| <b>C. W. Mackie PLC</b><br>No. 36, D R Wijewardena Mawatha, Colombo 10  | 57,158 *Sq. Ft | 2                   |
| <b>Sunquick Lanka Properties (Private) Limited</b><br>Munagama, Horana  | 2A,3R,33.07P   | 8                   |
| <b>Freehold land and buildings</b>                                      |                |                     |
| <b>C. W. Mackie PLC</b><br>Scan Water Bottling Plant – Munagama, Horana | 3A,0R,5.21P    | 4                   |
| <b>Ceymac Rubber Company Limited</b><br>Aramangolla, Horana             | 5A,0R,0.45P    | 11                  |
| Thebuwana, Narthupana                                                   | 6A,1R,0P       | 8                   |
| <b>Kelani Valley Canneries Limited</b><br>Kaluaggala, Hanwella          | 2A,0R, 35.00P  | 7                   |

### 12.9 Capitalisation of borrowing costs

During the year under review, the Group has not capitalised any borrowing costs.

### 12.10 Significant changes in the Company's or its subsidiaries' fixed assets and the market value of land

There are no significant changes in the Company's or its subsidiaries' fixed assets and the market value of land when compared to the book value as at 31 March 2025.

### 12.11 Capital work-in progress

The capital work-in-progress balance as at 31 March 2025 represents the costs incurred by C. W. Mackie PLC in relation to the snack manufacturing plant, aimed at enhancing the factory's production capacity, and the development of a new caster sugar manufacturing plant. Accordingly, the Company has capitalised the expenditures related to improvements in machinery, land, and buildings as at the financial year end.

## Notes to the Financial Statements

### Note 13

#### Investments in subsidiaries

| For the year ended 31 March                                                                                 | Note | Company          |                  |
|-------------------------------------------------------------------------------------------------------------|------|------------------|------------------|
|                                                                                                             |      | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Ceymac Rubber Company Limited                                                                               |      | 424,823          | 424,823          |
| Ceytra (Private) Limited                                                                                    |      | 74,652           | 34,652           |
| Sunquick Lanka Properties (Private) Limited                                                                 |      | 307,000          | 307,000          |
| Kelani Valley Canneries Limited                                                                             |      | 187,032          | 187,032          |
|                                                                                                             |      | 993,507          | 953,507          |
| Less: Provision for impairment loss                                                                         | 13.1 | (87,729)         | (31,989)         |
|                                                                                                             |      | 905,778          | 921,518          |
| <b>13.1 Provision for impairment of investment in subsidiary</b>                                            |      |                  |                  |
| Balance at the beginning of the year                                                                        |      | 31,989           | 31,989           |
| Provision made during the year                                                                              |      | 55,740           | 18,514           |
| Reversal of provision made during the year                                                                  |      | –                | (18,514)         |
| Balance at the end of the year                                                                              |      | 87,729           | 31,989           |
| <b>Provision for impairment of investment has been recognised in respect of the following subsidiaries:</b> |      |                  |                  |
| Ceytra (Private) Limited                                                                                    |      | 36,752           | 18,514           |
| Kelani Valley Canneries Limited                                                                             |      | 50,977           | 13,475           |
|                                                                                                             |      | 87,729           | 31,989           |

Directors' valuation of investment in subsidiaries has been carried out on cash flow basis as at 31 March 2025 and provision for impairment is provided to the extent of carrying value exceeds its present value of expected cash flows.

Directors' valuation of investment in Ceytra (Private) Limited and Kelani Valley Canneries Limited have been carried out on cash flow basis as at 31 March 2025 and provision for impairment is provided to the extent of carrying value exceeds its present value of expected cash flows. The assumptions used in the impairment assessment are the sales growth rate, inflation and the discount rate.

| Company                         | Discount rate | Terminal growth rate |
|---------------------------------|---------------|----------------------|
| Ceytra (Private) Limited        | 15.30%        | 4.50%                |
| Kelani Valley Canneries Limited | 14.60%        | 4.50%                |

## Notes to the Financial Statements

| Subsidiaries – unquoted                     | Principal activity                                                                                                                                                                         | Holding (%) |       | Carrying value            |                           | Deemed cost               |                           |
|---------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|-------|---------------------------|---------------------------|---------------------------|---------------------------|
|                                             |                                                                                                                                                                                            | 2025        | 2024  | 31 March 2025<br>Rs. '000 | 31 March 2024<br>Rs. '000 | 31 March 2025<br>Rs. '000 | 31 March 2024<br>Rs. '000 |
| Ceymac Rubber Company Limited               | Manufacture, export and sale locally of technically specified rubber and manufacture and export of plantation sole crepe rubber and specialised industrial sole crepe rubber.              | 98.72       | 98.72 | 424,823                   | 424,823                   | 424,823                   | 424,823                   |
| Ceytra (Private) Limited                    | Manufacture and export of moulded rubber products.                                                                                                                                         | 84.07       | 62.82 | 37,900                    | 16,138                    | 74,652                    | 34,652                    |
| Kelani Valley Canneries Limited             | Manufacture, for sale and distribution locally as well as exporting of a wide range of processed tropical fruit, young coconut/king coconut water and beverage products under “KVC” brand. | 92.84       | 92.84 | 136,055                   | 173,557                   | 187,032                   | 187,032                   |
| Sunquick Lanka Properties (Private) Limited | Own the production site and the production facilities and to lease out these facilities to Sunquick Lanka (Private) Limited pursuant to the lease agreement.                               | 51.00       | 51.00 | 307,000                   | 307,000                   | 307,000                   | 307,000                   |

**13.2 Change in holding percentage**

During the year ended 31 March 2025, Ceytra (Private) Limited issued 4,000,000 shares at Rs. 10.00 per share, of which Rs. 30 million was capitalised from the amount payable to C. W. Mackie PLC, and Rs. 10 million was received in cash. Pursuant to this transaction, the effective holding of C. W. Mackie PLC increased from 62.82% to 84.07%.

**Note 14****Investments in joint venture**

| As at 31 March                   | Group            |                  | Company          |                  |
|----------------------------------|------------------|------------------|------------------|------------------|
|                                  | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Sunquick Lanka (Private) Limited | 460,474          | 293,163          | 460,474          | 293,163          |
|                                  | 460,474          | 293,163          | 460,474          | 293,163          |

**14.1** The Company has a 49% interest in Sunquick Lanka (Private) Limited, a joint venture formed for the purpose of manufacturing, processing and marketing Co-Ro A/S, Denmark products in the form of concentrates and ready-to-drink (RTD) products marketed under “Sunquick” brand.

## Notes to the Financial Statements

**14.2** The Group's interest in Sunquick Lanka (Private) Limited is accounted for using the equity method in the Company and Consolidated Financial Statements. Summarised financial information of the joint venture and reconciliation with the carrying amount of the investment in the Financial Statements are set out below:

| As at 31 March                                                               | Group            |                  | Company          |                  |
|------------------------------------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                                              | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Summarised Statement of Profit or Loss and Other Comprehensive Income</b> |                  |                  |                  |                  |
| Revenue                                                                      | 3,512,878        | 3,268,852        | 3,512,878        | 3,268,852        |
| Operating expenses                                                           | (3,341,149)      | (3,263,005)      | (3,341,149)      | (3,263,005)      |
| Other operating income                                                       | 17,114           | 10,288           | 17,114           | 10,288           |
| Finance income                                                               | 12,100           | 115,249          | 12,100           | 115,249          |
| Finance cost                                                                 | (1,614)          | –                | (1,614)          | –                |
| <b>Profit before tax</b>                                                     | <b>199,329</b>   | <b>131,384</b>   | <b>199,329</b>   | <b>131,384</b>   |
| Income tax                                                                   | 145,220          | (17,959)         | 145,220          | (17,959)         |
| <b>Profit for the year</b>                                                   | <b>344,549</b>   | <b>113,425</b>   | <b>344,549</b>   | <b>113,425</b>   |
| Other comprehensive expense                                                  |                  |                  |                  |                  |
| Actuarial loss on defined benefit plans                                      | (3,098)          | (3,754)          | (3,098)          | (3,754)          |
| <b>Total other comprehensive expense</b>                                     | <b>(3,098)</b>   | <b>(3,754)</b>   | <b>(3,098)</b>   | <b>(3,754)</b>   |
| <b>Total comprehensive income for the year</b>                               | <b>341,451</b>   | <b>109,671</b>   | <b>341,451</b>   | <b>109,671</b>   |
| <b>14.2.1</b>                                                                |                  |                  |                  |                  |
| Share of profit for the year                                                 | 168,829          | 55,578           | 168,829          | 55,578           |
| Unrecognised share of loss in prior year                                     | –                | (54,576)         | –                | (54,576)         |
| <b>Share of profit recognised for the year</b>                               | <b>168,829</b>   | <b>1,002</b>     | <b>168,829</b>   | <b>1,002</b>     |
| <b>14.2.2</b>                                                                |                  |                  |                  |                  |
| <b>Share of loss recognised in other comprehensive expense</b>               | <b>(1,518)</b>   | <b>(1,839)</b>   | <b>(1,518)</b>   | <b>(1,839)</b>   |

## Notes to the Financial Statements

| As at 31 March                                    | Group            |                  | Company          |                  |
|---------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                   | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Summarised Statement of Financial Position</b> |                  |                  |                  |                  |
| Non current assets                                | 755,538          | 908,808          | 755,538          | 908,808          |
| Current assets                                    | 2,066,811        | 1,859,674        | 2,066,811        | 1,859,674        |
| Non current liabilities                           | 213,775          | 725,889          | 213,775          | 725,889          |
| Current liabilities                               | 1,668,831        | 1,444,302        | 1,668,831        | 1,444,302        |
| Equity                                            | 939,743          | 598,291          | 939,743          | 598,291          |
| <b>Carrying amount of the investments</b>         | <b>460,474</b>   | <b>293,163</b>   | <b>460,474</b>   | <b>293,163</b>   |
| <b>Equity reconciliation</b>                      |                  |                  |                  |                  |
| Carrying value as at 1 April                      | 293,163          | –                | 293,163          | –                |
| Investment made during the year                   | –                | 294,000          | –                | 294,000          |
| Share of profit for the year                      | 168,829          | 55,578           | 168,829          | 55,578           |
| Other comprehensive expense for the year          | (1,518)          | (1,839)          | (1,518)          | (1,839)          |
| Unrecognised share of loss in prior year          | –                | (54,576)         | –                | (54,576)         |
| <b>Carrying value as at 31 March</b>              | <b>460,474</b>   | <b>293,163</b>   | <b>460,474</b>   | <b>293,163</b>   |

**Note 15****Inventories**

| As at 31 March                                    | Note | Group            |                  | Company          |                  |
|---------------------------------------------------|------|------------------|------------------|------------------|------------------|
|                                                   |      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Raw materials                                     |      | 516,978          | 246,892          | 305,241          | 142,535          |
| Work-in-progress                                  |      | 28,097           | 27,594           | 1,593            | 2,848            |
| Finished goods                                    |      | 3,068,629        | 2,475,287        | 3,030,610        | 2,414,089        |
| Other consumables                                 |      | 249,443          | 216,349          | 179,520          | 151,338          |
| Right to recover returned goods                   |      | 103,498          | 103,498          | 103,498          | 103,498          |
|                                                   |      | 3,966,645        | 3,069,620        | 3,620,462        | 2,814,308        |
| Less: Provision for slow moving inventories       | 15.1 | (190,205)        | (159,707)        | (181,066)        | (151,305)        |
|                                                   |      | 3,776,440        | 2,909,913        | 3,439,396        | 2,663,003        |
| <b>15.1 Provision for slow moving inventories</b> |      |                  |                  |                  |                  |
| Balance at the beginning of the year              |      | 159,707          | 129,630          | 151,305          | 121,574          |
| Provision made during the year                    |      | 67,748           | 58,518           | 67,011           | 54,045           |
| Write-off during the year                         |      | (37,250)         | (28,441)         | (37,250)         | (24,314)         |
| <b>Balance at the end of the year</b>             |      | <b>190,205</b>   | <b>159,707</b>   | <b>181,066</b>   | <b>151,305</b>   |

Inventories mentioned above are stated at the lower of cost and net realisable value. Inventories amounting to Rs. 3,516.9 Mn. (2024 – Rs. 2,710.8 Mn.) have been pledged as security for short-term loans and overdraft facilities obtained from banks (Note 29.2).

## Notes to the Financial Statements

### Note 16

#### Trade and other receivables

| As at 31 March                                    | Note   | Group            |                  | Company          |                  |
|---------------------------------------------------|--------|------------------|------------------|------------------|------------------|
|                                                   |        | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Trade receivables from related parties            | 16.1   | 39,472           | 24,505           | 322,587          | 216,334          |
| Trade receivables                                 | 16.2   | 4,208,369        | 3,782,788        | 3,886,832        | 3,485,769        |
| Deposits                                          |        | 45,624           | 21,905           | 42,589           | 18,020           |
| Loans to employees                                | 16.3   | 35,291           | 30,301           | 11,961           | 10,904           |
| Other receivables                                 | 16.4   | 565,669          | 485,579          | 340,713          | 368,364          |
|                                                   |        | 4,894,425        | 4,345,078        | 4,604,682        | 4,099,391        |
| <b>16.1 Trade receivable from related parties</b> |        |                  |                  |                  |                  |
| Ceymac Rubber Company Limited                     |        | –                | –                | 247,872          | 123,941          |
| Ceytra (Private) Limited                          |        | –                | –                | 12,847           | 7,001            |
| Kelani Valley Canneries Limited                   |        | –                | –                | 29,527           | 60,926           |
| CWM Hotels Holdings Limited                       |        | 81,939           | 81,939           | 81,939           | 81,939           |
| Ceylon Trading Company Limited                    |        | 694              | 437              | 694              | 437              |
| E. B. Creasy & Company PLC                        |        | 77               | –                | 77               | –                |
| Sunquick Lanka (Private) Limited                  |        | 7,131            | –                | –                | –                |
| York Hotel Management Services Limited            |        | –                | 174              | –                | 174              |
| Marawila Resorts PLC                              |        | 2,041            | 3,001            | 2,041            | 3,001            |
| Sigiri Village Hotels PLC                         |        | 1,283            | 5                | 1,283            | 5                |
| Union Commodities (Private) Limited               |        | 22,811           | 20,389           | 22,811           | 20,389           |
| Union Commodities Exports (Private) Limited       |        | –                | 399              | –                | 360              |
| Lankem Ceylon PLC                                 |        | –                | 100              | –                | 100              |
| Candy Delights Limited                            |        | 3,450            | –                | 3,450            | –                |
| J. F. Packaging Limited                           |        | 1,858            | –                | 1,858            | –                |
|                                                   |        | 121,284          | 106,444          | 404,399          | 298,273          |
| Less: Provision for impairment loss               | 16.1.1 | (81,812)         | (81,939)         | (81,812)         | (81,939)         |
|                                                   |        | 39,472           | 24,505           | 322,587          | 216,334          |

The Company recognises interest on the amount due from subsidiary companies based on the monthly average outstanding at market rates.

## Notes to the Financial Statements

| As at 31 March                              | Note   | Group            |                  | Company          |                  |
|---------------------------------------------|--------|------------------|------------------|------------------|------------------|
|                                             |        | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>16.1.1 Provision for impairment loss</b> |        |                  |                  |                  |                  |
| Balance at the beginning of the year        |        | 81,939           | 81,939           | 81,939           | 81,939           |
| Write-off during the year                   |        | (127)            | -                | (127)            | -                |
| <b>Balance at the end of the year</b>       |        | <b>81,812</b>    | <b>81,939</b>    | <b>81,812</b>    | <b>81,939</b>    |
| <b>16.2 Trade receivables</b>               |        |                  |                  |                  |                  |
| Trade receivables – Local sales             |        | 3,797,733        | 3,561,142        | 3,529,055        | 3,296,940        |
| – Export sales                              |        | 523,468          | 319,508          | 465,165          | 283,247          |
|                                             |        | 4,321,201        | 3,880,650        | 3,994,220        | 3,580,187        |
| Less : Provision for impairment loss        | 16.2.1 | (112,832)        | (97,862)         | (107,388)        | (94,418)         |
|                                             |        | 4,208,369        | 3,782,788        | 3,886,832        | 3,485,769        |

Trade debtors amounting to Rs. 3,994.2 Mn. (2024 – Rs. 3,580.2 Mn.) have been pledged as security for short-term loans and overdraft facilities obtained from banks (Note 29.2).

| As at 31 March                              | Group            |                  | Company          |                  |
|---------------------------------------------|------------------|------------------|------------------|------------------|
|                                             | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>16.2.1 Provision for impairment loss</b> |                  |                  |                  |                  |
| Balance at the beginning of the year        | 97,862           | 120,235          | 94,418           | 113,186          |
| Provision/(reversal) made during the year   | 20,206           | (22,373)         | 18,206           | (18,768)         |
| Write-off during the year                   | (5,236)          | –                | (5,236)          | –                |
| <b>Balance at the end of the year</b>       | <b>112,832</b>   | <b>97,862</b>    | <b>107,388</b>   | <b>94,418</b>    |

Trade receivables with the contractual amount Rs. 5.2 Mn. written off during the year are still subject to enforcement activity.

| As at 31 March                       | Group            |                  | Company          |                  |
|--------------------------------------|------------------|------------------|------------------|------------------|
|                                      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>16.3 Loans to employees</b>       |                  |                  |                  |                  |
| Balance at the beginning of the year | 30,301           | 32,029           | 10,904           | 10,875           |
| Loans granted during the year        | 99,942           | 14,294           | 60,643           | 13,911           |
|                                      | 130,243          | 46,323           | 71,547           | 24,786           |
| Recovered during the year            | (94,952)         | (16,022)         | (59,586)         | (13,882)         |
| Balance at the end of the year       | 35,291           | 30,301           | 11,961           | 10,904           |

Loans to employees represent short-term staff loans and staff advances, where repayment terms are less than 12 months.

## Notes to the Financial Statements

| As at 31 March                                | Note   | Group            |                  | Company          |                  |
|-----------------------------------------------|--------|------------------|------------------|------------------|------------------|
|                                               |        | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>16.4 Other receivables</b>                 |        |                  |                  |                  |                  |
| Payments in advance                           |        | 351,591          | 385,273          | 142,449          | 279,256          |
| VAT receivable                                |        | 168,584          | 32,175           | 155,917          | 15,777           |
| WHT receivable                                |        | 13,449           | 22,916           | 105              | 15,719           |
| Prepayments                                   |        | 4,213            | 3,746            | 3,484            | 3,331            |
| Income tax refund                             |        | 333              | 333              | 100              | 100              |
| Other receivables                             |        | 59,674           | 72,756           | 54,435           | 69,958           |
|                                               |        | 597,844          | 517,199          | 356,490          | 384,141          |
| Less : Provision for other receivables        | 16.4.1 | (32,175)         | (31,620)         | (15,777)         | (15,777)         |
|                                               |        | 565,669          | 485,579          | 340,713          | 368,364          |
| <b>16.4.1 Provision for other receivables</b> |        |                  |                  |                  |                  |
| Balance at the beginning of the year          |        | 31,620           | 31,620           | 15,777           | 15,777           |
| Provision made during the year                |        | 555              | –                | –                | –                |
| <b>Balance at the end of the year</b>         |        | <b>32,175</b>    | <b>31,620</b>    | <b>15,777</b>    | <b>15,777</b>    |

### Note 17

#### Interest bearing short-term loan to related parties

| As at 31 March                        | Group            |                  | Company          |                  |
|---------------------------------------|------------------|------------------|------------------|------------------|
|                                       | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Balance at the beginning of the year  | –                | –                | –                | –                |
| Capital granted during the year       | 120,000          | –                | 136,600          | –                |
| <b>Balance at the end of the year</b> | <b>120,000</b>   | <b>–</b>         | <b>136,600</b>   | <b>–</b>         |
| <b>17.1 Related party companies</b>   |                  |                  |                  |                  |
| Sunquick Lanka (Private) Limited      | 120,000          | –                | –                | –                |
| Kelani Valley Canneries Limited       | –                | –                | 136,600          | –                |
|                                       | 120,000          | –                | 136,600          | –                |

Short-term loans granted to related parties are based on market interest rates whereas repayment terms are less than one year.

## Notes to the Financial Statements

**Note 18****Other investments**

| As at 31 March                            | Note | Group            |                  |
|-------------------------------------------|------|------------------|------------------|
|                                           |      | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Fixed deposits                            |      | 360              | 360              |
| Less: Provision for impairment loss       | 18.1 | (360)            | (360)            |
|                                           |      | –                | –                |
| <b>18.1 Provision for impairment loss</b> |      |                  |                  |
| Balance at the beginning of the year      |      | 360              | 360              |
| Balance at the end of the year            |      | 360              | 360              |

**Note 19****Cash and cash equivalents**

| As at 31 March                                  | Group            |                  | Company          |                  |
|-------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                 | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Favourable balances</b>                      |                  |                  |                  |                  |
| Bank balances                                   | 88,648           | 35,773           | 71,770           | 6,210            |
| Cash in hand                                    | 3,000            | 3,046            | 2,625            | 2,671            |
|                                                 | 91,648           | 38,819           | 74,395           | 8,881            |
| <b>Unfavourable balances</b>                    |                  |                  |                  |                  |
| Bank overdraft                                  | (314,716)        | (234,533)        | (245,829)        | (177,614)        |
| Cash and cash equivalents for cash flow purpose | (223,068)        | (195,714)        | (171,434)        | (168,733)        |

## Notes to the Financial Statements

### Note 20

#### Stated capital

| As at 31 March                             | Group   |         | Company |         |
|--------------------------------------------|---------|---------|---------|---------|
|                                            | 2025    | 2024    | 2025    | 2024    |
| Ordinary shares (No. of shares 35,988,556) | 507,047 | 507,047 | 507,047 | 507,047 |

The shares of the C. W. Mackie PLC are quoted on the Diri Savi Board of Colombo Stock Exchange. The shares shall confer on the holder the right to one vote on a poll at a meeting of the Company on any resolution, the right to an equal share in dividends paid by the Company and the right to an equal share in the distribution of the surplus assets of the Company on liquidation.

### Note 21

#### Capital reserves

| As at 31 March                         | Group            |                  | Company          |                  |
|----------------------------------------|------------------|------------------|------------------|------------------|
|                                        | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Revaluation reserve                    | 761,072          | 664,149          | 228,967          | 191,911          |
| Adjustment due to merger of subsidiary | –                | –                | 14,909           | 14,909           |
| Export development grant reserve       | 8,734            | 8,734            | –                | –                |
|                                        | 769,806          | 672,883          | 243,876          | 206,820          |

### Note 22

#### Revenue reserves

| As at 31 March     | Group           |                 | Company         |                 |
|--------------------|-----------------|-----------------|-----------------|-----------------|
|                    | 2025<br>Rs '000 | 2024<br>Rs '000 | 2025<br>Rs '000 | 2024<br>Rs '000 |
| General reserves * | 7,000           | 7,000           | 7,000           | 7,000           |
| Retained earnings  | 2,831,772       | 2,632,683       | 3,089,061       | 2,900,805       |
|                    | 2,838,772       | 2,639,683       | 3,096,061       | 2,907,805       |

\* Capital reserves and general reserves represent the amounts set aside by the Directors for future expansion and to meet any contingencies.

## Notes to the Financial Statements

## Note 23

**Non-controlling interests**

Non-controlling interest (NCI) in subsidiaries. The following table summarises the information relating to each of the group's subsidiaries that has a material NCI, before any intra – group eliminations:

|                                                | Ceytra (Private) Limited |                  | Sunquick Lanka Properties (Private) Limited |                  | Other non-material NCI |                  | Total            |                  |
|------------------------------------------------|--------------------------|------------------|---------------------------------------------|------------------|------------------------|------------------|------------------|------------------|
|                                                | 2025<br>Rs. '000         | 2024<br>Rs. '000 | 2025<br>Rs. '000                            | 2024<br>Rs. '000 | 2025<br>Rs. '000       | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| NCI percentage (%)                             | 15.93                    | 37.18            | 49.00                                       | 49.00            | 8.44                   | 8.44             |                  |                  |
| Total assets                                   | 166,080                  | 51,082           | 975,244                                     | 775,092          | 1,957,334              | 1,586,950        | 3,098,658        | 2,413,124        |
| Total liabilities                              | 163,310                  | 32,812           | 137,493                                     | 48,861           | 1,084,279              | 760,998          | 1,385,082        | 842,671          |
| <b>Net assets</b>                              | <b>2,770</b>             | <b>18,270</b>    | <b>837,751</b>                              | <b>726,231</b>   | <b>873,055</b>         | <b>825,952</b>   | <b>1,713,576</b> | <b>1,570,453</b> |
| <b>Carrying amount of NCI</b>                  | <b>441</b>               | <b>6,793</b>     | <b>410,498</b>                              | <b>355,853</b>   | <b>(70,600)</b>        | <b>(13,783)</b>  | <b>340,339</b>   | <b>348,863</b>   |
| Revenue                                        | 162,445                  | 81,512           | –                                           | –                | 2,132,994              | 1,768,023        | 2,295,439        | 1,849,535        |
| Profit/(loss) after tax                        | (54,182)                 | (26,578)         | 22,888                                      | 28,347           | (14,102)               | (6,250)          | (45,396)         | (4,481)          |
| <b>Total comprehensive income/(expense)</b>    | <b>(55,498)</b>          | <b>(39,158)</b>  | <b>22,888</b>                               | <b>28,347</b>    | <b>47,064</b>          | <b>(10,632)</b>  | <b>14,454</b>    | <b>(21,443)</b>  |
| <b>Profit/(loss) allocated to NCI</b>          | <b>(17,971)</b>          | <b>(14,559)</b>  | <b>11,215</b>                               | <b>13,890</b>    | <b>1,484</b>           | <b>(1,233)</b>   | <b>(5,272)</b>   | <b>(1,902)</b>   |
| Cash flows from/(used in) operating activities | (43,138)                 | 4,688            | (315,590)                                   | (330,463)        | (65,381)               | (7,997)          | (424,109)        | (333,772)        |
| Cash flows from/(used in) investing activities | (11,435)                 | (2,678)          | 187,458                                     | 184,952          | (33,764)               | (20,533)         | 142,259          | 161,741          |
| Cash flows from financing activities           | 48,000                   | –                | 99,998                                      | 128,570          | 91,232                 | 29,596           | 239,230          | 158,166          |
| <b>Net change in cash and cash equivalents</b> | <b>(6,573)</b>           | <b>2,010</b>     | <b>(28,134)</b>                             | <b>(16,941)</b>  | <b>(7,913)</b>         | <b>1,066</b>     | <b>(42,620)</b>  | <b>(13,865)</b>  |

## Note 24

**Loans and borrowings**

|                                       | Group            |                  | Company          |                  |
|---------------------------------------|------------------|------------------|------------------|------------------|
| As at 31 March                        | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Balance at the beginning of the year  | 180,270          | 241,453          | 51,160           | 79,912           |
| Repayments during the year            | (57,692)         | (61,183)         | (28,752)         | (28,752)         |
| <b>Balance at the end of the year</b> | <b>122,578</b>   | <b>180,270</b>   | <b>22,408</b>    | <b>51,160</b>    |

## Notes to the Financial Statements

### 24.1 Sources of finance

| As at 31 March                | Group            |                  | Company          |                  |
|-------------------------------|------------------|------------------|------------------|------------------|
|                               | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Hatton National Bank PLC      | 22,408           | 51,160           | 22,408           | 51,160           |
| Commercial Bank of Ceylon PLC | 100,170          | 129,110          | –                | –                |
|                               | 122,578          | 180,270          | 22,408           | 51,160           |

### 24.2 Maturity analysis

| As at 31 March                                  | Group            |                  | Company          |                  |
|-------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                 | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Payable after one year but less than five years | 71,430           | 122,610          | –                | 22,408           |
| Payable within one year                         | 51,148           | 57,660           | 22,408           | 28,752           |
| <b>Total</b>                                    | 122,578          | 180,270          | 22,408           | 51,160           |

### 24.3 Assets pledged as securities against long-term borrowings

| Lending institution                                | Facility obtained                                                                | Assets pledged                                                                            | Interest rate         | Balances as at 31 March |                         |
|----------------------------------------------------|----------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|-----------------------|-------------------------|-------------------------|
|                                                    |                                                                                  |                                                                                           |                       | 2025<br>Rs. Mn          | Interest rate<br>Rs. Mn |
| <b>C. W. Mackie PLC</b>                            |                                                                                  |                                                                                           |                       |                         |                         |
| Hatton National Bank PLC                           | To part finance of the setup cost of the new production line                     | Primary floating mortgage bond over plant and machinery of the new product line at Horana | AWPLR + 0.75 & 1% p.a | 22.41                   | 51.16                   |
| <b>Kelani Valley Canneries Limited</b>             |                                                                                  |                                                                                           |                       |                         |                         |
| Commercial Bank of Ceylon PLC                      | For financing of long term capital requirements                                  | Mortgage bond over the machinery valued Rs. 1.7 Mn. at Kaluaggala, Hanwellla              | AWPLR + 1.75%         | 0.17                    | 0.54                    |
| <b>Sunquick Lanka Properties (Private) Limited</b> |                                                                                  |                                                                                           |                       |                         |                         |
| Commercial Bank of Ceylon PLC                      | To meet contractor payments relating to the construction of new factory building | Floating primary mortgage bond over property situated at Mungama, Horana                  | 9.25% p.a             | 99.99                   | 128.57                  |
| <b>Total</b>                                       |                                                                                  |                                                                                           |                       | 122.57                  | 180.27                  |

## Notes to the Financial Statements

**Note 25****Finance lease liability**

| As at 31 March                                    | Group            |                  | Company          |                  |
|---------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                   | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Balance at the beginning of the year              | 102,746          | 94,215           | 102,746          | 94,215           |
| Additions during the year                         | 101,966          | 46,003           | 101,966          | 46,003           |
| Interest expense for the year                     | 20,924           | 27,441           | 20,924           | 27,441           |
| Repayments during the year                        | (60,445)         | (64,913)         | (60,445)         | (64,913)         |
| <b>Capital outstanding at the end of the year</b> | <b>165,191</b>   | <b>102,746</b>   | <b>165,191</b>   | <b>102,746</b>   |

**25.1 Payable after one year**

| As at 31 March       | Group            |                  | Company          |                  |
|----------------------|------------------|------------------|------------------|------------------|
|                      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Lease rental payable | 129,871          | 70,805           | 129,871          | 70,805           |
|                      | 129,871          | 70,805           | 129,871          | 70,805           |

**25.2 Payable within one year**

| As at 31 March       | Group            |                  | Company          |                  |
|----------------------|------------------|------------------|------------------|------------------|
|                      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Lease rental payable | 35,320           | 31,941           | 35,320           | 31,941           |
|                      | 35,320           | 31,941           | 35,320           | 31,941           |

**25.3 Amount recognised in profit or loss leases under SLFRS 16**

| As at 31 March                      | Group            |                  | Company          |                  |
|-------------------------------------|------------------|------------------|------------------|------------------|
|                                     | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Depreciation of right-of-use assets | 44,835           | 42,381           | 44,835           | 42,381           |
| Interest on lease liability         | 20,924           | 27,441           | 20,924           | 27,441           |
|                                     | 65,759           | 69,822           | 65,759           | 69,822           |

## Notes to the Financial Statements

### 25.4 Amount recognised in Statement of Cash Flow

| As at 31 March                       | Group            |                  | Company          |                  |
|--------------------------------------|------------------|------------------|------------------|------------------|
|                                      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Total cash outflow for leases</b> | (60,445)         | (64,913)         | (60,445)         | (64,913)         |

### Note 26

#### Retirement benefit obligation

| As at 31 March                                                     | Note | Group            |                  | Company          |                  |
|--------------------------------------------------------------------|------|------------------|------------------|------------------|------------------|
|                                                                    |      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Present value of defined benefit obligation                        | 26.2 | 229,132          | 197,662          | 167,203          | 144,188          |
| Fair value of plan assets                                          | 26.3 | (97,586)         | (88,198)         | (88,572)         | (79,599)         |
|                                                                    |      | 131,546          | 109,464          | 78,631           | 64,589           |
| Arrears payable to the CWM Staff<br>Non-Contributory Gratuity fund | 26.5 | 23,632           | 14,724           | 19,239           | 10,745           |
|                                                                    |      | 155,178          | 124,188          | 97,870           | 75,334           |

The contributions of the Company and its subsidiaries (Ceymac Rubber Company Limited and Ceytra (Private) Limited) to the defined benefit plan are determined by a formula stated in the Indenture establishing the CWM Group Staff Non-Contributory Gratuity Fund.

As required by the Sri Lanka Accounting Standard 19 (LKAS 19), "Employee Benefits" the Fund was actuarially valued by Mr. Piya S. Goonetilleke, Fellow of the Society of Actuaries (USA), Member of American Academy of Actuaries, Consulting Actuary of Messrs Piya S Goonetilleke and Associates, as at 31 March 2025 and the appropriate adjustments have been effected in the Financial Statements.

#### 26.1 Plan assets consist of the following;

| As at 31 March               | Group            |                  | Company          |                  |
|------------------------------|------------------|------------------|------------------|------------------|
|                              | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Treasury bills               | 54,056           | 52,436           | 49,029           | 47,192           |
| Balance with Group Companies | 23,637           | 22,392           | 21,510           | 20,153           |
| Cash                         | 17,497           | 11,401           | 15,853           | 10,423           |
| Others                       | 2,396            | 1,969            | 2,180            | 1,831            |
|                              | 97,586           | 88,198           | 88,572           | 79,599           |

The plan assets are invested entirely in short term Treasury Bills issued by the Government of Sri Lanka in order to mitigate any potential financial risks.

## Notes to the Financial Statements

**26.2 Movement in present value of defined benefit obligations**

| As at 31 March                        | Group            |                  | Company          |                  |
|---------------------------------------|------------------|------------------|------------------|------------------|
|                                       | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Balance at the beginning of the year  | 197,662          | 119,973          | 144,188          | 88,324           |
| Current service cost                  | 18,179           | 10,860           | 14,302           | 8,408            |
| Interest cost                         | 23,720           | 25,382           | 17,302           | 19,393           |
| Benefits paid by the plan             | (19,149)         | (25,023)         | (14,205)         | (21,976)         |
| Actuarial loss                        | 8,720            | 66,470           | 5,616            | 50,039           |
| <b>Balance at the end of the year</b> | <b>229,132</b>   | <b>197,662</b>   | <b>167,203</b>   | <b>144,188</b>   |

**26.3 Movement in fair value of plan assets**

| As at 31 March                        | Group            |                  | Company          |                  |
|---------------------------------------|------------------|------------------|------------------|------------------|
|                                       | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Balance at the beginning of the year  | 88,198           | 85,123           | 79,599           | 79,161           |
| Contribution paid into gratuity fund  | 23,637           | 22,391           | 19,239           | 18,407           |
| Benefits paid by the gratuity fund    | (18,591)         | (24,165)         | (14,205)         | (21,976)         |
| Expected return on plan assets        | 9,570            | 13,037           | 8,628            | 12,106           |
| Actuarial gain                        | (5,228)          | (8,188)          | (4,689)          | (8,099)          |
| <b>Balance at the end of the year</b> | <b>97,586</b>    | <b>88,198</b>    | <b>88,572</b>    | <b>79,599</b>    |

**26.4 Actuarial (gain)/loss**

| As at 31 March                           | Group            |                  | Company          |                  |
|------------------------------------------|------------------|------------------|------------------|------------------|
|                                          | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Actuarial loss for year – obligation     | 8,720            | 66,470           | 5,616            | 50,039           |
| Actuarial loss for year – plan assets    | 5,228            | 8,188            | 4,689            | 8,099            |
| <b>Amount recognised during the year</b> | <b>13,948</b>    | <b>74,658</b>    | <b>10,305</b>    | <b>58,138</b>    |

## Notes to the Financial Statements

### 26.5 Arrears payable to the CWM Staff Non-Contributory Gratuity Fund

| As at 31 March                        | Group            |                  | Company          |                  |
|---------------------------------------|------------------|------------------|------------------|------------------|
|                                       | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Balance at the beginning of the year  | 14,724           | 15,485           | 10,745           | 12,138           |
| Contribution for the year             | 23,637           | 22,391           | 19,239           | 18,407           |
| Paid to the fund                      | (14,729)         | (23,152)         | (10,745)         | (19,800)         |
| <b>Balance at the end of the year</b> | <b>23,632</b>    | <b>14,724</b>    | <b>19,239</b>    | <b>10,745</b>    |

### 26.6 Amount recognised in the Statement of Profit or Loss and other Comprehensive Income

| As at 31 March                                                                                   | Group            |                  | Company          |                  |
|--------------------------------------------------------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                                                                  | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Recognised in profit or loss</b>                                                              |                  |                  |                  |                  |
| Current service cost                                                                             | 18,179           | 10,860           | 14,302           | 8,408            |
| Interest cost                                                                                    | 23,720           | 25,382           | 17,302           | 19,393           |
| Expected return on plan assets                                                                   | (9,570)          | (13,037)         | (8,628)          | (12,106)         |
|                                                                                                  | 32,329           | 23,205           | 22,976           | 15,695           |
| <b>Recognised in the other comprehensive income</b>                                              |                  |                  |                  |                  |
| Recognition of actuarial loss                                                                    | 13,948           | 74,658           | 10,305           | 58,138           |
| <b>Total amount recognised in the Statement of Profit or Loss and Other Comprehensive Income</b> | <b>46,277</b>    | <b>97,863</b>    | <b>33,281</b>    | <b>73,833</b>    |

### 26.7 Actuarial assumptions

| As at 31 March                     | Group |       | Company |       |
|------------------------------------|-------|-------|---------|-------|
|                                    | 2025  | 2024  | 2025    | 2024  |
| Discount rate (%)                  | 11.00 | 12.00 | 11.00   | 12.00 |
| Expected return on plan assets (%) | 5.47  | 7.73  | 5.47    | 7.73  |
| Future salary increases (%)        | 10.00 | 10.00 | 10.00   | 10.00 |
| <b>Retirement age</b>              |       |       |         |       |
| Management staff (years)           | 60    | 60    | 60      | 60    |
| Allied staff (years)               | 60    | 60    | 60      | 60    |
| Other staff (years)                | 60    | 60    | 60      | 60    |

## Notes to the Financial Statements

The Group has considered the impact on the defined benefit obligations due to changes in economic factors as a result of the prevailing macroeconomic conditions, with support of the independent actuarial expert. A long term treasury bond rate of 11% (2024 – 12%) has been used to discount future liabilities taking in to consideration the remaining working life of the eligible employees. The Discount rate was revised to 11.0% (2024-12.0%) to reflect the yield rates of the treasury bond. The term of the treasury bond is 8.3 (2024-7.5) years, which is the estimated maturity of all benefits the participants of the plan. The effect of this change resulted in an actuarial loss as the liability was higher due to lower discounting of the liability to the valuation date.

Further, the salary increment rate of 10% is considered appropriate to be in line with the Group's targeted future. Due to the discount rate and salary increment rate account the current market

conditions and inflation rate. salary increments when taking into assumptions used, nature of non-financial assumptions and experience of the assumptions of the Company, there is no significant impact to employment benefit liability as a result of prevailing macro-economic conditions.

### 26.8 Sensitivity of assumptions employed in actuarial valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the Total Profit or Loss and Other Comprehensive Income and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on to total Comprehensive Income and employment benefit obligation for the year.

|                                    | Sensitivity effect on                                                    |                          |                                                          |                          |
|------------------------------------|--------------------------------------------------------------------------|--------------------------|----------------------------------------------------------|--------------------------|
|                                    | Total Profit or Loss and Other Comprehensive Income increase/(reduction) |                          | Employment benefit increase/(reduction) in the liability |                          |
|                                    | Group 2025<br>Rs. '000                                                   | Company 2024<br>Rs. '000 | Group 2025<br>Rs. '000                                   | Company 2024<br>Rs. '000 |
| <b>31 March 2025</b>               |                                                                          |                          |                                                          |                          |
| Decrease in discount rate (1%)     | (18,141)                                                                 | (12,590)                 | 18,141                                                   | 12,590                   |
| Increase in discount rate (1%)     | 15,853                                                                   | 10,999                   | (15,853)                                                 | (10,999)                 |
| Decrease in salary escalation (1%) | 17,224                                                                   | 11,971                   | (17,224)                                                 | (11,971)                 |
| Increase in salary escalation (1%) | (19,386)                                                                 | (13,466)                 | 19,386                                                   | 13,466                   |
| <b>31 March 2024</b>               |                                                                          |                          |                                                          |                          |
| Decrease in discount rate (1%)     | (14,089)                                                                 | (9,670)                  | 14,089                                                   | 9,670                    |
| Increase in discount rate (1%)     | 12,368                                                                   | 8,494                    | (12,368)                                                 | (8,494)                  |
| Decrease in salary escalation (1%) | 12,258                                                                   | 8,372                    | (12,258)                                                 | (8,372)                  |
| Increase in salary escalation (1%) | (13,713)                                                                 | (9,359)                  | 13,713                                                   | 9,359                    |

## Notes to the Financial Statements

### 26.9 The expected benefits payout in the next 10 years

|                                                                            | Group            |                  | Company          |                  |
|----------------------------------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                                            | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Years from the current period</b>                                       |                  |                  |                  |                  |
| 1st following year                                                         | 46,756           | 40,466           | 41,494           | 35,761           |
| 2nd following year                                                         | 12,227           | 7,074            | 10,034           | 4,946            |
| 3rd following year                                                         | 13,230           | 12,186           | 7,108            | 9,855            |
| 4th following year                                                         | 42,957           | 19,332           | 29,358           | 17,311           |
| 5th following year                                                         | 30,562           | 38,783           | 23,585           | 25,729           |
| Sum of years 6 to 10                                                       | 58,791           | 42,715           | 32,150           | 22,112           |
| Sum of years 11 and above                                                  | 24,609           | 37,106           | 23,474           | 28,474           |
| <b>Weighted average duration of the defined benefit obligation (years)</b> | 10.50            | 9.55             | 8.30             | 7.50             |

#### Note 27

### Deferred income/revenue

|                                       | Group            |                  | Company          |                  |
|---------------------------------------|------------------|------------------|------------------|------------------|
|                                       | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| As at 31 March                        |                  |                  |                  |                  |
| <b>Government grant</b>               |                  |                  |                  |                  |
| Balance at the beginning of the year  | 26,485           | 705              | 26,068           | –                |
| Received during the year              | 4,567            | 41,107           | 4,567            | 41,107           |
| Amortised during the year             | (8,375)          | (15,327)         | (8,112)          | (15,039)         |
| <b>Balance at the end of the year</b> | 22,677           | 26,485           | 22,523           | 26,068           |

### 27.1 Maturity analysis

|                | Group            |                  | Company          |                  |
|----------------|------------------|------------------|------------------|------------------|
|                | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| As at 31 March |                  |                  |                  |                  |
| Non-current    | 14,863           | 18,551           | 14,853           | 18,398           |
| Current        | 7,814            | 7,934            | 7,670            | 7,670            |

## Notes to the Financial Statements

**C. W. Mackie PLC**

C. W. Mackie PLC (CWM) has been awarded a government grant from Ministry of Plantation Industries, amounted to Rs. 45.6 Mn. for the acquisition of peanut processing line and automated packing machines in 2024. The government grant is recognised as deferred income and is being amortised over the useful life of the machinery.

**Kelani Valley Canneries Limited**

Kelani Valley Canneries Limited (KVC) has been awarded a government grant in December 2016 from Industrial Development Board of Ceylon, amounted to Rs. 0.5 Mn. for the acquisition of fully automated jam cup filling machine at a total cost of Rs 1.3 Mn. During the year 2019/20, the Company has acquired an Automated Filling Machine at a total cost of Rs 2.2 Mn. under a government grant scheme which was aimed at facilitating Micro Small and Medium Enterprises (MSME) engaged in food based products by supporting them with funds needed to acquire new technology or purchase modern machinery to enhance the quality or productivity of their production. Out of the approved grant, the Company has received Rs. 1.54 Mn. during the previous years. The government grant is recognised as deferred income and is being amortised over the useful life of the machinery.

In accordance with the term of the grant KVC has started the production with above machineries and shall not dispose, assign, pledge, mortgage, gift, or let rent the machinery for a period of five years from the date of purchase.

**Note 28****Deferred taxation**

| As at 31 March                                                                                 | Group            |                  | Company          |                  |
|------------------------------------------------------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                                                                | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Balance at the beginning of the year                                                           | 267,027          | 289,573          | (1,870)          | 12,026           |
| Origination of temporary differences recognised in profit for the year                         | 10,955           | (39,545)         | 3,357            | (31,337)         |
| <b>Statement of Other Comprehensive Income</b>                                                 |                  |                  |                  |                  |
| Origination of temporary differences recognised in the Statement of Other Comprehensive Income | 37,912           | 16,999           | 11,465           | 17,441           |
| <b>Balance at the end of the year</b>                                                          | <b>315,894</b>   | <b>267,027</b>   | <b>12,952</b>    | <b>(1,870)</b>   |

**28.1 Deferred tax liability/(asset)**

| As at 31 March         | Group            |                  | Company          |                  |
|------------------------|------------------|------------------|------------------|------------------|
|                        | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Deferred tax asset     | (9,395)          | (11,265)         | –                | (1,870)          |
| Deferred tax liability | 325,289          | 278,292          | 12,952           | –                |
|                        | <b>315,894</b>   | <b>267,027</b>   | <b>12,952</b>    | <b>(1,870)</b>   |

**28.2** The Group has applied an effective tax rate of 30% (2024 - 30%) for calculation of deferred tax asset/liability as at the reporting date.

## Notes to the Financial Statements

### 28.3 The deferred tax liability/(asset) recognised on temporary differences are as follows:

| As at 31 March                                           | 2025                              |                        | 2024                              |                        |
|----------------------------------------------------------|-----------------------------------|------------------------|-----------------------------------|------------------------|
|                                                          | Temporary differences<br>Rs. '000 | Tax effect<br>Rs. '000 | Temporary differences<br>Rs. '000 | Tax effect<br>Rs. '000 |
| <b>Group</b>                                             |                                   |                        |                                   |                        |
| On property, plant and equipment and investment property | 1,544,930                         | 463,374                | 1,352,071                         | 405,516                |
| On retirement gratuity                                   | (106,872)                         | (31,600)               | (89,933)                          | (26,519)               |
| On tax losses carried forward                            | (60,365)                          | (10,455)               | (65,410)                          | (11,969)               |
| On lease liability                                       | 165,191                           | 49,557                 | 102,746                           | 30,824                 |
| On right of use asset                                    | (153,413)                         | (46,024)               | (101,478)                         | (30,444)               |
| On other provisions                                      | (365,541)                         | (109,663)              | (319,819)                         | (95,946)               |
| On unrealised foreign exchange gain                      | 2,355                             | 707                    | (14,785)                          | (4,435)                |
|                                                          | 1,026,285                         | 315,896                | 863,392                           | 267,027                |
| <b>Company</b>                                           |                                   |                        |                                   |                        |
| On property, plant and equipment                         | 465,649                           | 139,695                | 386,408                           | 115,922                |
| On retirement gratuity                                   | (78,631)                          | (23,589)               | (64,589)                          | (19,377)               |
| On lease liability                                       | 165,191                           | 49,557                 | 102,746                           | 30,824                 |
| On right of use asset                                    | (153,413)                         | (46,024)               | (101,478)                         | (30,444)               |
| On other provisions                                      | (358,182)                         | (107,455)              | (315,134)                         | (94,540)               |
| On unrealised foreign exchange gain                      | 2,559                             | 768                    | (14,184)                          | (4,255)                |
|                                                          | 43,173                            | 12,952                 | (6,231)                           | (1,870)                |

### 28.4 Unrecognised deferred tax assets

#### Deferred tax asset – Ceytra (Private) Limited

The deferred tax asset on temporary differences are as follows:

| As at 31 March                      | 2025                              |                        | 2024                              |                        |
|-------------------------------------|-----------------------------------|------------------------|-----------------------------------|------------------------|
|                                     | Temporary differences<br>Rs. '000 | Tax effect<br>Rs. '000 | Temporary differences<br>Rs. '000 | Tax effect<br>Rs. '000 |
| On property, plant and equipment    | 11,832                            | 3,550                  | 906                               | 272                    |
| On Retirement gratuity              | (19,451)                          | (5,835)                | (16,036)                          | (4,811)                |
| On other provisions                 | (4,882)                           | (1,465)                | (4,181)                           | (1,254)                |
| On tax losses carried forward       | (97,731)                          | (29,319)               | (48,529)                          | (14,559)               |
| On unrealised foreign exchange gain | (440)                             | (132)                  | (573)                             | (172)                  |
|                                     | (110,672)                         | (33,201)               | (68,413)                          | (20,524)               |

Deferred tax asset have not been recognised with effect from 2016/17 financial year, because it is not probable that future taxable profit will be available against which the Company can use the benefits therefrom.

## Notes to the Financial Statements

The Company has not recognised in the deferred tax asset amounting to Rs. 23.8 Mn. (2024 – Rs. 11.1 Mn.) during the year ended 31 March 2025, as the management was of the view that the deferred tax asset will not be crystallised exceeding of Rs. 9.4 Mn. in the foreseeable future.

### Deferred tax asset – Kelani Valley Canneries Limited

Kelani Valley Canneries Limited has not recognised the deferred tax asset amounting to Rs. 13.7 Mn. for the year ended 31 March 2025 (2024 – Rs. 16.9 Mn.), as the Management was of the view that the asset will not be crystallised in the foreseeable future.

The deferred tax asset on temporary differences are as follows:

| As at 31 March                      | 2025                  |             | 2024                  |             |
|-------------------------------------|-----------------------|-------------|-----------------------|-------------|
|                                     | Temporary differences | Tax effects | Temporary differences | Tax effects |
|                                     | Rs. '000              | Rs. '000    | Rs. '000              | Rs. '000    |
| On property, plant and equipment    | 31,992                | 9,598       | 31,515                | 9,455       |
| On retirement gratuity              | (8,565)               | (2,570)     | (6,837)               | (2,051)     |
| On tax losses carried forward       | (65,443)              | (19,631)    | (80,176)              | (24,053)    |
| On other provisions                 | (4,012)               | (1,204)     | (662)                 | (199)       |
| On unrealised foreign exchange gain | 288                   | 86          | (366)                 | (110)       |
|                                     | (45,740)              | (13,721)    | (56,526)              | (16,958)    |

### Note 29

#### Interest bearing short-term borrowings

| As at 31 March                             | Note | Group     |           | Company   |           |
|--------------------------------------------|------|-----------|-----------|-----------|-----------|
|                                            |      | 2025      | 2024      | 2025      | 2024      |
|                                            |      | Rs. '000  | Rs. '000  | Rs. '000  | Rs. '000  |
| Short-term money market loans/import loans | 29.1 | 3,911,823 | 2,888,673 | 3,708,823 | 2,648,673 |
|                                            |      | 3,911,823 | 2,888,673 | 3,708,823 | 2,648,673 |

#### 29.1 Sources of finance

| As at 31 March                | Group     |           | Company   |           |
|-------------------------------|-----------|-----------|-----------|-----------|
|                               | 2025      | 2024      | 2025      | 2024      |
|                               | Rs. '000  | Rs. '000  | Rs. '000  | Rs. '000  |
| Hatton National Bank PLC      | 825,000   | 797,000   | 685,000   | 652,000   |
| Commercial Bank of Ceylon PLC | 1,907,823 | 1,761,673 | 1,844,823 | 1,666,673 |
| National Development Bank PLC | 240,000   | 20,000    | 240,000   | 20,000    |
| DFCC Bank                     | 170,000   | –         | 170,000   | –         |
| Public Bank Berhad            | 200,000   | –         | 200,000   | –         |
| Seylan Bank PLC               | 380,000   | 250,000   | 380,000   | 250,000   |
| Commercial papers             | 189,000   | 60,000    | 189,000   | 60,000    |
|                               | 3,911,823 | 2,888,673 | 3,708,823 | 2,648,673 |

## Notes to the Financial Statements

### 29.2 Assets pledged as securities against short-term borrowings:

| Lending institution                    | Facility obtained                                                                 | Assets pledged                                                                                                                                 | Interest rate                | Balance as at 31 March |                 |
|----------------------------------------|-----------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------|------------------------|-----------------|
|                                        |                                                                                   |                                                                                                                                                |                              | 2025<br>Rs. Mn         | 2024<br>Rs. Mn  |
| <b>C. W.Mackie PLC</b>                 |                                                                                   |                                                                                                                                                |                              |                        |                 |
| Hatton National Bank PLC               | To finance exports, imports and working capital requirements                      | Primary and secondary concurrent mortgage over stocks and book debts                                                                           | Available money market rates | 685.00                 | 652.00          |
| Commercial Bank of Ceylon PLC          | To finance exports, imports and working capital requirements                      | Primary and secondary concurrent mortgage over stocks and book debts                                                                           | Available money market rates | 1,844.82               | 1,666.67        |
| National Development Bank PLC          | To finance exports, imports and working capital requirements                      | Primary and secondary mortgage over stocks and book debts                                                                                      | Available money market rates | 240.00                 | 20.00           |
| Seylan Bank PLC                        | To finance exports, imports and working capital requirements                      | Primary concurrent mortgage over stocks and book debts                                                                                         | Available money market rates | 380.00                 | 250.00          |
| DFCC Bank                              | To finance exports, imports and working capital requirements                      | Primary concurrent mortgage over stocks and book debts                                                                                         | Available money market rates | 170.00                 | –               |
| Public Bank Berhad                     | To finance exports, imports and working capital requirements                      | Primary concurrent mortgage over stocks and book debts                                                                                         | Available money market rates | 200.00                 | –               |
| <b>Ceymac Rubber Company Limited</b>   |                                                                                   |                                                                                                                                                |                              |                        |                 |
| Hatton National Bank PLC               | To finance the manufacture and export rubber and for working capital requirements | Registered primary floating mortgage over stocks and book debts                                                                                | Available money market rates | 140.00                 | 145.00          |
| <b>Ceytra (Private) Limited</b>        |                                                                                   |                                                                                                                                                |                              |                        |                 |
| Commercial Bank of Ceylon PLC          | To finance the manufacture and export rubber and for working capital requirements | Registered primary floating mortgage over stocks and book debts                                                                                | Available money market rates | 55.00                  | –               |
| <b>Kelani Valley Canneries Limited</b> |                                                                                   |                                                                                                                                                |                              |                        |                 |
| Commercial Bank of Ceylon PLC          | To finance working capital requirements                                           | Lien over savings account, registered floating tertiary to seventh mortgage bond over the property, plant and machinery at Kaluaggala,Hanwella | Available money market rates | 8.00                   | 95.00           |
| <b>Total</b>                           |                                                                                   |                                                                                                                                                |                              | <b>3,722.82</b>        | <b>2,828.67</b> |

## Notes to the Financial Statements

**Note 30****Income tax payable**

| As at 31 March                             | Group            |                  | Company          |                  |
|--------------------------------------------|------------------|------------------|------------------|------------------|
|                                            | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Balance at the beginning of the year       | 47,664           | 194,659          | 54,254           | 164,695          |
| <b>Add:</b>                                |                  |                  |                  |                  |
| Income tax provision for the year          | 166,704          | 129,880          | 166,704          | 129,880          |
| Over provision in respect of previous year | 2,460            | (18,542)         | 2,460            | (18,542)         |
| <b>Less:</b>                               |                  |                  |                  |                  |
| Income tax payments during the year        | (152,706)        | (258,333)        | (152,641)        | (221,779)        |
| <b>Balance at the end of the year</b>      | <b>64,122</b>    | <b>47,664</b>    | <b>70,777</b>    | <b>54,254</b>    |

**Note 31****Trade and other payables**

| As at 31 March                    | Note | Group            |                  | Company          |                  |
|-----------------------------------|------|------------------|------------------|------------------|------------------|
|                                   |      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Trade payables to related parties | 31.1 | 656,513          | 630,524          | 651,815          | 732,510          |
| Other trade payables              |      | 1,389,430        | 899,878          | 1,146,007        | 744,696          |
| Dividend payable                  |      | 13,907           | 12,001           | 13,907           | 12,001           |
| Accruals                          |      | 202,889          | 128,669          | 184,394          | 106,705          |
| Pre-paid advances                 |      | 46,221           | 65,364           | 44,299           | 58,229           |
| Sundry creditors                  |      | 10,290           | 6,904            | 10,335           | 6,888            |
| VAT payables                      |      | 925              | 11,719           | –                | 4,694            |
| Other provisions                  |      | 198,413          | 188,563          | 197,071          | 183,998          |
| Refund liabilities                |      | 126,216          | 126,216          | 126,216          | 126,216          |
| Other payables                    |      | 77,146           | 25,966           | 69,248           | 24,201           |
|                                   |      | <b>2,721,950</b> | <b>2,095,804</b> | <b>2,443,292</b> | <b>2,000,138</b> |

## Notes to the Financial Statements

### 31.1 Trade payables to related parties:

| As at 31 March                                | Group            |                  | Company          |                  |
|-----------------------------------------------|------------------|------------------|------------------|------------------|
|                                               | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Sunquick Lanka Properties (Private) Limited   | –                | –                | 913              | 1,765            |
| Colombo Fort Group Services (Private) Limited | 719              | 2,347            | 719              | 2,347            |
| Ceylon Tapes (Private) Limited                | 180              | 623              | 180              | 368              |
| Sunquick Lanka (Private) Limited              | 625,728          | 592,942          | 620,117          | 694,502          |
| Colonial Motors (Ceylon) Limited              | 72               | –                | 72               | –                |
| ACME Packaging Solutions (Private) Limited    | 8,485            | 1,340            | 8,485            | 1,340            |
| J. F. Packaging Limited                       | –                | 1,553            | –                | 469              |
| Kiffs (Private) Limited                       | 21,329           | 31,719           | 21,329           | 31,719           |
|                                               | 656,513          | 630,524          | 651,815          | 732,510          |

### Note 32

#### Related party disclosures

##### 32.1 Related party transactions

The Company's related parties include key management personnel, close family members of key management personnel and entities which are controlled, jointly controlled or significantly influenced for which significant voting power is held by key management personnel or their close family members.

The Company carried out transactions in the ordinary course of business with parties who are defined as Related Parties as per the Sri Lanka Accounting Standard – LKAS 24 "Related Party Disclosures".

##### 32.1.1 Transactions with subsidiary companies

| Name of the related party<br>For the year ended 31 March | Relationship | Note | Nature of the transaction           | Amounts (paid)/received |                  |
|----------------------------------------------------------|--------------|------|-------------------------------------|-------------------------|------------------|
|                                                          |              |      |                                     | 2025<br>Rs. '000        | 2024<br>Rs. '000 |
| <b>Ceymac Rubber Company Limited</b>                     | Subsidiary   | 16.1 | Interest on current account balance | 13,322                  | 3,976            |
| Directors:                                               |              |      | Service fees                        | 20,664                  | 19,870           |
| Mr. H. D. S. Amarasuriya                                 |              |      | Inter company sales/(purchases)     | (1,217)                 | (8,351)          |
| Mr. E. A. A. K. Edirisinghe *                            |              |      | Expense reimbursements              | 12,366                  | 10,529           |
|                                                          |              |      | Rental paid                         | (13,604)                | (12,094)         |
|                                                          |              |      | Short-term loan granted             | –                       | 60,000           |
|                                                          |              |      | Inter-company settlements           | 92,400                  | (15,147)         |
|                                                          |              |      | Dividend received                   | –                       | 64,232           |

Corporate guarantee of C. W. Mackie PLC for packing credit/short loans and export bill discounting facilities of Rs. 150.0 Mn. to Hatton National Bank PLC.

## Notes to the Financial Statements

| Name of the related party<br>For the year ended 31 March | Relationship | Note | Nature of the transaction                       | Amounts (paid)/received |                  |
|----------------------------------------------------------|--------------|------|-------------------------------------------------|-------------------------|------------------|
|                                                          |              |      |                                                 | 2025<br>Rs. '000        | 2024<br>Rs. '000 |
| <b>Ceytra (Private) Limited</b>                          | Subsidiary   | 16.1 | Interest on current account balance             | 1,634                   | 523              |
| Directors:                                               |              |      | Service fees                                    | 8,792                   | 7,697            |
| Mr. H. D. S. Amarasuriya                                 |              |      | Inter-company sales/(purchases)                 | (33)                    | (654)            |
| Mr. E. A. A. K. Edirisinghe *                            |              |      | Short-term loan settlements                     | –                       | –                |
|                                                          |              |      | Net settlements                                 | 30,773                  | (23,764)         |
|                                                          |              |      | Expense reimbursements                          | (5,320)                 | 12,392           |
|                                                          |              |      | Current account balance converted to investment | (30,000)                | –                |

Corporate guarantee of C. W. Mackie PLC for packing credit/short term loans and export bill discounting facilities of Rs. 8.0 Mn. to Hatton National Bank PLC.

| Name of the related party<br>For the year ended 31 March | Relationship | Note | Nature of the transaction           | Amounts (paid)/received |                  |
|----------------------------------------------------------|--------------|------|-------------------------------------|-------------------------|------------------|
|                                                          |              |      |                                     | 2025<br>Rs. '000        | 2024<br>Rs. '000 |
| <b>Kelani Valley Canneries Limited</b>                   | Subsidiary   | 16.1 | Interest on current account balance | 459                     | –                |
| Directors:                                               |              |      | Inter company purchases             | (452,682)               | (412,844)        |
| Mr. H. D. S. Amarasuriya                                 |              |      | Inter company sales                 | 29,918                  | 36,223           |
| Dr. T. Senthilverl                                       |              |      | Expense reimbursements              | 80,848                  | 31,008           |
| Mr. K. T. A. Mangala Perera                              |              |      | Net settlements                     | 399,451                 | 328,025          |
| Ms. C. R. Ranasinghe                                     |              |      | Service fee                         | 5,007                   | 4,193            |
| Mr. Anushman Rajaratnam                                  |              |      | Short-term loan granted             | 276,200                 | 369,400          |
|                                                          |              |      | Short-term loan settlements         | (234,000)               | (313,000)        |

Corporate guarantee of C. W. Mackie PLC for short-term loans of Rs. 90 Mn. to Commercial Bank of Ceylon PLC.

| Name of the related party<br>For the year ended 31 March | Relationship | Note | Nature of the transaction           | Amounts (paid)/received |                  |
|----------------------------------------------------------|--------------|------|-------------------------------------|-------------------------|------------------|
|                                                          |              |      |                                     | 2025<br>Rs. '000        | 2024<br>Rs. '000 |
| <b>Sunquick Lanka Properties (Private) Limited</b>       | Subsidiary   | 31.1 | Interest on current account balance | –                       | (2,781)          |
| Directors:                                               |              |      | Expense reimbursements              | (1,912)                 | (9,425)          |
| Mr. H. D. S. Amarasuriya                                 |              |      | Net settlements                     | 2,764                   | 11,538           |
| Mr. K. T. A. Mangala Perera                              |              |      | Short-term loan granted             | –                       | 60,000           |
|                                                          |              |      | Short-term loan settlements         | –                       | (60,000)         |

## Notes to the Financial Statements

### 32.1.2 Transactions with other related companies

| Name of the related party<br>For the year ended 31 March | Relationship              | Note | Nature of the transaction              | Amounts (paid)/received |                  |
|----------------------------------------------------------|---------------------------|------|----------------------------------------|-------------------------|------------------|
|                                                          |                           |      |                                        | 2025<br>Rs. '000        | 2024<br>Rs. '000 |
| <b>Sunquick Lanka (Private) Limited</b>                  | Jointly controlled entity | 16.1 | Inter-company purchases                | (2,963,152)             | (2,811,080)      |
| Directors:                                               |                           |      | Inter-company sales                    | 157,709                 | 243,188          |
| Mr. H. D. S. Amarasuriya                                 |                           |      | Discount due to change in sugar prices | (25,465)                | –                |
| Mr. Anushman Rajaratnam                                  |                           |      | Net settlements                        | 2,764,138               | 2,439,867        |
| Mr. K. T. A. Mangala Perera                              |                           |      | Expense reimbursements                 | 150,701                 | 66,505           |
|                                                          |                           |      | Interest on current account balance    | (10,254)                | (12,652)         |
|                                                          |                           |      | Investment related fund transfers      | –                       | 54,000           |
|                                                          |                           |      | Share issue                            | –                       | (294,000)        |
|                                                          |                           |      | Service rendered                       | 708                     | 517              |
| <b>Ceylon Trading Company Limited</b>                    | Affiliate                 | 16.1 | Rent income                            | 3,620                   | 3,620            |
| Director:                                                |                           |      | Secretarial and legal fees             | (22,061)                | (22,061)         |
| Ms. C. R. Ranasinghe                                     |                           |      | Inter-company sales/(purchase)         | 26                      | (69)             |
|                                                          |                           |      | Management fees/overheads              | (5,327)                 | (5,327)          |
|                                                          |                           |      | Net settlements                        | 22,378                  | 20,956           |
|                                                          |                           |      | Expense reimbursements                 | 1,621                   | 2,760            |
| <b>Lanka Special Steels Limited</b>                      | Common directors          |      | Net settlements                        | –                       | (236)            |
| Directors:                                               |                           |      |                                        |                         |                  |
| Mr. S. D. R. Arudpragasam                                |                           |      |                                        |                         |                  |
| Mr. Sanjeev Rajaratnam***                                |                           |      |                                        |                         |                  |
| <b>Colombo Fort Group Services (Private) Limited</b>     | Common directors          | 31.1 | Services received                      | (30,866)                | (26,840)         |
| Directors:                                               |                           |      | Net settlements                        | 32,438                  | 24,536           |
| Mr. S. D. R. Arudpragasam                                |                           |      | Inter-company sales                    | 56                      | –                |
| Mr. Anushman Rajaratnam                                  |                           |      |                                        |                         |                  |
| Mr. Shiran B. Perera**                                   |                           |      |                                        |                         |                  |

## Notes to the Financial Statements

## 32.1.2 Transactions with other related companies

| Name of the related party<br>For the year ended 31 March       | Relationship         | Note | Nature of the transaction                 | Amounts (paid)/received |                  |
|----------------------------------------------------------------|----------------------|------|-------------------------------------------|-------------------------|------------------|
|                                                                |                      |      |                                           | 2025<br>Rs. '000        | 2024<br>Rs. '000 |
| <b>Union Commodities (Private) Limited</b>                     | Common directors     | 16.1 | Inter-company purchases                   | (161,696)               | (264,025)        |
| Directors:                                                     |                      |      | Net settlements                           | 164,567                 | 147,106          |
| Mr. S. D. R. Arudpragasam                                      |                      |      | Advance payments for purchases            | –                       | 117,288          |
| Mr. Anushman Rajaratnam                                        |                      |      | Interest received                         | –                       | 272              |
| Mr. A. M. De S. Jayarathne***                                  |                      |      | Services received                         | (449)                   | (201)            |
| <b>Lankem Ceylon PLC</b>                                       | Common directors     | 16.1 | Inter-company purchases/sales             | (530)                   | (1,218)          |
| Directors:                                                     |                      |      | Net settlements                           | 556                     | 1,221            |
| Mr. S. D. R. Arudpragasam                                      |                      |      | Writeoff of balances                      | (126)                   | –                |
| Mr. Anushman Rajaratnam                                        |                      |      |                                           |                         |                  |
| Mr. Shrihan B Perera**                                         |                      |      |                                           |                         |                  |
| Mr. A. Hettiarachchy***                                        |                      |      |                                           |                         |                  |
| <b>E. B. Creasy &amp; Company PLC</b>                          | Common directors     | 16.1 | Inter-company sales                       | 246                     | 209              |
| Directors:                                                     |                      |      | Net settlements                           | (169)                   | (331)            |
| Mr. S. D. R. Arudpragasam                                      |                      |      |                                           |                         |                  |
| Mr. Shrihan B. Perera**                                        |                      |      |                                           |                         |                  |
| Mr. Sanjeev Rajaratnam***                                      |                      |      |                                           |                         |                  |
| <b>Sigiri Village Hotels PLC</b>                               | Common directors     | 16.1 | Inter-company sales/(purchase)            | 1,467                   | (99)             |
| Directors:                                                     |                      |      | Net settlements                           | (184)                   | (279)            |
| Mr. S. D. R. Arudpragasam                                      |                      |      | Writeoff of balances                      | (5)                     | –                |
| Mr. Anushman Rajaratnam                                        |                      |      |                                           |                         |                  |
| Mr. Shrihan B Perera**                                         |                      |      |                                           |                         |                  |
| Mr. C. P. R. Perera***                                         |                      |      |                                           |                         |                  |
| Mr. Sanjeev Rajaratnam***                                      |                      |      |                                           |                         |                  |
| <b>C. W. Mackie Group Staff Non-Contributory Gratuity Fund</b> | Defined benefit plan | 26.5 | Amount paid to gratuity fund              | (10,745)                | (19,800)         |
|                                                                |                      | 26.3 | Amount paid by gratuity fund to employees | 14,205                  | 21,976           |
| <b>Ceylon Tapes (Private) Limited</b>                          | Common directors     | 31.1 | Inter-company sales                       | 610                     | 2,506            |
| Directors:                                                     |                      |      | Inter-company purchases                   | (4,704)                 | –                |
| Mr. Anushman Rajaratnam                                        |                      |      | Net settlements                           | 4,282                   | (1,149)          |
| Mr. S. D. R. Arudpragasam                                      |                      |      |                                           |                         |                  |
| Mr. Shrihan B. Perera**                                        |                      |      |                                           |                         |                  |
| Mr. A. Hettiarachchy***                                        |                      |      |                                           |                         |                  |

## Notes to the Financial Statements

| Name of the related party<br>For the year ended 31 March | Relationship     | Note | Nature of the transaction | Amounts (paid)/received |                  |
|----------------------------------------------------------|------------------|------|---------------------------|-------------------------|------------------|
|                                                          |                  |      |                           | 2025<br>Rs. '000        | 2024<br>Rs. '000 |
| <b>York Hotel Management Services Limited</b>            | Common directors | 16.1 | Writeoff of balances      | (174)                   | –                |
| Directors:                                               |                  |      |                           |                         |                  |
| Mr. S. D. R. Arudpragasam                                |                  |      |                           |                         |                  |
| Mr. Sanjeev Rajaratnam***                                |                  |      |                           |                         |                  |
| <b>Marawila Resorts PLC</b>                              | Common directors | 16.1 | Inter-company sales       | 16,813                  | 5,325            |
| Directors:                                               |                  |      | Net settlements           | (17,773)                | (5,066)          |
| Mr. S. D. R. Arudpragasam                                |                  |      |                           |                         |                  |
| Mr. Shrihan B. Perera**                                  |                  |      |                           |                         |                  |
| Mr. Sanjeev Rajaratnam***                                |                  |      |                           |                         |                  |
| <b>J. F. Packaging Limited</b>                           | Common directors | 16.1 | Inter-company purchases   | 2,180                   | (15,773)         |
| Directors:                                               |                  |      | Net settlements           | 147                     | 15,954           |
| Mr. S. D. R. Arudpragasam                                |                  |      |                           |                         |                  |
| Mr. Anushman Rajaratnam                                  |                  |      |                           |                         |                  |
| Mr. Shrihan B. Perera**                                  |                  |      |                           |                         |                  |
| Mr. Sanjeev Rajaratnam*                                  |                  |      |                           |                         |                  |
| Mr. A. Hettiarachchy*                                    |                  |      |                           |                         |                  |
| <b>Beruwala Resorts PLC</b>                              | Common directors |      | Inter company purchases   | 536                     | 323              |
| Directors:                                               |                  |      | Net settlements           | (536)                   | (323)            |
| Mr. S. D. R. Arudpragasam                                |                  |      |                           |                         |                  |
| Mr. Anushman Rajaratnam                                  |                  |      |                           |                         |                  |
| Mr. Shrihan B. Perera**                                  |                  |      |                           |                         |                  |
| Mr. Sanjeev Rajaratnam***                                |                  |      |                           |                         |                  |
| Mr. C. P. R. Perera***                                   |                  |      |                           |                         |                  |
| <b>Colonial Motors (Ceylon) Limited</b>                  | Common directors | 31.1 | Services rendered         | (942)                   | (966)            |
| Directors:                                               |                  |      | Net settlements           | 870                     | 966              |
| Mr. Anushman Rajaratnam                                  |                  |      |                           |                         |                  |
| Mr. S. D. R. Arudpragasam                                |                  |      |                           |                         |                  |
| Mr. A. M. De S. Jayarathne***                            |                  |      |                           |                         |                  |
| Mr. Sanjeev Rajaratnam***                                |                  |      |                           |                         |                  |
| Mr. A. M. De S. Jayarathne***                            |                  |      |                           |                         |                  |

## Notes to the Financial Statements

| Name of the related party<br>For the year ended 31 March | Relationship     | Notes | Nature of the transaction | Amounts (paid)/received |                  |
|----------------------------------------------------------|------------------|-------|---------------------------|-------------------------|------------------|
|                                                          |                  |       |                           | 2025<br>Rs. '000        | 2024<br>Rs. '000 |
| <b>ACME Packaging Solutions (Private) Limited</b>        | Common directors | 31.1  | Inter-company purchases   | (91,799)                | (48,155)         |
| Directors:                                               |                  |       | Net settlements           | 84,654                  | 46,815           |
| Mr. Anushman Rajaratnam                                  |                  |       |                           |                         |                  |
| Mr. S. D. R. Arudpragasam                                |                  |       |                           |                         |                  |
| Mr. Sanjeev Rajaratnam***                                |                  |       |                           |                         |                  |
| <b>Kiffs (Private) Limited</b>                           | Common directors | 31.1  | Inter-company purchases   | (296,247)               | (258,848)        |
| Directors:                                               |                  |       | Net settlements           | 306,637                 | 245,022          |
| Mr. Anushman Rajaratnam                                  |                  |       |                           |                         |                  |
| Mr. S. D. R. Arudpragasam                                |                  |       |                           |                         |                  |
| Mr. Shrihan B. Perera**                                  |                  |       |                           |                         |                  |
| <b>Union Commodities Export (Private) Limited</b>        | Common directors | 16.1  | Inter-company sales       | 445                     | 970              |
| Directors:                                               |                  |       | Net settlements           | (805)                   | (610)            |
| Mr. S. D. R. Arudpragasam                                |                  |       |                           |                         |                  |
| Mr. Anushman Rajaratnam                                  |                  |       |                           |                         |                  |
| <b>Candy Delights Limited</b>                            | Common directors | 16.1  | Inter-company sales       | 143,427                 | –                |
| Director:                                                |                  |       | Net settlements           | (139,977)               | –                |
| Mr. S. D. R. Arudpragasam                                |                  |       |                           |                         |                  |

\* Resigned w.e.f 31 March 2025

\*\* Appointed w.e.f 30 December 2024

\*\*\* Resigned w. e. f. 30 December 2024

**32.1.3 Recurrent related party transactions**

| Name of the related party        | Relationship              | Nature of the transaction                                  | Terms and conditions of the related party transactions | 2025      |                       | 2024      |                       |
|----------------------------------|---------------------------|------------------------------------------------------------|--------------------------------------------------------|-----------|-----------------------|-----------|-----------------------|
|                                  |                           |                                                            |                                                        | Rs.'000   | As a % of net revenue | Rs.'000   | As a % of net revenue |
| Sunquick Lanka (Private) Limited | Jointly controlled entity | Purchase of "Sunquick" branded products for redistribution | On arms length terms in ordinary course of business    | 2,963,152 | 13.2                  | 2,811,080 | 15.7                  |
|                                  |                           | Sale of Sugar to manufacture "Sunquick" branded products   | On arms length terms in ordinary course of business    | 132,244   | 0.6                   | 243,188   | 1.3                   |
|                                  |                           |                                                            |                                                        | 3,095,396 | 13.8                  | 3,054,268 | 17.0                  |

Aggregate value of the recurrent related party transactions with Sunquick Lanka (Private) Limited during the financial year 2024/25 exceeds 10% of the gross revenue of 2024/25 audited Financial Statements.

## Notes to the Financial Statements

### 32.1.4 Non recurrent related party transactions

There were no transactions entered into by the Company during the year in the ordinary course of business, the value which exceeded 10% of the shareholders' equity or 5% of the total assets which ever is lower of the Company as at 31 March 2025.

### 32.2 Compensation of key management personnel

Key Management Personnel include members of the Board of Directors of the Company and its subsidiaries.

| For the year ended 31 March                                | Group            |                  | Company          |                  |
|------------------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                            | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Short-term employee benefits                               | 164,679          | 160,173          | 159,038          | 154,115          |
| <b>Total compensation paid to key management personnel</b> | <b>164,679</b>   | <b>160,173</b>   | <b>159,038</b>   | <b>154,115</b>   |

#### Note 33

### Events after the reporting date

Subsequent to the reporting date no circumstances have arisen that would require adjustment to or disclosure in the Financial Statements other than disclosed in Note 33.1.

### 33.1 Dividend

The Directors of C. W. Mackie PLC have recommended the payment of a first and final dividend of Rs. 8/- per ordinary share amounting to Rs. 287,908,448/- for the year ended 31 March 2025 for approval by the shareholders at the Annual General Meeting to be held on 27 June 2025. In accordance with the Sri Lanka Accounting Standard 10 (LKAS 10) "Events after the Reporting Period", this proposed dividend has not been recognised as a liability as at 31 March 2025.

#### Note 34

### Contingent liabilities

The following contingent liabilities exist as at the reporting date on account of the letters of comfort and guarantees given by the Company:

| Outstanding as at 31 March                                                       | 2025<br>Rs. Mn. | 2024<br>Rs. Mn. |
|----------------------------------------------------------------------------------|-----------------|-----------------|
| <b>Letters of comfort and guarantees provided on behalf of the subsidiaries:</b> |                 |                 |
| Ceymac Rubber Company Limited                                                    | 150             | 150             |
| Ceytra (Private) Limited                                                         | 8               | 8               |
| Kelani Valley Canneries Limited                                                  | 90              | 115             |
| <b>Total</b>                                                                     | <b>248</b>      | <b>273</b>      |
| <b>Short term loan facilities:</b>                                               |                 |                 |
| Ceymac Rubber Company Limited                                                    | 140             | 146             |
| Ceytra (Private) Limited                                                         | 8               | –               |
| Kelani Valley Canneries Limited                                                  | 192             | 118             |
| <b>Total</b>                                                                     | <b>340</b>      | <b>264</b>      |

## Notes to the Financial Statements

These corporate guarantees have been provided for Hatton National Bank PLC and Commercial Bank of Ceylon PLC on behalf of the subsidiary companies Ceymac Rubber Company Limited, Ceytra (Private) Limited and Kelani Valley Canneries Limited for short-term loan facilities, where repayment terms are less than 12 months.

There are no material contingent liabilities outstanding as at the reporting date other than as disclosed above which require adjustments to or disclosures in Financial Statements.

### Note 35

#### **Capital commitments**

There are no material capital commitments as at the reporting date that would require adjustment to or disclosure in the Financial Statements.

### Note 36

#### **Comparative figures**

Comparative figures have been reclassified to conform to the current year presentation.

### Note 37

#### **Financial risk management**

##### **Risk management framework**

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework.

The Group's risk management policies are established to identify and analyse the risk faced by the Group, to set appropriate risks limits and controls and to monitor risks and adherence to limits.

Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities.

The Board of Directors oversees how management monitor compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. The Company's Directors are assisted in their oversight role by internal audit. Internal audit undertakes both regular and ad hoc reviews of the risk management controls and producers, the result of which are reported to the Company's Directors.

The Board of Directors have overall responsibility for the establishment and oversight of the risk management framework, including policies and procedures. In discharging its governance responsibility it operates through two key committees – the Group Management Committee and the Board of Directors Audit Committee. Risk management framework is reviewed regularly to reflect changes.

The Company has exposure to the following risks from its use of financial instruments:

- Credit risk (Note 37.1)
- Liquidity risk (Note 37.2)
- Market risk (Note 37.3)
- Operational risk (Note 37.4)

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Company's management of capital.

##### **37.1 Credit risk**

Credit risk is the risk of financial loss to the Company if a customer fails to meet its contractual obligations, and arises principally from the Company's receivables from customers.

## Notes to the Financial Statements

### Exposure to credit risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows;

| As at 31 March                                      | Carrying amount  |                  |                  |                  |
|-----------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                     | Group            |                  | Company          |                  |
|                                                     | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Trade receivables from related parties              | 39,472           | 24,505           | 322,587          | 216,334          |
| Interest bearing short-term loan to related parties | 120,000          | –                | 136,600          | –                |
| Trade receivables                                   | 4,208,369        | 3,782,788        | 3,886,832        | 3,485,769        |
| Deposits                                            | 45,624           | 21,905           | 42,589           | 18,020           |
| Loans to employees                                  | 35,291           | 30,301           | 11,961           | 10,904           |
| Other receivables                                   | 565,669          | 485,579          | 340,713          | 368,364          |
| Balances with banks                                 | 88,648           | 35,773           | 71,770           | 6,210            |
| <b>Total</b>                                        | <b>5,103,073</b> | <b>4,380,851</b> | <b>4,813,052</b> | <b>4,105,601</b> |

### Trade and other receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer.

However, the Management also considers the demographics of the Group's customer base, including the default risk of the industry and country in which customers operate, as these factors may have an influence on credit risk. However, geographically there is no concentration of credit risk.

### Impairment losses

The Company establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loss component established for groups of similar assets in respect of losses that have been incurred but not yet identified. The collective loss allowance is determined based on historical data of payment statistics for similar financial assets.

The aging of trade receivables at the reporting date was as follows:

| As at 31 March        | 2025                      |                        | 2024                      |                        |
|-----------------------|---------------------------|------------------------|---------------------------|------------------------|
|                       | Gross balance<br>Rs. '000 | Impairment<br>Rs. '000 | Gross balance<br>Rs. '000 | Impairment<br>Rs. '000 |
| <b>Group</b>          |                           |                        |                           |                        |
| Past due 0-30 days    | 2,787,852                 | –                      | 3,386,183                 | –                      |
| Past due 31-90 days   | 1,253,691                 | –                      | 296,139                   | –                      |
| Past due 91-180 days  | 171,968                   | 5,142                  | 112,106                   | 11,640                 |
| Past due 181-270 days | 9,041                     | 9,041                  | 25,127                    | 25,127                 |
| Past due 271-365 days | 9,971                     | 9,971                  | 14,429                    | 14,429                 |
| More than one year    | 88,678                    | 88,678                 | 46,666                    | 46,666                 |
| <b>Total</b>          | <b>4,321,201</b>          | <b>112,832</b>         | <b>3,880,650</b>          | <b>97,862</b>          |

## Notes to the Financial Statements

| As at 31 March        | 2025                      |                        | 2024                      |                        |
|-----------------------|---------------------------|------------------------|---------------------------|------------------------|
|                       | Gross balance<br>Rs. '000 | Impairment<br>Rs. '000 | Gross balance<br>Rs. '000 | Impairment<br>Rs. '000 |
| <b>Company</b>        |                           |                        |                           |                        |
| Past due 0-30 days    | 2,519,941                 | –                      | 3,285,720                 | –                      |
| Past due 31-90 days   | 1,205,432                 | –                      | 146,139                   | –                      |
| Past due 91-180 days  | 166,601                   | 5,142                  | 62,106                    | 8,196                  |
| Past due 181-270 days | 9,041                     | 9,041                  | 25,127                    | 25,127                 |
| Past due 271-365 days | 7,774                     | 7,774                  | 14,429                    | 14,429                 |
| More than one year    | 85,431                    | 85,431                 | 46,666                    | 46,666                 |
| <b>Total</b>          | <b>3,994,220</b>          | <b>107,388</b>         | <b>3,580,187</b>          | <b>94,418</b>          |

Aging of the related party receivables as at the reporting date was as follows:

| As at 31 March        | 2025                      |                        | 2024                      |                        |
|-----------------------|---------------------------|------------------------|---------------------------|------------------------|
|                       | Gross balance<br>Rs. '000 | Impairment<br>Rs. '000 | Gross balance<br>Rs. '000 | Impairment<br>Rs. '000 |
| <b>Group</b>          |                           |                        |                           |                        |
| Past due 0-30 days    | 32,571                    | –                      | 7,533                     | –                      |
| Past due 31-90 days   | 4,656                     | –                      | 16,547                    | –                      |
| Past due 91-180 days  | 395                       | –                      | 74                        | –                      |
| Past due 181-270 days | 1,723                     | –                      | 22                        | –                      |
| Past due 271-365 days | –                         | –                      | 15                        | –                      |
| More than one year    | 81,939                    | (81,812)               | 82,251                    | (81,939)               |
| <b>Total</b>          | <b>121,284</b>            | <b>(81,812)</b>        | <b>106,444</b>            | <b>(81,939)</b>        |

| As at 31 March        | 2025                      |                        | 2024                      |                        |
|-----------------------|---------------------------|------------------------|---------------------------|------------------------|
|                       | Gross balance<br>Rs. '000 | Impairment<br>Rs. '000 | Gross balance<br>Rs. '000 | Impairment<br>Rs. '000 |
| <b>Company</b>        |                           |                        |                           |                        |
| Past due 0-30 days    | 43,458                    | –                      | –                         | –                      |
| Past due 31-90 days   | 52,410                    | –                      | 26,479                    | –                      |
| Past due 91-180 days  | 68,987                    | –                      | 59,679                    | –                      |
| Past due 181-270 days | 22,140                    | –                      | 38,652                    | –                      |
| Past due 271-365 days | 43,941                    | –                      | 91,524                    | –                      |
| More than one year    | 173,463                   | (81,812)               | 81,939                    | (81,939)               |
| <b>Total</b>          | <b>404,399</b>            | <b>(81,812)</b>        | <b>298,273</b>            | <b>(81,939)</b>        |

The Company holds collateral against some long outstanding customers in the form of bank guarantees and they have been considered when assessing impairment loss.

## Notes to the Financial Statements

The maximum exposure to credit risk for trade receivables as at the reporting date by geography was as follows:

| As at 31 March           | Carrying amount  |                  |                  |                  |
|--------------------------|------------------|------------------|------------------|------------------|
|                          | Group            |                  | Company          |                  |
|                          | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Domestic</b>          | 3,797,733        | 3,561,142        | 3,529,055        | 3,296,940        |
| Asian region             | 139,586          | 101,202          | 115,078          | 96,583           |
| European region          | 260,673          | 184,805          | 237,136          | 153,163          |
| African region           | 46,837           | 23,082           | 46,837           | 23,082           |
| Northern American region | 10,258           | –                | –                | –                |
| Middle East region       | 66,114           | 10,419           | 66,114           | 10,419           |
| <b>Total</b>             | 4,321,201        | 3,880,650        | 3,994,220        | 3,580,187        |

### Cash and cash equivalents

The Group and Company held cash and cash equivalents of Rs. 88.6 Mn. (2024 – Rs. 35.8 Mn.) and Rs. 71.8 Mn. (2024 – Rs. 6.2 Mn.) retrospectively at 31 March 2025 which represent its maximum credit exposure on these assets.

### Guarantees

The Group's policy is to provide financial guarantees only to subsidiaries. These corporate guarantees have been provided for Hatton National Bank PLC and Commercial Bank of Ceylon PLC on behalf of the subsidiaries' short term loan facilities, where repayment terms are less than 12 months.

| Outstanding as at 31 March                                                      | 2025<br>Rs. Mn. | 2024<br>Rs. Mn. |
|---------------------------------------------------------------------------------|-----------------|-----------------|
| <b>Letters of comfort and guarantees provided on behalf of the subsidiaries</b> |                 |                 |
| Ceymac Rubber Company Limited                                                   | 150             | 150             |
| Ceytra (Private) Limited                                                        | 8               | 8               |
| Kelani Valley Canneries Limited                                                 | 90              | 115             |
| <b>Total</b>                                                                    | 248             | 273             |

| Outstanding as at 31 March                  | 2025<br>Rs. Mn. | 2024<br>Rs. Mn. |
|---------------------------------------------|-----------------|-----------------|
| <b>Outstanding short term loan facility</b> |                 |                 |
| Ceymac Rubber Company Limited               | 140             | 146             |
| Ceytra (Private) Limited                    | 8               | –               |
| Kelani Valley Canneries Limited             | 192             | 118             |
| <b>Total</b>                                | 340             | 264             |

## Notes to the Financial Statements

### Expected credit losses

With the adoption of SLFRS 9 – Financial Instruments, the Company manages credit quality using a three stage approach which inline with the new standard requirements as well.

- Stage one : 12 month expected credit losses (ECL)
- Stage two : Lifetime expected credit losses (ECL) – not credit impaired
- Stage three : Lifetime expected credit losses (ECL) – credit impaired

Table below shows the classification of assts and liabilities based on the above mentioned three stage model:

| As at 31 March 2025                                 |      | 12-month<br>ECL  | Life Time ECL<br>– Not Credit<br>Impaired | Life Time ECL<br>– Credit<br>Impaired | Unclassified | Total            |
|-----------------------------------------------------|------|------------------|-------------------------------------------|---------------------------------------|--------------|------------------|
|                                                     | Note | Rs. '000         | Rs. '000                                  | Rs. '000                              | Rs. '000     | Rs. '000         |
| <b>Group</b>                                        |      |                  |                                           |                                       |              |                  |
| Cash and cash equivalents                           | 19   | 91,648           | –                                         | –                                     | –            | 91,648           |
| Trade and other receivables                         | 16   | 4,894,425        | –                                         | –                                     | –            | 4,894,425        |
| Interest bearing short term loan to related parties | 17   | 120,000          | –                                         | –                                     | –            | 120,000          |
| <b>Total assets</b>                                 |      | <b>5,106,073</b> | <b>–</b>                                  | <b>–</b>                              | <b>–</b>     | <b>5,106,073</b> |
| <b>Company</b>                                      |      |                  |                                           |                                       |              |                  |
| Cash and cash equivalents                           | 19   | 74,395           | –                                         | –                                     | –            | 74,395           |
| Trade and other receivables                         | 16   | 4,604,682        | –                                         | –                                     | –            | 4,604,682        |
| Interest bearing short term loan to related parties | 17   | 136,600          | –                                         | –                                     | –            | 136,600          |
| <b>Total assets</b>                                 |      | <b>4,815,677</b> | <b>–</b>                                  | <b>–</b>                              | <b>–</b>     | <b>4,815,677</b> |

| As at 31 March 2024         |      | 12-month<br>ECL  | Life Time ECL –<br>Not Credit<br>Impaired | Life Time ECL –<br>Credit<br>Impaired | Unclassified | Total            |
|-----------------------------|------|------------------|-------------------------------------------|---------------------------------------|--------------|------------------|
|                             | Note | Rs. '000         | Rs. '000                                  | Rs. '000                              | Rs. '000     | Rs. '000         |
| <b>Group</b>                |      |                  |                                           |                                       |              |                  |
| Cash and cash equivalents   | 19   | 38,819           | –                                         | –                                     | –            | 38,819           |
| Trade and other receivables | 16   | 4,345,078        | –                                         | –                                     | –            | 4,345,078        |
| <b>Total assets</b>         |      | <b>4,383,897</b> | <b>–</b>                                  | <b>–</b>                              | <b>–</b>     | <b>4,383,897</b> |
| <b>Company</b>              |      |                  |                                           |                                       |              |                  |
| Cash and cash equivalents   | 19   | 8,881            | –                                         | –                                     | –            | 8,881            |
| Trade and other receivables | 16   | 4,099,391        | –                                         | –                                     | –            | 4,099,391        |
| <b>Total assets</b>         |      | <b>4,108,272</b> | <b>–</b>                                  | <b>–</b>                              | <b>–</b>     | <b>4,108,272</b> |

## Notes to the Financial Statements

The cash and cash equivalents are held with the commercial banks with the ratings as follows;

- Commercial Bank of Ceylon PLC – AA-(Ika)
- Sampath Bank PLC – AA-(Ika)
- Hatton National Bank PLC – AA-(Ika)
- DFCC Bank – A(Ika)
- Seylan Bank PLC – A+(Ika)
- National Development Bank PLC – A(Ika)
- Public Bank Berhad – AAA(Ram)

### 37.2 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

As at 31 March 2025, Group has unutilised borrowing facilities amounting to Rs. 1,114 Mn. (2024 – fully utilised the available facilities) representing 20% (2024 – Nil) of the total borrowing facilities from the consortium of banks, i.e. Hatton National Bank PLC, Commercial Bank of Ceylon PLC and NDB Bank PLC.

The following are the contractual maturities of financial liabilities:

| As at 31 March 2025                            |           | 2025 Contractual cashflows  |                       |                         |                              | 2024 Contractual cashflows  |                       |                         |                              |
|------------------------------------------------|-----------|-----------------------------|-----------------------|-------------------------|------------------------------|-----------------------------|-----------------------|-------------------------|------------------------------|
|                                                | Note      | Carrying amount<br>Rs. '000 | Contractual cashflows | 0-12 months<br>Rs. '000 | More than 1 year<br>Rs. '000 | Carrying amount<br>Rs. '000 | Contractual cashflows | 0-12 months<br>Rs. '000 | More than 1 year<br>Rs. '000 |
| <b>Group</b>                                   |           |                             |                       |                         |                              |                             |                       |                         |                              |
| <b>Financial liabilities (non-derivatives)</b> |           |                             |                       |                         |                              |                             |                       |                         |                              |
| Long-term borrowings                           | 24.2      | 122,578                     | 143,267               | 55,320                  | 87,947                       | 180,270                     | 225,595               | 94,786                  | 130,809                      |
| Lease liability                                | 25.1/25.2 | 165,191                     | 239,458               | 59,777                  | 179,681                      | 102,746                     | 152,674               | 53,417                  | 99,257                       |
| Interest bearing short-term borrowings         | 29        | 3,911,823                   | 3,999,839             | 3,999,839               | –                            | 2,888,673                   | 3,001,100             | 3,001,100               | –                            |
| Trade and other payable                        |           | 2,065,437                   | 2,065,437             | 2,065,437               | –                            | 1,465,280                   | 1,465,280             | 1,465,280               | –                            |
| Trade payables to related parties              | 31.1      | 656,513                     | 656,513               | 656,513                 | –                            | 630,524                     | 630,524               | 630,524                 | –                            |
| Bank overdrafts                                | 19.       | 314,716                     | 314,716               | 314,716                 | –                            | 234,533                     | 234,533               | 234,533                 | –                            |
| <b>Total</b>                                   |           | <b>7,236,258</b>            | <b>7,419,230</b>      | <b>7,151,602</b>        | <b>267,628</b>               | <b>5,502,026</b>            | <b>5,709,706</b>      | <b>5,479,640</b>        | <b>230,066</b>               |

## Notes to the Financial Statements

| As at 31 March 2025                            |           | 2025                        |                       |                         |                              | 2024                        |                       |                         |                              |
|------------------------------------------------|-----------|-----------------------------|-----------------------|-------------------------|------------------------------|-----------------------------|-----------------------|-------------------------|------------------------------|
|                                                | Note      | Carrying amount<br>Rs. '000 | Contractual cashflows | 0-12 months<br>Rs. '000 | More than 1 year<br>Rs. '000 | Carrying amount<br>Rs. '000 | Contractual cashflows | 0-12 months<br>Rs. '000 | More than 1 year<br>Rs. '000 |
| <b>Company</b>                                 |           |                             |                       |                         |                              |                             |                       |                         |                              |
| <b>Financial liabilities (non-derivatives)</b> |           |                             |                       |                         |                              |                             |                       |                         |                              |
| Long term borrowings                           | 24.2      | 22,408                      | 23,921                | 23,921                  | –                            | 51,160                      | 62,415                | 34,379                  | 28,036                       |
| Lease liability                                | 25.1/25.2 | 165,191                     | 239,458               | 59,777                  | 179,681                      | 102,746                     | 152,674               | 53,417                  | 99,257                       |
| Interest bearing short-term borrowings         | 29        | 3,708,823                   | 3,792,272             | 3,792,272               | –                            | 2,648,673                   | 2,734,449             | 2,734,449               | –                            |
| Trade and other payable                        |           | 1,791,477                   | 1,791,477             | 1,791,477               | –                            | 1,267,628                   | 1,267,628             | 1,267,628               | –                            |
| Trade payables to related parties              | 31.1      | 651,815                     | 651,815               | 651,815                 | –                            | 732,510                     | 732,510               | 732,510                 | –                            |
| Bank overdrafts                                | 19        | 245,829                     | 245,829               | 245,829                 | –                            | 177,614                     | 177,614               | 177,614                 | –                            |
| <b>Total</b>                                   |           | <b>6,585,543</b>            | <b>6,744,772</b>      | <b>6,565,091</b>        | <b>179,681</b>               | <b>4,980,331</b>            | <b>5,127,290</b>      | <b>4,999,997</b>        | <b>127,293</b>               |

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

Ratings of the financial institutions are as follows:

- Commercial Bank of Ceylon PLC – AA-(Ika)
- Sampath Bank PLC – AA-(Ika)
- Hatton National Bank PLC – AA-(Ika)
- DFCC Bank – A(Ika)
- Seylan Bank PLC – A+(Ika)
- National Development Bank PLC – A(Ika)
- Public Bank Berhad – AAA(Ram)

### 37.3 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

#### 37.3.1 Currency risk

The Group is exposed to currency risk on sales and purchases that are denominated in a currency other than Sri Lankan Rupees (LKR). The foreign currencies in which the set transactions primarily denominated are United State Dollars (USD), Euro and Australian Dollars (AUD).

## Notes to the Financial Statements

### Exposure to currency risk

The Group's exposure to foreign currency risk based on notional amounts was as follows:

| As at 31 March                                        | 2025             |              |               | 2024           |              |               |
|-------------------------------------------------------|------------------|--------------|---------------|----------------|--------------|---------------|
|                                                       | USD              | AUD          | Euro          | USD            | AUD          | Euro          |
| <b>Group</b>                                          |                  |              |               |                |              |               |
| Trade and other payables                              | (562,624)        | –            | 1,182         | (378,345)      | –            | –             |
| Trade and other receivables                           | 1,518,164        | 7,120        | 70,313        | 1,104,344      | 7,120        | 45,231        |
| Cash and cash equivalents                             | 191,475          | –            | 893           | 58,143         | –            | 990           |
| <b>Gross Statement of Financial Position exposure</b> | <b>1,147,015</b> | <b>7,120</b> | <b>72,388</b> | <b>784,142</b> | <b>7,120</b> | <b>46,221</b> |

| As at 31 March                                        | 2025             |              |              | 2024           |              |            |
|-------------------------------------------------------|------------------|--------------|--------------|----------------|--------------|------------|
|                                                       | USD              | AUD          | Euro         | USD            | AUD          | Euro       |
| <b>Company</b>                                        |                  |              |              |                |              |            |
| Trade and other payables                              | (562,749)        | –            | 1,182        | (396,047)      | –            | –          |
| Trade and other receivables                           | 1,397,510        | 7,120        | –            | 1,052,753      | 7,120        | –          |
| Cash and cash equivalents                             | 179,126          | –            | 891          | 48,579         | –            | 986        |
| <b>Gross Statement of Financial Position exposure</b> | <b>1,013,887</b> | <b>7,120</b> | <b>2,073</b> | <b>705,285</b> | <b>7,120</b> | <b>986</b> |

The following significant exchange rates were applicable during the year:

| As at 31 March | Average rate     |                  | Reporting date spot rate |                  |
|----------------|------------------|------------------|--------------------------|------------------|
|                | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000         | 2024<br>Rs. '000 |
| USD            | 298.71           | 318.04           | 296.50                   | 300.25           |
| Euro           | 320.58           | 344.88           | 320.45                   | 324.99           |
| AUD            | 191.97           | 219.17           | 186.67                   | 196.91           |

## Notes to the Financial Statements

### Sensitivity Analysis

A strengthening or weakening of the LKR, as indicated below, against the USD, AUD and Euro at 31 March 2025 would have increased/ (decreased) the equity and profit or loss by the amounts shown below.

This analysis is based on foreign currency exchange rate variances that the Group considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables, in particular interest rates, remain constant:

|                     | Strengthening<br>profit or loss<br>Rs. '000 | Weakening<br>profit or loss<br>Rs. '000 |
|---------------------|---------------------------------------------|-----------------------------------------|
| <b>Group</b>        |                                             |                                         |
| As at 31 March 2025 |                                             |                                         |
| USD (10% movement)  | (34,009)                                    | 34,009                                  |
| Euro (10% movement) | (2,320)                                     | 2,320                                   |
| AUD (10% movement)  | (133)                                       | 133                                     |
| As at 31 March 2024 |                                             |                                         |
| USD (10% movement)  | (23,544)                                    | 23,544                                  |
| Euro (10% movement) | (1,502)                                     | 1,502                                   |
| AUD (10% movement)  | (140)                                       | 140                                     |
| <b>Company</b>      |                                             |                                         |
| As at 31 March 2025 |                                             |                                         |
| USD (10% movement)  | (30,062)                                    | 30,062                                  |
| Euro (10% movement) | (66)                                        | 66                                      |
| AUD (10% movement)  | (133)                                       | 133                                     |
| As at 31 March 2024 |                                             |                                         |
| USD (10% movement)  | (21,176)                                    | 21,176                                  |
| Euro (10% movement) | (32)                                        | 32                                      |
| AUD (10% movement)  | (140)                                       | 140                                     |

## Notes to the Financial Statements

### 37.3.2 Interest rate risk

At the reporting date, the Company's interest-bearing financial instruments were as follow:

| As at 31 March                                      | Note | Carrying amount  |                  |                  |                  |
|-----------------------------------------------------|------|------------------|------------------|------------------|------------------|
|                                                     |      | Group            |                  | Company          |                  |
|                                                     |      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| <b>Fixed rate instruments</b>                       |      |                  |                  |                  |                  |
| <b>Financial assets</b>                             |      |                  |                  |                  |                  |
| Related party receivables – subsidiaries            |      | –                | –                | 290,246          | 191,868          |
| <b>Financial liabilities</b>                        |      |                  |                  |                  |                  |
| Related party payables – subsidiaries               |      | –                | –                | 913              | 1,765            |
| Lease liability                                     | 25   | (165,191)        | (102,746)        | (165,191)        | (102,746)        |
|                                                     |      | (165,191)        | (102,746)        | 125,968          | 90,887           |
| <b>Variable rate instruments</b>                    |      |                  |                  |                  |                  |
| <b>Financial assets</b>                             |      |                  |                  |                  |                  |
| RFC deposits                                        |      | 57,058           | 17,779           | 53,396           | 14,906           |
| Interest bearing short-term loan to related parties | 17   | 120,000          | –                | 136,600          | –                |
| <b>Financial liabilities</b>                        |      |                  |                  |                  |                  |
| Long term borrowings                                | 24   | (122,578)        | (180,270)        | (22,408)         | (51,160)         |
| Bank overdrafts                                     | 19   | (314,716)        | (234,533)        | (245,829)        | (177,614)        |
| Short-term money market borrowings                  | 29   | (3,911,823)      | (2,888,673)      | (3,708,823)      | (2,648,673)      |
|                                                     |      | (4,172,059)      | (3,285,697)      | (3,787,064)      | (2,862,541)      |

### Sensitivity analysis for variable rate instruments

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the profit before tax.

| As at 31 March                          | 2025<br>Profit or loss<br>Rs. '000 | 2024<br>Profit or loss<br>Rs. '000 |
|-----------------------------------------|------------------------------------|------------------------------------|
| <b>Group</b>                            |                                    |                                    |
| Variable rate instruments (1% decrease) | 41,721                             | 24,377                             |
| Variable rate instruments (1% increase) | (41,721)                           | (24,377)                           |
| <b>Company</b>                          |                                    |                                    |
| Variable rate instruments (1% decrease) | 37,871                             | 20,909                             |
| Variable rate instruments (1% increase) | (37,871)                           | (20,909)                           |

### 37.4 Operational risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Group's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risks arise from all of the Group's operations.

The Group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the Group's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

### 37.5 Capital management

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital, which the Group defines as result from operating activities divided by total shareholders' equity, excluding controlling interests. The Board of Directors also monitors the level of dividends to ordinary shareholders.

The Board seeks to maintain a balance between the higher returns that might be possible with higher levels of borrowings and the advantages and security afforded by a sound capital position. Accordingly, major part of the borrowings comprise short term money market loans and bank overdrafts with variable interest rates being used only to manage the working capital requirements of the day to day operations of the Group.

The Group's debt to adjusted capital ratio at the end of the reporting period was as follows:

| As at 31 March                  | Note | Group            |                  | Company          |                  |
|---------------------------------|------|------------------|------------------|------------------|------------------|
|                                 |      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Total liabilities               |      | 7,803,524        | 5,978,655        | 6,789,665        | 5,135,987        |
| <b>Less:</b>                    |      |                  |                  |                  |                  |
| Cash and cash equivalents       | 19   | (91,648)         | (38,819)         | (74,395)         | (8,881)          |
| <b>Net debts</b>                |      | 7,711,876        | 5,939,836        | 6,715,270        | 5,127,106        |
| Total equity                    |      | 4,115,625        | 3,819,613        | 3,846,984        | 3,621,672        |
| <b>Net debt to equity ratio</b> |      | 1.87             | 1.56             | 1.75             | 1.42             |

There were no changes in the Company's approach to capital management during the year and the Company is not subject to externally imposed capital requirements.

### 37.6 Fair values of financial instruments

The Group measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements.

Level I: Quoted market price (unadjusted) in an active market for an identical instrument.

Level II: Valuation techniques based on observable inputs, either directly—i.e. as prices or indirectly—i.e. derived from prices. This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level III: Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

## Notes to the Financial Statements

### **Fair values of financial instruments which are not carried at fair value on the Statement of Financial Position**

The financial assets and liabilities not measured at fair value as the carrying amount is a reasonable approximation of fair value, other than below.

### **Fair value measurement for non financial asset**

The following table analyses nonfinancial instruments measured at fair value at the reporting date, by the level in the fair value hierarchy into which the fair value measurement is categorised. The amounts are based on the values recognised in the Statement of Financial Position. The fair value include any differences between the transaction price and the fair value on initial recognition when the fair value is based on evaluation technique that uses unobservable inputs:

|                             |      | Level I          |                  | Level II         |                  | Level III        |                  | Total            |                  |
|-----------------------------|------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| As at 31 March              |      | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
|                             | Note |                  |                  |                  |                  |                  |                  |                  |                  |
| <b>Group</b>                |      |                  |                  |                  |                  |                  |                  |                  |                  |
| <b>Non-financial assets</b> |      |                  |                  |                  |                  |                  |                  |                  |                  |
| Freehold land               | 12.1 | –                | –                | –                | –                | 1,417,229        | 1,278,768        | 1,417,229        | 1,278,768        |
|                             |      | –                | –                | –                | –                | 1,417,229        | 1,278,768        | 1,417,229        | 1,278,768        |
| <b>Company</b>              |      |                  |                  |                  |                  |                  |                  |                  |                  |
| <b>Non-financial assets</b> |      |                  |                  |                  |                  |                  |                  |                  |                  |
| Freehold land               | 12.2 | –                | –                | –                | –                | 412,429          | 363,908          | 412,429          | 363,908          |
|                             |      | –                | –                | –                | –                | 412,429          | 363,908          | 412,429          | 363,908          |

### **(a) Level 3 fair value measurement**

#### Reconciliation

The following table shows a reconciliation from the beginning balances to the ending balances for fair value measurements in Level 3 of the fair value hierarchy:

| As at 31 March                        | Group            |                  | Company          |                  |
|---------------------------------------|------------------|------------------|------------------|------------------|
|                                       | 2025<br>Rs. '000 | 2024<br>Rs. '000 | 2025<br>Rs. '000 | 2024<br>Rs. '000 |
| Balance at the beginning of the year  | 1,278,768        | 1,278,768        | 363,908          | 363,908          |
| Revaluation during the year           | 138,461          | –                | 48,521           | –                |
| <b>Balance at the end of the year</b> | <b>1,417,229</b> | <b>1,278,768</b> | <b>412,429</b>   | <b>363,908</b>   |

### **(b) Valuation technique and significant unobservable inputs**

| Valuation technique                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Significant unobservable inputs | Estimates for unobservable inputs                     | Inter - relationship between significant unobservable inputs and fair value measurement    |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------|-------------------------------------------------------|--------------------------------------------------------------------------------------------|
| <b>Market comparable method:</b><br>This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of the property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for differences in size, nature, location, condition of specific property in this process outlier transactions, indicative of particularly motivated buyers or sellers are too compensated for, since the price may not reflect the fair market value. | Estimated price per Perch       | Price per perch for land is disclosed under Note 12.3 | Estimated fair value would increase/ (decrease) if, Price per perch increases/ (decreases) |

# ***Supplementary Information***

|     |                                       |
|-----|---------------------------------------|
| 188 | Ten-Year Summary                      |
| 190 | Consolidated Statement of Value Added |
| 192 | Investor Information                  |
| 194 | Glossary of Financial Terms           |
| 196 | Notice of Meeting                     |

# Ten-Year Summary

| Year<br>31 March                                           | 2025<br>(Rs.'000) | 2024<br>(Rs.'000) | 2023<br>(Rs.'000)<br>Restated | 2022<br>(Rs.'000) |
|------------------------------------------------------------|-------------------|-------------------|-------------------------------|-------------------|
| <b>Operating results</b>                                   |                   |                   |                               |                   |
| Revenue                                                    | 24,282,721        | 19,387,992        | 19,207,748                    | 13,163,499        |
| <b>Results from operating activities</b>                   | 923,601           | 1,023,185         | 2,146,965                     | 808,468           |
| Net financing income/(costs)                               | (421,998)         | (522,022)         | (655,402)                     | 55,082            |
| Share of joint venture's profit/(loss)                     | 168,829           | 1,002             | (165,413)                     | (127,808)         |
| <b>Profit before taxation</b>                              | 670,432           | 502,165           | 1,326,150                     | 735,742           |
| Income tax expense                                         | (180,119)         | (83,128)          | (332,123)                     | (256,438)         |
| <b>Profit/(Loss) after tax</b>                             | 490,313           | 419,037           | 994,027                       | 479,304           |
| Other comprehensive income/(expense)                       | 85,083            | (93,496)          | (70,245)                      | 477,729           |
| Total comprehensive income/(expense)                       | 575,396           | 325,541           | 923,782                       | 957,033           |
| Non-controlling interests                                  | (5,272)           | (1,902)           | 23,220                        | (5,268)           |
| <b>Total comprehensive income/(expense)-equity holders</b> | 580,668           | 327,443           | 900,562                       | 962,301           |

| Year<br>31 March                                            | 2025<br>(Rs.'000) | 2024<br>(Rs.'000) | 2023<br>(Rs.'000)<br>Restated | 2022<br>(Rs.'000) |
|-------------------------------------------------------------|-------------------|-------------------|-------------------------------|-------------------|
| <b>Financial position</b>                                   |                   |                   |                               |                   |
| <b>Assets</b>                                               |                   |                   |                               |                   |
| Non-current assets                                          | 3,376,975         | 2,853,321         | 2,591,946                     | 2,783,375         |
| Current assets                                              | 8,882,513         | 7,293,810         | 6,744,937                     | 5,620,214         |
| <b>Total assets</b>                                         | 12,259,488        | 10,147,131        | 9,336,883                     | 7,251,433         |
| <b>Equity and liabilities</b>                               |                   |                   |                               |                   |
| <b>Equity</b>                                               |                   |                   |                               |                   |
| Stated capital                                              | 507,047           | 507,047           | 507,047                       | 507,047           |
| Capital reserves                                            | 769,806           | 672,883           | 672,883                       | 672,883           |
| Revenue reserves                                            | 2,838,772         | 2,639,683         | 2,744,103                     | 2,744,103         |
| <b>Equity attributable to equity holders of the Company</b> | 4,115,625         | 3,819,613         | 3,924,033                     | 2,599,839         |
| Non-controlling interests                                   | 340,339           | 348,863           | 351,742                       | 351,742           |
| <b>Total equity</b>                                         | 4,455,964         | 4,168,476         | 4,275,775                     | 2,933,629         |
| Non-current liabilities                                     | 696,631           | 614,446           | 602,440                       | 606,682           |
| Current liabilities                                         | 7,106,893         | 5,364,209         | 4,458,668                     | 4,085,028         |
| <b>Total equity and liabilities</b>                         | 12,259,488        | 10,147,131        | 9,336,883                     | 7,251,433         |
| <b>Ratios</b>                                               |                   |                   |                               |                   |
| Basic earnings per share (Rupees)                           | 13.84             | 11.64             | 27.62                         | 13.32             |
| Revenue growth rate (%)                                     | 25.2              | 0.9               | 45.9                          | 20.5              |
| Net profit ratio (%)                                        | 2.0               | 2.2               | 5.2                           | 2.3               |
| Current ratio (1:)                                          | 1.25              | 1.36              | 1.51                          | 1.26              |
| Net asset per share (Rupees)                                | 114.36            | 106.13            | 109.04                        | 72.24             |
| Net return on assets (%)                                    | 4.0               | 4.1               | 10.6                          | 6.6               |
| Net return on capital employed (%)                          | 21.2              | 21.4              | 40.6                          | 21.5              |
| Assets turnover ratio (1:)                                  | 2.17              | 1.99              | 2.32                          | 1.98              |
| Dividends per share (Rupees)*                               | 8.00              | 8.00              | 12.00                         | 10.00             |
| Dividend payout ratio (%)*                                  | 58                | 69                | 43                            | 75                |
| Market value per share                                      | 108.75            | 95.00             | 81.90                         | 56.00             |

**Note:** Based on the proposed dividend during the year

## Ten-Year Summary

| 2021<br>(Rs.'000) | 2020<br>(Rs.'000) | 2019<br>(Rs.'000) | 2018<br>(Rs.'000) | 2017<br>(Rs.'000) | 2016<br>(Rs.'000) |
|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| 10,927,486        | 8,593,307         | 9,695,319         | 9,919,740         | 8,837,350         | 7,859,633         |
| 542,859           | 137,986           | 394,777           | 373,957           | 416,439           | 409,788           |
| (115,173)         | (124,793)         | (110,952)         | (96,728)          | (67,371)          | (7,865)           |
| (50,516)          | 7,963             | 46,659            | (20,697)          | –                 | –                 |
| 377,170           | 21,156            | 330,484           | 256,532           | 349,068           | 401,923           |
| (121,499)         | (99,125)          | (114,014)         | (86,685)          | (111,937)         | (123,401)         |
| 255,671           | (77,969)          | 216,470           | 169,847           | 237,131           | 278,522           |
| (37,395)          | (23,858)          | 392,163           | (20,141)          | 10,056            | 6,606             |
| 218,276           | (101,827)         | 608,633           | 149,706           | 247,187           | 285,128           |
| (9,661)           | (3,111)           | 21,511            | 668               | 978               | (6,466)           |
| 227,937           | (98,716)          | 587,122           | 149,038           | 246,209           | 291,594           |

| 2021<br>(Rs.'000) | 2020<br>(Rs.'000) | 2019<br>(Rs.'000) | 2018<br>(Rs.'000) | 2017<br>(Rs.'000) | 2016<br>(Rs.'000) |
|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| 2,256,548         | 2,204,003         | 1,920,305         | 1,308,390         | 812,094           | 864,854           |
| 4,994,885         | 3,827,782         | 3,815,786         | 3,663,777         | 3,327,942         | 2,801,463         |
| 6,031,785         | 5,736,091         | 4,972,167         | 4,140,036         | 3,666,317         | 3,183,153         |
| 507,047           | 507,047           | 507,047           | 507,047           | 507,047           | 507,047           |
| 362,219           | 368,162           | 368,162           | 8,734             | 8,734             | 8,734             |
| 1,730,573         | 1,496,693         | 1,722,554         | 1,620,820         | 1,622,935         | 1,502,686         |
| 2,371,902         | 2,597,763         | 2,136,601         | 2,138,716         | 2,018,467         | 1,837,129         |
| 333,790           | 343,451           | 345,377           | 323,866           | 29,009            | 28,031            |
| 2,715,353         | 2,943,140         | 2,460,467         | 2,167,725         | 2,046,498         | 1,871,744         |
| 357,892           | 411,682           | 373,245           | 124,287           | 78,684            | 92,038            |
| 3,959,912         | 2,904,750         | 2,419,706         | 2,387,413         | 1,893,627         | 1,527,781         |
| 6,031,785         | 5,736,091         | 4,972,167         | 4,140,036         | 3,666,317         | 3,183,153         |
| 7.10              | (2.17)            | 6.01              | 4.72              | 6.59              | 7.74              |
| 27.2              | -11.4             | -2.3              | 12.2              | 12.4              | 7.0               |
| -0.9              | 2.2               | 1.7               | 1.7               | 2.7               | 3.5               |
| 1.32              | 1.58              | 1.53              | 1.53              | 1.76              | 1.83              |
| 65.91             | 72.18             | 59.37             | 59.43             | 56.09             | 51.05             |
| 4.2               | -1.4              | 4.4               | 4.1               | 6.5               | 8.7               |
| 23.8              | 5.2               | 17.3              | 20.2              | 23.5              | 24.8              |
| 1.86              | 1.60              | 2.13              | 2.54              | 2.58              | 2.39              |
| 7.00              | –                 | 3.50              | 3.50              | 3.50              | 3.50              |
| 99                | –                 | 58                | 74                | 53                | 45                |
| 44.00             | 38.80             | 40.40             | 48.60             | 54.70             | 54.60             |

# Consolidated Statement of Value Added

Organisations utilise raw materials and other inputs to create a saleable product. The difference between the sales income and the cost of bought-in-materials and services is generally regarded as the value added by the organisation. Value added, therefore, denotes the contribution made to the nation's economy by the efforts of employers and employees, i.e. the wealth created by an organisation's activities.

The following statement shows the contribution made to the Sri Lankan economy by C. W. Mackie PLC and its subsidiary companies and their employees during the last two (2) periods. This total value added was distributed to the employees, the Government of the Democratic Socialist Republic of Sri Lanka, lenders and providers of capital, with a part being retained for use within the Group:

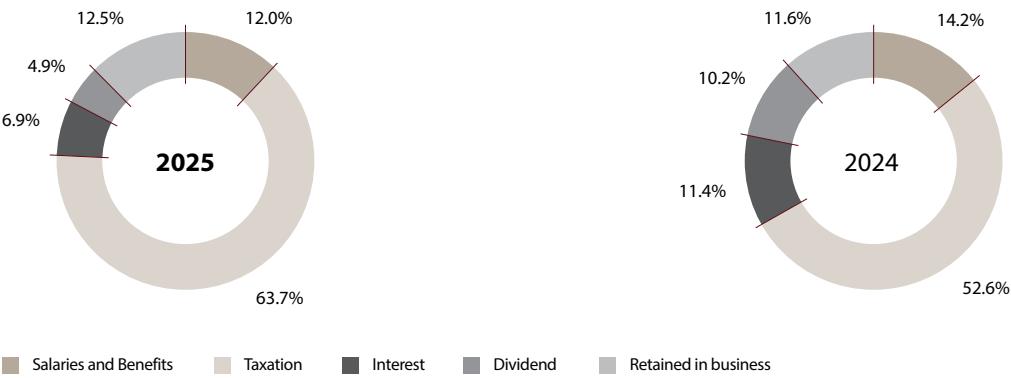
| For the year ended 31 March                         | 2025<br>Rs. Mn. | 2024<br>Rs. Mn. |
|-----------------------------------------------------|-----------------|-----------------|
| <b>Value added</b>                                  |                 |                 |
| Sales made to external customers                    | 24,282.7        | 19,388.0        |
| Less: material and services bought in from outside  | (18,412.5)      | (15,333.7)      |
|                                                     | 5,870.2         | 4,054.3         |
| Add: other income                                   | 101.7           | 207.0           |
| <b>Total value added available for distribution</b> | <b>5,971.9</b>  | <b>4,261.3</b>  |

| For the year ended 31 March                | 2025           |              | 2024           |              |
|--------------------------------------------|----------------|--------------|----------------|--------------|
|                                            | Rs. Mn.        | %            | Rs. Mn.        | %            |
| <b>Distribution of value added</b>         |                |              |                |              |
| <b>To employees</b>                        |                |              |                |              |
| – Wages, salaries and benefits             | 715.1          | 12.0         | 604.3          | 14.2         |
| <b>Taxation to Government</b>              |                |              |                |              |
| – Import duties SSCL and VAT               | 3,616.1        |              | 1,859.6        |              |
| – Export duties                            | 8.9            |              | 10.7           |              |
| – Income tax                               | 169.2          |              | 370.7          |              |
| – Withholding tax                          | 11.9           | 63.7         | 2.00           | 52.6         |
| <b>To lenders</b>                          |                |              |                |              |
| – Interest                                 | 413.7          | 6.9          | 486.5          | 11.4         |
| <b>Providers of equity capital</b>         |                |              |                |              |
| – Dividends                                | 287.9          | 4.9          | 431.9          | 10.2         |
| <b>Retained in business</b>                |                |              |                |              |
| – Depreciation on fixed assets             | 168.4          |              | 168.2          |              |
| – Retained earnings                        | 580.7          | 12.5         | 327.4          | 11.6         |
| <b>Total value added distributed</b>       | <b>5,971.9</b> | <b>100.0</b> | <b>4,261.3</b> | <b>100.0</b> |
| <b>No. of employees in Group</b>           | <b>639</b>     |              | <b>614</b>     |              |
| <b>Value added per employee (Rs. '000)</b> | <b>9,346</b>   |              | <b>6,940</b>   |              |

**Consolidated Statement of Value Added**

***Distribution of value added***

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# Investor Information

## FINANCIAL CALENDAR

|                                                     |   |                  |
|-----------------------------------------------------|---|------------------|
| One Hundred and Second Annual General Meeting       | – | 28 June 2024     |
| <b>Interim Reports</b>                              |   |                  |
| <b>First Quarterly Report</b>                       |   |                  |
| 3 months to 30 June 2024                            | – | 7 August 2024    |
| <b>Second Quarterly Report</b>                      |   |                  |
| 6 months to 30 September 2024                       | – | 29 October 2024  |
| <b>Third Quarterly Report</b>                       |   |                  |
| 9 months to 31 December 2024                        | – | 11 February 2025 |
| <b>Fourth Quarterly Report</b>                      |   |                  |
| 12 months to 31 March 2025                          | – | 19 May 2025      |
| Annual Report – Financial Year 2024/25              | – | 4 June 2025      |
| <b>One Hundred and Third Annual General Meeting</b> | – | 27 June 2025     |

## DISTRIBUTION SCHEDULE OF SHAREHOLDERS

| As at 31 March |   |           | 2025           |              |           | 2024           |              |           |
|----------------|---|-----------|----------------|--------------|-----------|----------------|--------------|-----------|
| Categories     |   |           | No. of holders | Total shares | Holders % | No. of holders | Total shares | Holders % |
| 1              | – | 1,000     | 2,250          | 417,531      | 1.16      | 2,346          | 448,965      | 1.25      |
| 1,001          | – | 10,000    | 271            | 806,124      | 2.24      | 337            | 1,047,994    | 2.91      |
| 10,001         | – | 100,000   | 55             | 1,550,824    | 4.31      | 58             | 1,760,055    | 4.89      |
| 100,001        | – | 1,000,000 | 14             | 4,977,560    | 13.83     | 10             | 2,656,293    | 7.38      |
| Over           | – | 1,000,000 | 4              | 28,236,517   | 78.46     | 5              | 30,075,249   | 83.57     |
|                |   |           | 2,594          | 35,988,556   | 100.00    | 2,756          | 35,988,556   | 100.00    |

## Investor Information

**TWENTY LARGEST SHAREHOLDERS**

| As at 31 March      |                                                                      | 2025                      |       | 2024                      |       |
|---------------------|----------------------------------------------------------------------|---------------------------|-------|---------------------------|-------|
| Name of Shareholder |                                                                      | Number of Shares (Voting) | %     | Number of Shares (Voting) | %     |
| 1                   | Lankem Ceylon PLC                                                    | 16,006,441                | 44.48 | 16,006,441                | 44.48 |
| 2                   | Seylan Bank PLC/Senthilveri Holdings (Pvt) Limited                   | 8,713,265                 | 24.21 | 8,769,422                 | 24.37 |
| 3                   | Union Bank of Colombo PLC/Lankem Ceylon PLC                          | 2,137,526                 | 5.94  | 2,137,526                 | 5.94  |
| 4                   | Pan Asia Banking Corporation PLC/Lankem Ceylon PLC                   | 1,379,285                 | 3.83  | 1,379,285                 | 3.83  |
| 5                   | Deutsche Bank AG Trustee to Lynear Wealth Dynamic Opportunities Fund | 1,000,000                 | 2.78  | –                         | –     |
| 6                   | Acuity Partners (Pvt) Limited/Union Investment (Pvt) Limited         | 950,000                   | 2.64  | 950,000                   | 2.64  |
| 7                   | Seylan Bank PLC/Phantom Investments (Private) Limited                | 765,485                   | 2.13  | –                         | –     |
| 8                   | Corporate Holdings (Pvt) Limited Account No. 1                       | 312,212                   | 0.87  | 307,982                   | 0.86  |
| 9                   | Mr. D. N. P. Rathnayake                                              | 288,352                   | 0.80  | 221,727                   | 0.62  |
| 10                  | Colombo Fort Investments PLC                                         | 255,000                   | 0.71  | 252,285                   | 0.69  |
| 11                  | Colombo Investment Trust PLC                                         | 240,000                   | 0.67  | 224,060                   | 0.62  |
| 12                  | Mr. J.D. Bandaranayake & Ms. N. Bandaranayake                        | 236,217                   | 0.66  | 50,000                    | 0.13  |
| 13                  | Mr. J.D. Bandaranayake & Dr. (Mrs) V. Banadaranayake                 | 230,130                   | 0.64  | 50,000                    | 0.13  |
| 14                  | Mr. P. P. Anandarajah                                                | 155,100                   | 0.43  | 155,100                   | 0.43  |
| 15                  | Mr. M. A. Lukmanjee                                                  | 155,000                   | 0.43  | 155,000                   | 0.43  |
| 16                  | Oakley Investments (Pvt) Limited                                     | 153,239                   | 0.43  | 153,239                   | 0.43  |
| 17                  | Mr. H. A. R. Pieris                                                  | 120,000                   | 0.33  | 125,000                   | 0.35  |
| 18                  | Macksons Holdings (Private) Limited                                  | 116,825                   | 0.32  | 111,900                   | 0.31  |
| 19                  | Ms. N. Harnam & Mrs. J. K. P. Singh                                  | 100,000                   | 0.28  | 100,000                   | 0.28  |
| 20                  | Mr. M. U. M. Ali Sabry                                               | 95,000                    | 0.26  | 90,000                    | 0.25  |

**CATEGORIES OF SHAREHOLDERS**

| As at 31 March | 2025           |                |         | 2024           |                |         |
|----------------|----------------|----------------|---------|----------------|----------------|---------|
| Categories     | No. of Holders | Share Holdings | Total % | No. of Holders | Share Holdings | Total % |
| Individuals    | 2,522          | 3,540,215      | 9.84    | 2,671          | 3,587,110      | 9.97    |
| Institutions   | 72             | 32,448,341     | 90.16   | 85             | 32,401,446     | 90.03   |
|                | 2,594          | 35,988,556     | 100.00  | 2,756          | 35,988,556     | 100.00  |
| Public         | 2,579          | 5,622,493      | 15.62   | 2,739          | 3,776,371      | 11.53   |

The float adjusted market capitalisation of the Company as at 31 March 2025 is Rs. 611,328,603/63.

The float adjusted market capitalisation of the Company falls under Option 2 of Rule 7.13.1(i)(b) of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

# Glossary of Financial Terms

**Accrual basis**

Recording revenues and expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

**Contingent liabilities**

A condition or situation existing as at the date of the Report due to past events, where the financial effect is not recognised because:

1. The obligation is crystallised by the occurrence or non-occurrence of one or more future events or,
2. A probable outflow of economic resources is not expected or,
3. It is unable to be measured with sufficient reliability.

**Current ratio**

Current assets divided by current liabilities.

**Debt/equity ratio**

Debt as a percentage of shareholders' funds and non-controlling interests.

**Debt/total assets**

Debt as a percentage of total assets.

**Dividend payout ratio**

Dividend paid as a percentage of Group profits attributed to equity holders.

**Dividend yield**

Dividends adjusted for changes in number of shares in issue as a percentage of the share price (diluted) at the end of the period.

**Deferred taxation**

The net tax effect on items which have been included in the Income Statement, which would only qualify for inclusion on a tax return at a future date.

**Earnings per share (basic)**

Profit attributable to equity holders of the parent divided by the weighted average number of ordinary shares in issue during the period.

**EBIT**

Earnings before interest expense and tax (includes other operating income). Note that EBIT includes fair value gains and losses on investment property, depreciation and amortisation, and share of results of equity accounted investees, but excludes exchange gains or losses (other than that of equity accounted investees).

**ECL (Expected Credit Loss)**

The weighted average of credit losses with the respective risks of a default occurring as the weights.

**Effective rate of taxation**

Tax expense divided by profit before tax.

**Fair value**

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

**Financial instrument**

Financial instrument is any contract that gives rise to both financial assets in one entity and a financial liability or equity instrument in another entity.

**Interest cover**

Consolidated profit before interest and tax over interest expense.

**Joint venture**

A joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement.

## Glossary of Financial Terms

**Net assets**

Total assets minus current liabilities, long-term liabilities, and non-controlling interests.

**Net assets per share**

Net assets as at a particular financial year end divided by the number of shares in issue as at the current financial year end.

**Return on assets**

Profit after tax divided by the average total assets.

**Net profit margin**

Profit after tax attributable to equity holders of the parent divided by total revenue including equity accounted investees.

**Non-controlling interest**

Equities in subsidiary not attributable, directly or indirectly to a parent.

**Price earnings ratio**

Market price per share over earnings per share.

**Return on capital employed (ROCE)**

EBIT as a percentage of average capital employed.

**Return on equity (ROE)**

Profit attributable to shareholders as a percentage of average shareholders' funds.

**Related parties**

Parties who could control or significantly influence the financial and operating policies of the business.

**Shareholders' funds**

Total of stated capital, other components of equity and revenue reserves.

**Segment**

Constituent business units grouped in terms of similarity of operations and location.

**Total debt**

Long and short-term loans, including overdrafts and the liability arising out of the issue of convertible debentures, but excluding lease liabilities. Instances where total debt includes lease liabilities and/or excludes the liability arising out of the issue of convertible debentures are explicitly mentioned.

**Total equity**

Shareholders' funds plus non-controlling interest.

**Value addition**

The quantum of wealth generated by the activities of the Group measured as the difference between turnover and the cost of materials and services bought in.

**Working capital**

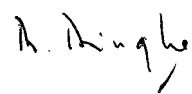
Current assets minus current liabilities

# Notice of Meeting

NOTICE IS HEREBY GIVEN that the One Hundred and Third (103rd) Annual General Meeting of C. W. Mackie PLC will be held on Friday, 27 June 2025 at 2.30 p.m. at Level 6, Public Forum, The Institute of Chartered Accountants of Sri Lanka, No. 30A, Malalasekera Mawatha, Longdon Place, Colombo 7 for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors and Financial Statements for the year ended 31 March 2025 with the Report of the Auditors thereon.
2. To declare a Dividend as recommended by the Directors.
3. To approve the re-election of Mr. Anushman Rajaratnam, who retires by rotation in terms of Article 89 of the Articles of Association as a Director of the Company.
4. To approve the re-election of Mr. Indrajit A. Wickramasinghe, who retires in terms of Article 95 of the Articles of Association as a Director of the Company.
5. To approve the re-election of Mr. Shrihan B. Perera, who retires in terms of Article 95 of the Articles of Association as a Director of the Company.
6. To approve the re-appointment of Mr. Hemaka Amarasuriya, who is over 70 years of age, under and in terms of Section 211 of the Companies Act No. 7 of 2007 as a Director of the Company.\*
7. To approve the re-appointment of Dr. T. Senthilverl, who is over 70 years of age, under and in terms of Section 211 of the Companies Act No. 7 of 2007 as a Director of the Company.\*\*
8. To approve the re-appointment of Mr. S. D. R. Arudpragasam, who is over 70 years of age, under and in terms of Section 211 of the Companies Act No. 7 of 2007 as a Director of the Company.\*\*\*
9. To authorise the Directors to determine and make donations.
10. To re-appoint KPMG, Chartered Accountants, as Auditors to the Company and authorise the Directors to determine their remuneration.

By Order of the Board



**Ms. C. R. Ranasinghe**  
Executive Director/Company Secretary  
Colombo  
4 June 2025

## Note:

- \* A Notice dated 15 May 2025 has been received by the Company from a shareholder of the Company giving notice of intention to move the undernoted resolution with regard to the approval of the re-appointment of Mr. Hemaka Amarasuriya as a Director of the Company under and in terms of Section 211 of the Companies Act No. 7 of 2007:  
"That Mr. Hemaka Devapriya Senarath Amarasuriya who is eighty one years of age be and is hereby re-appointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Mr. Hemaka Devapriya Senarath Amarasuriya".
- \*\* A Notice dated 15 May 2025 has been received by the Company from a shareholder of the Company giving notice of intention to move the undernoted resolution with regard to the approval of the re-appointment of Dr. T. Senthilverl as a Director of the Company under and in terms of Section 211 of the Companies Act No. 7 of 2007:  
"That Dr. Thirugnanasambandar Senthilverl who is seventy nine years of age be and is hereby re-appointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Dr. Thirugnanasambandar Senthilverl".
- \*\*\* A Notice dated 15 May 2025 has been received by the Company from a shareholder of the Company giving notice of intention to move the undernoted resolution with regard to the approval of the re-appointment of Mr. S. D. R. Arudpragasam as a Director of the Company under and in terms of Section 211 of the Companies Act No. 7 of 2007:  
"That Mr. Sri Dhaman Rajendram Arudpragasam who is seventy three years of age be and is hereby re-appointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Mr. Sri Dhaman Rajendram Arudpragasam".
  - (i) A member of the Company entitled to attend and vote at the Meeting is entitled to appoint a Proxy to attend and vote on his behalf.
  - (ii) A Proxy need not be a member of the Company.
  - (iii) A Form of Proxy is enclosed for this purpose.
  - (iv) Members are encouraged to vote by Proxy through the appointment of a member of the Board of Directors to represent them and vote on their behalf. Members are advised to complete the Form of Proxy and their voting preferences on the specified resolutions to be taken up at the Meeting and submit the same to the Company in accordance with the instructions for completion of the Form of Proxy.
  - (v) The instrument appointing the Proxy must be deposited at the Registered Office of the Company, No. 36, D. R. Wijewardena Mawatha, Colombo 10 or sent via email to [companysecretary@cwmmackie.com](mailto:companysecretary@cwmmackie.com) not later than 2.30 p.m. on 25 June 2025 being 48 hours before the time appointed for the holding of the Meeting.

# Form of Proxy

I/We ..... of  
..... being a member/members of  
**C. W. Mackie PLC** hereby appoint ..... of  
..... or failing him/her

|                                       |                |
|---------------------------------------|----------------|
| Hemaka Devapriya Senarath Amarasuriya | Or Failing Him |
| Camani Renuka Ranasinghe              | Or Failing Her |
| Anushman Rajaratnam                   | Or Failing Him |
| Sri Dhaman Rajendram Arudpragasam     | Or Failing Him |
| Thirugnanasambandar Senthilverl       | Or Failing Him |
| Karawa Thantrige Aruna Mangala Perera | Or Failing Him |
| Hector Manil Anthony Jayasinghe       | Or Failing Him |
| Indrajit Asela Wickramasinghe         | Or Failing Him |
| Shrihan Blaise Perera                 |                |

as my/our Proxy to represent me/us and speak and vote on my/our behalf as indicated below at the One Hundred and Third (103rd) Annual General Meeting of the Company to be held on Friday, 27 June 2025 at 2.30 p.m. and at any adjournment thereof and at every poll which may be taken in consequence thereof:

|                                                                                                                                                                                                | For                      | Against                  |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|--------------------------|
| 1. To receive and consider the Annual Report of the Board of Directors and Financial Statements for the year ended 31 March 2025 with the Report of the Auditors thereon.                      | <input type="checkbox"/> | <input type="checkbox"/> |
| 2. To declare a Dividend as recommended by the Directors.                                                                                                                                      | <input type="checkbox"/> | <input type="checkbox"/> |
| 3. To approve the re-election of Mr. Anushman Rajaratnam, who retires by rotation in terms of Article 89 of the Articles of Association as a Director of the Company.                          | <input type="checkbox"/> | <input type="checkbox"/> |
| 4. To approve the re-election of Mr. Indrajit A. Wickramasinghe, who retires in terms of Article 95 of the Articles of Association as a Director of the Company.                               | <input type="checkbox"/> | <input type="checkbox"/> |
| 5. To approve the re-election of Mr. Shrihan B. Perera, who retires in terms of Article 95 of the Articles of Association as a Director of the Company.                                        | <input type="checkbox"/> | <input type="checkbox"/> |
| 6. To approve the re-appointment of Mr. Hemaka Amarasuriya, who is over 70 years of age, under and in terms of Section 211 of the Companies Act No.7 of 2007 as a Director of the Company.     | <input type="checkbox"/> | <input type="checkbox"/> |
| 7. To approve the re-appointment of Dr. T. Senthilverl, who is over 70 years of age, under and in terms of Section 211 of the Companies Act No. 7 of 2007 as a Director of the Company.        | <input type="checkbox"/> | <input type="checkbox"/> |
| 8. To approve the re-appointment of Mr. S. D. R. Arudpragasam, who is over 70 years of age, under and in terms of Section 211 of the Companies Act No. 7 of 2007 as a Director of the Company. | <input type="checkbox"/> | <input type="checkbox"/> |
| 9. To authorise the Directors to determine and make donations.                                                                                                                                 | <input type="checkbox"/> | <input type="checkbox"/> |
| 10. To re-appoint KPMG, Chartered Accountants, as Auditors to the Company and authorise the Directors to determine their remuneration.                                                         | <input type="checkbox"/> | <input type="checkbox"/> |

Signed this ..... day of ..... 2025.

.....  
NIC/Passport No./Company Registration No.

.....  
Signature of Member/s

## Note:

- (1) The Proxyholder may vote as he thinks fit on any other resolution, of which due notice has been given, brought before the Meeting.
- (2) A Proxyholder need not be a member of the Company.

## Form of Proxy

(3) Instructions for completion of the Proxy are contained given below:

### INSTRUCTIONS FOR COMPLETION OF PROXY

1. Please perfect the Form of Proxy by signing in the space provided and filling in legibly your full name, address and other required details.
2. If you wish to appoint a person other than the Directors as your Proxy, please insert legibly the relevant details in the space provided on the Form of Proxy and initial against this entry and forward same to the Company Secretary.
3. If the Form of Proxy is signed by an Attorney, the relative Power of Attorney or a notarially certified copy thereof should also accompany the completed Form of Proxy, if such Power of Attorney has not already been registered with the Company.
4. If the member is a company or body corporate, the Form of Proxy should be executed under its common seal in accordance with its Articles of Association or Constitution.
5. Please indicate with an "X" in the space provided how your Proxy is to vote on each resolution. If there is any doubt as to how the vote is to be exercised by the Proxy holder, by reason of the manner in which the Form of Proxy has been completed, the Proxy holder will vote as he thinks fit.
6. The instrument appointing the Proxy must be deposited at the Registered Office of the Company, No. 36, D. R. Wijewardena Mawatha, Colombo 10 or sent via email to [companysecretary@cwmmackie.com](mailto:companysecretary@cwmmackie.com) not later than 2.30 p.m. on 25 June 2025 being 48 hours before the time appointed for the holding of the Meeting.

# Corporate Information

## Name of Company

C. W. Mackie PLC

## Company Registration Number

PQ 47

## Legal Form

A public company with limited liability incorporated in Sri Lanka in February 1922. Shares of the Company are listed on the trading floor of the Colombo Stock Exchange.

## Directors

Hemaka Amarasuriya – Chairman/Chief Executive Officer

Ms. C. R. Ranasinghe

A. M. de S. Jayaratne (upto 30 December 2024)

Anushman Rajaratnam

S. D. R. Arudpragasam

Dr. T. Senthilvel

K. T. A. Mangala Perera – Executive Director –  
Group Chief Operating Officer (from 1 April 2025)

Sanjeev Rajaratnam (upto 30 December 2024)

A. Hettiarachchy (upto 30 December 2024)

E. A. A. K. Edirisinghe (upto 31 March 2025)

C. P. R. Perera (upto 30 December 2024)

H. Manil A. Jayasinghe

Indrajit A. Wickramasinghe (from 30 December 2024)

Shrihan B. Perera (from 30 December 2024)

## Company Secretary

Ms. C. R. Ranasinghe

## Registrars

Business Intelligence (Private) Limited

No. 10, Gothami Road,  
Colombo 08

## Registered Office and Corporate Head Office

No.36, D. R. Wijewardena Mawatha, Colombo 10

Telephone: 2423554 – 62

Fax: 2440228

E-mail: [info@cwmmackie.com](mailto:info@cwmmackie.com)

Website: [www.cwmmackie.com](http://www.cwmmackie.com)

## Auditors

KPMG

Chartered Accountants

## Principal Bankers

Hatton National Bank PLC

Commercial Bank of Ceylon PLC

NDB Bank PLC

Seylan Bank PLC

DFCC Bank PLC

Public Bank Berhad

## Legal Advisors

Julius & Creasy

Attorneys-at-Law, Solicitors & Notaries Public

## Group Management Committee

Hemaka Amarasuriya

Chairman/Chief Executive Officer

Ms. C. R. Ranasinghe

Executive Director/Company Secretary

K. T. A. Mangala Perera

Executive Director – Group Chief  
Operating Officer (from 1 April 2025)

E. A. A. K. Edirisinghe

Executive Director – Export Trading  
(upto 31 March 2025)

K. K. L. P. Yatiwella

Chief Financial Officer

N. J. P. Jayasinghe

Chief Operating Officer –  
Internal Trading (from 1 April 2025)

E. S. Edirisinghe

Director/General Manager –  
Ceymac Rubber Company Limited  
and Ceytra (Private) Limited

D. P. P. K. Weerasekera

General Manager – Industrial Products  
and Refrigeration & Air-conditioning

W. C. K. Indrapala

General Manager – Hempel Division

N. M. C. Nawaratne

General Manager – Sugar Division

J. M. S. C. Samarasinghe

General Manager – Sunquick Lanka  
(Private) Limited

N. B. Jayasinghe

General Manager – Produce Trading

N. W. Karunaratne

Chief Marketing Officer

P. S. H. K. Fernando

Chief Operating Officer – Exports

Ms. C. Welengoda

General Manager – Group Finance

G. P. C. W. Wickramatunge

Group Head of Human Resources

G. M. P. A. Rajakaruna

General Manager – Kelani Valley  
Canneries Limited

A. B. D. L. Arandara

Group Head of Engineering  
(from 1 September 2024)

J. G. N. Kishantha

General Manager – Ceymac Rubber  
Company Limited (from 1 April 2025)

**C. W. Mackie PLC**

No. 36, D. R. Wijewardena Mawatha,  
Colombo 10, Sri Lanka

Tel: +94 11 557 3573

Email: [info@cwmackie.com](mailto:info@cwmackie.com)

[www.cwmackie.com](http://www.cwmackie.com)

